

Devyani Intl. (DEVYANI)

Conference call transcripts, oldest-first. 17 call(s). Generated 2026-08-02.

Call: Aug 2022

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CIN: L15135DL1991PLC046758

August 10, 2022

To,

National Stock Exchange of India Ltd.

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Security Code: 543330

Sub: Regulation 30: Transcript of Investors & Analysts Conference Call

Dear Sir/Madam,

The Transcript of the Investors & Analysts Conference Call held on August 03, 2022, post declaration of Unaudited Financial Results of the Company for the quarter ended June 30, 2022, is enclosed.

The same is also being uploaded on website of the Company at www.dil-rjcorp.com .

You are requested to take the above on record.

Yours faithfully,

For Devyani International Limited Le

Varun Kumar Prabhakar

Company Secretary & Compliance

Encl: As above

el @ © vaango!

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Devyani International Limited

Q1 FY23 Earnings Conference Call Transcript

August 3, 2022

Moderator:

Anoop Poojari:

Ravi Jaipuria: Ladies and gentlemen, good day and welcome to Devyani International's earnings conference call. Please note, that this conference is being recorded.

I would now like to hand the conference over to Mr. Anoop Poojari from CDR India.

Thank you and over to you, sir.

Thank you. Good afternoon everyone and thank you for joining us on Devyani International's Q1 FY23 earnings conference call. We have with us Mr. Ravi Jaipuria, Chairman of the Company; Mr. Raj Gandhi, Non-Executive Director; Mr. Virag Joshi, CEO and Whole-time Director; and Mr. Manish Dawar, CFO and Whole-time Director of the Company. We will initiate the call with opening remarks from the management following which we will have the forum open for a question-and-answer session.

Before we begin, I would like to point out that some statements made in today's call, maybe forward-looking in nature and a detailed statement in this regard is available in the results presentation shared with you earlier.

I would now request Mr. Ravi Jaipuria to make his opening remarks.

Good afternoon, everyone. I warmly welcome you all to our earnings conference call to discuss the business performance for the quarter ended June 30, 2022.

We reached an important milestone of 1,000 stores this quarter. It took us 25 years to get to this important landmark. We believe this is just the beginning of our exciting journey and hope to cross many more such milestones in the coming year. The 1000th store that we opened is a Pizza Hut store at a prime location at Sion, Mumbai. With this we continue our efforts to grow the Pizza Hut brand across the country. This opening was also very special for us as we could host nearly 25 especially abled children from a Mumbai based NGO to share our happiness and celebrate an important milestone in the journey of your Company.

On the economic front, we are seeing early signs of recovery in consumer sentiment. Sectors like FMCG and retail are likely to report marginal volume growth over the next few quarters. While input prices have remained elevated, well-established businesses with scale have been able to navigate the same with some pricing initiatives and protect margins, this bodes well for organized players across industries.

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Manish Dawar: We had a strong start to FY23 by way of adding 70 new stores in this quarter, led by 27 store

s in KFC, 23 stores in Pizza Hut and 14 stores in Costa Coffee. Our Pan India reach has expanded further, and we are now present in 215 cities. The non-metro store contribution within our Core Brands has gone up to 52% now. Our total system store count stood at 1008 stores as of June 30, 2022.

We ended Q1 FY23 with growth across all our brands. As a result, we witnessed good recovery in overall sales in the quarter with strong traction in the dining channel. This helped us post consolidated revenue of INR 705 crore nearly 2 times the corresponding figure for the last year. KFC contributed INR 425 crore and Pizza Hut contributed INR 165 crore.

We also saw some new product launches from KFC and Pizza Hut. KFC launched the popcorn nachos an innovative blend of tender chicken popcorns served on a bed of crunchy nachos. Pizza Hut launched the flavor fun pizza range just last week. We are excited about this launch since it addresses a significant gap in our portfolio. Our innovation engine remains robust as we continue to expand our business. Notwithstanding the current economic situation, we remain excited about the long-term potential of our brands and the food services sector in India.

Existing urban centers and the upcoming ones are expected to be the consumption hotspots, supported by increasing urbanization of our population and the growth in disposable income. Changing lifestyles should also provide strong tailwind for an increase in the frequency of non-home cooked food consumed by families. The combination of growth in the relevant market and order frequencies gives us the confidence to continue with our expansion momentum. We believe we are well positioned and capitalized to leverage this opportunity.

With this, I would like to conclude my address and now hand over to Manish for his comments. Thank you.

Thank you, Mr. Jaipuria. Good evening, everyone. A warm welcome to all of you for your valuable time and presence on our Q1 FY22-23 earnings conference call, our fourth results call since the listing.

Our revenues for the quarter stood at INR 705 crore versus INR 591 crore in the previous quarter, a quarter-on-quarter growth of 19%. On a year-on-year basis revenues have nearly doubled. It is pertinent to note that Q1 FY22 was seriously impacted by COVID wave two and hence not strictly comparable. It is also important to note that the overall quarter 1 revenue surpassed the quarter 3 FY22 revenues which is normally a high season quarter.

On the profitability front, timely price hikes and strict cost management helped us to maintain gross margins at 71.1%, despite multiyear high inflation across the raw materials and packing material basket. Brand contribution has been constrained at 20.5% due to increase in utilities and logistics charges versus 21.2% in the previous quarter. This was offset by a leverage benefit on higher revenues leading to pre-IndAS EBITDA at INR 114 crore during the quarter, the highest in our history with EBITDA margin at 16.1% versus 16.5% in the previous quarter. Reported EBITDA which is post index was INR 164 crore with margins at 23.3% versus INR 62 crore a year ago. Accordingly profit before tax for the quarter stood at INR 77 crore versus a loss a year ago and INR 42 crore in the previous quarter.

Our Core Brands continue to perform well. KFC with 27 new additions reached 391 store count at the end of the quarter. Average Daily Sales grew 127,000 with an SSG of 63.6%. ADS for the quarter for KFC surpassed pre pandemic levels and drove revenues for INR 425 crore. Timely price hikes helped us contain the impact

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Moderator:

Abneesh Roy:

Ravi Jaipuria:

Manish Dawar:

Abneesh Roy:

Manish Dawar: of unprecedented increase in input costs, with gross margins coming in at 69%. Brand contribution margin helped by leverage on higher sales improved sequentially to 22.4% from 21.8% in Q4 FY22. With COVID restricti

ons receding,

on-premise consumption has further increased to 65%.

Coming to Pizza Hut, the brand added 23 new source to reach a store count of 436. ADS has also improved sequentially to reach 44,000 with SSSG at 31.5%.

On-premise consumption inched higher to 46% for Pizza Hut also. Revenues came in at INR 165 crore with stable gross margins and brand contribution margins at 17.5%.

Costa Coffee added 14 stores to reach a total of 69, revenues grew to INR 18 crore in the quarter, with stable gross margins and brand contribution margin profile.

Brand contribution stood at INR 5 crore with a margin at 30.5%. The ADS for the grand improved to INR 36,000 in the current quarter versus INR 30,000 in the previous quarter.

Overall consumption demand is holding reasonably well at present. The full impact of input costs will be fully evident in the current quarter. However, we expect that input prices should stabilize in the coming quarters. With normal monsoon forecasted, we expect better demand and softer raw material prices towards the latter half of the year, which would help in better top line momentum as well as margin for DIL.

On that note, I would like to request the moderator to open the forum for any questions or suggestions that you may have. Thank you very much.

Thank you very much. The first question is from the line of Abneesh Roy from Edelweiss.

Congrats on the numbers. I have three questions. So first, is there any seasonality in the KFC business? Could you tell us in terms of average daily sales Q1 to Q2 to Q3, is there a significant difference and if possible, in terms of numbers?

Okay. I think the key difference you find is that quarter 3 is always the best quarter because of Christmas, New Year and the holidays coming in. Quarter 4 is also a good quarter because of the holidays just getting over and the winter season. But there are no major seasonal differences.

So, Abneesh, let's look at your other part of the question, which is what the ADS in the previous three quarters was. So, quarter 4, if you remember, we were at about 113,000. Quarter 3, it was our best ever quarter until that time was 124,000 and the previous quarter was 116,000. Therefore, from that point of view, we are very encouraged with the numbers in quarter 1. And I think KFC is doing extremely well as far as the consumers are concerned.

Sir, thanks that was very helpful. My second question is on KFC. Did the price hikes have any impact on demand in your view? And have we covered the entire current raw material inflation impact already? I am not asking about the view on RM because that is difficult to give. But based on the current RM scenario, have you already taken the price hikes?

Abneesh, as we kind of talked about it in the last quarter call, we have not managed to cover the full input inflation in KFC. However, we are largely covered because, if you remember, we took an almost 9% price hike in KFC and therefore the margins, the gross margins in the current quarter, they are a little diluted versus

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Abneesh Roy:

Manish Dawar:

Moderator:

Vivek Maheshwari:

Manish Dawar:

Vivek Maheshwari:

Manish Dawar:

Vivek Maheshwari:

Manish Dawar: the previous quarter. But at the same time, we have also seen that the edible oil prices have started to come down. The chicken prices have started to stabilize. We are seeing some bit of inflation on the flour prices currently, but we expect in the next couple of quarters, it should stabilize. So, therefore, in hindsight, I think we took a very balanced view as far as the price hikes was concerned and we are very glad that things are panning out the way we had anticipated.

My last question is on your store expansion mix. So, you plan to have 1000 store

over the next four years. | want to understand if the KFC-PH mix be similar and you expect other brands to ramp up over the 4-year timeframe, in terms of the mix?
So,

Abneesh if you remember we have talked about opening 100 stores for KFC every year. Another 100 stores for Pizza Hut every year and the remainder 40-50 stores will be Costa and some Vaango stores. So, that is what basically constitutes a 1000-store break up that we have talked about earlier. So obviously Costa in the mix is improving. Vaango in the mix is improving, but again, compared to the overall business that we have, these are still relatively smaller brands, and we continue to see their share increase in the mix. You also need to understand that even with 100 stores for KFC and 100 for Pizza Hut, the business is gravitating more towards KFC. The capex per store for KFC is higher than the capex per store for Pizza Hut. The ADS for KFC is almost 2.5 to 3 times the ADS of Pizza Hut. The return on investment is also better for KFC versus Pizza Hut. So, while let us say on our headline number the additions looks similar, KFC as a brand is kind of becoming stronger in the overall portfolio that we have.

The next question is from the line of Vivek Maheshwari from Jefferies.

A few questions. First is on the gross margins, Manish. If you look at KFC margins, they are more or less stable but in case of Pizza Hut margins are actually moving up. | Know there has been different level of price hikes that you took between KFC and Pizza Hut but just curious that you know, given that you still have some ground to cover in case of Pizza Hut, why go for margin at this stage or is there something that | am missing in this math?

No, there is nothing you are missing. It is just that in Pizza Hut, we took the price hike a little ahead of the input inflation. KFC input inflation had started hitting us earlier. For Pizza Hut we were covered as far as the forward contracts were concerned. We took the Pizza Hut pricing much earlier. However, you will now see that in the current quarter, the margins will come back to the normal level. So, it was only just a timing piece, and we got some advantage out of it.

Okay. Got it. And any further price hike that you have taken in either of the formats in this quarter, as in June quarter or until now in July.

No. Nothing as of now.

The other question is on Flavor Fun pizzas that you have launched. So, for a long time you stayed away from the value side of offerings in Pizza Hut, and now you have entered with Flavor Fun pizzas. Right? So, two parts - one is, what gives you the confidence that you should be launching it now or what has changed that you have launched it now? And second is what is your expectation from this important offering given that it is reasonable for the competition?

Vivek, as we talked about earlier, our priority as far as Pizza Hut as a brand was concerned was to restructure the brand and to turn it around and then to start growing the brand. And that is what we have done over the last few years. And we've kind of talked at the IPO stage that we closed large format stores. We started

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Vivek Maheshwari:

Manish Dawar:

Vivek Maheshwari:

Virag Joshi:

Moderator:

Percy Panthaki:

Ravi Jaipuria:

Percy Panthaki:

Ravi Jaipuria: replacing the large format with smaller format which worked very well for us, basis that we kind of tested the entire Pizza Hut smaller format at scale, and therefore we opened a lot of stores, and they are doing well. And while all of this was on, there was COVID so we were a little slow as far as the menu innovation was concerned. And now having got full confidence in the business model - the brand has turned around and it's doing well for us, we've introduced this innovation. Fun Flavor pizzas are starting at INR 79. Obviously, we've had this gap in our portfolio; we've tried to address that. It's too early to kind of gauge as to what is happening in the market because it is not even a week. But otherwise in the test market, we've seen some encouraging response, but let's

see how it goes.

Okay. Sure. And last question Manish, | mean the ADS disparity between KFC and

Pizza Hut. So, KFC being ahead of pre pandemic levels whereas Pizza Hut is not, what will it take given that competition is also significantly ahead? And we have discussed this in the past also but any new thoughts? Do you think that Flavor Fun will be a driver for this ADS to move up from this level? Because you are still trailing behind quite a bit on Pizza Hut.

So, Vivek if you look at strictly pre pandemic level, and I would not like to just isolate one or two years we used to operate large stores, right? It was a heavily dine-in focused business. We've kind of managed to turn it around and have managed to change the profile of the business to delivery and that is the reason we are gaining momentum from there. We think that Flavor Fun pizza will be able to address that gap and we will be able to attract new consumers, we will be able to attract price conscious consumers, we will be able to attract let us say youngsters, college-going kids, who currently think and perceive Pizza Hut to be more expensive brand. So, this is what we are trying to address through this launch. And just a follow up so, what are the thoughts on let us say, advertising & media spends behind this new launch? Is that going to be an important push from your side?

So, we are promoting it through the digital platforms and mass media during this quarter. We will continue the marketing push and see how it pans out across the country.

The next question is from the line of Percy Panthaki from IIFL Securities Limited. My first question is on the capex. As you are well aware there is a difference in the capex per store for what you do versus the other franchisee. And basically, they say that there is a renovation capex which pushes up the number and it is probably not that the store opening capex is so high. So, I just wanted to understand you are doing about INR 1.25, 1.3 capex per store. Is there any material renovation capex in this number? And if not, is it just that the phasing of the renovation is different for you maybe for them it is coming up now, maybe for you it will come up 2, 4 years down the line? So, any kind of thoughts on that?

Well, our capex includes renovation spends as well, I do not know what they are including and what they are not including so I do not want to comment on their costs. But our renovation costs are included in the capex that we are telling you. So, you will believe that apart from a normal sort of inflation, this INR 1.25 - 1.30 is the number to go with for the next 3 - 4 years, apart from let us say 5% - 7% inflation everywhere in capex?

I cannot talk about inflation, but otherwise, yes.

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Percy Panthaki:

Ravi Jaipuria:

Percy Panthaki:

Ravi Jaipuria:

Manish Dawar:

Percy Panthaki:

Ravi Jaipuria:

Percy Panthaki:

Ravi Jaipuria:

Percy Panthaki:

Ravi Jaipuria:

Moderator: Okay. Understood. Secondly, just wanted to spend some time on Costa. You have added quite a lot of stores this quarter, 14 stores. That is a fairly decent number.

So, just wanted to understand two things: one is what according to you is the market opportunity here? And secondly, how are you positioned in this space versus, let us say a Starbucks and versus McDonald's? Especially in the coffee and beverages space, both in terms of what the brand stands for, as well as in terms of relative pricing to these competitor brands?

Well, I think we are competitively positioned as far as Starbucks is concerned and our coffee is loved by everybody in the country. It is just that we were waiting for the final agreements which we closed late last year, and that is why we have started our expansion from this quarter. We see a huge opportunity in the coffee segment, and I think we will scale it up reasonably fast. You may see this in the coming quarters. And the opportuni

ty for coffee is very large - it is huge.

In terms of pricing of like for like products compared to Starbucks and compared to McDonald's, where would your pricing be, just on a relative percentage premium or

discount?

We are comparable to Starbucks. Our pricing is similar to Starbucks.

We will be at about 90% index Percy, to Starbucks.

Okay. Understood. And secondly, for these Flavor Fun pizzas, I understand you have been test-marketing them for a few months now in one or two states. So, in that test market, what kind of percentage increase in ADS did this result in for those stores in which these products were tested?

Well, we got a reasonably good response and exact numbers was different in each state, but we got a reasonably good response, and that was without large scale advertising. So, hopefully with the advertising this should give us enough headway in our numbers of consumers coming in.

And one last question, if I may on Vaango. What is the reason that we are not going sort of more aggressive on this just like we are now on Costa Coffee? And is this mainly a food court type of format or is it amenable to other types of formats? I mean, I just wanted to understand, are you still a little unsure about the store economics and therefore you are not going for a much larger rollout or what is the reason that you are not doing that?

No. We are quite sure of the product and where it works. So, we are now scaling it up slowly and we are only putting Vaango where we have seen success and where it works for us. But there will be enough stores of Vaango coming in the right location so that we do not have to shut the stores after opening. We are making sure that we have analyzed over the last few years where Vaango is more successful. And that is where we are opening the stores and the speed of opening will be much faster than what we have been doing.

So, this is state wise when you say where it is working, where it is doing well, do you mean state wise?

Location wise, I mean if it works in shopping malls or it works in airports or it works in hospitals, where there is a captive consumption, this works very well.

The next question is from the line of Tejas Shah from Spark Capital.

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Tejas Shah:

Manish Dawar:

Tejas Shah:

Manish Dawar:

Tejas Shah:

Manish Dawar:

Moderator:

Chirag Shah:

Manish Dawar: Couple of questions from my side. First one pertains to ADS. So, on value terms, ADS is actually tracking very well, and we are pre COVID level in KFC and then on Pizza Hut we are showing very good recovery. But in terms of volume of transactions, are we seeing similar recovery and then volume of transactions as well?

Tejas, we do not disclose the transactions separately, but we are seeing a good traction on transactions as well. So, they are stable and doing well.

Okay. I do not want the number but point to point the gap or the recovery won't be totally price led, it will be volume led as well, that is what that was my question?

So, let us say if you look at the current quarter, it is more of pricing. If you look at let us, say the previous quarters, it is more of transactions, every quarter things could be different depending on what the situation is. But overall, we keep a good eye on both transactions as well as the value and we ensure that we can kind of drive forth.

Second, pertains to gross margin and we have done a very good job to contain the pressure over here. Just wanted to understand our GM philosophy. Is it a goal seek number, which we actually work with backwards on taking price hike decision? Or other factors like competitive price points and even our ability to make other interventions also come into picture? And along with that, in an inflationary environment, how do you measure net promoter score or competitive value standing when we take such price decision versus the rest of the competition?

Sure. So, Tejas, basicall

y the philosophy that we follow on gross margin, is that we need to kind of stabilize. We do not have to exploit the pricing to be able to drive the volumes. At the same time, all of the innovation normally gets introduced at a margin accretive basis. So, that is where the accretion in gross margin comes.

Because our basic philosophy, where we come from, is that QSR as a category is highly under penetrated in the country. And if you have to really cover the population and we have to grow the store count and we have to kind of, take the industry to a different level, then we have to be kind of reasonable in terms of our gross margin expectations, and yet ensure that it gives us a good ROI and return on equity for the investors.

The next question is from the line of Chirag Shah from CLSA.

Congrats on a very good set of numbers. My question is on Pizza Hut. Obviously, over the last few years, there are a lot of things that have worked. But on the point of ADS, I understand that there is a mix change that has happened, and which is why the headline ADS numbers have not changed much. But without giving or sharing numbers with us, can you help us understand that on large format to smaller format stores with the ADS numbers for the 3 or 4 years, what kind of CAGR you would have achieved?

Chirag, we don't have like to like data available because over the last, let's say, about 2.5 to 3 years' time, we've changed the format for Pizza Hut very, very dramatically. It used to be large format stores we've converted all of that into smaller format. While we were doing that conversion, COVID hit us and therefore we are not able to measure as to what were the normalized numbers around the COVID time. But having said that, if you look at, let us say, on a per square feet efficiency basis, Pizza Hut is in a far better shape compared to what it used to be earlier. Because on lower ADS numbers, the store formats were much larger whereas with smaller formats, we have managed to kind of improve the topline as

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Chirag Shah:

Manish Dawar:

Chirag Shah:

Manish Dawar:

Virag Joshi:

Chirag Shah:

Virag Joshi:

Chirag Shah:

Manish Dawar:

Chirag Shah: well and that is where you are seeing that Pizza Hut as a brand has turned around and become much more efficient versus what it used to be.

That really helps. So, on a revenue per square feet basis, what kind of CAGR growth that you would have achieved over the last 3, 4 years or for the last, whatever measure you want to put in because I think that number is pretty important and when people look at ADS headline numbers that is where the confusion sets in, right?

Yes. So, let me just work out on a per square foot basis the question that you have, and we can come back to you on that.

Sure. And secondly, when I look at the Pizza Hut sales mix, of course the same point around how the mix is changed has also impacted the sales mix and obviously there are other factors as well, but where do you think the sales mix now is trending, now that I think the mix change issue should now be behind us going forward I would assume I mean, you know, incrementally we've not added larger format stores. So, as far as the mix is concerned, how would you look at the sales mix going forward?

So, if you look at, let us say our large format, dine-in stores would be roughly about 10% of the total store count. And going forward, I mean, seeing how Pizza Hut has turned round, we could open a few larger format stores, but let us say what we used to open earlier would remain only, I would say less than 5% to 10%. And that would be more like a flagship if you are going to new location or something like that. But broadly, we are going to be operating in the same range. So, let us say if we are currently at about 1100, it could well be called 1200 to 1300.

Is it to do with channel mix or sales mix, you are asking?

Actually, my question

was on channel mix, yes.

Okay. So, in channel mix we stood at about 55% on our delivery in Pizza Hut in the quarter. And about 45% on dine-in and takeaway. So, that is where it stands today and that is why the format of 1000 to 1100 square feet suits the mix very clearly and we will stick with that format completely.

Sure. So, what you are trying to say is that the 55 - 45 would stick here going

forward?

Chirag, look it is evolving, because right now if you see, people are coming out of pandemic, they are working from home. Obviously, people tend to come out for eating, but we have seen that pizza market longtime back has moved towards home consumption. Even while, let us say, we are coming out of pandemic, the situation is still not fully normal. It could be 5% here and there, but we will be in the same range.

Understand. And my last question is on Vaango. You know, from what Mr. Jaipuria said it appears that you know, you are now far more confident on the format than what it was a couple of quarters back. Earlier we were struggling with the fact that while there is a very large opportunity for Indian menu, how the price points can be set, etcetera, but now what you are saying is that the unit economics are right, are established. It is a question of now what format we plan to roll this out, is that understanding correct that you know versus a couple of quarters back the visibility on Vaango rollout is much better?

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Ravi Jaipuria:

Moderator:

Priyam Khimawat:

Manish Dawar:

Priyam Khimawat:

Manish Dawar:

Priyam Khimawat:

Manish Dawar: No, the visibility was there at that time also. | think our bigger focus was on KFC and Pizza Hut as we were opening lot of stores. We know where Vaango works and where it is successful. So, we are focusing on that with the expansion and Vaango is giving us good margins. We will be focusing and opening all the new Vaangos in the territories and locations where it works for us. So, we are going to accelerate the growth in this.

The next question is from the line of Priyam Khimawat from Ask Investment Managers.

Good evening, team two questions from my end. Firstly, on Pizza Hut, our brand margins have been on an upward trajectory for the last seven quarters now and it is reached 17.5% in the current quarter. While this has absolutely been in line with what you had stated in your pre-IPO meetings, and | want to congratulate for you for it. | wanted to understand from you, what trajectory can we expect on this going ahead? Considering that we are targeting high single digit SSSG on Pizza Hut and also with these new budget pizza launches, which could improve throughput per store. Should we see further improvement in margins from here on or 17% to 18% margin is what we will be comfortable with currently?

Look our aspiration will be to kind of get to the KFC margin, but that is a long haul. As of now | think we have kind of picked all the low hanging fruits and we would like to stabilize at the current level of margins. Having said that, there are some small opportunities which are still available. One is, obviously as | said, all of the innovation comes in at accretive margins but again, innovation contributes a small percentage to begin with. And secondly, the property portfolio is very different compared to what it used to be. So therefore, we have seen that our rent to revenue ratio is better compared to the deals that we used to get earlier which is pre-pandemic. So, these are marginal initiatives. So, therefore you can assume that we will be more or less at the same level.

Okay. Secondly, just wanted some insights on competitive intensity in the pizza space currently, because with most of the free dollars which were being spent on incubating new brands not being available so easily anymore, are we seeing reduced competitive intensity than say what we have seen four, six quarters back especially fr

om cloud kitchens, like say Ovenstory, etcetera?

Look, pizza is a large market, and it is a growing market. So, while let us say the large competitive intensity may not be visible to us, but at the local level, there are a lot of local city-based brands which are there. So, while let us say on a national level, there are very few brands but every large city if you look at would have at least 15 to 20 local pizza brands. These are not so visible, both from Share of Voice and whatever they are doing, but the competitive intensity remains strong.

Okay. And if | may squeeze one more. When | try and look at our corporate expenses, which is nothing but the difference between our Pre-IndAS brand

contribution and EBITDA. It has stabilized at around INR 30 crore per quarter for the last four or five quarters. So, going ahead when we try and double our revenues and store count, will it be safe to assume that this corporate expense line item will grow at a substantially lower rate than revenues and there will be operating leverage playing out here?

Yes, you can assume that. So, let us say, you can assume that corporate overhead will grow more or less in line with inflation. At the same time, we are trying to build the organization because we have had some skill gaps as we are kind of growing and expanding but that will have a marginal impact on the overall basis.

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Moderator:

Jaykumar Doshi:

Manish Dawar:

Jaykumar Doshi:

Manish Dawar:

Jaykumar Doshi:

Manish Dawar:

Moderator:

Vicky Punjabi: The next question is from the line of Jaykumar Doshi from Kotak Securities.

Congrats on a very good set of numbers. Can you share some light on how have you progressed on delivery time? So, I think the market leader recently called out that about 70% of the deliveries are done at an average of 20 minutes. So, what has been the progress for you over the past 2 years in terms of delivery? And what are the conversations you are having with Swiggy and Zomato to improve that further? I am sure they are pushing you to increase take rates that is what we gathered from Zomato's call yesterday, but what is your demand from them, and you know, how should we think about this?

Again, we continue to engage with the food aggregator platforms. Obviously, they push us to kind of increase the take rates, we push them to reduce the take rate. The balance always lies in the middle. We are one of the largest business partners for them. And therefore, as of now, we have not seen a huge impact on us. We are where we were. So, let us see how the entire situation pans out. We have our own delivery infrastructure as well as we kind of alluded to earlier. So, from an insurance policy, we are well prepared. I do not see there could be a big issue as far as take rates are concerned. So therefore, that is how we are looking at it.

And the second part of question in terms of you know, your delivery timing, how has it improved over the past four to six quarters? What are you averaging today, or what percentage of your orders are delivered in the 30 minute?

So, in fact, 70% to 80% of our orders are delivered within 30 minutes, which if you remember, let us say when we talked about the same around the IPO time, it was closer to 35 to 40 minutes. So, we have managed to improve the delivery timelines. Obviously, the competition is doing a great job and therefore we are not in the zone of 20 minutes. But we are kind of following our own trajectory, we have managed to improve from 40 to 30 now. So, therefore, with higher penetration as we are opening the stores, our delivery times automatically are becoming better.

70% of the orders in about 30 minutes or within 30 minutes, is this across the network all India?

On an average basis, yes. Because there could be some pockets where the store penetration is still lower. There could be pockets where it is much more efficient depending on where we

are catering it, whether we are catering it from our high street store, or a mall store or we are catering to a housing society or multistoried. So, there are multiple things and therefore within the region also it could vary a little bit.

The next question is from the line of Vicky Punjabi from UTI Mutual Fund.

I just had one clarification. If I look at Pizza Hut, one thing that I observed was that if I just take a difference between the gross profit and brand contribution, and basically you know, driving the SG&A overhead on a store per store basis. I am comparing this to 2Q FY22 last year, it is kind of being flattish, I mean, it works out to some something around INR 24 lakhs for 2Q FY22 versus INR 20 lakhs for 1Q FY23. Wanted to understand this, the assumption was that as we move to a complete unlock period, we will see some of the cost, which is the rent and stuff come back, but it seems that there has been no additional cost that has come back in fact, we've actually improved cost on a per store basis. Can you help me

understand what really changed here, because in KFC, I think this is not the phenomenon, KFC is quite different where we have seen the cost actually increase and in line what the thought process was?

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Manish Dawar:

Vicky Punjabi:

Manish Dawar:

Vicky Punjabi:

Manish Dawar:

Moderator:

Devanshu Bansal:

Manish Dawar:

Devanshu Bansal:

Manish Dawar: So, Vicky if you remember during the IPO time, we did mention that we have to look at the normalized quarters because we did get the credit as far as the rentals were concerned during wave one and wave two of those quarters and we isolated those quarters. And we focused on the normalized quarters because normalized quarters did not have such credits. And that is how we've kind of managed to build and it has remained the same. And obviously with some leverage coming in, it is kind of helping us. At the same time, I did also say that while let us say the metro areas prime property would always be in demand. But there is some bit of expectation change from the landlords rent also now, because earlier it used to be the highest rental payer will get the property, whereas whatever the landlords have experienced during the COVID times, they've kind of managed to respect the brands much more and we are seeing a little better environment. Non-metro continues to be favorable as far as the rent to revenue ratio is concerned. So therefore, on an overall basis, it is a better property market also that we are seeing So.

Okay. And just one more question was on again on the sales mix of Pizza Hut. I mean, we have seen off-premise coming off and on premise is increasing. I mean, of course a part of it is because of the unlocking period, but just wanted to understand your thoughts because you know, the thought process was going more to delivery with the larger part of revenues coming out of delivery but out here we are seeing delivery revenue shrink to, I think possibly 60% plus in Q3 FY22 to around 54% now?

I thought we have seen some exceptional delivery performance during COVID time because people used to kind of, they were restricted from going out and so forth. So, it's more of a normalization which is kind of in the balancing, which is happening because if you see, prior to COVID, everybody kind of used to come out for work and people used to order at home, whereas now, post COVID, we've seen that a lot of people are still working from home, work from home has become a norm rather than has become a choice rather than a norm. And therefore, to that extent, I mean you need some bit of environment change, you need to have some bit of balance between staying at home and coming out. So, I think that is what is panning out. But we are pretty confident that the overall delivery versus the instore consumption would probably settle at the pre pandemic levels in the next few quarters.

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And what would be expectations of those levels?

So, let us say your off premise would be anywhere close to 60% for Pizza Hut, and for KFC, it will be between 35%, 40%.

The next question is from the line of Devanshu Bansal from Emkay Global.

Congratulations on a strong execution. Sir, you indicated new innovations generally come at a higher gross margin. So, does that apply to our new launch of Flavor Fun as well?

No, it does not apply to flavor fun because obviously it is a very, very strategically placed pricing that we have done and therefore it is marginally dilutive. But within Flavor Fun, there are higher priced categories which kind of compensate for the margins which are at a lower price point.

Okay. So, the operating leverage that you will be gaining to ADS increase that may sort of compensate for some loss in the gross margin, is that right?

Yes.

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Ravi Jaipuria:

Devanshu Bansal:

Manish Dawar:

Virag Joshi:

Manish Dawar:

Virag Joshi:

Manish Dawar:

Devanshu Bansal:

Manish Dawar:

Devanshu Bansal:

Manish Dawar:

Devanshu Bansal:

Manish Dawar:

Moderator:

Sandeep Bansal:

Manish Dawar:

Sandeep Bansal:

Manish Dawar: Yes, absolutely.

And secondly, our repair and maintenance expense are sort of relatively higher at about 4% versus Sapphire's is at about 2%. So, do we also expense a part of our maintenance capex in the P&L?

Devanshu, we will have to understand what the exact mix and breakup of repairs and maintenance, I will not be able to comment on their numbers. It will not be because of the maintenance capex. Refurbishment capex that we do normally gets capitalized. But otherwise, the repairs and maintenance is not so high.

Capex may be little bit higher because of the seasonality of April, May, June, but that should not affect repair & maintenance spends.

That'll be electricity.

I do not know what's Sapphire is, we do not know about that.

Devanshu, we can check this out and come back to you.

Sure. And you mentioned about some inflation in the capex. So, if you can give me, I missed that number. So, what is the capex inflation that you are seeing currently?

Overall, about 8% to 9%. Within that we have seen higher inflation for air conditioning equipment, we have seen higher inflation on imported equipment. But overall would be about 8% to 9%.

Okay. And lastly, what is the reason for sequential drop in depreciation? So, we added about 70 stores, but depreciation amount has gone up sequentially.

Devanshu, there was a small impairment charge that we have taken towards the end of the year. And that is the reason the depreciation was a little higher towards the year end. That is the reason you are seeing a little drop in the current quarter.

Okay. And the reason for higher other incomes sir, you have reported about INR 9 crore of other income?

That is mainly to do with IndAS adjustments.

The next question is from the line of Sandeep Bansal from ASK Investment Managers.

Congratulations on a great set of numbers. Just two questions from my side.

Firstly, any thoughts on what could be the potential number of KFC stores that we could be looking at?

We are looking at about 100 stores every year.

Right. But let us say this run rate we expect to continue over the next 3, 5 years, 2 years?

If you look at it from a macro perspective, India as a market is under penetrated as far as our category is concerned. There is a mismatch in terms of non-vegetarian offering versus the consumption patterns of the population and so, keeping that in mind we think we can go with 100 for the reasonable future.

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Sandeep Bansal:

Manish Dawar:

Moderator:

Shirish Pardeshi:

Manish Dawar:

Shirish Pardeshi:

Manish Dawar:

Shirish Pardeshi:

Manish Dawar:

Shirish Pardeshi: Sure, great. My next question was, if you could highlight some of the key risks or challenges that you are facing in

executing your expansion strategy, margin

strategy, anything that you can share in you know, on the ground, you know, stuff like commodity costs, food inflation, all that is, we get that, other than that, any specific issues?

So, Sandeep, if you see this is a retail business. So, the most important piece is you need to have the right location. And while we've kind of evolved this like a science, and subscribe to multiple databases to ensure that we do not have errors and we do not face problems because of the property locations. But the location risk is something you have to live with. And at times, we are kind of stuck with a situation whereby despite all the efforts, we do have to take a call on closing down the store. So, this is I think one big risk which is there. We have tried to minimize this over time, but it continues to remain an important risk. And otherwise you have the normal input inflation, the commodity prices, the geopolitical situations, I mean, the exchange risk and so on, so forth. So those are kind of normal.

The next question is from the line of Shirish Pardeshi from Centrum Broking.

My first question is a fundamental question. In your experience when we have launched INR 79 pizza, I am sure you would have factored in some cannibalization. But obviously that will also draw lot of footfall to the store. So, I just wanted to understand in your experience, such interventions, though, as a Company it might be a better thing to do, but what kind of cannibalization you would have expected or maybe you can use any past example?

Look, in the past, we have not had this kind of experience. But you are right in saying that there would be cannibalization and we factored that when we planned for this launch. How it pans out, let us see. It is too early. Cannibalization will happen, but as you also said, it is good for the brand, it is good for the Company. It will help us draw in newer consumers. It will help us to kind of draw in younger crowd, which is very important for this category because it is a very young category and that is what we are trying to correct.

Manish, I got that, but a little deeper insight, if you can provide. Will it be more than 10%, less than 10%, or would it be 5% or marginal?

Look, I think given that the launch is only a week old, we will be in a position to talk about it in detail, maybe in the next call, when we will have some data available, and we can kind of then take it up.

Sure. My second question is on Slide 15, where you have given ADS for KFC at 127 and humongous same store sales growth. Just wanted to understand in your experience in any normalized quarter, it is not a correct way to look at because still ITES companies are not working to the full bench. So, in that context, is there a room for growth since you have taken 9% price increase? This 127, directionally will it look up or will it remain at the same level? How should one model your same store sales growth in a normalized period?

On KFC, we are looking at about 3% to 4% SSSG numbers on a year-to-year basis. And we do hope that we will be in a position to meet that. Obviously, in the current year because of the input inflation, we have taken a price hike, but you also need to remember that the current quarter SSSG numbers are getting compared to the quarter where we had COVID wave two and that is the reason those numbers are looking a little elevated.

I got that. But just touch a little more on ADS. You did not comment on ADS.

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Manish Dawar:

Moderator:

Sanjaya Satapathy:

Manish Dawar:

Sanjaya Satapathy:

Manish Dawar:

Sanjaya Satapathy:

Manish Dawar:

Moderator:

Raj Gandhi: Yes, because for example, ADS is a blend of our existing stores and the new stores. And obviously the new stores start at a lower level. It takes almost about 15 to 18 months to reach a maturity level for a newer store. Therefore, we need to

measure the

new store separately and the SSSG numbers for the existing store separately. And that is how you need to kind of build up your model in terms of the existing and the new stores.

Ladies and gentlemen, this would be the last question for today, which is from the line of Sanjaya Satapathy from Ampersand.

Sir, my question was the explanation that you gave on other expenses increase, I could not really get that clearly. Can you please clarify again?

On other expenses, basically, there are a couple of items, which I kind of talked earlier. We have seen not just the input inflation on the raw material and packing material. We have seen the inflation on the logistics, on utilities and on electricity, which kind of sits as far as the other expenses are concerned. So, that is the reason. At the same time, quarter 1 typically is a very high season summer quarter therefore the air conditioning costs are the highest in this quarter. That also impacts and kind of contributes to the other expenses.

My last question is that within KFC, you of course have multiple products and you have been doing a lot of innovation. But the key categories they are seeing are, let us say, Biryani and the other one would be Burger. Do you kind of look at how each sub-categories are doing in terms of growth and within that as we know that Biryani per se is such a big category, how are you really looking at that?

Sanjay from a KFC menu mix perspective, our biggest item that we sell is basically chicken on the bone and that is what we are known for. In terms of the other sides or let us say biryani, those are small contributors. Burgers, I would say would be the second biggest contributor after the chicken on the bone and they are growing well.

And that is continuing to be the trend and you are not really seeing much of a change.

Yes, absolutely.

Thank you. That was the last question for today. I would now like to hand the conference over to the management for closing comments.

Thank you, Mr. Chairman and all the participants, analysts who have been on the call. I do hope that we have managed to respond to your questions satisfactorily. Should you need any further clarifications, or would you like to know more about the Company feel free to contact our Investor Relations team. Thank you once again for your time today to join us on this call and participate in our group chat. Thank you very much.

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Nov 2022

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Devyani International (Nigeria) Pvt. Ltd. • Devyani International (Nepal) Pvt. Ltd. • Devyani Food Street Pvt. Ltd.

November 10, 2022

To,

National Stock Exchange of India Ltd.
Exchange Plaza, Block G, C/1, Bandra Kurla
Complex, Bandra (E), Mumbai – 400 051
Email: cmlist@nse.co.in
Symbol: DEVYANI BSE Limited
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Security Code: 543330

Sub: Regulation 30: Transcript of Investors & Analysts Conference Call

Dear Sir/Madam,

Transcript of the Investors & Analysts Conference Call held on November 3, 2022, post declaration of Unaudited Financial Results of the Company for the Quarter and Half Year ended September 30, 2022, is enclosed.

The same is also being uploaded on website of the Company at www.dil-rjcorp.com.

You are requested to take the above on record.

Yours faithfully,
For Devyani International Limited

Varun Kumar Prabhakar
Company Secretary & Compliance Officer

Encl: As above

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Devyani International Limited
Q2 & H1 FY23 Earnings Conference Call
November 3, 2022

Moderator: Ladies and gentlemen, good day and welcome to the Devyani International's

Earnings Conference call. Please note that this conference is being recorded. I now hand the conference over to Mr. Anoop Poojari from CDR India. Thank you, and over to you, sir.

Anoop Poojari: Good afternoon everyone, and thank you for joining us on Devyani International's Q2 & H1 FY23 Earnings Conference Call. We have with us Mr. Ravi Jaipuria, Non-Executive Chairman of the Company, Mr. Raj Gandhi, Non-Executive Director, Mr. Virag Joshi, President and CEO, and Mr. Manish Dawar, CFO and Whole-time Director of the Company.

We will initiate the call with opening remarks from the management, following which, we will have the forum open for a question-and-answer session. Before we begin, I would like to point out that some statements made in today's call may be forward-looking in nature and a detailed statement in this regard is available in the presentation shared with you earlier.

I would now request Mr. Ravi Jaipuria to make his opening remarks.

Ravi Kant Jaipuria: Good afternoon everyone. I warmly welcome you all to our earnings conference call to discuss the business performance for the quarter ended September 30th, 2022. I'm pleased to share the DIL has maintained its store opening pace and opened 88 net new stores in the quarter, the highest ever. We are making consistent progress in expanding our reach and investing in our core brands to capitalize on the growth opportunities available. In line with our strategy, we have continued our focus on consolidating our presence in metro cities, along with the expansion in non-metro towns. At the end of Q2, our total store count stood at 1,096 stores across the portfolio, with a split of 52% in the non-metros and 48% in the metro cities.

On the demand side, we have noticed that as we are coming out of the pandemic, the consumer response is mixed for various categories. Continued retail inflation seems to have impacted the consumer

demand to some extent in the staples and discretionary categories. Although the inflation in input cost is stabilizing, the overall pricing levels continue to remain higher on a year-on-year basis. We have managed to take some judicious price corrections during early part of the financial year to protect the margins partially and are hoping that inflation will cool off as we go along, leading to enhanced consumer demand.

Consolidated quarterly revenues for the quarter were approx. INR747 crore, a growth of nearly 45% over the corresponding period last year. Our innovation pipeline continues to be strong. We launched peri-peri Chicken in KFC and the same has met

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with an encouraging consumer response. We are also investing in making our business future-ready with the launch of all digital "KFC Smart Restaurants".

DIL is the leading long-term QSR player in the country having a portfolio of multi-dimensional and well-recognized global brands, and we remain confident about the potential of our brands and the food services sector in India. Our investments in the Core Brands, expansion of our footprint and innovation will help us to achieve sustainable growth. A recent study by one of the research outfits pegs the market growth of Indian QSR industry to remain above 15% for the coming years, and we are confident of growing higher than the overall market growth.

With this, I now hand over to Manish for his comments. Thank you.

Manish Dawar: Thank you Mr. Jaipuria. Good afternoon everyone. A very warm welcome and thanks to all of you for sparing your valuable time to attend our Q2 & H1 FY2023 earnings conference call, our fifth such call since the listing.

We have crossed a strong 1,000 store benchmark in the current quarter for our Core Brands consisting of KFC Pizza Hut and Costa Coffee. DIL opened 88 new stores across the portfolio, the highest ever in a single quarter. The revenues for Q2 stood at INR747 crore versus INR705 crore in the previous quarter, a quarter-on-quarter growth of 6% in a seasonally low quarter. On a y-o-y basis, revenues grew 45%. Revenue growth has been broad-based across various brands and is a combination

of new store openings, pricing and volume growth.

Gross Margins at 70.2% were 90 bps lower versus the previous quarter. This slight impact is the result of consistently high input inflation. While we've taken price corrections over the course of the year for our brands, the same has not been enough to offset the entire margin impact because of the increase in raw material and packing material prices. As we go along, we are seeing the input prices stabilizing over the remainder period of the year and therefore, we expect our margins to come back. The impact of gross margins flows down and gets reflected in the company consolidated brand contribution margins which came in at 19.6% versus 20.5% in the previous quarter.

Pre-IndAS EBITDA at INR113 crore for the quarter witnessed a growth of 42% on a y-o-y basis. The pre-IndAS EBITDA margin came in at 15.1% versus 16.1% in the previous quarter. Reported EBITDA, which is post-IndAS EBITDA was INR166 crore for the quarter, with margins at 22.1% versus INR123 crore a year ago, which again reflects a 34% y-on-y growth. Profit before tax for the quarter stood at INR59 crore versus INR47 crore last year. The PBT for the quarter was lower than the previous quarter because of the significant currency impact in Nigeria and higher IndAS adjustment as a result of the new store openings.

Our three core brands continue to perform well. KFC with 32 new additions reached a mark of 423 stores at the end of the quarter. Being a seasonally low quarter ADS was INR121,000 with a healthy SSSG of 13%. Revenues at INR443 crore for KFC remained robust and have grown 4% sequentially and 47% on a year-on-year basis. The quarter saw the full impact of raw material pricing increases and this led to lower gross margins at 67.9% versus 69% in the previous quarter. Brand contribution margin was in line with the performance on the gross margins for KFC. On-premise consumption remains steady at 64% for the quarter.

Pizza Hut added 30 new stores to reach a total of 466 stores. ADS improved marginally to INR45,000 with a SSSG at 3%. Revenues came in at INR181 crore, growing 36% year-on-year basis. Higher input prices and impact of changing product mix impacted the gross margins a little bit. Gross margins came in at 74.5% versus 76.2% in the previous quarter. Brand contribution margins were 17% versus 17.5%

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in the previous quarter, and on-premise consumption remained steady for Pizza Hut also at 45%.

Costa Coffee added 19 new stores to reach a total of 88. Revenues grew to INR22 crore. Gross margins came in at 79.6% primarily due to higher input costs. Brand contribution at INR4 crore and brand contribution margins at 19.6%, were lower due to significant addition of new stores during the quarter. As we go along, we expect this to come back to our normal levels. The ADS at the brand level was INR31,000, reflecting dilution due to new store additions.

During the first half of the current financial year, we've added 158 net new stores. Consolidated revenues for the first half were at INR1,452 crore, a 67% year-on-year growth. Gross margins at 70.6% and brand contribution margins at 20% have remained stable, despite inflationary headwinds on H1 basis. Reported EBITDA on a consolidated basis for the six months stood at INR330 crore, representing a 22.7% margin. Profit after tax for the half-year stood at INR 132 crore.

Overall demand environment remains a little impacted in the face of continued inflation and elevated retail prices. We expect softer input costs in the coming quarters which will help us with the demand, as well as the margins. We maintain our goal of sustainable and profitable volume lead growth for our brands.

On that note, I will request the moderator to open the forum for any questions or suggestions that you may have. Thank you very much.

Moderator: Thank you very much. We will now begin the question-and-answer session.

The first question is from line of Nihal Jham from Nuvama.

Nihal J ham: Sir couple of questions from my side. Firstly, despite the Gross Margin impact that we've seen both for KFC and PH, brand margins have not seen that big an impact. And this is, I think, a reflection of the opex efficiency that we've been building in. And even versus last year, there is an improvement to the opex per store, when you look at both the format. So, is it that there are new initiatives that we keep doing to highlight the same or we tweak the store format, which is leading to a better store ROC E, better than what we were doing even last year?

Manish Dawar: Nihal, as we've said in the past, we continue to open stores at an aggressive pace, and you would have noticed that we've opened almost 158 stores. Obviously from that perspective, the operating leverage starts to kick in. And that is what is happening. What is happening on the Brand Contribution, and lower down EBITDA, is that it's the Gross Margin, which is kind of flowing down. Otherwise, operationally, we are absolutely in good shape.

Nihal J ham: Understood. On the Brand Contribution, it won't be at the pace of operating leverage because this is per store that is being taken. In fact, as the store expansion happens, it should ideally impact, like it happened in case of Costa.

Manish Dawar: In case of Costa there are differences. The base was small, and the new store additions have been very, very aggressive in the last two quarters. And therefore, the impact is much more compared to, say, Pizza Hut and KFC, where your base store number is high. And therefore, your percentage addition versus the Costa percentage addition is much lower. Also, within Brand Contribution, we have labor cost, which will not go up significantly as a percentage of sales when we expand. However, we also have rentals, which is a combination of fixed and variable rentals, which gives you the operating leverage. So that is what impacts the Brand Contribution as well.

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Nihal J ham: Understood. The second question was on the recent SKU launch in Pizza Hut, the Flavour Fun range. If you could just highlight what is the ballpark contribution of that and for some of the stores based on the data, where this number could end up or where is it heading to?

Manish Dawar: Nihal, as we have launched this recently, it's too early to kind of give you the exact read. But we've got good response from the consumers, the consumers are liking the product. And we think this is one of the growth levers that we have if we have to grow the ADS and to bridge the ADS gap with the competition. So, we are bullish about this. Obviously, we need to stabilize this whole piece. It's a bit early in the launch, and it's a very, very important piece. So, we'll talk about in detail as we kind of go along, but otherwise good response. Consumers have liked the price point, consumers have liked the quality, and therefore it is going as per our expectations.

Nihal J ham: Sure. So, do we have an internal target, which is possible to share about what is it that this could be contributing to the ADS in the long run?

Manish Dawar: Nihal, we will come back to you on that one.

Nihal J ham: Sir, just one last question. On the store addition, we are running ahead of guidance. Do we expect that this sustains and will be 100 stores for each of the formats or will it improve further?

Manish Dawar: So, as of now, we are staying with the same guidance, which is about roughly about 250 odd stores. We could kind of breach that a little but formally, we are not changing the guidance. But again, I mean, we've seen a good quarter, and our pipeline is building up very strongly. So, we hope to expand on an aggressive basis.

Moderator: The next question is from the line of Percy Panthaki from IIFL.

Percy Panthaki: So, you have sounded off word of caution on the demand front. So just wanted to understand what's the reason behind the same because the Q2 numbers were quite decent. So, are you seeing that in October, we have seen a slowdown versus what a normal festive season should be?

Manish Dawar: The basic reason is if you as you know, there has been high input inflation in the first half of the year. And obviously, we've taken a price increase as well, which we've kind of alluded to in the past. And therefore, the kind of volume increase that we used to see in the previous years, that volume growth was a little slow and that got replaced with the pricing growth. So, that is the caution that we are talking about. And nothing exceptional as such, because if you look at the SSSG numbers for KFC, it is very strong at 13%, which obviously, is a combination of pricing and volume, both, but more of pricing and less of volume at this point of time.

Percy Panthaki: So, there's a trade-off between volume and pricing, I understand that part of it, but if I look at solely in total sales or total value terms, there would be no slowdown, right? the slowdown which you are calling out is only for the volume part of it. Is that understanding correct?

Manish Dawar: You're right. Yes.

Percy Panthaki: Okay. Understood. And as far as margins are concerned, Gross Margins, there is the input cost inflation, which is weighing down on them. But where do you see this going? I mean, are you waiting for input costs to come down for margins to restore or are you taking price increases to restore the margins? Or are you accepting margins at the current level?

Ravi Kant Jaipuria : So, as you can see, some of the basic input costs have already started coming down. Chicken prices are down. Oil prices are down, and even gas prices have been

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reduced. So, I think, going forward, it seems that the inflationary impact may not be there. And we are not looking at raising prices for the time being. Hopefully, the volumes will also start kicking in by the second half of the year. And of course, our second quarter is a weak quarter. So, that is also why we've seen some volume dilution.

Percy Panthaki: Understood. And the last question is, if I look at your capex per store, and this is of course, just a mathematical derivation of

looking at your total capex and dividing it by the number of stores added in first half, it's about INR13.5 million. So, do you think this is a fair number which will continue even for the next two to four quarters?

Ravi Kant Jaipuria : That's what it looks like.

Manish Dawar: Yes, it's a combination of, new store addition, as well as the refurbishments that we are supposed to do. So therefore, there is some element of refurbishing, which also sits in and which obviously will not get reflected in the denominator from the new store perspective. But from a ratio perspective, you're not very far.

Moderator: The next question is from the line of Devanshu Bansal from Emkay Global.

Devanshu Bansal: Congratulations on the highest ever store addition in a quarter. Sir, I wanted to understand the Pizza Hut SSSG performance, which was about 3% and this is despite mid-single digit price hikes, as well as launch of Flavour Fun Pizzas, which were not present last year. So, what according to you led to a slower performance this year for Pizza Hut.

Manish Dawar: Devanshu, if you see there is some bit of base effect as well. As you know, we have a higher concentration of smaller format, delivery-focused stores, which were operational during the same quarter last year when dine-in was still impacted due to Covid. Obviously, from a volume perspective, pricing has also impacted a little bit and that's the reason we made that cautionary statement - what I was talking earlier. So, therefore, we've seen some bit of impact in Pizza Hut, which is a combination of pricing impact, plus some price dilution due to Fun Flavour Pizza, but it's too early to kind of take that read. We still believe that Fun Flavour Pizza is a good initiative and long-term, it should become one of the very, very strong growth engines that we could have. So therefore, we are not overtly worried in terms of the recent quarter's SSSG numbers.

Devanshu Bansal: Okay. So, just a flavour or outlook, if you can provide some trends on SSSG

performance during the festive period , it would be really helpful for both the formats.

Manish Dawar: Yes. So, too early to say but let's see. Diwali time was good time, obviously, but let's see. We'll have to take the entire quarter. It is just one month gone. But so far, so good.

Devanshu Bansal: Okay. And last question is, we added a KFC Smart Store during the quarter. So, the question is to understand what is the outlook on this one? Will further additions in the KFC format be on these lines? If yes, then what is the revised capex per store for this format versus the earlier format?

Manish Dawar: Devanshu, in the overall context of additions, the capex will not significantly change. Basically, we are trying to digitize the stores by minimizing the orders taken at the counter, whereby the consumers can actually go to the kiosk and order on their own. Very small read, because it's not really representative. It's just two stores as of now. We've seen that the APC tends to grow a little compared to the APCs in a non-digital store. But again, we are not guiding anything. We are just sharing whatever we've seen so far.

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Devanshu Bansal: Yes. So, I only want to understand as in what stores are expected to open going ahead, what percentage of stores will be the smart store format and what would be the normal store format?

Manish Dawar: Too early. We really want to experiment it well with this format. And let's see how it goes. So, as of now there is no fixed percentage that we are talking about. We have opened one store in Gurgaon and another store in Bangalore. So, let's see how it kind of shapes up.

Moderator: The next question is from the line of Pujan Shah from Congruence Advisers.

Pujan Shah: My first question would be on Costa Coffee . We have , so far done well in Costa Coffee . So, what are the insights you

may want to give ? Like are we planning to grow at the same speed and what will be the ADS you're looking at in this specific segment?

Manish Dawar : Pujan, as we've talked about in the past, Costa, we're looking at adding about 40 to 50 stores. Obviously, the current quarter has been good. We had a strong pipeline. But overall, our guidance remains the same. The brand is doing well. And our near to medium term objective for Costa is to reach an ADS close to INR40,000. So again, it's not going to happen next quarter, but that is what our target is.

Pujan Shah: Okay. And my one question would be, we have just exited two stores in Q2 FY23?

Manish Dawar: You're talking about Costa?

Pujan Shah: No, no. Total, we have exited stores of 49 showing in the presentation slide number 29. So, it's two stores from quarter one to quarter two, right. So, we have exited two stores.

Manish Dawar: Yes. We have added 2 stores in the International Business.

Moderator: The next question is from the line of Sanjay Satapathy from Ampersand Capital.

Sanjay Satapathy: The commentary that you have given about the staples, you're essentially talking about Pizza Hut. Right, sir?

Manish Dawar: No, when we talk about staples, obviously, we are talking about the core FMCG sector. Because , if you see , the discretionary sector kind of follows staples a little bit and that is where we kind of try to read the trends in terms of what is happening on consumer behaviors ; how the consumers are reacting, etc. We track the consumer staples as well . We, as you know, get classified as consumer discretionary.

Sanjay Satapathy: Understood. Sir, when we're also talking about bit of a slowness, softness in demand and you're talking about the staples, are you essentially referring to what happened in quarter two or you were also giving some kind of guidance that your October was not that great and hence things are slowing down and growth outlook is getting weaker?

Manish Dawar: No, we are not giving any guidance. We only talked about the quarter which has gone by. As I said, on Pizza Hut, for example, we talked about the volumes getting impacted a little bit. So that is the whole context.

Sanjay Satapathy: And as such, it is a seasonally soft quarter. So, I don't know how much one can read through from that. So, if you can just give us some flavor about how the festival season was in the month of October?

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Manish Dawar: Look, the point is, one, Q2, as a standard, is a seasonally soft quarter. But again, at the same time, if you go back to last two to three years, there have been COVID impacts in various quarters. In some places the restrictions were there. Some places that were open, some places it was opening faster. So obviously from that perspective, it's a little kind of a mixed read, because various quarters because of COVID have behaved in a very, very different manner.

Sanjay Satapathy: No. My question was that, how has the festival season been?

Manish Dawar: It's too early to speak about. Obviously a Diwali time has gone well. The other big festival season really is the December month, which is where you get into Christmas, you get into New Year's and all. So, that is the real bump of which kind of happens.

Sanjay Satapathy: Understood. Sir, if I can just ask the last question that when you have talked about this cost side and also you have just mentioned about the prices of various items have fallen recently, including chicken and many other things. So, should one kind of make a conclusion that cost is bit behind you and you are rather looking forward to relatively a period in which you would focus more on volume growth and also margin will come back?

Manish Dawar: I would say largely yes. Still, for example, despite the fact that we've seen the prices coming down (as Mr. Jaipuria said, the gas prices have come down,

the edible oil prices have come down. The chicken prices have started to soften), they still are at an elevated level versus where we used to be historically. So let's see how it kind of stabilizes. The movement has started which is a good thing. So, it is no longer just going up and up. We've seen the peaks, now it is coming down. So, let's see how it pans out and basis that, we will focus on our growth engines.

Sanjay Satapathy: Understood. Thanks, sir. After a long time, you have made some cautionary remarks and that is why, all these questions. Wish you all the best.

Moderator: The next question is from the line of Nitin Gupta from CLSA.

Nitin Gupta: Congrats for the good set of numbers. So, from the demand perspective, just wanted to get a sense on like, how do you see the demand impact on the premium end? And similarly, like, how was the demand situation in the metro markets?

Manish Dawar: Fundamentally, we've not seen a big difference, Nitin. The Metro markets continue to behave strongly. We've seen, if at all, the growth in non-Metro markets is also becoming very significant. And we've always kind of maintained in the past that the profitability for us in the non-Metro markets is stronger than the Metro markets, because obviously, your rentals are lower, your staff cost is lower, the utility costs are lower. And that's how we've been kind of expanding our portfolio as well. So today, if you look at our total store count, almost 52% of the total stores sits in the non-Metro markets. So, we are bullish on non-Metro markets. But again, as you know, the large consumption hubs still remain the Metro markets, but the future is, non-Metro is what we believe.

Nitin Gupta: My question is from the context of staple companies where they have highlighted

that the premium discretionary offerings are literally doing better than the mass in discretionary. So, something similar, like we have Fun Flavour Pizza or launch for the mass and like for recruiting a consumer. So that drive, definitely we have launched, we might be gaining it, but just wanted to get a sense, like whatever the premium end offerings we have? So, do you see any impact on those or those are relatively immune at this point in time?

Manish Dawar: Look, in the short-term, there will be some impact, obviously when the consumer is coming into the store, and there is a new product or a new SKU available, people try and experiment, right? So, therefore, that's the reason I'm saying that in such a short

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span of time, it is not good to kind of take these leads. We've launched Flavour Fun from a longer-term perspective. It's more of a strategic call rather than a tactical call. And we are absolutely bullish on this. In short term, of course, there could be some aberrations here because people tend to experiment with whatever is new.

Nitin Gupta: Okay. And on the "KFC Smart Restaurant". So, like, apart from the self-ordering kiosk, is there anything else like we have tried out in the store?

Manish Dawar: It is largely a self-ordering kiosk at present. That is where the big difference is currently. So, rather than placing a manual order and someone punching the order for you, you place the order on your own through the kiosk. You make the payment through the kiosk and then you go to the counter to collect. So obviously from a look and feel perspective, the store is much more futuristic. From a consumer perspective, it kind of attracts the younger generation because they want to take control of things. It is digital enabled. And as I said earlier, we've also seen that there is some bit of APC increase. Too early, very small read, but APC I think, tends to kind of grow a little bit because consumers tend to add other things if they are able to see it on the screen at the same time.

Nitin Gupta: And lastly, just wanted to get a sense on V

ango. How has been the performance given the unit economics are in place? So, any call we have taken to sort of scale up the brand?

Manish Dawar: So, we are scaling up the brand. Again, as we've said in the past, Vaango is still not a destination brand. It does very well where the captive footfall is there. But even in Vaango, we are expanding the stores, albeit at a slower pace, because for us, the big priority is KFC, Pizza Hut and Costa at present. So, it's not that we are neglecting Vaango. We remain bullish about the brand. There is no other Indian QSR brand which is available in the market, and therefore, Vaango, also, in future will become a sizable category.

Moderator: The next question is from line of Avi Mehta from Macquarie Capital.

Avi Mehta: I just had two questions. First wanted to understand this demand commentary better. Is there any geographical divergence in the demand trends between the metros and smaller cities?

Manish Dawar: Not really.

Avi Mehta: Okay, sir. And the other bit was from your comments, would it be a fair comment to make that we are going to focus more on sustaining or supporting customer growth versus the near-term margins across the segment? Is that the right understanding?

Manish Dawar: Look, we are focused on both sides, because volumes are important. And a business can only kind of grow if there is healthy volume growth. Obviously, this time, the inflation has been unprecedented. We've seen this kind of inflation, I don't know, maybe after a decade or so. And having said that, we've taken the price increases as well. But the kind of pricing increases we've taken been, we don't think we could have taken a higher pricing increase beyond this. And therefore, to that extent, we've taken a temporary hit in our margins. But now, as the input inflation is coming down, as Mr. Jaipuria mentioned earlier that we've seen a reduction in gas prices, we've seen a reduction in chicken prices, even the edible oils are reacting favorably. So, we are absolutely confident that our margins will come back.

Avi Mehta: Got it, Manish . Just the last bit from my end. You did kind of allude to these pressures kind of settling. Could you give me a sense on what's happening on the other costs, like employee rentals for new stores? Is that broadly stable or is there any sign of inflation there as well?

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Manish Dawar: It is stable. It is standard inflation. As far as the employee cost is concerned, it typically gets driven by the State Governments from a minimum wage perspective. And we've not seen any exceptional minimum wage revisions in the current year so far. If at all, last few years, we saw higher minimum wage inflation compared to this year. So therefore, that is not an issue. Rentals, as you know, the prime commercial rental locations in the country are always in great demand. So, let's say if you talk about, let's say, across the country, there would not be more than 50 such locations. But outside of those 50 such locations, the rental market is much better. The landlord's attitudes are very different. They are willing to work with the larger brands. They are wanting to kind of compromise on their demands if they want to deal with the larger brands. And that's a significant change that we've seen during COVID. And it continues post-COVID as well, beyond the absolute prime commercial locations of the country.

Moderator: The next question is from the line of Tejas Shah from Spark Capital.

Tejas Shah: A couple of questions from my side. Sir, what percent of our store capex would be directly, indirectly impacted by INR depreciation in terms of imported equipment that we must be using? And is inflationary pressure at large showing up in capex per store as well?

Manish Dawar: There is an inflation pressure on the capex also, Tejas, because as you know, all of our fryers are

imported for KFC. All of the ovens are imported for Pizza Hut. And obviously with the dollar value changing, that impacts the pricing. But again, if you look at the overall context, in terms of what is the depreciation, what is the capex in the overall store economics perspective, it's completely negligible.

Tejas Shah: Okay. But sir, capex would have increased by how much on y-o-y basis?

Manish Dawar: Last one year, which is again impact of COVID and the inflation, we have seen about 9% to 10% inflation in the capex level, because not just the imported equipment, we saw some increase in the air conditioning plants also. So, as I said, I mean, 9% to 10% in the overall context is completely insignificant.

Tejas Shah: Sure. Sir, secondly, Government is actually putting a lot of effort on digitizing the e-commerce part with ONDC. So, with the franchise and the network that we have, do we see any merit on logging onto that network or are we still contemplating?

Manish Dawar: Look, it is a space we are closely watching. And let's see how it kind of grows, because you need to have the entire ecosystem built up before we jump into it. So, we're watching it closely. The moment it starts to gain traction, we will be keen on that. But as of now, we've not kind of taken a bet on the ONDC so far.

Tejas Shah: And the last one on bookkeeping. Tax Rate guidance for this year if you can help?

Manish Dawar: So, you will see at the end of the year or maybe next quarter onwards, the normal tax coming in the books, which is 25%. So therefore, in your modeling purposes, you can assume a 25% tax going forward.

Moderator: The next question is from the line of Amruta Deherkar from Wealth Managers India Private Limited.

Amruta Deherkar: My question is regarding Costa Coffee. As in now that we are focusing on Costa Coffee, because in the new stores we see that the margin is a bit lower. So, on a fairly established store, what is the kind of margin for profile Costa Coffee outlets have?

Manish Dawar: So, if you look at the Brand Contribution level, the normal margin profile is about 28% to 30% . The current quarter obviously has got impacted because of the bunched up

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new store openings , because the last two quarters we opened quite a significant number of new Costa stores versus the base . But over the next few quarters, it should get evened out.

Amruta Deherkar: What is the time period required for Costa Coffee stores to simply breakeven or to become an established outlet?

Manish Dawar: The breakeven happens in the first six months. But it takes almost about 15 to 18 months for a store to fully mature.

Amruta Deherkar: My second question is regarding capex . You said that there's a certain component of refurbishment costs in the overall refurbishment cost that you are talking about. So, roughly how much is the recovery refurbishment cost that you need to incur for a store? And how often do you need to do that, I mean, after how many years?

Manish Dawar: Okay. So, we don't split the capex from that perspective, but let me explain you how the entire refurbishment works. So, there is something called a minor refurbishment and a major refurbishment. After every five years we typically do minor refurbishment. Minor refurbishment basically is the customer area where we will change the upholstery, we will do a new job on the paint and polish and look and feel and all of that. Major refurbishment is done once in 10 years, which will also include the kitchen area as well.

Moderator: The next question is from line of Shirish Pardeshi from Centrum Broking.

Shirish Pardeshi: Congratulations for the good set of numbers. Manish, I am on Slide 21, where I'm seeing the Pizza Hut's numbers. We have reached almost 466 stores, but then somewhat the ADS is not showing that kind of trend. So, just wanted to understand, hypothetically

if we want to reach an ADS number of not exactly the market leader, but say around INR60,000, INR65,000, what it takes? What we need to do? And maybe do you think in the next three years we will be able to get there? And the related question is that, how much price increases you have taken in quarter two and maybe in the first half?

Manish Dawar: So, in quarter two, we've not taken any price increase. There could have been a small marginal, 0.5% or 1% and that's it. Majority of the price increase was taken in quarter one. So, therefore, from that perspective, quarter two numbers are kind of neutral. Obviously, your question on ADS, we've talked about a SSSG number of 7% to 8% for Pizza Hut, and we continue to have new launches. We continue to have innovation pipeline. We've launched the new Fun Flavour pizza now, which will help us to kind of bridge the gap with the market leader.

Shirish Pardeshi: But do you think three year s' time we will be able to reach to INR65,000?

Manish Dawar: I will not be able to commit any number.

Shirish Pardeshi: No, no. I'm not asking for commitment? I'm asking to reach that level, in your frame of things, what do you think? I mean, you said Fun Pizza which will get you somewhere. But then do you think whatever speed at which we are growing, of course operating leverage will kick in at some stage. But do you think is it possible to reach that level in three years?

Manish Dawar: Look, it is possible. It is not beyond possibility. But again, you have to look at the macro environment as well . If you look at let's say, the current year, there has been a huge inflation in the first quarter. And obviously, this inflation has not been just food inflation this time. It's very well rounded and impacted various categories. The consumer wallets have not grown so much. And therefore, to some extent, the consumer is getting impacted as far as the sentiment and emotions are concerned. And they kind of tend to pull back in this scenario . So, let's see. And, there are big headwinds globally as well . If you look at what is happening in Europe, what is

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happening in China , I mean, these are huge headwinds . Therefore, we have to kind of be a little cautious from that perspective. But otherwise, we are bullish on that the business .

Shirish Pardeshi: That's really helpful. I just have one last question. It's a fundamental question. Whenever I've seen the companies entering into new space or white spaces or maybe launching new products and fill in to try and get the more customers footfall. Now, what I need to understand fundamentally, this all new product introductions, is it directly targeted to premiumize the portfolio and hence, the assumption is that the margin expansion will happen and we will not dilute. Is it true for both the brands, in KFC and Pizza Hut?

Manish Dawar: It works on both hands, because one is , obviously the premiumization journey remains a key objective . But if you look at the Flavor Fun introduction , it is to drive the footfall and the volumes. Therefore, you have to work at all the ends to be able to make the brand more salient and appealing to the consumers. And obviously, if you have to grow both the margins and the top line, you have to balance it at both the ends.

Moderator: The next question is from the line of Yashwant Thippeswamy an individual investor.

Yashwant T.: I have two questions. The first question is about, are we planning to cater outside for parties, could be like weddings or small get togethers. Because I've seen quite a few people unorganized in the sector are providing. There is an opportunity out there. So that's my first question. And the second question is, are we planning for any discount program for the investors because I see there are three lakh investors, retail investors. So, which is straightly aiming at three lakh families there.

Manish Dawar: So, we are not planning to cater to the weddings . So, our objective is to continue to do what we are doing, in terms of opening stores, giving consumers a good response, come out with new innovative products , etc. So, that is what we are sticking to. As far as your other question about the shareholders ' concern , let's consider it internally and we can come back to you.

Moderator: The next question is a follow -up from the line of Pujan Shah from Congruence Advisers.

Pujan Shah: Sir, one of my question would be if we are exiting any stores, so what are the parameters we are looking into when we are closing out the stores and what are the ratios or something analytical factor , which we look at into for the closure of the store?

Manish Dawar: Typically, we look at the store profitability. And obviously, that kind of takes into account all the lines at the store P&L level . Whenever we open a new store, we typically try and work to make the store successful in about 18 to 24 months period . Beyond that, which is let's say two and a half years, we would take the call around store closure . And normally, a reasonable amount of store closures, we already bake in our business model. And that's how we kind of manage the entire business, because not all the stores will be successful as we continue to expand. For e.g. we've seen at number of places, you open a store and there is some infra development which starts, let's say there is a flyover which starts getting constructed and the traffic shifts, or there is some roadwork which starts , or let's say there is a new road which is getting worked upon . So obviously in India, these challenges are there and we plan for it.

Moderator: Thank you. That was the last question for today. I would now like to hand the conference over to management for closing comments.

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Raj Gandhi: Thank you, Chairman and all the investors , analysts who have been on the call. I do hope that we have managed to do respond to all your queries satisfactorily . Should you need any further clarifications or would you like to know more about the company, please feel free to contact our Investor Relations team. Thank you once again for your time today to join us on this call and participate in our growth journey.

Thank you very much.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Feb 2023

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Devyani International (Nigeria) Pvt. Ltd. • Devyani International (Nepal) Pvt. Ltd. • Devyani Food Street Pvt. Ltd.

February 16, 2023

To,

National Stock Exchange of India Ltd.
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Complex, Bandra (E), Mumbai – 400 051
Email: cmlist@nse.co.in
Symbol: DEVYANI BSE Limited
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Security Code: 543330

Sub: Regulation 30: Transcript of Investors & Analysts Conference Call

Dear Sir/Madam,

Transcript of the Investors & Analysts Conference Call held on February 09, 2023, post declaration of Unaudited Financial Results of the Company for the Quarter and Nine Months ended December 31, 2022, is enclosed.

The same is also being uploaded on website of the Company at www.dil-rjcorp.com.

You are requested to take the above on record.

Yours faithfully,
For Devyani International Limited

Varun Kumar Prabhakar
Company Secretary & Compliance Officer

Encl: As above

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Devyani International Limited
Q3 & 9M FY23 Earnings Conference Call Transcript
February 09, 2023

Moderator: Ladies and gentlemen, good day and welcome to the Devyani International Earnings Conference Call. Please note that this conference is being recorded. I now hand the

conference over to Mr. Anoop Poojari from CDR India. Thank you. And over to you, sir.

Anoop Poojari: Good afternoon, everyone, and thank you for joining us on Devyani International's Q3 & 9M FY23 Earnings Conference Call.

We have with us Mr. Ravi Jaipuria – Non- Executive Chairman of the Company; Mr. Raj Gandhi – Non-Executive Director; Mr. Virag Joshi – CEO & Whole-Time Director; Mr. Manish Dawar – CFO & Whole-Time Director; and Mr. Rahul Shinde – CEO, Yum! Brands & Whole-Time Director.

We will initiate the call with opening remarks from the management, following which we will have the forum open for a question-and-answer session.

Before we begin, I would like to point out that some statements made in today's call may be forward-looking in nature, and a disclaimer to this effect has been included in the results presentation shared with you earlier.

I would now request Mr. Ravi Jaipuria to make his Opening Remarks.

Ravi Jaipuria: Good afternoon everyone. I warmly welcome you all to our earning conference call to discuss the business performance for the quarter-ended December 31, 2022.

Continuing with our store expansion strategy, DIL added 81 new stores to its portfolio during the quarter. With this, our total store count stands at 1,177 stores across all our brands. We are on target to double our store count by the end of the current fiscal year versus the number of stores we had three years ago. You would recall that we were at a store count of approximately 600 stores as at FY 2020 end. We recently celebrated the opening of our 100th Costa Coffee store, a strong testimony to our commitment to the growth of all our core brands. Our core brands footprint in India covers more than 225 cities now. We continue to target new trade areas in metros as well as upcoming cities for our store expansion.

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road-based inflation has somewhat moderated; however, costs for some of our key raw materials like milk and cheese continue to remain elevated and are still witnessing some inflationary trends. On balance, we think we will start to see the margin stabilize over the next couple of quarters.

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The inflation across the staples and food services seems to have a bearing on consumer sentiment and consumer demand. We are supporting our business with the requisite investments and continue to closely monitor the same.

Consolidated quarterly revenues were approximately Rs.791 crore, a growth of nearly 27% over the corresponding period last year. Reported EBITDA on a post Ind AS basis reached close to 174 crore, which is 22% of the revenues.

We have recently brought back "Chizza" at KFC, to strong consumer reception and uptick. As we mentioned earlier, innovation remains a strong pillar of our growth strategy across our brands portfolio, and we will continue to delight our customers with many such products in the coming quarters.

We continue to remain bullish on our brands and the Indian market. We believe that the current consumer demand slowdown is a temporary phenomenon, and once inflation stabilizes, we expect the consumer spending to improve which will help our business. In the meantime, we continue to focus on our processes, product quality and execution capabilities.

With this, I would like to conclude my address and now hand over to Manish for his comments. Thank you.

Manish Dawar: Thank you, Mr. Jaipuria. Good evening everyone. A warm welcome and thanks to all of you for your valuable time for attending our Q3 and 9M FY23 Earnings Conference Call, our sixth such calls since the listing.

As Mr. Jaipuria said, we are a 1,177 strong restaurant company now. Just a few years back, this number was 610. We opened 81 new stores across our brand portfolio in Q3. With this, globally we have 512 stores for KFC, 487 stores for Pizza Hut and 103 stores for Costa Coffee in our portfolio as at the end of Q3 FY23. Our metro and non-metro distribution of stores in India largely remain unchanged. The revenues for Q3 stood at Rs.791 crore versus Rs.624 crore last year, clocking a healthy 27% growth on a YoY basis. Revenue growth has been led by new store openings and some volume growth, offset by some compression on the average spending.

The gross margins stood at 69.3% for Q3. This slight impact is a result of the continued input inflation and product mix change. We are working to narrow the gap in gross margins due to product mix changes and get it closer to the rest of the portfolio. This may take a few quarters. A combination of mix change, deleverage because of lower ADS and investments made in our business suppressed the brand

contribution margins. Brand contribution margins came in at 18.3% versus 19.6% in the previous quarter. Operating EBITDA, on a pre-Ind AS basis, was Rs.117 crore. Operating EBITDA margin was 14.8% and grew approximately 14% on a YoY basis. Reported EBITDA on a post Ind AS basis was Rs.174 crore for the quarter with margins at 22% versus Rs.148 crore a year ago, an 18% growth. Profit after tax for the quarter stood at Rs. 71 crore versus Rs.59 crore in the previous quarter. There is an impact of deferred tax asset recognition in the PAT numbers for the quarter. Coming to our core brands, KFC in India added 38 net new stores, reaching a total count of 461 stores at the end of the quarter. Average daily sales was 116,000 due to some weakness in consumer spending, and as a result of some deeper penetration where we are expecting a smaller ADS. This also had an impact of new stores and the concentrated expansion in some geographies. SSSG was 3%,

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revenues at Rs.460 crore, grew 4% sequentially, and 27% on YoY basis, gross margins remained almost flat at 67.6%. We invested in the brand which has led to slightly lower brand contribution margin of 19.7% in the quarter. On-premises consumption remains steady at 64% for the quarter.

Pizza Hut in India added 17 net new stores to reach a count of 483 stores. ADS declined marginally to 43,000. Revenues came in at Rs.184 crore, growing 18% YoY. Cheese prices continue to trend higher. As

a result of this and the product mix

changes, gross margins came in slightly lower at 73.6% versus 74.5% in the previous quarter. Brand contribution margins dipped to 14.1% versus 17% in the previous quarter, because of the GM dilution, slightly higher delivery sales and investment in the brand. On-premises consumption was slightly lower at 43%.

Costa Coffee crossed the 100-store milestone. We added 15 new stores in the quarter to reach a total of 103. Revenues grew to Rs. 29 crore. The ADS for the brand improved to 37,000. Gross margin was slightly lower at 77.8% because of the inflation in coffee and milk prices. With better operating leverage versus the previous quarter, brand contribution improved from 19.6% to 26.4%.

On a YTD basis, we've added 239 net new stores. Consolidated revenues came in at Rs. 2,243 crore, a 50% year-on-year growth. Gross margin at 70.2% and brand contribution margin at 19.4%, has the impact of inflationary pressures. Reported EBITDA on a post Ind AS basis and on a consolidated basis for nine months has crossed Rs.500 crore for the first time with margins at 22.5%. YTD profit after tax for the year is Rs. 203 crore.

We maintain our goal of sustainable and profitable volume-led growth While the near-term outlook for consumer sentiment in the three categories remains a little fluid. We are steadfast in our growth aspiration and are confident that our portfolio of time-tested brands, and our execution strength will enable us in achieving our aspirations.

On that note, I would like to request the moderator to open the forum for any questions or suggestions that you may have. Many, many thanks.

Moderator: We will now begin the question-and-answer session.

The first question is from the line of Percy Panthaki from IIFL Securities.

Percy Panthaki: Just wanted to understand the reasons behind the significantly different SSSG for KFC and Pizza Hut. Where KFC has grown by about 3%, Pizza Hut has declined by about 6%. Is it just that the pizza category has now become too cluttered with overall about 2,500 outlets of the top two players put together, there is not much more room for penetration, and that is why you're seeing the SSSG being significantly lower versus KFC?

Manish Dawar: Percy, as you know, the chicken category remains a very strong category. And right from the last six to eight quarters, we've been emphasizing that chicken is highly under-penetrated in the country given the consumption habits of the consumers.

Therefore it remains a very attractive category, and that's the reason we are focusing on a rapid expansion in KFC. Also, we started penetrating deeper into the country.

And obviously as you go deeper, your non-metro consumption, although it has a strong potential, the consumption levels are still not equal into metro level, and therefore that kind of impacts a little bit on the ADS numbers. Having said that, we've also seen a general sentiment issue because of the broad inflation in the current quarter, which has impacted the SSSG numbers, although for KFC, we believe it is still healthy at 3%. So, therefore, we think we are absolutely on the right track as far

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as KFC is concerned. On Pizza Hut, I agree with you that obviously the market is

kind of getting cluttered and there is some competition from the other QSR segments as well. We also focused on the new launch in the form of Fun Flavor Pizzas. And Fun Flavor has led to our long-term expectation of transactions. But, at the same time, it has led to some bit of dilution on the average realization which has led to a little reduction on the SSSG numbers. Having said that, we are working on the gross margin piece, because Fun Flavor as of now, because it's a new launch, is a little bit of margin dilutive as well. So, in the next few quarters, we will be able to resolve that. And it will also help us to kind of grow the brand by attracting new set of consumers over a p

eriod of time, which will take Pizza Hut to a stronger level.

Percy Panthaki: Just a sub-question. You're on Fun Flavor. Is it resulting in any downtrading or is it that whatever sales are coming from Fun Flavor, they are all incremental sales only, which would not have come had this product not been there?

Manish Dawar: Percy, whenever one launches a new category, it takes time to kind of attract the new set of consumers. And in an inflationary environment, when we've launched this category, obviously, there is some downtrading happening because consumers are seeing a cheaper option available. Now, therefore the hypothesis could well be, let's say, if we would not have launched a Fun Flavor Pizza, these consumers could have been left out of the brand, which is not the case. So, therefore, we've managed to retain those consumers. But at the same time, it's important over a period of time, we will be able to attract the new set of consumers, and that was the fundamental objective behind Fun Flavor and I think we'll be able to achieve that.

Percy Panthaki: Second question from my side is about the store opening plan for FY24 across your different brands and are you sort of tapering down the store expansion given the kind of demand environment we are in?

Manish Dawar: In the past we talked about 250 stores-odd. Recently, we have talked about 250 to 300 stores, we remain steadfast on that guidance. So, we are talking about 250 to 300 stores for next year as well. There could well be some mix change between the brands depending on how the market is and depending on how things are, and therefore, obviously, we will be accelerating KFC more, because that market is kind of responding very well...but the overall numbers remain the same, which is 250 to 300 stores for the next year as well.

Moderator: The next question is from the line of Devanshu Bansal from Emkay Global Financial Services.

Devanshu Bansal: So, I was asking that on-premises mix for KFC has remained similar to what it was in the base quarter. However, in my opinion, the mobility was much better this quarter versus the base. So, what is the reason for that?

Manish Dawar: Devanshu, as I said, we are kind of taking the brand deeper into the country. And obviously in non-metro cities, it is more of a novelty value to order at home. So, let's say your food aggregators are expanding, people are experimenting with home delivery. So, it has a novelty value and that is how it is. And I don't know whether you've noticed in our presentation, we've started opening flagship stores for the KFC as a brand. So, our objective is that over a period of time, we will open at least 10% of the KFC flagship stores. And the fundamental premise and logic is that these stores are going to be bigger as far as the real estate is concerned. They will be more digital, they will have expanded menu, they will have some localization in terms of look and feel, which will kind of help us expand the KFC portfolio from a dine-in perspective. So, therefore, we've already started taking that initiative, and during the quarter, we opened about five flagship stores.

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Devanshu Bansal: And for Pizza Hut, you have been guiding for high single digit sort of SSSG over the medium term, but over the last two quarters, the performance here has not been up to our expectations. So, are we sort of revising our SSSG numbers for the medium-term, as you also indicated that this category is being impacted because of it being largely penetrated as well as because of other QSR category?

Manish Dawar: Devanshu, as I said, one is obviously the market issue, when I say market issue means pizza as a market, which is what Percy also alluded to. Second, it has been an inflationary environment. And obviously, the consumers have kind of economized given that their wallet size has remained the same. And it's a broad-based inflation. They are also tightening their

spends in terms of various other discretionary categories. And at the same time, I also mentioned that because we launched a Fun Flavor Pizza during the during the quarter or let's say we kind of pushed it, it has had some impact on that. But, otherwise, the transactions are higher. And therefore on a

medium-term basis, we remain confident that we will be more or less at the numbers that we've spoken earlier.

Devanshu Bansal: Last question, Manish, if you could indicate the kind of inflation that we are expecting on the raw material basket for Q4. Also, if you could provide any guidance for FY24 on this account will be really helpful?

Manish Dawar: Devanshu, KFC portfolio seems to be stabilizing now as far as the raw material and the input prices are concerned. But, having said that, in today's environment given the geopolitical situation, given what could happen in the world, obviously, we will not be able to kind of guide accurately what will happen. But, as we see today, the next quarter, KFC portfolio seems to be stabilizing. On Pizza Hut, there still remains a challenge as far as the milk and the cheese prices are concerned. But we believe that overall as a cycle, I think inflation is stabilizing now. It's no longer the same trends that we used to see a couple of quarters back and therefore we are moving towards stabilization. And as Mr. Jaipuria also mentioned in his address, that we see margins stabilizing over the next few quarters.

Devanshu Bansal: Just a follow up on this, the prices are stable on a sequential basis you're indicating, right?

Manish Dawar: Yes, because as of now, we are not seeing any indicators, which kind of gives us that the prices are rolling back. I'm talking about the input prices. So, they're just stabilizing, whereas earlier they were going up on a month-to-month basis, quarter-to-quarter basis.

Moderator: The next question is from the line of Shirish Pardeshi from Centrum Broking.

Shirish Pardeshi: Just two questions. So, when I look at the Slide #17, which says that the gross profit, which is at 67.6%... obviously, on a YoY basis, it's not comparable, it's coming down. But is it fair to assume in taking your comment that the input material is now stabilizing, will inch up towards 69%, 70% or maybe historically what we have delivered, or it will remain stable at this number?

Manish Dawar: I assume you're talking about KFC margins, right, because Slide #17 is the KFC, is that right?

Shirish Pardeshi: Yes. I'm talking about KFC.

Manish Dawar: So, as I said, KFC as a portfolio is stabilizing. But we've still not seen the prices getting rolled back. And 69% is only possible when the prices start to roll back, we've still not seen that. So, therefore, when we talk about stabilization, which means that

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we will be stabilizing around this level. And as we go along, and there is a broader acceptance, maybe we can expect something, but we are not alluding to that.

Shirish Pardeshi: But have you taken any price increase in Q3 or maybe early January or February?

Manish Dawar: We've not taken any price increase on KFC.

Shirish Pardeshi: The question here is you think the inflation if doesn't subside, you will have to take at least 2%, 3% price increase?

Manish Dawar: Let's see how it goes, because for example, if you remember, KFC pricing, we took way back in April, May of last year, and after that, we've kind of managed to hold on to KFC prices for nine months now. So, therefore, let's see how it goes. Our preference will be not to increase the pricing, because, although it's a discretionary category, but it's closer to staples, because that is how the consumption is happening. So, let's see how the situation pans out and then basis that, we will take appropriate calls whatever is good for the business.

Shirish Pardeshi: The reason why I'm asking, Manish, is normally the inflation if it is subsiding, most of the companies

would up the ante on the ad spends, and you're now quite visible on the traditional media. So, that's why this assumption is that more to do with the customer acquisition or is it more to do with the benefits what we are getting because of the falling raw material?

Manish Dawar: Look, it's a little different hypothesis, because if you look at the voices which are coming from staples is basically they are talking about rollback of prices, because they are seeing very clear trends, whereby the input materials for staples category, or are actually getting rolled back. And typically, the discretionary segment follows the staples whenever the prices are going up or whenever the prices come down. So, therefore, that's the reason we are seeing that. We've still not seen a rollback, but let's see how the situation pans out.

Moderator: The next question is from the line of Srinath V from Bellwether Capital.

Srinath V: I would like to understand what is working for Costa Coffee given SSSG numbers have come strong, ADS is also very strong, so could you help us understand what is working in Costa Coffee? And from a new store opening perspective, are the similar formats to what it was before we had this scale down a few years back, are these a

larger format stores or more kiosk, what would be size of a store, anything you could probably share? And the last one on Costa would be, is this largely a beverage only offering or are there food offerings also and how are the soft drinks doing, any broader perspective on product side also?

Manish Dawar: So, let me answer your second question first, Srinath. If you go to a Costa store in Bombay; we've already opened a store at Phoenix Mall Kurla and therefore you will be able to see the complete offering there. So, we have food present in our menu. You have sandwiches, you have wraps, you have rolls, you have cakes. So, there are snacking items and food items there. We have Pita Bread and Hummus. So, you can actually go and have lunch there. Having said that, the dominant contribution still comes from beverages. Our focus is to continue to push food as well, and that's how we are coming up with the innovations as far as Costa is concerned. So, it's kind of well balanced and well mixed as far as the overall menu contribution is concerned. Coming to your first question, in terms of what is happening in Costa. As we said, we are bullish on this category. Coffee is an aspirational category in the country. We consistently get consumer feedback that Costa Coffee is probably one of the best coffees in the market from a taste perspective, from a flavor perspective, and the genuine coffee lovers prefer Costa over other brands. So, that is what our

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consumers tell us. Having attained that position, it is a matter of making sure that we reach the consumers through our distribution network and the stores network, and that is what we are trying to do. So, Costa, I don't know whether you're aware about the history, was acquired by Coke. So, there was a little bit of uncertainty as far as Devyani was concerned, and that's the reason we in between kind of started downsizing the brand, we did not expand. But we signed the fresh agreement around the IPO time last year and since then we've been kind of expanding the brand and it is gaining salience now. So, that is what is happening.

Srinath V: Yes, sir, I'm reasonably aware of the history. So, we've seen Pizza Hut store format evolved over the past eight years, and to some extent may not be to the same extent as in KFC. So, could you help us understand how the Costa format from a store size or a service area, have we changed from what it was three, four years back before the Coke acquisition, how are you looking at the store rollouts? And the last one there, is 20% SSSG price-driven or our own stores are also seeing volume growth?

Manish Dawar: if you were to go back, let's say four, five years, w

e used to focus on a little larger

format as far as Costa was concerned. In the new avatar, it's a good mix of whatever is working in a particular environment. So, we do have a focus on a smaller store; we are not heavily focusing on large format lounge type stores. These are very, very functional, very accessible to consumers, very easy for consumers. But at the same time, because we need to establish Costa as a brand, we also look at some of the flagship locations. So, it's a mix of both, but our focus will be on smaller format Costa Coffee stores.

Srinath V: Last one would be the SSSG. Is it price-driven, volume-driven, any broad qualitative feedback you can give?

Manish Dawar: It's largely volume-driven, very, very small impact of pricing.

Moderator: The next question is from the line of Kaustubh Pawaskar from Sharekhan By BNP Paribas.

Kaustubh Pawaskar: Sir, my question is on the gross margins again. In your initial comments, you alluded to the point that product mix change has some bit of impact on the gross margin. So, can you just explain that point, is it specifically towards Pizza Hut or for the overall portfolio, sir?

Manish Dawar: Yes, Kaustubh, it is specifically for Pizza Hut, and the product mix that we talked about, was basically the Fun Flavor portion that I talked about in the earlier answers.

Kaustubh Pawaskar: Also, in that case, for Pizza Hut, we used to be around 74% to 75% gross margins. So, is now the product mix kind of margin-dilutive? So, should we expect our gross margin of Pizza Hut to stabilize at around 72% to 73% going ahead once your raw material prices stabilize, or there is a scope of margin improvement once inflationary environment is stable?

Manish Dawar: So, as far as Pizza Hut category is concerned, a few days back, there is a Rs.3 increase in the milk prices, which will lead to almost Rs.30 to Rs.40 for cheese prices. So, therefore, the inflationary environment still remains. And at the same time Fun Flavor is also diluting the margins a little bit, whereby I said that we are working on correcting that and it will take us a few quarters to kind of get the Fun Flavor margins in line with the rest of the portfolio. And post that, let's say, once the milk prices and cheese prices are stabilizing or they're getting rolled back, we could see the gross

margins inching up.

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Kaustubh Pawaskar: My second question is on KFC. You mentioned that you're also looking for some large format stores in some of the markets. So, whether it will initially have impact from the cost front, because normally, if the store size is higher as the cost is on a higher side, so, considering that, just wanted to understand that what exactly would be the size of the stores and how the store fundamentals would be for this KFC?

Manish Dawar: So, at a store level profitability, what you're saying is right, that, there could be small impact because of the rentals and all. But the reason why we are doing it, because we expect that because of the larger format and expanded menu, we will have the increase in ADS for the stores, which will more than make up for the increase in costs. So, therefore, there could be some timing mismatch, because obviously, we have to first put up the stores and then the consumers will start to walk in. But otherwise, in general, we do expect that this will result into high ADS, this will result into higher brand acceptance and gaining prominence, and therefore it will be good for the P&L as well.

Moderator: The next question is from the line of Jaykumar Doshi from Kotak.

Jaykumar Doshi: Sorry, I joined the call late. If I am repeating the question that was already answered, I'll go back in the queue and read the transcript. There's some weakness generally in ADS across the space. So, how do you think about store opening targets that you have set for FY24 or calendar year 2023 target? Second is, in case of KFC, or mayb

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even Pizza Hut, what percentage of your stores will open in new cities, essentially, current demand environment may not matter as much you're opening the store in a single city store? And how many stores would you open in the existing markets where you already have stores, there could be some cannibalization?

Manish Dawar: Jay, I did answer the earlier question on the number of stores, but let me just kind of repeat it. So, we've talked about opening 250 to 300 stores even in the current environment. If you see our guidance in the past has been 250 stores of late we've been talking about 250 to 300 stores. As a result of the current environment that you've rightly pointed out, we are not changing the store opening guidance, we will remain with 250 to 300 stores. However, depending on the immediate market situation, there could be some mix change. So, for example, we are definitely looking at opening higher number of KFC stores and a little lower Pizza Hut stores, but overall, the store count will remain the same, and we are not changing that. We remain bullish as far as the overall market is concerned. We do understand that currently, because of the inflation, consumer sentiment and the consumer demand is impacted, but we remain bullish in the medium-to long-term and we don't see any concern.

Jaykumar Doshi: How many new cities would you be entering for KFC?

Manish Dawar: So, we continue to open at least four to five new cities every quarter and that is what we'll be doing. So, therefore, the entire strategy is all around densification in the existing cities, plus the new cities, plus as you know there are some cities where we have single stores, and we continue to evaluate them for opening more stores.

Moderator: The next question is a follow up from the line of Percy Panthaki from IIFL Securities.

Percy Panthaki: So, I'm just looking at your corporate overheads. In Q3, last year, it was Rs.34 crore which was 5.4% of sales, this time it is Rs.28 crore which is 3.5% of sales, so there is 190 basis points saving on this as a percentage of sales, which has really sort of helped your overall company level margins. So, can you just help us understand why this is the case even in rupee million terms, the number is down by about 18%?

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Manish Dawar: So, Percy, given the current environment, obviously, we've tightened our belts, and there have been some initiatives on the cost control and cost reduction. But, at the same time, there is a small element of some old provisions which are no longer required, and that also was written back, but that's a small one. But, overall, we are tightening the belt because of the current environment, and therefore, that is not a big concern area for us.

Percy Panthaki: So, going ahead, shall we take this Rs.33 crore to Rs.34 crore as sort of a quarterly number in future?

Manish Dawar: Yes, you can take around that number.

Percy Panthaki: Secondly, just wanted to understand, in terms of your margins at a restaurant level, I mean, I'm not looking at individual format, I'm just looking at the overall restaurant level as a company assuming that there will not be much mix change in restaurants going ahead. The kind of margins that we've done this quarter, are they here to stay

temporarily given where the input costs, given where the demand environment is, etc., or do we see some revival, because at an individual restaurant level, margins have fallen by about 250, 300 basis points in your two major formats?

Manish Dawar: Percy, if you see the restaurant level margins are typically driven by the ADS numbers, and the ADS is a little lower in the season, even though it's a good season. So, which I said is a combination of basically some of the new store openings, and at the base, we are kind of opening the new stores, because if you look at the pace, we are probably the leaders in the industry as far as the new store openings are concerned. But as things start to stabilize, as the new stores start to mature, and they start coming into the base, we will see the margins coming back.

Percy Panthaki: Lastly, on Costa Coffee, while your margin profile is very healthy, the sales per store is sort of pretty low at about 2.5-3 million per quarter. So, do you think that given the kind of format you're operating, this is the kind of sales per store that you will generate, and let's say someone like a Starbucks is a completely different format, and they make like 7.5 million sales per store per quarter, which is like maybe 2.5, 3x times of yours, so that's not a number that we would aspire for, given that it's a completely different model or you think there is significant headroom for improvement in this number?

Manish Dawar: So, we are not looking at that number, and to be honest, we are not aspiring for that number also, because, as you said, it's a completely different format, and it's a completely different positioning. As far as we are concerned, we want to have a healthy mix of both top line and bottom line, and that is how we are approaching all of our brands. As I said earlier, we are focused on the food category, and this whole focus and stabilization of the entire supply chain will give us some additional ADS numbers. But, for sure, we are not aspiring at 7.5 million kind of a number.

Moderator: The next question is from the line of Akshen Thakkar from Fidelity.

Akshen Thakkar: Most of my questions have been answered. I just wanted to push a little bit and understand the flagship store strategy. You said 10% of stores will be flagship stores in KFC. Is that 10% incremental or total? And if I were to think about sort of economics there, what's the kind of delta Capex or delta ADS, are we thinking about in the stores? I know it's more to do with just sort of keeping the product more relevant, more fresh, etc., but just in terms of how it plays out into numbers, one, two, three years out, just wanted to also understand, how much more Capex is spending on that, and what's the kind of incremental ADS gets out of that?

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Manish Dawar: So, as far as KFC flagship is concerned, our immediate target is that whatever new store openings we are having, 10% of new store openings will be flagship stores.

But, as we go along, and we get confidence from the format, our eventual objective is to have 10% of the total store count. Because we don't want to kind of push it and rush it in one-go. So, that's the reason as internal management team, we've taken a target of 10% of the store openings to begin with, stabilize the format, see, what the results are coming, is the increment ADS coming or not coming, but our eventual objective is to go to a 10% store count for the entire portfolio. So, very marginal Capex increase, about 8% to 9%, not much. And we are yet to see the firm numbers on top line coming up. But whatever store we've seen in the few weeks; the response is encouraging. So, we'll keep you posted as to how the strategy is going.

Akshen Thakkar: So, just going back to Percy's point on corporate overheads, on the run rate basis, given that where you are, what's the kind of growth we should expect generally going ahead?

Manish Dawar: We should expect the growth on corporate overheads to be in line with the normal inflation. And therefore, as we continue to expand our store portfolio and we continue to grow on top line, you will see a leverage coming in on corporate overhead and a percentage to the total sales will continue to drop.

Akshen Thakkar: If we think about in terms of trade that he have with some of the food tech platforms, given that some of those platforms are focusing more on profitability, are you seeing any changes in terms of take rates for them, etc., going up or your terms remain broadly same?

Manish Dawar: We've not seen the take rates going up as of now. Obviously, the pressur

e is always

there; it's a two-way negotiation. So, so far, the take rates have remained stable for us, because we also are continuing to grow our store count, we are continuing to grow in volume. So, therefore, they are also getting additional business from us. So, therefore, to that extent, the relationship is very mutual and very healthy, and it's

going well.

Akshen Thakkar: You mentioned that you're thinking about adding more KFC next year versus Pizza Hut, whatever your store opening this year was, maybe will be different. That mix will also have a bearing on your eventual store level EBITDA, right, because KFC has much better margins?

Manish Dawar: You're right.

Moderator: The next question is a follow up from the line of Devanshu Bansal from Emkay Global Financial Services.

Devanshu Bansal: Sir, the Total System Sales reported quite a bit of growth divergence within Q3, specifically, November was quite bad. So, if you could sort of throw some light on the trends during the quarter it could be helpful?

Manish Dawar: So, Devanshu, we also saw a little bit of weakness in November, because obviously, the two months, which is October and December, did well. So, let's see, I mean, we believe it is temporary, but yet to be tested, yet to be seen. Because our belief is that is predominantly because of the all-round inflation, which is happening, whereas the consumer wallets have remained the same. And at the same time, if you see the entire scenario on tech layoffs, that also is kind of gaining prominence, although let's say the tech layoffs are in the US, most of these companies have their back backroom operations in India, and they are also getting impacted. We've seen a lot of announcements from the Indian tech companies also where the layoffs are happening. And obviously, all of this has some bearing on the consumer sentiment.

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Devanshu Bansal: So, December pick up from November, that growth trajectory continues in January or January is more or less similar to November?

Manish Dawar: Let's see, because obviously it's too early to comment on the overall quarter results, because we are not giving any month-on-month results, but let's see how it kind of shapes up but it's not so bad as probably if you're thinking.

Devanshu Bansal: : Sir, Mr. Jaipuria also mentioned that there are quite a bit of new launches going ahead. So, if you could throw some light on that front, because they definitely are a big growth driver in the QSR industry?

Manish Dawar: We are not looking at any new brands as of now. Obviously, if we kind of finalize something, we will come back to you guys to make that announcement.

Devanshu Bansal: I was asking for new product launches, not brands.

Manish Dawar: So, that's a continuous cycle, Devanshu. As Mr. Jaipuria talked about KFC Innovation, in Pizza Hut, as you know we launched a complete range of Fun Flavor Pizza, we launched a new version of Momo Mia Pizza, we've launched new sides.

So, therefore, that's a continuous process, and every quarter, we keep on doing something or other in our portfolio.

Moderator: The next question is from the line of Prashant Kutty from Sundaram Mutual Fund.

Prashant Kutty: Just one question on the demand front. We seem to be seeing a very different kind of a direction in terms of how pizza is behaving or probably how burger is behaving. Any thoughts on this front, especially because you also spoke about opening flagship stores, is anything to do with the fact that maybe the last two years is more about delivery and this year seems to be more about dine-in or things kind of coming back, can one probably pick out some trends in that?

Manish Dawar: Prashant, look, obviously, as we spoken earlier also, I mean, last two, three years, there are no trends emerging, because we got impacted by COVID first, which kind of changed the entire consumer thinking, that lasted for almost two years. As we were c

oming out of COVID, obviously, there has been a significant inflation pressure that all the commodities and most of the categories are witnessing. So, obviously, these are not the normal times that you're able to kind of see the trends and extrapolate those trends. But, again, fundamentally, how we look at the business, if you look at India as a country, the way the demographics are, the way the income levels are growing, the way the consumption habits are changing, we are absolutely and we remain bullish on the QSR segment, it is highly under-penetrated in the country, and there is a strong potential. Now, within that, obviously, these are some short-term impacts, which are there, and that's the reason we're not changing our strategy, and we continue to remain bullish, and we continue to kind of execute on our strategy.

Prashant Kutty: That's why I just want to know when you talked about, there's a focus more towards KFC, Pizza Hut obviously was more about our turnaround story, and it kind of kind of achieved that. But, here after probably, incrementally, is there a case that the opportunity is more on KFC rather than on Pizza, because we are the challenger over here, is that a thought or there's an equal amount of focus towards both?

Manish Dawar: There is an equal amount, because if you see, these are all temporary adjustments, for example, it is easily possible that in a year, we could focus more on KFC, in the maybe next few quarters, we could focus more on Pizza Hut, because obviously we want to optimize the return on capital, and that is how we approach the business.

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But otherwise, fundamentally, pizza category also remains a large category, it is a growth category, it remains an attractive category, there's nothing wrong with the category as such.

Prashant Kutty: Last question is on the margins. Obviously, last year were more driven by the fact that there were a lot of tail winds as well. This time you do have headwinds, because especially on the back of gross margins and all. At a steady state level, when you look at a restaurant EBITDA margin for KFC or for Pizza Hut, are these the norm which we should take up as the restaurant EBITDA margin numbers, or what should be the right benchmark?

Manish Dawar: So, as we see the ADS improve, as we see the SSSG improve, as let's say, we have the new stores maturing on the maturity curve, we will see some improvement in the brand contribution margins.

Prashant Kutty: So, suffice to say that maybe something like for a KFC, '21-22 is more like a normalized level and maybe for a pizza at '16-17 is like a more normalized level, is that a fair assumption to make, in a normal scenario, I'm not saying for guidance?

Manish Dawar: Yes, that's a fair assumption, I mean, give or take some points here and there, but otherwise, in the normal scenario, you are right.

Prashant Kutty: : As demand has been extremely weakened, are things only deteriorating, is there a worry for us?

Manish Dawar: I think probably the worst is behind us.

Moderator: The next question is from the line of Deesha Jain, an individual investor.

Deesha Jain: I'd like to understand a little bit more on your store opening strategy, like how do you choose a new location and what is the split between metros and non-metros for Costa?

Manish Dawar: Costa predominantly is a metro phenomenon as of now. So, there are very few stores which are outside the metros, maybe a handful, but otherwise it remains a metro phenomenon as of now, because that is whereas you know bulk of the consumption is. As far as the store opening rigor is concerned or the discipline is concerned, Costa is no different compared to our other brands. So, we have multiple databases available, we have the consumption habits available for various trade areas. So, whatever rigor we follow for opening a KFC store or a Pizza Hut store, is followed for Costa as well. Costa, as of now, w

e are focused more on metro areas, because the store count is really small compared to where we are on KFC and Pizza Hut. And once we've kind of done that, we will start to go into the smaller geographies as well.

Deesha Jain: How long does a Costa store take to stabilize looking at your aggressive expansion trying to breakeven basically?

Manish Dawar: So, we normally try and achieve the breakeven in the first six to 12 months for our entire portfolio of stores and the maturity curve will be close to 24 months.

Deesha Jain: Just trying to understand the ADS of Costa enjoy versus KFC and Pizza Hut, these kinds of brands, because coffee as such is a margin-accretive product?

Manish Dawar: It is not very different; so, Costa also is about close to Rs.400 to Rs.500.

Deesha Jain: For the value?

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Manish Dawar: Yes, within that you have coffee, which is a strong margin contributor, food is little kind of lower compared to coffee. Our focus is to kind of push the food category because that will eventually help to build Costa ADS also. So, therefore, that is how we are approaching the brand. So, our objective is that for Costa, the margins should be in line with our rest of the brands and rest of the portfolio, so that it is not dilutive on the overall business.

Moderator: Ladies and gentlemen, this was the last question for today. I would now like to hand the conference over to the management for closing comments.

Manish Dawar: Thank you, chairman and all the investors, analysts who have been on the call. I do hope that we have been able to respond to your questions satisfactorily. Should you need any further clarifications or would you like to know more about our Company, please feel free to contact our Investor Relations team. Thank you once again for your time to join us on this call today and to participate in our growth journey.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure a

high level of accuracy.

Call: May 2023

Devyani International Limited

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Devyani International (Nigeria) Pvt. Ltd. • Devyani International (Nepal) Pvt. Ltd. • Devyani Food Street Pvt. Ltd.

May 24 , 2023

To,

National Stock Exchange of India Ltd.
Exchange Plaza, Block G, C/1, Bandra Kurla
Complex, Bandra (E), Mumbai – 400 051
Email: cmlist@nse.co.in
Symbol: DEVYANI BSE Limited
Phiroze Jeejeebhoy Towers ,
Dalal Street, Mumbai – 400 001
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Security Code: 543330

Sub: Transcript of Investors & Analysts Conference Call

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (LODR) Regulations, 2015 , transcript of the Investors & Analysts Conference Call held on May 17 , 2023, post declaration of Audited Financial Results of the Company for the Quarter and Financial Year ended March 31 , 2023, is enclosed.

The same is also being uploaded on website of the Company at www.dil-rjcorp.com .

You are requested to take the above on record.

Yours faithfully,
For Devyani International Limited

Pankaj Virmani
Company Secretary & Compliance Officer

Encl: As above

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Devyani International Limited
Q4 & FY23 Earnings Conference Call Transcript
May 17 , 2023

Moderator: Ladies and gentlemen, good day and welcome to the Devyani International Earnings Conference Call . Please note that this conference is being recorded.
I now hand the conference over to Mr. Anoop Poojari from CDR India.
Anoop Poojari : Thank you. Good afternoon everyone , and thank you for joining us on Devyani

International Q 4 & FY23 Earnings Conference Call .

We have with us Mr. Ravi Jaipuria – Non- Executive Chairman of the Company ; Mr. Raj Gandhi – Non-Executive Director ; Mr. Viraj Joshi – CEO & Whole -Time Director; Mr. Manish Dawar – CFO & Whole-Time Director ; and Mr. Rahul Shinde – CEO , Yum! Brands and Whole-Time Director of the Company .

We will initiate the call with opening remarks from the management, following which we will have the forum open for a question -and-answer session.

Before we begin, I would like to point out that some statements made in today's call may be forward -looking in nature , and a disclaimer to this effect has been included in the results presentation shared with you earlier.

I would now request Mr. Ravi Jaipuria to make his opening remarks .

Ravi Jaipuria: Good afternoon everyone. I warmly welcome you all to our Earnings Conference Call to discuss the business performance for the 4th Quarter and the Year Ended March 31st, 2023.

In our first full year of performance post listing, DIL demonstrated strong growth momentum and we have crossed some very significant milestones. Our consolidated revenues have reached close to Rs. 3,000 crore backed by store additions across brands and continued healthy performance from existing stores. We now operate 1,243 stores across our portfolio of countries and brands. We have managed to more than double our store count over the last 3 years. Despite this being a largely pandemic impacted period, both KFC and Pizza Hut crossed important store milestones of 500 stores each, and Costa Coffee has crossed

100 stores as of March 31st, 2023.

This phenomenal growth performance by DIL India was acknowledged and facilitated by Yum! at the International Franchise Conference held in Singapore.

Earlier this year, where DIL India was awarded the Explosive Restaurant Growth Award . Innovative product development through our Yum! partnership along with execution rigor has been a major factor in helping us grow.

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As we continue to expand our footprint across the breadth of the country, we believe our foray into the value offerings should lead to long -term benefits. The launch of KFC Lunch and Rolls that provide great value to our esteemed customers have seen a strong initial traction. Premium products like the Chizza and the Peri -Peri chicken at KFC were equally well received.

In Pizza Hut, we have seen enthusiastic response to the “Flavour Fun” range , our “Value Layer” . We have also recently launched a refresh of the PH menu consisting of 10 new pizzas and new sides which is being welcomed by our patrons .

High inflation across industries and categories led to a short -term impact on consumer sentiment and demand in the second half of the current financial year. Despite this, our performance has been resilient and we have continued to invest in the business to ensure long -term growth.

I am pleased to share that we opened 305 net new stores across our portfolio in FY23 with 66 net new stores getting added in Q4FY23 itself.

We continue to actively pursue new trade areas in metro cities and upcoming locations. This will help us take our brand closer to our customers and give them better experience. Thus , solidifying our presence in the domestic markets.

Looking ahead, the confidence in our brands and the Indian market remains strong , we are seeing initial signs of inflation stabilizing , this gives us hope that a rebound in consumer spending in second half of the coming fiscal. By maintaining financial discipline and operational excellence, we are well -positioned to emerge stronger and capture growth opportunities in the future. We remain firmly committed to our objective of creating sustainable long -term value for all our stakeholders.

With this, I would like to conclude my address and now hand over to Manish for his comments. Thank you.

Manish Dawar: Thank you, Mr. Jaipuria. Good evening everyone. A warm welcome and thanks to all of you for your valuable time for attending our Quarter 4 and FY23 Earnings Conference Call , our 7th such calls since the listing of DIL back in August 2021.

We closed the year with 1,243 restaurants, more than double the 610 restaurants that we had 3 years ago. In FY23 , we opened 305 new stores across our brand portfolio with 66 of these coming in Quarter 4 . With this globally we now have 543 stores for KFC, 510 stores for Pizza Hut and 112 stores for Costa Coffee in our portfolio as at the end of FY23.

Our metro and non-metro distribution of stores in India continue to shift in favor of non-metro destinations with 53% of the core brand stores in India now in non -metro

locations. The potential for QSR sector lies in Bharat , while Metros currently account for a significant share of consumer spending, we firmly believe that the upcoming towns will be the engine of growth in the coming decade . This will really help QSR in gaining real momentum in the country and playing to its potential of being a mass - market player .

Operating revenue for FY23 stood at Rs. 2,998 crore , representing a 44% year-on-year increase. This was supported by a 33% increase in store footprint . All round inflation and input cost led to slightly lower gross margins at 70% versus 71.2% in the previous year. Despite the combination of changes in product mix and investments made in our businesses, brand contribution margins moved in line with the gross margins but stayed at a healthy 18.7%.

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Judicious cost control limited the impact on operating EBITDA, which on a pre -IndAS basis was Rs. 435 crore versus Rs. 299 crore for the full year last year. The operating EBITDA margin at 14.5% was 10 basis points up on a year-on-year basis. Reported EBITDA , which is post -IndAS was Rs. 655 crore for the year with margins at 21.9% versus Rs. 476 crore a year ago, almost a 38% growth. Profit before tax stood at R

s. 242 crore versus Rs. 123 crore last year, which is almost a 97% jump on a year-on-year basis. For the quarter, operating revenues stood at Rs. 755 crore , growing 28% on a year-on-year basis. Gross margins came in at 69.6% due to stable cost during the quarter. Brand contribution at Rs. 124 crore and margins at 16.4% were lower due to deleverage and the higher store operating costs. These include the recognition of the full year statutory bonus and higher spending on local store promotions in the second half to drive the consumer sentiment in our favor across all our brands. Operating EBITDA was Rs. 91 crore representing a 12.1% margin .

Coming to our core brands , KFC in India added 126 net new stores in FY23 , reaching a total count of 490 stores as at the end of the year. Average daily sales for FY23 was 117,000 versus 113,000 for the previous year on an expanded footprint of stores. Annual SSSG was healthy at 16 % . KFC India revenue was Rs. 1,771 crore which grew 45% on a year -on-year basis . Gross margins at 68.3% , lower by 100 basis points compared to the previous year due to sustained inflation in raw chicken prices and some of the other raw materials. This has impacted the brand contribution margins, which at 20.2% are slightly lower on a year-on-year basis. On-premises consumption remains steady at 62% during the current year. For the quarter, KFC India added 29 net new stores , revenue at Rs. 444 crore are higher by 26% on a year-on-year basis. The sequential impact is due to weak consumer demand as a result of the shift in the timings of key festivals and the fewer number of operating days in the quarter. ADS came in at 106 ,000 with SSSG at 1.9% . Gross margins for the quarters to 68.6% deleverage due to lower ADS and the higher store operating costs led to brand contribution margin of 17.5% in the quarter.

Pizza Hut in India added 93 net new stores this year to surpass the 500 -store mark, as pointed out by Mr. Jaipuria earlier, and it reached a count of 506 stores . ADS for the year was 42000 , revenues came in at Rs. 700 crore , growing 32% Y oY and SSSG was 4.4% for the year. Cheese prices continue to trend higher . As a result of this and the product mix changes , gross margins came in at slightly lower at 74.4% in FY23 versus 75.6% during the previous year. Brand contribution margin saw a small dip to 14.5% versus 16.3% last year because we saw that the milk prices continue to escalate during the year and we did not pass that on by way of price increase during the backend of the year. Product mix changes because of introduction of "Value Layer" and investments in the brand helped with the on-premises consumption, keeping it steady at 42% . During the quarter, Pizza Hut India added 23 net new stores revenue was at Rs. 170 crore which was 16% up year-on-year. ADS was marginally over at 39,000 with a negative SSSG of (-3.2%). The gross margin was steady at 73.3% , brand contribution margin during the quarter was 9.2%. We believe that the introduction of the "Value Layer" is a good initiative to drive organic volume growth in the medium -to-long term, however, in the short - term it has led to a little dilution in sales and ADS. We are proactively working on improving the performance of the brand, including the margins from the "Value Layer" brand. One of the recent initiatives have been to refresh the menu and the launch of 10 new pizzas recently in the month of April . The new pizza focus on contemporary palate and are designed to appeal to the youth. In conjunction with the launch of "Your Mood , Your Pizza " campaign , we have also brought gamification to the whole pizza ordering experience by offering personalized pizza

recommendations based on customer moods . To support all such initiatives, we have marginally increased the marketing spends as well.

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Costa Coffee crossed the 100th store

milestone in FY23 . We have added 57 stores during the year to develop our footprint and to reach a total of 112 stores. Revenue also crossed Rs. 100 crore mark with ADS for the brand improving to 35,000 versus 29,000 for the previous year. The gross margin was slightly lower at 79% because we saw the inflation in coffee and milk prices in Costa also. Due to investments required in the rapid expansion and sustained input inflation, FY23 brand contribution was a little lower at 23 .6% for the full year. We believe that the input inflation should bottom out over the next few quarters and hence we expect consumer sentiment to improve .

The food services market is evolving rapidly with newer technologies and platforms like ONDC. While we are still in the early days, we believe that these have the potential to benefit all the stakeholders in the industry. We have already onboarded Pizza Hut on the ONDC platform and we are working on integrating all of our other brands on these new platforms to ensure that we are available wherever our customers desire.

On that note, I would like to request the moderator to open the forum for any questions or suggestions that you may have. Thank you very much.

Moderator: Thank you very much, Sir. We will now begin the question-and-answer session. We have the first question from the line of Vivek Maheshwari from Jefferies.

Vivek Maheshwari : A few questions. First, Manish on SSSG , what is the outlook as we head into, let's say first half for first quarter this year? I mean the exit has been (-3%) to (+1%). So, what are your thoughts , how are you seeing macro on the ground right now.

Manish Dawar: Vivek, the way we look at it from a SSSG perspective, our medium -to-long term outlook on both the main brands has not changed. If you remember, we talked about KFC at being 5 % to 6% and for Pizza Hut we talked about 7 % to 8%. So , we are not changing any outlook from a medium -term perspective. But from a quarter -to-quarter perspective , there could be volatility . So, therefore, we "do not comment on a quarter -on-quarter basis, but otherwise we are not changing any of the guidance .

Vivek maheshwari : I understand that Manish, but given how the quarter has trended in the second half, do you think we are closer to the bottom right now or things , you expect , can get worse before start improving in the second half because the lower base starts to impact only from the December quarter ?

Manish Dawar: Vivek , we believe that we are towards the bottom end of the cycle , because , if you see on a macro basis this sector typically follows consumer staples . When there was a downside coming, we saw similar trends . We have started seeing some recovery in the consumer staples and therefore that gives us confidence that this sector will also follow similar trends from a recovery perspective. Second, if you were to look at the input price - chicken prices have started to moderate and you will see that in the numbers in the next quarter . Oil prices have already tapered off from the peaks they were at. Similarly, if you were to look at the flour prices, they are slightly lower . Even on the packaging material side, we are seeing that the paper prices have started to come off a little bit. The only piece which remains a concern is therefore the milk prices and the cheese prices and 'we have all seen the multiple commentaries in public domain. So, we are hoping that cheese prices should also start to stabilize in about 6 months ' time. Therefore, with this, we do feel that we are towards the bottom end of the cycle and things should start to recover from here.

Vivek maheshwari : That's quite interesting . Manish secondly, any update on how we are thinking about FY24 store additions in both the key brands?

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Manish Dawar: In the past 'we have talked about 250 to 300 stores. If you look at our FY23 performance,

it is close to 305. So, we are maintaining the same for next year as well. We will on an overall basis be close to 300 store additions for FY24 as well, with a broad split of say ~100 for KFC , (~100) for Pizza Hut and another 60 -70 stores for Costa and the rest will be some of our smaller brands & International operations .

Vivek maheshwari : Second on gross margins in case of KFC there is 100 basis point expansion quarter -on-quarter. Is this entirely led by lower chicken price or there has been product price hikes as well?

Manish Dawar: In Quarter 4 , there was no product price change . Gross margin movement was

primarily led by the cost of chicken and then there were some benefits from oil and all. Even in case of chicken, the full benefit has not flown because we are sitting on inventory that will take another couple of months to taper off. But we are seeing that all the new contracting, new Purchase Orders (POs) that we are raising is at a lower price.

Vivek maheshwari: Hopefully, input prices stay benign or cool-off even further. What are your thoughts on product pricing strategy at that point of time because your gross margins still are lower than 'let us say where the peaks were, but the consumer sentiments are also weak. So, how do you intend to manage the equilibrium in terms of sales versus margins?

Manish Dawar: Vivek, see if you look at the product pricing or the consumer pricing, it is not just related to the input pricing, there are multiple factors at play. So, as with KFC 'we have taken a slight price increase in the month of April, which is just the last month and it is to take into account the outlook we have for the year. We also need to balance our overall portfolio from a top-line and margins perspective. You would have also noticed that in KFC, we introduced a "Value Layer" by way of Rolls and KFC Lunch. So, therefore there are a lot of other inputs that go into the pricing decision. But just to give you the reassurance, in KFC, if you remember our peak margin performance was 69% to 69.5%, we should see that coming back over the next few quarters.

Vivek maheshwari: Sure. And just to follow up Manish, isn't it a bit given how consumer sentiments are and I understand, I hear you in terms of we probably closing to the bottom now, but do you not think taking a product prices at this point of time can be a bit counterproductive?

Manish Dawar: So, we are cognizant of the category and the brand. So, for example, if you were to ask me the same question for Pizza Hut, my answer will be different because Pizza Hut, despite the fact that the milk and cheese prices continue to go up throughout the year, we did not take a price increase during the back quarters and therefore we have taken a hit on the margins. Even now 'we have not taken any pricing on Pizza Hut. So, therefore pizza as a category is different. KFC is a different category and we try and compensate the consumers by way of deals, by way of offerings, by way of new "Value Layer" to just compensate from a consumer perspective.

Vivek maheshwari: Perfect. And last question if I may? Manish, you mentioned about ONDC, 'there is a fair amount of debate going on everywhere in terms of the promise that ONDC has versus the incumbents, the discovery part and so many other aspects. Can you just elaborate a bit on your take on this ONDC phenomena?

Manish Dawar: So, Vivek, 'we have also seen the same thing as you have and 'that is the reason 'we have participated in ONDC, 'it is yet to gain traction, yet to gain momentum. So, so we are already there. We are working on KFC to come on ONDC, but that is still

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under evaluation. Pizza Hut is already there. So, we would like to participate if it gains traction and 'that is how 'we have started testing waters with Pizza Hut.

Moderator: The next question is from the

line of Percy Panthaki from IIFL Securities.

Percy Panthaki: My first question is on Costa Coffee. So, basically, if I just compare the size of Costa Coffee revenue versus the market leader here, 'it is around 1/10th of the market leader and I see a significant growth opportunity and catch up possible here. So, just wanted to understand like Starbucks has reached this journey of Rs.1,000+ crore over the last decade. What are your ambitions and what are your thoughts on Costa as a brand, cafes as a format and looking slightly medium-term what growth aspirations and what turnover aspirations do you have from this category.

Manish Dawar: Percy, "it is a great category because coffee is a very, very aspirational category from a youth perspective. We really activated the brand post-IPO since there were some concerns with respect to our agreement post Coke acquisition of Costa, and since then we've really expanded the brand. So, versus last year, we have more than doubled the store count. We were at a 55-store count last year, we are now close to 112. Our revenues have grown by almost 140% - 150%. So, therefore we are absolutely there. We are expanding the brand. The consumer feedback for our coffee is very positive. They believe that Costa Coffee taste is excellent. The flavor and the aroma is above par so all of those things are positive. We are positive on the brand but this will not be a mass play like KFC or Pizza Hut because coffee as a phenomenon is right now majorly in the metros and the Tier-1 cities. So, we are focused, we want to expand, we want to play in that category which is growing and 'I have already indicated in my previous response that we are looking at about 60 to 70 store additions for Costa for the next year and that will also grow as we see the

response to the brand.

Percy Panthaki: And any light you would like to throw in terms of that Rs. 1000 crore benchmark, how many years do you think you can take to go to that level?

Manish Dawar: No, I would not like to comment on that.

Percy Panthaki: Next question on KFC. Although Vivek has asked this I still go a little bit deeper into this. 'You have taken close to 3.5% to 4% pricing on KFC in April 'that is what Sapphire said and 'I am assuming that that's Pan India phenomenon.

Manish Dawar: Yes, about 3% to 3.5%.

Percy Panthaki: Right and basically, this is on the back of close to 10% pricing taken in about 12 to 15 months ago. So, if I look at it on a 15-month basis, the total price increase is close to about 13% to 14% and I understand there is a mix effect, etc., it 'does not really translate to a 14% but what we 've seen in categories like pizza and not just recently, but even like Jubilant has been listed for 10 years so we have long data history, etc. Whenever 'we have seen high price increases in QSR categories, we have seen that the price elasticity of demand actually goes greater than (-1). So, what I mean to say is that if you have taken a 3% price increase, the number of transactions or volumes might fall by more than 3%. This 'does not always happen, but it happens after a certain inflection point. So, how do you judge this and are you sort of pushing the envelope a little bit? I think 'it is a risky move, especially because the key ingredient, which is chicken, is now going into a YoY deflation scenario. So, in this a scenario was this really warranted? Are you trying to balance overall Company margins because Pizza Hut is not making that so why not earn a little more in KFC? What is the thought process behind this price increase?

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Manish Dawar: That is not the objective. We 'do not want to balance the company margins through KFC. We are absolutely cognizant and careful on every and each brand of ours and we want to make sure that we nurture all these brands in there because as we've elaborated this in the p

ast that at a brand level we have separate CEOs. There are separate teams and they 'do not allow us to take those leverages. So, therefore that is not the case but having said that as I responded to Vivek that if the overall portfolio call it is not just the chicken prices. So, for example there is labor also, there is flour also, there are other overheads, there are store running expenses and at the same time on top of that as 'we have launched a "Value Layer" to attract the new consumers in and to ensure that the existing consumers also can draw benefit from that and therefore, we have to balance out the entire portfolio. So, therefore, if you look at for example, the response that we 've seen to our Rolls and the KFC Lunch is phenomenal and we think that could become a very strong leg as we go forward and because we have much more granular data available, we think the earlier price increase has got absorbed and if you see this recent price increase in April, we 've taken after a gap of 12 months. So, our last pricing was in April of last year, then throughout the year there was no pricing for KFC and now, after 12 months, we have taken about 3% to 3.5% of pricing so 'that is how it is. Whereas Pizza Hut, if you remember it had a different pricing strategy. We took pricing in small bouts and it was almost throughout the year. So, therefore 'it is a different strategy dependent on the brand and so on and so forth. And you have to balance the portfolio from various manifestations.

Percy Panthaki: So, basically 'you are saying in spite of this price increase, 'it is not as if the margins will go higher than what they used to be a year ago or something like that?

Manish Dawar: No, 'that is the reason I said we will come back to our old margins, but we want to expand the category, we want to grow the consumer base, we want to attract the new consumers into the category and that is what we are trying to play with these kind of balances.

Percy Panthaki: And last question from my side, this gap between SSSG and ADS growth. So, SSSG growth is 2% for KFC, ADS declined 6%. So, there is an 800-basis points gap between these two. Now my understanding is and correct me if I 'm wrong, you would need approximately flat ADS so that you don 't bear the negative impacts of operating deleverage because the cost per store will increase at a particular rate so from that point of view, just wanted to understand that to get this flat ADS, what SSSG would you require going ahead and in case my basic assumption itself is wrong that to avoid deleverage you will need a flat ADS, then correct me on that.

Manish Dawar: So, Percy there is a very strong third element which I think you have missed to mention and that is at what pace are you adding the new stores. So, for example, if you are expanding say 10% year-on-year in terms of store additions it will be a different equation versus let us say if you are adding a 30% store additions it will be

a different equation versus let us say a brand which is adding 100% there will be a completely different equation. So, it depends on how soon you are expanding and therefore that variable plays a very important role when we try and balance out the ADS and SSSG.

Percy Panthaki: For that variable you already know what your expansion plans are for FY 24 -25, so put those actual numbers and maybe on those basis you can sort of answer the question?

Manish Dawar: So, we can work that out and connect offline. So, if it is not a problem we can do that.

Moderator: The next question is from the line of Nihal Mahesh Jham from Nuvama .

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Nihal Mahesh Jham : Manish you made a comment about the value layer in Pizza Hut mainly the Flavour Fun range as I assume, is there a case where you believe that I know you mentioned that longer term it will get more customers into the fold, but was

there a case that ex-
of this launch maybe the ADS or the SSSG of Pizza Hut would have been significantly different?

Manish Dawar: Nihal we can get to various hypothesis, but the point is, for example, let us say when you want to draw a newer category of consumers in it takes a much longer time period to be able to protect your existing consumers and get the new category of consumers in. Now when we launched the "Flavour Fun" Pizza category that was the time we saw hyperinflation also and therefore while the newer consumers took time our existing consumers started down trading and rather than lapsing out of the brand or lapsing out of the category. So, therefore from that point of view it has been a good initiative that we have been able to protect our existing consumer set and this will help us in the long term. Now, obviously we can all argue that, for example, if let us say this was not there the numbers would have been different and again I mean there is no because that was not the case and now for example the new innovation that we have launched from a menu refresh perspective is going to help us and compensate. We are going to mass media as far as the new range is concerned that is at the top end of the category. We are taking initiatives from a gamification perspective because that draws the youth in. So, therefore we are balancing the portfolio again from both sides. So, therefore that initiative is taken. We have already launched this in April so it has already started.

Nihal Mahesh Jham : There was a related question that if I look at the intensity of launches in Pizza Hut it is being significantly higher than a lot of other brands including a KFC but say if you look at within your own brands the performance of PH has been lacking. So, is this a category issue in pizza's you think because I know the price hikes have been lower in PH, so what do you think is the reason may be the SSSG profile of PH has been lower than a KFC over the last couple of quarters ?

Manish Dawar: So, Nihal our hypothesis if you look at pizza as a category it is a very price sensitive category and traditionally if you look at I mean pizza category there used to be very high volume of discounting, high volume of deals, offerings and so on and so forth whereas KFC from that perspective the brand has been built very differently and therefore the consumer expectation is very different. So, obviously it will take some time to correct the pizza piece and that is what we are trying to do.

Nihal Mahesh Jham : One final question Manish was that on the chicken side you mentioned there are some benefits which will play out given you are sitting on some inventory in case of Pizza Hut, is it the case that maybe the raw materials we use ahead are higher price or how will that play out in the coming quarters?

Manish Dawar: So, Nihal if you remember when we entered the inflation scenario our margins took a hit after a gap because we normally hold higher inventory and similarly now when the benefits are coming it will take a little while maybe another couple of months by the time you start to see those numbers in, but otherwise from an ordering perspective we have already started locking in the orders and therefore we know and we are certain that the chicken prices will come down.

Nihal Mahesh Jham : I was asking for cheese actually more from the Pizza Hut perspective, is the incremental usage of RM going to be gross margin dilutive or it is not going to have an impact?

Manish Dawar: Yes, if let us say the cheese prices continue to go up it will be gross margin dilutive.

Moderator: The next question is from the line of Tejas Shah from Avendus Spark .

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Tejas Shah : So, first question is last quarter looking at good traction in KFC demand and sluggishness in pizza we had indicated or made a comment that we might accelerate

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our KFC expansion and decelerate a bit on PH, but in this quarter expansion actually PH has done better than KFC and even in your commentary for FY24 there is not much difference from our past number, so just wanted to know is there a rethink on that comment or that was just an observation on last quarter?

Manish Dawar: So, Tejas as you know I mean we talk about our guidance from a store count perspective on a yearly basis and not on a quarterly basis. So, let us say depending on the property availability, depending on portfolio, depending on what is our priority on a given location and so on and so forth obviously the quarter-to-quarter movement can take place. So, if you have to look at the full year numbers for KFC, we opened almost 126 stores and for Pizza Hut we have opened almost 93 stores. So, therefore during the year when we said that KFC will be 100 plus and Pizza Hut will be 100 minus, the numbers are as per that. In Quarter 3 if you were to look at KFC store addition was twice the PH addition because Pizza Hut in Quarter 3 was 17 and KFC was 38. So, therefore on a yearly basis is what we give the guidance and that is how we manage our portfolio.

Tejas Shah: Second Manish on employee cost growth both sequentially and YoY there is an inflation there and even if I adjust it for store expansion and I do calculation on per store basis also there is a 14% inflation there, so just wanted to understand how should we think about it in FY 24 and was there any one off in this particular quarter?

Manish Dawar: Yes, there is a one-off. As I said earlier in my opening remarks we provided for a statutory bonus in Quarter 4 for the full year. As you know, under the payment of bonus act, you are supposed to calculate the allocable surplus and that calculation is done on a yearly basis once your audits and all the numbers are finalized. So, that is a one-time impact which is there and going forward we will be providing at a similar rate. So, therefore that is the reason Quarter 4 employee cost also looks elevated.

Tejas Shah: So, on annual basis it is not the one off on quarter ly it might?

Manish Dawar: Yes.

Tejas Shah: And last one on this fully owned subsidiary Devyani International in Dubai just wanted to know what is the vision that we have at this and what are we planning to do in the overseas market with this or is just the consolidation of overseas investments for us?

Manish Dawar: Yes. So, that is what we are planning to do and plus let us say if we were to expand overseas in future we have enabled us as a company to be able to have that subsidiary. So, otherwise there is nothing concrete as of now, but if there is something we will come back to you guys.

Moderator: The next question is from the line of Ashish Kanodia from Citi Group.

Ashish Kanodia: The first question is on Pizza Hut. If I look at the brand contribution margin on a YoY basis it has almost halved and the gross margin has not gone down that drastically even if SSSG is down 3%. Apart from just the impact of negative operating leverage because of negative SSSG, is there any other reason the brand contribution has declined so steeply?

Manish Dawar: So, Ashish as you know there are multiple factors which are playing out there. As I said during the current quarter we provided for the statutory bonus and that has impacted all of our brands -be it KFC, Pizza Hut or Costa, it is company wise.

Second, if you see over a period of time towards the backend of the year we have

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not been able to take a price increase on pizza and that was a conscious decision despite the milk prices and the cheese prices going up which impacted the gross margins a little bit. The period that you are referring to, in that period the gross margins have also got impacted. Third, there is some bit of deleverage coming in because of the ADS as we

are expanding the portfolio. For the new stores it takes some time to mature. So, that is the other piece. So, therefore there are multiple things at play and then we also talked about the "Flavour Fun" pizza that we launched which impacted the pricing piece. So, therefore there are things which are there and we think these initiatives are good from a long-term perspective and we have taken immediate steps to correct that also. So, as you know I have talked about this menu refresh, we have talked about gamification in the ordering of the pizza. So, all of those initiatives have been taken so that we are able to come back.

Ashish Kanodia: And then I think in your opening remarks you also talked about increased marketing spends. Now if I look at both Pizza Hut and KFC there are new product launches I understand maybe in the longer run it will not have significant impact, but maybe from next two quarter perspective do you see you know while on gross margins you are taking some initiative, but purely because of marketing spend there could be some impact on the brand contribution margin purely because of higher marketing spends?

Manish Dawar: It is a marginal uptake on the marketing side and obviously the marketing guys and the brand CEOs take that call given what the launch is, what is the priority and so on and so forth. So, therefore it is balancing depending on if let us say there are some major new initiatives in the quarter we go and support it and Yum! also helps us there. So, eventually it will come back and settle at the normal levels.

Ashish Kanodia: And just the last one is I think on the inventory bit, when I look at the balance sheet the inventory levels are fairly very low compared to the scale, so when you say carrying high-cost inventory does that mean it is basically the contract which you already have, so there is a particular contract for the next two months, three months and that is why you still have high-cost inventory?

Manish Dawar: Yes, it is a combination of some bit of forward cover, some bit of physical inventory that we hold because as you know we are present across the country and we have our own warehouses, we have our own stores. So, we cannot risk the stocks running out. So, therefore that inventory has to flush out by the time the new prices start to impact and the same thing holds true when we were entering into the inflation scenario our gross margins got affected towards the end of the year category.

Ashish Kanodia: And just on the overall demand I mean I hear your thoughts that maybe we are reaching the bottom and I am not looking at specifically for numbers, but just some commentary in terms of how the last 45 days demand trend has been versus just adjusting for the seasonality Q1 versus Q2 if you adjust for the seasonality and if you look at that the last 45 days do you see the sentiments improving?

Manish Dawar: Look we have seen some sentiments improving, but again there are multiple other factors as well. As you know there is IPL going on, there is summer holiday season also. So, there were some festivals also in between like over the weekend there was Mother's Day and all of that. So, therefore I mean, but otherwise we are seeing improvement in the last 45 days.

Moderator: The next question is from the line of Jay Kumar Doshi from Kotak.

Jaykumar Doshi: Just a follow up on the previous answer and your comment on the demand has bottomed out, but usually we see 8% to 10% increase sequential increase in ADS for most QSR brands in June quarter versus March that is the usual seasonality, are

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you suggesting by your comment of bottoming out that you are seeing a similar seasonal uptake this year as you normally see every year or is the seasonal uptake still lower than the usual seasonality?

Manish Dawar: So, Jay what you are saying is right and tho

se times it used to hold very strongly pre

COVID. During COVID we saw major disruption in terms of these trends and obviously we have seen some shift in quarters depending on whether restrictions were there, whether people are working from home, they were going to the office, etc. So, we will have to wait and watch for another few quarters so that we are able to comment that whatever was happening in the past, it is coming back. So, when we say that we think the inflation seems to be bottoming out that is more from the input prices that we are seeing and therefore it is not just in our category that is across various categories and various industries with that the disposable income for the consumer grows and therefore that should come back in to the consumption category. So, that is the whole analogy when we say that we think that the downturn seems to be bottoming out.

Jaykumar Doshi: Second question is if you were to add back those or if you were to provision for bonus across the four quarters then what would have been your KFC brand contribution margin in this quarter, just trying to understand this 17.5% print has bonus associated with them, so pertaining to the entire year when I look at your overall numbers your employee cost is up 200 basis point YoY, so just want to understand what will be the underlying margin?

Manish Dawar: So, there is almost a 1% impact because of this. So, therefore, and that has not just impacted KFC, it has impacted the other brands as well.

Jaykumar Doshi: So, just a quick follow up there so when I look at KFC gross margin is down 70 bps YoY, brand EBITDA margin is down 430 bps YoY, so 360 bps YoY decline. Of that 100 bps is attributable to this one time bonus provisioning and the remaining 250-260 bps is attributable to operating leverage is that the right understanding or was there any one of them in the base quarter as well?

Manish Dawar: So, as I said we took some initiatives on the local marketing. So, that is also going and impacting the brand contribution margins. There is deleverage which is there on again I mean on KFC and Pizza Hut both. So, it is a combination of multiple factors.

Moderator: The next question is from the line of Avi Mehta from Macquarie.

Avi Mehta: First I wanted to just appreciate the competitive intensity so if you could give us some

update on how it is happening in KFC and in Pizza category, is there an increase or similar, broadly on that?

Manish Dawar: I would say it is more or less at the same level and let me just give you a little bit clarity. So, if you were to look at KFC first you know that Popeyes has launched last year. So, they are expanding. We believe the competition will expand the chicken consumption will help grow the category and will help the brand. So, therefore it is a good thing. On pizza we have seen there is a lot of local competition which has started to come up post the COVID because during COVID time there were a lot of small-scale players who did not renew their licenses or they shut the shops because of financial difficulties and all and now things getting normalized, there are a lot of smaller brands available and the local competition is there. So, some of that is coming back and therefore that is where the competition intensity is going but let us say if you were to ask me on a national level any other very strong brand which is emerging we have not seen that yet. We believe that if the competition intensity is there it is good for the brands because there is more noise in the markets, people tend to consume more. So, therefore it is a good thing.

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Avi Mehta: Where I was coming from was essentially on the marketing intensity or cost intensity in pricing-based competition as well if there is any change or is because we have clearly up the ante on marketing, does that essentially mean

our share of voice has

gone up, is that how I should read it or that is where what I was trying to ask.

Manish Dawar: Yes because, for example, let us say right now given where the consumer sentiment is, given the inflation scenario. So, it is more to protect the environment and to come back so rather than becoming too aggressive.

Avi Mehta: And second I just wanted to pick up on the last question sorry I missed that you said it is bottomed out the seasonality if you could just re-explain that?

Manish Dawar: So, the question was do you think the consumer sentiment or a demand or let us say this inflation has bottomed out. So, that is where the whole piece was and therefore I was trying to link that end of the day it is the inflation which impacted the entire demand in the first place and that is the starting point where we are seeing the signs that the inflation is bottoming out and therefore we think that there would be revival in the consumer demand as well.

Moderator: The next question is from the line of Shirish Pardeshi from Centrum Broking.

Shirish Pardeshi: Just two questions if I draw the attention on Slide # 16 where ADS has declined from a peak of 127 to 106 and you partially mentioned that it is a function of SSSG, but my whole question is that when you say that the value piece is growing much faster in pizza, can you give some more qualitative comments that what SSSG and the impact which has come because of the competition also?

Manish Dawar: So, Shirish if you look at Slide 16 which is what you are alluding to so that is a KFC slide, it is not Pizza Hut.

Shirish Pardeshi: No, I gave the example of Pizza Hut because you said competition from local side is more on Pizza and not KFC?

Manish Dawar: Sure, I will come to Pizza Hut as well. If you look at it, it is not just the SSSG which is where I talked to Vivek and Percy earlier because there is a strong element of how rapidly you are expanding your stores as well. So, for example, in a given vicinity if you have one store and you end up having another store let us say whatever a kilometer away it gets the demand divided, for example, if you go to a new city for a new store obviously nothing happens. So, it is not just let us say what is the count, what is the location, what is the vicinity. So, there are multiple factors which play out there and ADS is a combination of how many new stores are opening, what is the location of the new store, how is your SSSG doing. So, all of that then eventually gets reflected in the average numbers.

Shirish Pardeshi: But if I say that if you have a store which is open for like say three years before and if I look at the SSSG would that be a significant number which will be higher on SSSG and even ADS?

Manish Dawar: So, we do not bifurcate the stores and disclose those numbers. We disclose it on one set of population and the definition of SSSG is that whatever stores where we are measuring this out of that set of stores whatever stores are present in the comparable period last year.

Shirish Pardeshi: And similar comments on pizza?

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Manish Dawar: So, therefore, that could also include some of the stores which got opened very recently in that period that would also include some of the stores which were very

old in that period. So, therefore the maturity curve even though it is one-year prior number would be very, very different.

Shirish Pardeshi : On the new offering like 10 new pizzas which has been launched by Yum! and also the Rs. 99 chicken roll over last 45 - 50 days what is the response. I mean is it that consumers are going to get down trading and that is one of the things which we are trying like "Flavour Fun" Pizza what we tried during the COVID time?

Manish Dawar: So, if you see the new pizza that we have talked about is it is a refresh that is not in the "Flavour

Fun" range that is on the premium pizza that we have. It is only launched towards the backend of April. So, it is too early to give any read, but we thought that therefore number one in the Quarter 4 results it has no impact and second we wanted to keep all of you updated on the new initiatives we are taking so that is the reason we have talked about it. As far as the KFC lunch and the rolls are concerned we first experimented with that in Bengaluru and Gurgaon. We got the response and then we expanded nationally and also the full quarter read is still not there because I mean this happened in phases, but otherwise whatever numbers we are seeing on KFC lunch and the rolls the response is excellent.

Shirish Pardeshi : Just quick word on the international business Nigeria and Nepal because not much discussion has happened so far?

Manish Dawar: So, that is a small business as you know. If you look at Nepal we have KFC stores, we have 4 of Pizza Hut stores, so it is about 22 store count. We have 37 KFC stores in Nigeria. We are not making any fresh investment in Nigeria as we have stated in the past because of currency issues. So, whatever profits we generate locally we invest that back into the business both the businesses on a brand contribution level and EBITDA level are positive. They sustain the CAPEX momentum that they have. So, it is a completely self-sufficient business and the whole objective is to continue to grow the business out of whatever they are generating and then over a period of time we will build a business out of that.

Shirish Pardeshi : Any comments on the own brand beyond KFC, Pizza Hut, and Costa?

Manish Dawar: Vaango is doing well. We have crossed a store count of 50, but again since these numbers are very small in the overall context that is the reason we do not talk about it, but otherwise we can talk about Vango in detail, we can talk about Nepal, Nigeria food Street, but overall, all of these businesses put together would be single digit of the total business.

Shirish Pardeshi : I agree, when you are doing the annual number at least one slide could have helped us how we should look at because you have given a lot of commentary on KFC and how the growth is going to plan out over FY25, so that is why I was looking for some qualitative comments how growth we should be building in these numbers?

Manish Dawar: So, we can look at it as we go forward and your suggestion is valid that at least on a full year basis we can do that. So, it is a very valid suggestion.

Shirish Pardeshi : Just last question on Slide # 34 where I look at the other income has moved from Rs.16 crore last year to Rs. 33 crore this year, so what is the nature and how this growth has happened is primarily because of the store expansion fees what we are drawing from Yum! or is something more sitting in it? How should we look at it going forward?

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Manish Dawar: If you see there is this IndAS adjustment which we are supposed to do and there is some element of IndAS adjustment which goes and sits in this category as well. So, that is the main reason.

Moderator: Thank you. Ladies and gentlemen that was the last question for today. I would now like to hand the conference over to the Management for closing comments. Over to you, Sir.

Raj Gandhi : Thank you very much, thank you Mr. Chairman, thank you our colleagues and thanks to all the Investors and Analysts whoever participated in this call. I do hope that we have managed to respond to all your questions satisfactorily. Should you need any further clarification or would like to know more about our Company, please feel free to contact our Investor Relations Team. Thank you once again for your time today to join us on this call and participate in our growth journey. Thanks.

Disclaimer: This is a transcription and may contain transcription

errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

Call: Aug 2023

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August 10, 2023

To,

National Stock Exchange of India Ltd.
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Sub: Transcript of Investors & Analysts Conference Call

Dear Sir/Madam,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, transcript of the Investors & Analysts Conference Call held on August 4, 2023, post declaration of Unaudited Financial Results of the Company for the Quarter ended June 30, 2023, is enclosed.

The same is also being uploaded on website of the Company at www.dil-rjcorp.com.

You are requested to take the above on record.

Yours faithfully,
For Devyani International Limited

Pankaj Virmani
Company Secretary & Compliance Officer

Encl: As above

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Devyani International Limited
Q1 FY24 Earnings Conference Call Transcript
August 04, 2023

Moderator : Ladies and gentlemen, good day and welcome to Devyani International's Earnings Conference call. As a reminder, all participants will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Please note that this conference is being recorded.

I would now like to hand the conference over to Mr. Anoop Poojari from CDR India.

Thank you and over to you, sir.

Anoop Poojari: Thank you. Good afternoon, everyone and thank you for joining us on Devyani International's Q1 FY24 Earnings Conference Call.

We have with us Mr. Ravi Jaipuria – Non-Executive Chairman of the Company ; Mr. Virag Joshi – CEO & Wholtime Director ; Mr. Manish Dawar – CFO & Wholtime Director and Mr. Rahul Shinde - CEO, Yum ! Brand and Wholtime Director of the Company .

We will initiate the call with opening remarks from the Chairman, followed by financial highlights by the CFO. Post this, we will open the forum for our question-and-answer session.

Before we begin, I would like to point out that some statements made in today's call may be forward-looking in nature and a disclaimer to this effect has been included in the results presentation shared with you earlier.

I will now request Mr. Ravi Jaipuria to make his opening remarks.

Ravi Jaipuria : Good afternoon, everyone. I warmly welcome you all to our Earnings Conference Call to discuss the business performance for the 1st Quarter of the Financial Year 2023 -24.

I am pleased to share that we have started the new fiscal year on a healthy note despite facing challenges from a difficult macro environment and depressed consumer spending. Our commitment to "Customer First – Always " driving product innovation and enhancing scalability has been instrumental in supporting our overall consistent performance .

DIL consolidated revenue

has reached a new milestone of Rs. 847 crore for the quarter , backed by store additions across brands and continued healthy performance from existing stores. On the operational front, our efforts have been marked by the

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successful opening of 47 net new stores in Q1 FY24, each contributing to the growth of our diverse portfolio of brands. Our core brands have a presence in more than 240 cities across India. We are actively seeking opportunities to expand into new trade areas and simultaneously deepen our presence in existing locations. The strategic expansion aims to bring our brands even closer to our valued customers and further solidify our foothold in the domestic market. This will also help us to reinforce our position as a key player in the industry .

As on June 30th, 2023 , DIL network was expanded to encompass 1,290 stores across our portfolio of countries and brands.

Overall, we are confident of achieving our goal of opening 275 to 300 stores this fiscal year , as we continue working towards our ambitious target of reaching 2,000 stores by 2026. With the dedicated focus on customer satisfaction, innovation, and growth, we are poised for success in the dynamic and evolving QSR landscape.

Vaango , our own South Indian cuisine brand, is shaping up nicely and we are bullish on this brand given the popularity of South Indian cuisine in the entire country. South Indian food is considered to be a healthy meal option and therefore it resonates well with the age groups amongst our target customers. We have opened 52 stores in Vaango so far and Vaango is expected to become a Rs. 100-crore brand by the end of this fiscal year.

The consistent performance and potential of DIL India was acknowledged by Franchise India and DIL has been awarded the prestigious "Master Franchisee of the Year Award for 2023. "

In addition to operational excellence, we have successfully introduced a range of new menu additions and innovative campaigns for our core brands. The market response to these new offerings was highly positive, with stronger consumer acceptance. Our innovation pipeline remains healthy and strong. We are eagerly waiting to introduce our new products in the upcoming quarters.

High inflation across industries and categories had led to a short-term impact on consumer sentiment and demand in the last few quarters. Despite this, our performance continues to be resilient, and we have continued to invest in the business for long-term growth.

To sum up , our store addition strategy stands at the testament of our firm belief in

the immense long-term potential of the Indian QSR. By continuously expanding our footprint and staying attuned to emerging opportunities, along with maintaining the financial discipline and operational excellence, we remain poised to capitalize on this huge opportunity and deliver a sustainable growth and value accretion to all our shareholders.

With this, I would like to conclude my address and now I hand over to Manish for the financial highlights. Thank you.

Manish Dawar : Thank you, Mr. Jaipuria. Good evening everyone. A warm welcome and thanks to all of you for your valuable time for attending our Q 1 FY24 Earnings Conference Call , our eight such calls since the listing of DIL in August 2021.

In Quarter 1 FY24, we have opened 47 new stores across our brand portfolio. With this, we globally now have a footprint of 1,212 stores across our core brands. This consists of 564 stores for KFC, 525 stores for Pizza Hut and 123 stores for Costa Coffee in our portfolio as at the end of Quarter 1 FY24. Our metro and non-metro

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distribution of stores in India continues to remain marginally in favour of non-metro destinations with 52% of total core store count in India . We are planning to add 275 to 300 stores in the current financial year across our portfolio and geographies.

Operating revenue for Quarter 1 FY24 stood at Rs. 847 crore , representing a 12% quarter-on-quarter increase. This was supported by a 4% increase in store footprint and remainder as higher throughput led by KFC. Improved gross margin

s in ADS

numbers resulted in better brand contribution margins in Q1 FY24 at 18.2% versus 16.4% in Q4 FY23.

Reported EBITDA, which is post IndAS , was Rs. 173 crore with margins at 20.5% versus Rs. 151 crore in the previous quarter of 15% quarter-on-quarter growth . Company 's operating EBITDA on a pre IndAS basis was Rs. 111 crore versus Rs. 91 crore in the previous quarter. Operating EBITDA margin at 13.2% was up 110 basis points on quarter-to-quarter basis. Profit before tax stood at Rs. 13 crore versus Rs. 41 crore in the previous quarter.

Please note that there has been a very significant devaluation in currency in our Nigerian operations. The devaluation in the month of June is more than 60% on the base official currency rates that prevailed in the country. As a result of this, we have had to take a hit on account of outstanding USD denominated liabilities at the local level. This has been accounted for as an exceptional item in the P&L and has impacted our consolidated profit before tax and profit after tax numbers to the extent of Rs. 47 crore during the quarter. On a normalized basis, therefore, the PBT and PAT would have been Rs. 60 crore and Rs. 46 crore, respectively. Please note that there is no cash impact because of the aforesaid devaluation impact.

Taking the discussion to our core brands, KFC in India added 20 net new stores in Quarter 1 FY24 , reaching a total count of 510 stores at the end of the quarter . Average daily sales for Quarter 1 FY24 was Rs. 117,000 versus Rs. 106,000 in the previous quarter on an expanded footprint of stores. Revenue s at Rs. 516 crore grew 16.3% on a quarter-on-quarter basis. Gross margin at 69.7% was higher by 1.1% due to a marginal price increase at the beginning of the quarter along with a stable input material cost regime. Brand contribution margin at 21.1% , improved by 3.6% on a quarter-on-quarter basis mainly due to better leverage . On premise consumption was 63% versus 62% in the previous quarter.

During the quarter, Pizza Hut added 15 stores . Revenues at Rs. 184 crore , up 8% quarter-on-quarter . ADS was slightly higher at Rs. 40,000 . Gross margins for the quarter came in at 74.9% with an improvement of 1.6% versus the previous quarter. Brand contribution was Rs. 18 crore for the quarter with margins at 10.1%, which was up by 80 basis points on a quarter-on-quarter basis.

Costa Coffee, our third core brand, added 11 stores during the quarter, reaching a cumulative store count of 123 stores as of June 30th, 2023 . There was a slight revenue drop in Costa during the quarter due to lower ADS at Rs. 33,000. Gross margins were 77.3% because of some milk and coffee bean price inflation during the quarter. Quarter 1 FY24 brand contribution improved by 70 basis points and stood at 20.9%. We are expanding Costa at a rapid pace. You would have noticed that we have more than doubled the store count over the last 4 to 5 quarters. The new stores take some time to stabilize and reach the maturity level and hence this has impacted the overall brand performance and we expect this to stabilize as we go along during the course of the financial year.

To conclude, I want to reiterate our commitment to our ambitious growth within the

Indian QSR market. We have set a target of reaching 2,000 stores by 2026, a milestone that signifies the tremendous potential and demand for our brands. I would

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like to highlight that the entire capex required for the significant expansion is primarily being planned through internal accruals. Our ability to self-fund this growth underscores the financial strength of DIL.

Furthermore, you would have also noticed that despite our aggressive expansion, we have remained focused on maintaining strong financial performance. It is noteworthy that our store expansion has not had any significant impact on our operating margins. We have effi

ciently managed our operations leading to an accelerated breakeven for these stores. Moreover, as we continue to expand, we remain committed to suitably increasing the ROCEs, reflecting our emphasis on prudent financial management, and creating long term value for our shareholders. On that note, I would like to request the moderator to open the forum for any questions or suggestions that you may have. Thank you.

Moderator: Thank you very much. Ladies and gentlemen, we will now begin the question-and-answer session. The first question is from the line of Vivek Maheshwari from Jefferies.

Vivek Maheshwari: A few questions. First on the demand environment, Manish, what is your sense, how the next few quarters will be because last quarter you did highlight that because of seasonality, IPL, things started looking up, what is your outlook for next 2-3 quarters now?

Manish Dawar: Vivek, you would know that quarter two normally is seasonally the lowest quarter, and because we have Sawan also in this quarter, a lot of people turn vegetarian. But we do expect with the input material inflation also stabilizing now, things will improve. For KFC, the input material prices are very stable. Pizza Hut in the quarter that has gone by, the cheese and milk prices continued to increase. Whereas now with good monsoons, and if you were to look at some media reports, even the cheese prices and milk prices have started to stabilize. Therefore, we are hoping that the demand environment will start to pick up from quarter 3 onwards. Let us see how the other things shape up and that is how we are also planning our business.

Vivek Maheshwari: And Manish, I did see the SSS for let us say KFC, but when we look at ADS, which is down quite a bit on a Y-o-Y basis, which will be a function of SSS plus the incremental stores as well?

Manish Dawar: You are right. And again, Vivek, you also know that last year quarter one was one of the strongest quarters and we were riding back on the Wave 2 and Wave 3 of COVID. Therefore, the dine-in was very strong, and the overall demand was high because people were kind of coming out. Quarter one last year was very strong and therefore the comps are kind of in that zone. But if you were to look at our performance in the current quarter, KFC at 117,000 ADS, fares much better versus 106,000 in the previous quarter. We do believe that the overall demand is coming back, but I guess we will take another 1 or 2 quarters to kind of stabilize these numbers.

Vivek Maheshwari: Got it. And on the gross margins, overall numbers are also quite good, the expansion that we have seen and in both the core brands, KFC as well as Pizza Hut, there has been a smart recovery. So, can you elaborate on that, as the worst is behind on the gross margin side because whatever we are reading, hearing about food inflation and all, it seems like at least looking at your number for this quarter, the worst seems to be behind. Is that a fair position?

Manish Dawar: Vivek, if you look at, let me kind of give you the perspective for KFC and Pizza Hut separately, because they both behave very differently given the current situation. In KFC, the bigger ingredients are chicken, oil, flour and packing material. All of these

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4 materials which constitutes big material input on KFC. We have seen stabilization happening. At the same time, if you also remember we talked about a small price increase in the last earnings call that we took, I think sometime in the beginning of April, so that has also flown in. At the same time, we also talked about introduction of the value meal layer in KFC, which was slightly margin dilutive. But on a combo meal basis, that kind of gets neutralized. We think if the current situation were to prevail from the input pricing perspective, the worst on the gross margin as far as the KFC is concerned is

s behind us. Coming to Pizza Hut, as I have talked about earlier, we are hoping that in the current quarter, the milk prices and the cheese prices will start to stabilize because the monsoons have been good. There is an excess supply of milk now in the country. At the same time we also took a very small pricing on Pizza Hut, just to balance the overall mix and the headwinds that we faced from the fun flavor launched last year. In Pizza Hut, I would not like to say with certainty that the worst is behind us because we are still experiencing the input inflation, once we have a clear visibility on the cheese and milk prices, we will be able to talk from a certainty point of view. At the same time, you have seen in the current quarter vegetable prices going up, the tomato prices which again is one of the important ingredients for Pizza Hut brand has gone up. Overall if we were to look at let us say from an overall portfolio perspective, I think we are in good shape.

Vivek Maheshwari : And couple of more if I may. One is on staff and the other expenses. There is a reasonable rise on both Y-o-Y, Q-o-Q basis, anything to call out or are these the numbers that we should work with, seasonally adjusted?

Manish Dawar : Vivek, there are 2-3 factors that I think you need to understand as to why the staff cost is behaving the way it is. As you know we normally affect our increments in the month of April and therefore compared to let us say last year, the wage will kind of goes up a little bit and that impact is coming in. Secondly, we have seen in quarter one, there has been some significant minimum wage increases in some of the states and that also kind of tends to take place, although there are some states which kind of go about the minimum wage revision even twice or thrice a year as well. But Karnataka is what I would like to kind of call out specifically where we have seen a huge amount of impact coming in for our business. As you know, Bengaluru and Karnataka are a big play for us. So, that has also impacted. And as you know last year from a management perspective, our performance was a little behind our internal plans and therefore in quarter 4, we reversed some of the variable pay provisions which were not payable. I think it is a combination of these three. As we kind of go along and the business fix up, it will kind of come back to the original levels.

Vivek Maheshwari : And anything on other expenses, Manish?

Manish Dawar : I think other expenses are broadly in line. There is no big material difference which is there. I think you can assume those to be in the range we are in.

Vivek Maheshwari : Got it. And last very small question on Vaango, you have had detailed slides this time around anything to read into that also?

Manish Dawar : Vivek, we have been kind of continuously getting this feedback from various investors and analysts that you do not share the Vaango numbers, and we would like to see what is happening on that brand. We as a business and as a group remain bullish on the South Indian cuisine opportunity in the country and that is the reason, we have started disclosing Vaango. At the same time, we think by opening about 52 odd stores, I think we have experimented, we have seen how the brand is performing, we feel confident about the brand, we have stabilized the entire supply chain piece and that is the reason we started disclosing the numbers specifically for Vaango. We believe by the time we exit this year, which is the financial year 23-24,

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we should be seeing a run rate of almost about Rs.100 crore for Vaango, which I think was a significant number. And that is the reason we thought we will talk about Vaango separately.

Vivek Maheshwari : So, that does not signal anything, although I know it is still a very small part of the business, but that does not signal anything

hing in the next few years being a big focus

for you, it's more of the same, it's just the disclosure, no change or let's say incremental positivity compared to where we were until last quarter?

Manish Dawar : We are seeing some incremental positivity and you will see that in the numbers also. But again, given the way KFC and given the way the other core brands are growing, obviously Vaango would remain a small part of the business.

Moderator : The next question is from the line of Nihal Jham from Nuvama.

Nihal Jham: The first question was on the gross margins in PH, while you have highlighted how things are looking ahead. Even for this quarter, there has been a slight improvement.

So, is it that from this quarter itself, we have already seen the benefit of RM prices or was there a mixed impact which you alluded to in the last quarter?

Manish Dawar : Nihal, as I said, we have taken a very small price increase also in Pizza Hut and plus I do not know whether you remember I talked about the premium range of pizzas in terms of that whole Pizza Hut Refresh menu that we talked about in the last call and we were introducing at that one in time. The whole idea was how do we increase and

how do we focus on the premium side so that the value contribution from the value layer that we introduced gets balanced out. And obviously, once that starts to happen and with the combination of a little bit of price increase, you will see the gross margins improving. As far as the raw material prices are concerned, even in quarter one of FY24, we have seen a small hit on the milk and the cheese prices, which we are expecting to stabilize because now they are not going up. We are expecting that milk and cheese prices should start to stabilize from the current quarter.

Nihal Jham : That's helpful. The second question was on corporate overheads. Now there has been a reasonable increase. Is this purely explained by the salary revisions or there is some other aspect also?

Manish Dawar : Again, as I was talking to Vivek, the primary reason is the employee cost and the reasons for that are increments which come in the month of April. We have talked about the minimum wage revision and so on and so forth. We are hoping it will get balanced out as we go along, but those are the main reasons why the corporate overheads look a little high.

Nihal Jham : But the minimum wage could only be applicable for the store employees like corporate overheads would be more for the employee base, which would be beyond that, and it would be more the divisions I would assume?

Manish Dawar : If you look at the employee expenses line, Nihal in the financials, that line is inclusive of because that is how as per the accounting standards, we are supposed to disclose, whereas in the management's presentations when we come to the brands, obviously it gets treated a little differently.

Nihal Jham : Just one final question, Manish was that, Vaango in an earlier discussion was at that time primarily a food court and an airport brand. Does it still stay that way or is there a change in terms of how things are going to play out and between Costa and Vaango, would any of the two as per you be bigger off?

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Manish Dawar : In Vaango, the broad strategy remains the same because as we have communicated earlier, we still believe that Vaango can do well in the high footfall locations and therefore the focus is the airports, the focus is also on the high footfall locations like food courts in the mall, hospitals. It is confined to environments where the footfalls are very significant. And once we have a basic brand size, we would like to spend some money on marketing and that is what we will start to get into little bit of bigger stores on High Street and so on and so forth. But that journey is to be covered. It is not going to happen on an immediate basis.

Moder

ator : The next question is from the line of Ashish Kanodia from Citi.

Ashish Kanodia : The first question was on the KFC side, so you know from the chicken roll range, can you just highlight in terms of performance, how that is panning out and is it basically helping you to get more footfalls or is it driving say higher ticket size and also from a margin perspective, is it kind of diluting the overall margin for KFC?

Manish Dawar : The entire focus behind this introduction was to how do we utilize the assets that we have and as you know, KFC works very well towards the evening hours, and hence the lunch hours were muted. The whole promotion in terms of the value layer in terms of a combination for KFC lunch is to focus around the lunch hour, so that we can get better daytime utilization for the brand. So, it is little margin diluted, but if you look at the way we have built the combinations on a standalone basis, little impact is there. But on a combination as KFC lunch, it kind of gets neutralized. So, therefore there is no dilution when it comes to a lunch combination meal, which comes at Rs. 149. Therefore we want to build the layer because as you know it has been an inflationary environment. During the inflationary environment, people tend to kind of downgrade, so we are trying to build a value layer for KFC also so that we can focus on the number of transactions, and we are able to get more footfalls into our stores, which will be good for the brand as we go along.

Ashish Kanodia : That's helpful. And then on Pizza Hut, I think the brand contribution margin remains weak, right? So, just wanted to understand that when do you expect the overall impact of say the fund of flavor range to kind of taper off and maybe the premiumization, the range refresh to kick in. So, what I am trying to understand assuming that the gross margin remains stable, and you do not see any further inflationary training, milk, and cheese prices, when do you expect this brand contribution margin to move back to say 15% plus kind of a range?

Manish Dawar : I guess it will take a few quarters more, Ashish, because obviously one is one big piece was on the gross margins on the material cost side which we are seeing, the stabilization is happening, and we do expect that the milk and the cheese prices will

stabilize in the current quarter. Apart from that, obviously there is this whole comparison issue because if you remember, the value layer was introduced last year July and that is where the dilution started happening and around the same period, the inflation was also hit very high and therefore our own consumers kind of down traded and the value layer was having an impact on the margins. Now with this whole Pizza Hut menu refresh, which is the premium end of pizzas, we are getting a very good response from the consumers. Once that starts to build up, we will see that brand contribution margins will start to improve. At the same time, we do believe that now, with the inflation regime kind of stabilizing, people will start to come back in the next few quarters in terms of what their regular spends have been on premium end pizzas. As far as the media is concerned, we are going to be breaking in very shortly. Having done the value layer and the premium end refresh, I think we are now talking about a mass communication around that whole thing so that the awareness gets build up and people start coming into the stores. So, there will be some additional funding that will go to marketing, about which we are talking. But overall, you will see that in the next few quarters, the brand contribution will start to improve.

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Ashish Kanodia : Sure, Manish. Just the last bit is on the subsidiary which is being set up in Dubai. So, I mean it says to hold overseas investments and end up business related management and technical services. So,

if you can throw some more light, is it just to hold your Nepal and Nigeria business or are we looking at something else as well within that subsidiary?

Manish Dawar : As of now, there is nothing there, Ashish, but our view is that whenever, let us say something were to come up or the expansion happens on an international side, we have set up a legal structure so that we are able to kind of use that subsidiary operation. But the whole idea as of now is to kind of stabilize and put Nepal and Nigeria there. That will be the next step. At the same time, you would have noticed that on the corporate restructuring side, we have got the approval from NCLT as far as the two other subsidiary operations are concerned and we are planning to file because we are going to get the certified copy from the court. I think probably in the next 1 or 2 weeks we will file that with ROC and therefore those two subsidiary operations will get subsumed into the main parent Company. So, it is a corporate restructuring exercise that we are undertaking.

Moderator : The next question is from the line of Arnab Mitra from Goldman Sachs.

Arnab Mitra : My question was on KFC where while YOY, we have a deterioration in the SSSG, you mentioned it is possibly due to the base effect. So, from your understanding, sequentially, between March and June quarter and as we speak now, is the demand environment stable largely or has it worsened a little bit because you have also added some parts of the value layer, but it has not led to the SSSG improving. So, just wanted your sense on the sequential stability?

Manish Dawar : Arnab, look overall KFC continues to be the number one choice as far as the consumers are concerned. But again, during the inflation time people were trying to downgrade. We are coming out of strong comparisons because if you see the quarter one of last year was a very strong quarter for KFC. And then, because of the inflation and the demand environment that the business got impacted a little bit. Overall, we do not see any big issues as far as consumer sentiment or the demand environment is concerned, it is only temporary in nature. And the way we look at it, for example, let us say, if this is the kind of environment, you need to build the capacity on a very judicious and prudential basis and that is the reason we keep on adjusting the store counts between KFC and Pizza Hut. Overall if you are bullish on the Indian market, we are bullish on the brand and KFC has a very strong leadership position. We will not be able to create that capacity overnight.

Arnab Mitra : My second question was on Pizza Hut. You mentioned you have taken a small price increase in Pizza Hut also, is that correct and could you quantify how much it is and is it only you or has competition also taken up prices in the category?

Manish Dawar : I would not say it was a price increase. I would say it was more of a price adjustment, which has had a positive impact on us and that is the reason I called it out separately.

On an overall basis, you can say it is a little under 1% as far as the pricing was concerned, because we were trying to resolve in terms of some bit on the delivery option versus the dine-in options and some bit of reorganization on the fun flavor range, it just had a positive impact.

Arnab Mitra : And my last question was again on Pizza Hut. Given the very weak kind of comparisons that everybody in the pizza industry has been giving, you have already

obviously slowed down the expansion a little bit. Is there merit further slowing down Pizza Hut expansion till the category kind of shows some stability in the environment ?

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Manish Dawar : Arnab, we continuously evaluate what you are saying and therefore, as I have said, I mean earlier we used to talk about 100 plus Pizza Hut stores in a year. We are talking about close to 70 -75 stores now, so

let us see how the next few quarters go and if need be, we will consider what you are saying.

Moderator : The next question is from the line of Percy Panthaki from IFL.

Percy Panthaki : Manish, since we do not have a very long listed history on a quarterly basis, I just wanted to understand pre -COVID because looking at your numbers post COVID on a quarterly basis really is throwing up a lot of noise. So, pre-COVID, what was normally the sequential increase in A DS in Pizza Hut for Q1, so Q1 versus the preceding quarter of Q4, what did generally Pizza Hut see as a sequential increase in the sales per store , percentage wise ?

Manish Dawar : Sure . Percy , look, even if I were to give you the numbers, the numbers would not make sense because as you know, just before COVID, we had started restructuring the brand. Pizza Hut earlier was focused on dine-in large format stores and then we were working on small format levy focus stores . At the same time , we kind of shut lot of large format dine-in stores during that period and obviously the ADS was a little higher when that time was there. But if you were to look at it on a per square foot basis on Pizza Hut, we are much more efficient versus where we used to be both from topline and bottom -line perspective.

Percy Panthaki : So, I will tell you where I am coming from, Manish. If I look at Domino's, where we have the data and look at 3 -4 years Q1 before COVID, the general trend is that Q1 sales per store was about 7%, 8%, 9% higher than Q4. Okay , now this quarter again , Domino's Q1 this quarter versus the immediately preceding quarter , the growth is only 3% and we have seen similar outcomes for Pizza Hut from Sapphire or Pizza Hut from Devyani , they are all up Q -o-Q in this 3 % to 4% band versus a historic trend of about 7 %-8%. So, what I want to ask is that is it just on a Y -o-Y basis that we are seeing a slowdown or is it even incrementally on a sequential basis, the numbers seem to suggest that we are seeing incremental slowdown because the normal quarterly jump on a sales per store which should come in Q1 is not coming.

Manish Dawar : Percy , if you go back, let's say pre COVID which is where your starting point was and therefore let me kind of answer from rather than a pre COVID , let me just take a scenario of let's say if you were to go back say 3 to 5 years from now , if you look at the Indian QSR industry, it was equivalent to only pizza. Whereas over the last 5 years, the other formats have rapidly expanded. KFC is much bigger compared to where we used to be earlier , McDonald's has expanded a lot , Burger King was very small at that point of time. Therefore, from a consumer perspective, there are a lot of additional choices which are available, what used to happen, say pre COVID and obviously, let us say, once that starts to happen, the demand also gets shifted to some extent. There is nothing fundamentally wrong with the pizza market as such, because the pizza market is still growing , the fact that it is the largest QSR segment in the country. So, the demand is getting balanced out with the other choices available with other brands and the fact that all the other brands are also now expanding very rapidly and aggressively.

Percy Panthaki : So, I agree with that Manish , but here we are just talking about a short period of 3 months , so with the fact that other options were available, was there even in Q4 FY23 versus that a normal seasonal uptick in Q1 FY24 is expected and that has come lower than expected. Do you understand what I am saying, right, Manish?

Manish Dawar : Yes, I agree with you and that is what I said. For example, if you remember my earlier comments, I mean within the QSR category, pizza is one of the most expensive subcategories . Whenever there is high inflation it gets impacted depending on which

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region and wherever you are , people tend

to downgrade. There are cheaper QSR entry options available and people have shifted there. So, coupled with that in terms of the additional brands and choices available to the consumers , it tends to get impacted.

Percy Panthaki : My second question is on pricing versus the input cost. So, if let us say the input cost, you are saying the input cost has stabilized right ? Now in a scenario where hypothetically the input cost sees some amount of deflation. What do you think you would pass this on, either in terms of additional offers or anything else? Or would you like the benefits to flow to the EBITDA and you can answer this separately for KFC and Pizza Hut?

Manish Dawar : Our fundamental philosophy is that we would not like to kind of reduce the headline pricing because if you look at a s of now, things are only stabilizing. There is not a huge amount of deflation, which is kind of happening within our categories or within the economy , the hyperinflation or high inflation scenario has started to stabilize . At the same time , our focus alwa ys remains that we should have more transactions, more population coverage and more footf alls in our store s. With m ore consumers coming to our QSR portfolio , we try and give it back in some shape and form . This could be additional offers , some promos , value meals and that is where we introduce the Pizza Hut value layer and the KFC value layer also. The whole idea is that how we continue to expand our footprint as far as the consumer footf alls are concern ed, and we have continuously done that.

Moderator : The next question is from the line of Kaustubh Pawaskar from Share khan.

Kaustubh Pawaskar : Sir, my question is again on the competition front, as you just mention ed that during the inflationary environment , you normall y see downtra ding happening to the other value brands available in the market. So, in that context, what kind of strategy you are trying to implement, because we have seen competition launching pizza in the mid-price range. So, on many front, are we also looking to have such kind of a gap bridger going ahead or something which will help you to compete better with those brands which are available at a lower price on other platforms ?

Manish Dawar : Kaustubh , as I have said, we have also done pretty much similar things. If you remember last year around quarter 2, we had introduced a value layer in Pizza Hut which we called fun flavor pizza , this has gone very strong and very well with the consumers , at the same time i t has helped us to build the transactions. On the KFC side, we recently launched KFC snacker range which starts at Rs. 99, further we have a focus on KFC lunch which starts at Rs. 149 as a meal combo. We are doing the same thing and this is the best way to expand the market and get the consumers into the stores .

Kaustubh Pawaskar : And on the KFC value meal , it was supposed to be launched in fewer stores earlier just the test market, and then the plans were to launch Pan India . So, how is the situation now , is this prod uct available Pan India ?

Manish Dawar : We have done the test market, we have rolled it out to the stores and now we are going to be aggressively pushing that. And therefore, it will become widely available.

Moderator : The next question is from the line of Niket Shah from Motilal Oswal Asset Management.

Niket Shah : I have two questions. One is on the aggregator side. Has there been a price increase in this quarter and if yes, what would be the quantum for that? And the second is when you look at expanding some stores whether it is Pizza Hut or KFC , does human

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resource availability become a challenge at some point of time when you want to grow at this pace?

Manish Dawar : Niket , we took a KFC price increase around April month and that was a little under 3% from a brand perspective and obviously we kind of co

mpensated that pricing fees

with the value layer from a roll s perspective , from the snacker range and lunch and so on and so forth. We did try to give some porti on of that back to the consumers so that we are able to build the transactions and are able to get additional footf alls in our stores. We have done the same thing for Pizza Hut. In Pizza Hut, as I said, the price increase was somewhere in the later part of April and that was more of a price adjustment rather than the price increase , the overall impact was under 1%. To your other question on challenge in terms of the expansion of stores and the availability of staff, as you know this business is a people intensive business . As we open the stores, we need more and more people. Our HR engine is working very well , It's a well-oiled machine and therefore we've never faced any difficulty , issues and delay in opening of our store s. Also Yum has their process es in place in terms of training of the new employees and upgradation of the existing employees, they control that piece very closely to make sure we are well disciplined, and we are not taking any short -term calls. So, this side of the business works very well, as a well -oiled machine.

Niket Shah : Yes, my question was more from an aggregator standpoint , the price increase, have you given a price increase to the aggregator like Zomato and Swiggy that was actually the question that I had asked.

Manish Dawar: We have always had , Niket, some bit of pricing premium for the orders that flow in from Zomato and Swiggy and that has continued. So, there is nothing different that we have done recently.

Moderator : The next question is from the line of Sabyasachi Mukherjee from Bajaj Finserv.

S. Mukherjee: So, my first question is on the competition in the KFC chicken part of the business.

In some geographies , especially in the southern market, we have seen McDonald's and other competition that has come up. So, in terms of specific impact, what is your thoughts in terms of the chicken business?

Manish Dawar : We welcome competition in the category. As you know, India is a large non -vegetarian market, 70% of the population is non -vegetarian and within that , almost 80%-85% of the people , chicken is the medium of choice as far as the non -vegetarian food is concerned. The kind of potential that this country has from a chicken QSR brand perspective, we do not think that a single brand will be able to do the justice. So, as the new brands come in , the market will expand, the noise will be there , the marketing efforts will be there, the onboarding of new consumers will be there. As a market leader, we are well positioned and in good shape and a healthy competition is the only way the market will get expanded in India. For example, let us say I am not saying that India is China, but in China , there are 10,000 KFC stores , it is not going to happen overnight in India , but the competition and the new brands that come in will help to open the consumer preferences and choices and it will help us to expand KFC also.

S. Mukherjee: Right. And coming to your store addition guidance of 275 to 300 stores per year in a Pizza Hut . I believe you are talking about some around 100 stores, couple of quarters back, but now that has kind of trimmed down to 70 -75. Costa Coffee is another 60 - 70, then for KFC store opening , is it a fair assessment that probably we are looking at a number of 121-125 store additions per year going ahead ?

Manish Dawar : Yes, you are right.

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S. Mukherjee: Lastly, on the marketing campaign for Pizza Hut to increase the awareness , what kind of budget we are looking at and how long will it continue?

Manish Dawar : See overall from a brand perspective , we spend about 6% of the top line on the brand marketing and the local store promotions. Whenever we launch new products or whenever we take

some initiatives, we do spend some additional money. The Yum ! also puts in the additional money from their side , but on an overall basis, we try and balance it out. So, for example in the near-term quarters , we will see that the additional monies are being spent on Pizza Hut, on the menu refresh. Since this whole assessment is currently on, we can come back to you once we have crystallized the overall plan.

Moderator : The next question is from the line of Tejash Shah from Spark Capital.

Tejash Shah : Manish, you touched upon the sluggishness in pizza category from the customer behavior dimension. Just wanted to know would you attribute a bit of higher sluggishness in this category versus others because of very high intensity of organized retail competition that we have seen .

Manish Dawar : I do not think I talked about the sluggishness in the category. What I said was that pizza is the largest category for QSR in the country. It is still growing on an overall category basis. It is just that there is a very aggressive expansion which is happening with the other brands, and therefore from the availability perspective, the consumers have much wider choice available to day. And therefore, there is some bit of rebalancing which is happening . At the same time if you see , and I am not saying that this is going to happen in India , globally, burger is the biggest category as far as QSR is concerned, whereas in India it has always been pizza because it got started very differently. There will be some rebalancing , which will happen in this category because there are other choices available and there are other brands also which are expanding very rapidly, but otherwise there is nothing wrong with the pizza category as such.

Tejash Shah : Second and last question pertains to Costa. So, just wanted to understand the interplay between ADS, gross margin, and margin here. So, when I see that last quarter, we were at 36,000 ADS with 78% gross margin, and we reported 20% EBITDA. This quarter , we had lesser ADS and lesser gross margin, but our EBITDA was higher. So, just wanted to understand how the interplay works out and

considering that we have such good dynamic here, why are we not expanding this format much more rapidly than what we are doing at the current phase?

Manish Dawar : The gross margin line behaves very differently to the EBITDA because that is all about input material and the gross margin is a little lower because as I said, there have been some price increases during the quarter on milk and plus we have seen some price increase on the coffee beans also. This is what has impacted on the gross margins on the Costa Coffee side. As far as the brand contribution is concerned, because as we have undertaken rapid expansion and therefore once the store is in the maturity phase, the rent to revenue ratio for these stores is high and that kind of gets stabilized as the ADS starts to build up for the new stores. So, that is the reason why you are seeing that the brand contribution is behaving a little differently because there have been some old store openings where the ADS has started to stabilize and therefore the rent to revenue ratio is getting better .

Tejash Shah : No, on rapid expansion because when we are seeing brands like Third Wave Coffee, and they are like expanding very rapidly. So, just wanted to know what is our kind of , do we want to accelerate the pace here or we are comfortable with what we have guided ?

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Manish Dawar : We, are talking about Costa expansion at about say 60 to 70 stores every year. We are comfortable with that pace and therefore that kind of gives us a great opportunity to build this brand. This is how we are looking at . To be honest, I am not privy to the Third Wave Coffee plans and therefore I will not be able to compare Costa to that .

Moderator : The next question is from the

line of Devanshu Bansal from Emkay Global.

Devanshu Bansal : Manish , just wanted to better understand the demand situation. So, wanted to check whether footfalls are being challenged, build size is low due to tighter wallets or if there are challenges on both the fronts. So, could you break the SSSG for Pizza Hut and KFC into build packs and build size ?

Manish Dawar : In Pizza Hut, if you look at Devanshu, as we said that the fun flavor range was launched last year in the month of July and that impacted the APC, which is the ticket size, but the transactions have continued to build and that is what is kind of helping and going to be helping the brand in the long term . Similarly on the KFC side also with the value layer, with the Snackers range , with the KFC rolls , KFC lunch menu, we are building the transactions and therefore there is a small impact on the APC side.

Devanshu Bansal : So, volume terms both are positive and whatever negative SSSG is due to the build size process, is the right assessment?

Manish Dawar : Yes, absolutely because our priority is to get new, I mean more and more footfalls into the store. Our priority is to build the transactions and therefore wherever there are some menu gaps and product gaps and we have managed to find the right product; we are going to be launching that.

Devanshu Bansal : And for Q1 and coming Q2 quarter, can we expect the ADS seasonality that was there in last year to continue this year as well?

Manish Dawar : No forward -looking statement , Devanshu.

Devanshu Bansal : So, just to put it that way, last year was, I would say a common seasonality or were there any one -offs that you would like to highlight ?

Manish Dawar : See, last year, apart from the seasonality and all , there was a huge amount of inflation also which we were seeing and therefore obviously that was getting impacted , that was impacting the consumer demand also. In this year also the other peculiarity you must have heard is Sawan seasonality and Sawan typically is a period where a part of the non -vegetarian population they turn vegetarian and this year we believe it is an extended Sawan period , too early to say but that could impact the numbers to some extent.

Devanshu Bansal : Got it. And last question from my end. Both KFC , Pizza Hut , the magnitude of increase is different in terms of sequential ADS, but for Costa Coffee , it is a dip. So, can you explain as in why that happened?

Manish Dawar : Costa Coffee, as I talked about Devanshu earlier, is mainly on account of the new store openings because new stores typically tend to open at a lower ADS and then they mature over a period of time. But if you look at, let us say even for the current quarter, the SSSG for Costa Coffee is sitting at about 9 % to 9.5%.

Devanshu Bansal : Even Manish , on a sequential basis that plays out , I was asking more from a sequential basis.

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Manish Dawar : Because we are opening the stores rapidly, so it does impact on a sequential basis also.

Moderator : The next question is from the line of Shirish Pardeshi from Centrum Broking.

Shirish Pardeshi : I have one fundamental question. If I look at the journey over last 15 months for Pizza Hut, we have done the pricing adjustment, we have introduced the value layer and in last quarter, we have introduced 10 new pizzas and we are about three quarters before we have fun flavor. So, maybe if you or Rahul can address this, is the competition is one angle we are seeing, and you have alluded to saying that there is a value layer which is picking up. But fundamentally, what is the consumer behavior telling us and that is why I wanted to pick brain from Rahul, if he can give us what exactly happening in pizza because there is a dichotomy and when we look at in the last 2-3 quarters, the burger guys are doing better. So, is there a permanent reset which is happening

from the consumer point of view and as you said that there are more options which has opened after COVID?

Manish Dawar : See, the reset is happening again. As I said, there is nothing wrong with the pizza market. The reset is happening because, for example, there are additional choices. There are additional brands which are available to the consumers, right and therefore in that scenario, we need to kind of continue to do the right things. I mean, after we restructured the Pizza Hut brand post COVID time, our objective was how do we kind of build the ADS of the brand. For building the ADS it was very important that we have a strong value layer, Pizza Hut as you know has always been considered as a premium brand and we need to kind of balance that piece out by giving the value layer. The value layer, the timing was a little unfortunate because by the time we introduced, we were in floor for high inflation scenario and therefore there was this down trading which kind of happened very rapidly and that is where we kind of decided to refresh the premium side of the range and we have done that. In any case, it was due and therefore this kind of pushed us into making a faster decision and we introduced that. So, we have balanced the portfolio now. We are going to be building awareness around that whole piece and that is how the Pizza Hut journey have been. I mean from a loss-making brand Pizza Hut is a positive brand today. The consumer demand is there, the expansion is happening, the consumer awareness and the consumer choice is there. So, therefore I mean, we are confident about this trend.

Shirish Pardeshi : Thank you, Manish. Just one follow-up here. Hypothetically, if you have not done these actions, what would have happened to SSSG?

Manish Dawar : I mean in hindsight because there have been so many variables, it will be difficult to just kind of remove one hypothesis and build on the other because I mean the markets are different, the competition is different. We have done multiple things within the brand, so it will not be right for me to kind of just remove one variable and hypothesize it.

Shirish Pardeshi : My second question on KFC, I'm looking slide 17, we have been able to manage the gross margin, but when I look at the brand contribution margin, which has declined on a Y-o-Y basis 130 basis points, I do understand there is a chicken inflation sitting in this and you have taken about 3% price increase, but what should we do it going forward, is this decline will get resolved and we look at the margin expansion or there are some more inflation element sitting in this quarter and that will also have the impact in the next quarter?

Manish Dawar : What is the base you are taking for your comparison?

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Shirish Pardeshi : On Slide 17, I am using the comparison. So, last year quarter one, we had a gross margin of 69% in KFC, which was moved to 69.7%. So, understandably, there is a price element which is there, but when I look at the brand contribution margin, which is 22.4% has now become 21.1%.

Manish Dawar : There is a very strong element of leverage in these businesses as you know. If you look at last year's same quarter, the ADS number was 127,000, which has come down to 106k in the previous quarter and therefore there was a significant dip as far as the brand contribution is concerned. And now with the ADS numbers going back to 117k, we have managed to recover on the brand contribution piece also. So, I mean that is the other thing you need to keep in mind that there is a strong leverage which is there and apart from that, as we discussed, the employee expenses and the minimum wage revision in some of the states where Karnataka kind of stands out and KFC has a very strong presence in Bangalore which has also impacted. So, we

need to kind of bear these things in mind and as we continue to build th

e brand, the

ADS improves, and we are very positive that we will be able to get the brand contributions back to where they were for KFC.

Shirish Pardeshi : I got that. That is helpful. Just one little more follow up on KFC. When you say and when we want to deconstruct the SSSG which as the Company which has been flat or marginally negative, but since we are more dominant and we are seeing the benefit in semi metros we are going , so is this SSSG in semi metros or tier I towns is better than metros or this phenomenon is pulling down the SSSG more in the metros ?

Manish Dawar : We've seen the consumer behaviors are uniform , whether it is metro or a non-metro or a small town or a large town because remember that SSSG is also dependent and linked to the kind of store expansion strategy that we are following . So, if you look at for example in the current quarter, we have not grown the number of cities coverage that has remained the same . So, therefore that kind of tends to impact the SSSG a little bit . If I go to a completely new town and I do not open any additional store in my existing cities that will not impact the SSSG numbers. So, therefore there are some other variables also.

Moderator : Thank you very much . Ladies and gentlemen , that was the last question for today. I would now like to hand the conference back to the management for closing comments.

Manish Dawar : Thank you so much. Thank you, Chairman and all the investors , analysts who have been on the call . We do hope that we have managed to respond to your questions satisfactorily . Should you need any further clarifications or would like to know more about our Company , please feel free to contact the Investor Relations team. Thank you once again for all your time today and joining us on the call and participating in our growth journey. Many thanks.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

Call: Nov 2023

Devyani International Limited

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November 15, 2023

To,

National Stock Exchange of India Ltd.
Exchange Plaza, Block G, C/1, Bandra Kurla
Complex, Bandra (E), Mumbai – 400 051
Email: cmlist@nse.co.in
Symbol: DEVYANI BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001
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Security Code: 543330

Sub: Transcript of Investors & Analysts Conference Call

Dear Sir/Madam,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, transcript of the Investors & Analysts Conference Call held on November 7, 2023, post declaration of Unaudited Financial Results of the Company for the Quarter and Half Year ended September 30, 2023, is enclosed.

The same is also being uploaded on website of the Company at www.dil-rjcorp.com .

You are requested to take the above on record.

Yours faithfully,
For Devyani International Limited

Pankaj Virmani
Company Secretary & Compliance Officer

Encl: As above

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Devyani International Limited
Q2 & H1 FY24 Earnings Conference Call
November 07, 2023

Moderator: Ladies and gentlemen, good day, and welcome to Devyani International's Earnings Conference Call. As a reminder, all participant lines will be in the listen only mode.

And there will be an opportunity for you to ask questions after the presentation concludes. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anoop Poojari from CDR India. Thank you, and over to you, sir.

Anoop Poojari: Thank you. Good afternoon, everyone, and thank you for joining us on Devyani International's Q2 & H1 FY24 Earnings Conference Call. We have with us Mr. Ravi Jaipuria, Non-Executive Chairman of the Company; Mr. Raj Gandhi, Non-Executive Director; Mr. Virag Joshi, CEO and Wholetime Director; Mr. Manish Dawar, CFO and Wholetime Director; and Mr. Rahul Shinde, CEO, Yum Brands and Wholetime Director of the company.

We will initiate the call with opening remarks from the Chairman, followed by key financial highlights from the CFO. Post that, we will have the forum open for our question-and-answer session.

Before we begin, I would like to point out that some statements made in today's call may be forward-looking in nature, and a disclaimer to this effect has been included in the results presentation shared with you earlier.

I will now request Mr. Ravi Jaipuria to make his opening remarks.

Ravi Jaipuria: Good afternoon, everyone. I warmly welcome all of you to the Earning Conference Call to discuss the business performance for the Q2 & H1 of the financial year 2023-2024.

I am pleased to share that DIL has maintained its store opening at pace. We opened 115 new outlets in H1, taking the store count to 1,358 as on 30th September 2023. Out of 115 stores in H1, we have opened 68 stores in quarter two

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across our brand portfolio. We are making consistent progress in investing in our core brands and expanding our reach to cover our target customers to capitalize on the available growth opportunity in India. We are now present in more than 240 cities in India.

Th

e consolidated revenue for DIL stood at INR 819 crore for the quarter with a growth of 9.6% on a year-to-year basis. India business witnessed a growth of 12.4% over the same period of the previous financial year. For H1, the consolidated revenue was INR 1,666 crore with a growth of 14.7% over H1 of the previous year. Quarter two is seasonally a low quarter for the QSR industry. Apart from that, quarter two also saw an extended one month of Shravan or Sawan period where a sizable part of the Indian population turns to vegetarian food consumption for a temporary period of time.

As you are aware, Nigeria, one of the countries that we operate in, saw very significant currency devaluation in the previous quarter. As a result, we have seen an all-round impact on Nigerian economy. The devaluation has led to a contraction in the local disposable income levels and hence lower discretionary spending and consumption. We may have to support our Nigerian business financially, given the local situation for the next couple of years until the local situation stabilizes.

We continue to introduce a range of new menu additions and innovative campaigns for our core brands. The market response and consumer acceptance to these new offerings is positive. Our innovation pipeline remains healthy and strong.

High inflation across industries and categories from a macroeconomic perspective has led to a short-term impact on consumer sentiment and depressed consumer spending in the last few quarters. Despite this, our performance is resilient, and we continue to invest in the business for long-term growth. Looking ahead, we are hopeful that the rebound in consumer spending will take place in the next few quarters. We are poised for success in the dynamic and evolving QSR landscape by optimizing menu pricing, reducing wastage, cost controls and improving operational efficiency.

To sum up, our store addition strategy stands as a testament to our belief in the long-term potential of the Indian QSR industry. As we actively grow our presence, we are strategically positioned to tap into the vast opportunities, ensuring sustainable growth and value creation for our stakeholders with the ambitious goal of reaching 2,000 stores by 2026.

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We are on track to inaugurate 250 to 275 new outlets in the current fiscal year. This ambitious expansion coupled with our commitment to customer satisfaction and innovation positions us for success in the dynamic and evolving QSR landscape.

With this, I would like to conclude my address and now hand over to Manish for the

financial highlights. Thank you.

Manish Dawar: Thank you, Mr. Jaipuria. Good evening, everyone. A warm welcome to all of you and thanks for your valuable time for attending DIL's Q2 FY24 Earnings Conference Call, our ninth such call since the listing in August 21.

In Q2 FY24, we opened 68 new stores across our brand portfolio. We now have a footprint of 1,279 stores across our core brands with a total store count of 1,358 stores across DIL. This consists of 594 stores for KFC, 539 stores for Pizza Hut, and 146 stores for Costa Coffee in our portfolio as at the end of quarter two FY24. Our store distribution in India continues to remain marginally in favor of non-metro destinations with 51% of the total core store count.

Operating revenue for quarter two FY24 stood at INR 819 crore, representing a 9.6% Y-on-Y increase. This was supported by a strong growth in the new store openings. Indian business witnessed a growth of 12.4% over the same period of the previous financial year.

As you all know, for the QSR industry in general, Q2 is seasonally a low quarter. Apart from that, Q2 saw an extended one month of Shravan because of the lunar calendar adjustment. During this period, the consumption of meat comes down in the country. Further, there is competition emerging in the pizza category at the local and regional levels.

We are also seeing some ma

rginal consumer preferences shifting in favour of non-pizza category within the largest QSR space. This is being observed mainly, because of the after-effects of inflation where the consumers have tried to balance their wallets and down trade to lower entry points within the QSR industry. In our view, this phenomenon is probably temporary in nature.

The Nigerian economy, where we have DIL operations, is currently in a difficult phase. The local oil prices have shot up multifold coupled with very significant currency devaluation in the previous quarter. This has resulted in a contraction in the local disposable income levels and hence a dent on discretionary spending and consumption. This has led to an all-round impact on our Nigerian business performance as far as the revenue and the margins are concerned. We may have

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to support Nigeria business financially given the local situation for the next couple of years until the local situation stabilizes.

All of the above has impacted the overall consolidated performance of DIL. Slightly lower SSSG and ADS numbers have resulted in lower brand contribution margins in quarter two FY24 at 15.4% versus 18.2% in the previous quarter, because of the de-leverage.

Reported EBITDA post IND-AS for Q2 of the current financial year was INR 159 crore with margins at 19.4% versus INR 173 crore in the previous quarter.

Company operating EBITDA on a pre-IND-AS basis was INR 95 crore versus INR 111 crore in the previous quarter. Operating EBITDA margin at 11.5% for the quarter was lower by 1.6% on a quarter on basis.

During the quarter, we also got the final approval from NCLT for merger of our two wholly owned subsidiaries and the financial results of these subsidiaries have been consolidated into the standalone results. Because of this consolidation, we've had to take some impairment of goodwill appearing in the subsidiary books and the same has been reflected as the exceptional item in the current quarter P&L.

At the same time, this consolidation has also resulted in a one-time gain arising out of the defer tax recognition as part of the tax expense line in the P&L. Profit before tax for the quarter stood at INR 19 crore versus INR 13 crore in the previous quarter.

Taking the discussion to our core brands, KFC in India added 30 new stores in quarter two FY24, reaching a total count of 540 stores at the end of the quarter. Average daily sales for quarter two FY24 was INR 109,000 versus INR 117,000 in the previous quarter. Revenues at INR 509 crore grew 14.9% on a year-on-year basis. Gross margin for KFC at 69% were consistent. Brand contribution margin at 19.4% for the current quarter was lowered by 1.7% on a quarter-on-quarter basis, mainly due to adverse leverage arising out of lower ADS across the portfolio. On premise consumption was 61% versus 63% in the previous quarter.

During the quarter, Pizza Hut added 14 new stores. Revenues at INR 184 crore was flat quarter-on-quarter and grew 1.5% on a year-on-year basis. ADS was slightly lower at INR 39,000 for the current quarter. Gross margins for the quarter came in at 75.7% with an improvement of 0.8% versus the previous quarter. Brand contribution was INR 14 crore for the quarter with the margins at 7.7% which was

lower by 2.4% on a quarter-on-quarter basis, mainly due to higher marketing and ADS deleverage impact.

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Costa Coffee added 23 new stores during the quarter, reaching a cumulative store count of 146 stores as of September 30th. Quarter two FY24 revenue was at INR 35 crore with a growth of 7% on quarter-on-quarter and 57.4% on a year-on-year basis, driven by expansion of new stores. Gross margin was 76.3%, slightly lower versus the previous quarter, because of slightly marginal adverse mix. Quarter two FY24 brand contributions stood at 14.6%, lower versus the previous quarter. The new stores take some time to stabil

ize and reach the maturity level.

Hence, the rapid expansion of Costa stores has impacted the overall brand performance. We expect this to stabilize as we go along.

To conclude, we want to reiterate our commitment to our ambitious growth within the Indian QSR market. We have a target of reaching 2,000 stores by 2026, a milestone that signifies the tremendous potential and demand for our brands. We would like to highlight that the entire organic capex required for this expansion is primarily being planned through our internal accruals, our ability to self-finance growth underscores the financial strength of DIL.

Furthermore, despite our aggressive expansion, we have remained focused on maintaining strong financial performance. As we continue to expand, we remain committed to sustainably increase the ROCEs, reflecting our emphasis on prudent financial management and creating a long-term value for our shareholders.

On that note, I would like to request the moderator to open the forum for any questions or suggestions that you may have. Thank you very much.

Moderator: We take the first question from the line of Tejash Shah from Spark Capital.

Tejash Shah: My first question pertains to the demand environment in general. You specifically called out pressure in pizza category, but just wanted to know post Adhik Maas and then Shravan, have we seen any revival? And I just want a qualitative comment if you can. And the whole expectations which were built up around QSR category getting boost from World Cup and all, have you seen any of those materialize in any form for the sector?

Manish Dawar: Tejash, we will not be able to talk about the specific numbers. But if you look at, Q3 versus Q2, it's seasonally a very strong quarter compared to Q2. We are having a World Cup which is having some impact whenever the big matches are there. At the same time, we have Diwali and Christmas in this quarter whereas in the previous quarter, Adhik Maas not only impacted the non-vegetarian category, but also the population, when they typically try and consume the food inside the home.

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So, there is a small shift which kind of impacts the overall performance. Therefore, from an overall perspective, Q3 should be a better quarter than Q2.

Tejash Shah: Sure. And second on KFC, when we see the gross margin expansion or gross margin movement versus EBITDA margin movement, it slightly looks not in tandem. So just wanted to know is there any one-off or is there any additional cost headwind that has come in that particular franchise?

Manish Dawar: Tejash, there's no headwind as such. If you remember our previous comments, we had said that as far as KFC is concerned, the basket on raw material and packing materials is very stable and is probably in our favour, but at the same time as said in the last quarter we shall continue to open more stores, as we need to address the population which is not currently covered by KFC.

And, therefore, we need to introduce the value layers and also create a test market for KFC Lunch, and KFC Snackers range. So, it's a little bit of mix, but, overall, there is nothing to worry as far as the KFC gross margins are concerned.

Moderator: The next question is from the line of Saurabh Kundan from Goldman Sachs.

Saurabh Kundan: Yes. The first question is on KFC. Your SSSG went from minus 1% in the previous quarter to minus 4%, but when we look at the other KFC franchisees, they were 0% last quarter and 0% this time as well. So, could you help us understand the deterioration in your case? And I'll come to my next question later.

Ravi Jaipuria: Saurabh, we have different geographies between the two franchisees carved out and we are very strong in South. Shravan, the traditional month, or Shravan period has a higher impact in South India versus the other parts of the country.

In West, it's probably lower versus even the rest of the country, we've seen typically it's South fol

lowed by North and then that's where the West comes in. So, because of our presence in South and the mix of the stores depending on where they are located, you see a differentiated performance between the two franchise partners. Saurabh Kundan: Sure. Sure. Understood. And, sir, the next question is on this JV announcement that you have done. I know, it's a bit early, but still if you could just share with us maybe the revenue potential or whether the economics of these food courts are going to be similar to your current store P&Ls or are there going to be any additional cost lines involved? Anything that you can mention on the JV will be appreciated?

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Manish Dawar: Saurabh, we'll not be able to share the business plan as of now. But, you know, that the government has announced a modernization of Indian Railway stations. And if you look at the intent from the Indian Government, they want to modernize the railway stations to match with how the airports look and feel is. And, therefore, given that announcement and the fact that there are so many introductions of fast-moving trains and the entire train tracks are getting upgraded, we see this joint venture to be giving us a big opportunity.

We know that as the railway stations modernize, government is going to be allocating space for the food courts on the railway stations. And that's the reason we formed this JV with somebody who had great experience as far as working with the railways is concerned.

Furthermore, they have their existing businesses, and it's going to be a big asset and big plus for us. However, there is a public tender process that is going to be conducted by Indian Railways, and therefore we will have to bid each and every railway station and food court as it comes along.

But we have our expertise on somebody who knows the Indian Railway system very well, has a great experience of dealing with the railways, and then we bring in our established brands, and our expertise of running the operations at the food courts. So therefore, it's a win-win situation for both of us.

To your other question, in terms of topline, we will be in line with the rest of the food court portfolio, we think it could be in line or it could be slightly better because of the captive very high traffic.

Saurabh Kundan: Right. Understood. One last question on Pizza Hut. I understand your performance is actually better than the other franchisee, but the question is, it's still negative, and are there any initiatives that you are going to take or we are more or less relying on the macro to turn for Pizza Hut to start posting better or positive same store sales growth?

Manish Dawar: See, we've taken initiatives in terms of the new menu introduction by giving a premium appeal to the overall menu. We've taken some initiatives in terms of additional promotions, through value layers and additional marketing spends. When the market turns, we will be seeing a better than the proportionate results, as all these initiatives are getting rolled out, and they would start showing the results as we go along.

Moderator: The next question is from the line of Nihal Mahesh Jham from Nuvama.

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Nihal Mahesh Jham: Manish. The first question was, I think in the opening comments you mentioned about pricing. So has there been any pricing adjustments in either of the brands?

Manish Dawar: There's no pricing adjustment, Nihal, in the current quarter.

Nihal Mahesh Jham: That's helpful. Taking another question on Pizza Hut itself, what I noticed is obviously there's been a significant deceleration in the brand margins and that is very much commensurate with what we've been highlighting about the competitive intensity and maybe a preference shifts away from where we're seeing more preference towards some of the other QSR categories. But if I had to ask you that, even when I compare, say, versus the market leader, the deceleration in the SS

SG

or maybe the ADS performance has seen a much sharper fall.

And that in a way points to a much sharper market share loss for Pizza Hut as a whole, whether looked at for you or for the other franchise. So, what are those specific aspects beyond competition and the category which would have impacted the overall market that is specifically impacting Pizza Hut in your opinion, Manish?

Manish Dawar: Nihal, see in our case if you remember, around the same time last year or little later, we had introduced this fun flavour pizza and therefore the comparisons are a little different. So, as that one-year anniversary kind of goes out for the fun flavour pizza, we will start to see the improvement on the SSSG numbers.

Because the fun flavour got introduced when the inflation was almost at its peak,

we saw a huge downtrend or a downshifting for the consumers from premium category to value layer category. And as we kind of go along, we've tried to address that. We've tried to bring down the mix of the fun flavour. We've introduced the new menu through the premium pizza. So, all of that is showing results and therefore we expect in the next couple of quarters, it should kind of get finalized.

Nihal Mahesh Jham: That's helpful. Just one final question was, you did announce the Costa tie-up with PVR in the middle of the quarter. Just would it be significant in terms of how the potential could be? I'm assuming it will be a lower margin business given it's still a B2B arrangement, but just your comments on the same.

Manish Dawar: Yes, it will be slightly lower margin business as you allude to, Nihal. Right now, we are in the test market phase because PVR also wants to upgrade in terms of their offerings at the food counters that they have within the prime. So right now, we are in the test market phase which will continue maybe for the next couple of months and then we will take a final call and discuss our plans also in detail.

Moderator: The next question is from the line of Ashish Kanodia from Citi.

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Ashish Kanodia: So, the first question was more around demand. So, you know, Q2 and again this time Q3 both will have, you know, some one-off impact. So Q2 had Shravan and then Q3 we will have, you know, Shradh month as well. And, you know, that is why maybe a Y-o-Y comparison is difficult, but just wanted to get your sense that, you know, when you look at just the pure underlying demand on, you know, non-festive days and non-Shradh days or non-sawan days, you know, what are you picking? Is it that the demand environment is, you know, muted similar to what it was maybe a quarter or two back? Is it deteriorating or is it kind of improving? Just, you know, wanted to get more sense around the, you know, underlying demand rather than more from a festive period or a Sawan perspective?

Manish Dawar: Ashish, see there are two ways to look at it. I mean, on some specific days, we see some big numbers coming in and that shows the indication that the consumers are there, they form their habits and they're wanting to come back and so on and so forth. At the same time, if you see on an overall basis, there was this announcement on the savings ratio in the country and the savings are currently sitting at almost all time low.

Now that shows the consumerism in the country setting in, because if you go back by 10-15 years, savings probably was one of the biggest priorities as far as the Indian population is concerned.

Now as we see the spends are higher on the durables as the premium category is doing well, the savings will be lower, which is kind of positive. At the same time, we also need to understand that we've come out of hyperinflation and the consumer wallet sizes have remained the same.

So, it will take a couple of quarters for the consumers to fully come back, as still we are still seeing some job losses in the IT sector. However, overall, we are very bullish. But there are these min

or irritants or the bumps which are there, which will get sorted out as we go along.

Ashish Kanodia: Sure, Manish, that's helpful. The second thing, specifically on KFC, you know, if I look at the ADS between the on-premise and off-premise, you know the on-premise decline in ADS, you know, both on a quarter-on-quarter basis and on a Y-o-Y basis is much severe versus, you know, what you have seen in the off-premise ADS. So, any specific thing or is it just, you know, a seasonality or something like that?

Manish Dawar: See, we are in the middle of World Cup and the other things. Leading up to that, people start to kind of order, and you will see even in the current quarter also, that

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delivery ratios will be slightly higher. So, it depends on how many weekends are there or what kind of festivals are there or what kind of particular days are there. As I have kind of pointed out in the past, I mean, for QSR, the bias remains slightly in favour of delivery because, see, it's a fast-food consumption item. And if let's say we are fully back to working from office post the COVID phase and all, the preferences are coming back as far as home delivery is concerned.

Ashish Kanodia: Sure, Manish. And, you know, just last week, you know, you talked about financial support for Nigeria. So just wanted to get a sense in terms of, you know, right now, what kind of, you know, financial support, you know, you are kind of building in from a, you know, year-to-year perspective?

Manish Dawar: See, we will not be able to give the exact numbers, Ashish, because we don't even

know the extent of how deep it is. Because Nigeria, if you look at the fuel prices, they've shot up by almost 4x to 5x. The currency has got devalued by almost about 64% in the previous quarter. And Nigeria is a dominant import economy and there's a huge amount of transport reliance.

All this has impacted the consumers a lot, but the business continues. The profitability of the business has come down. Because of our small store expansion requirements, we are just kind of putting a line in place.

So, it's not going to be big amounts. It will be a small amount in the overall context of the DIL size. But since in the past we've stated that Nigeria is completely self-sufficient and therefore we are pointing it out very clearly that Nigeria could need some financial support for the next one or two years.

Moderator: The next question is from the line of Devanshu Bansal from Emkay Global.

Devanshu Bansal: Best wishes for the upcoming festive season. Manish, we have maintained that we'll be continuing the expansion through internal accrual. So, wanted to check on what kind of margin recovery is built in our model for KFC and Pizza Hut for the upcoming years?

Manish Dawar: Devanshu, see, if you look at the good days of KFC, we used to get to a brand contribution level of 20-21%. And once the entire situation is stable, the overall macros will start to fire back. We are confident that we'll be able to get back to those numbers. I'm not saying it will happen immediately. It could take a few quarters, but we are confident that KFC can get back to those numbers.

Devanshu Bansal: And for Pizza Hut, Manish?

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Manish Dawar: Pizza Hut will take a little longer time because at Pizza Hut the issues are slightly different versus the KFC. It will probably take a little longer journey.

Devanshu Bansal: Got it. Manish, we also have a higher rural exposure versus the rest of the pack. So, wanted to understand how is the trajectory among rural region versus the urban region? Any color that you can provide here?

Manish Dawar: Devanshu, let me slightly correct you that we do not have any exposure to as we define the rural areas.

Devanshu Bansal: Okay.

Manish Dawar: Because, I mean, I agree with you that we have higher exposure as far as non-metros or maybe Tier 2 or Tier 3 cities are concerned, but we are not even close to

touching rural. If you look at overall QSR industry, we are probably addressing about what 15-16% of the population which is far away from where the rural India is. Having said that, if you were to ask me is there a differentiated behaviour between a metro versus a non-metro, it is not so much. The trends are very similar and if at all the hunger and the aspiration is stronger in smaller towns and that's a good situation for us. Because, if India has to develop, the non-metros and the smaller towns have to develop faster. The way we look at our business, we are well positioned to capture that growth phenomenon.

Devanshu Bansal: Fair point, Manish. Last question from my end. Sapphire sort of indicated implementation of this kitchen solution called Dragontail. What is the outlook here, do we also sort of plan to implement this going ahead?

Manish Dawar: So, we are also working on that and it's an overall solution. Dragontail, I'm sure you must be aware, is owned by Yum!. And they had acquired it a few years back, which kind of obviously optimizes the delivery times and the time it takes for a rider to come to the store versus the handing over of pizza, which kind of ensures that we are able to deliver a better-quality pizza to the consumer with a lower delivery time. We both are working on that initiative, and it will get rolled out simultaneously for the franchise.

Moderator: The next question is from the line of Shirish Pardeshi from Centrum Broking.

Shirish Pardeshi: Two questions. In the beginning, when we see there is a consumer sentiment which are weaker, the burger segments are doing little better than the pizza category. So, does that mean that if the last year Diwali or quarter three was weaker? So base is absolutely benign. And I'm giving the context because last five quarters, Pizza Hut has seen a consistent decline in ADS and also in terms of the

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SSSG. So, in that base and given these events and the festive season and momentum which is picking up, do we think we will report a positive SSSG in quarter three or we will be still in a negative territory? I know it is too hypothetical at this time.

Manish Dawar: See, I will not be able to give you any numbers as far as the current quarter is

concerned.

Shirish Pardeshi: No, will it decline further, or will it remain less than 10%? That's what the question is.

Manish Dawar: As I said earlier, it was around the Diwali time we had introduced the fun flavour pizza and it was the part of the quarter, therefore we will be able to cycle out of this whole thing from Q4 onwards. And that's where we see that things will probably turn.

However, on a macro level, there's nothing wrong with the pizza category. If you see any of the environments where hyperinflation has taken place, not only in India, but any part of the world, people try and downgrade to the lower entry segment. And that's the reason why we are saying, as you pointed out, that's the burger category because that's a lower entry point into the QSR segment and therefore the consumers have switched into that.

But on an overall basis and on the entire concept behind premiumization and upgradation. We all are very confident that the population or the consumers will come back and it's only a temporary piece that we are seeing.

Shirish Pardeshi: Okay, that's helpful. My second question on the post in this EBITDA, we are around at 19.9%, but in this quarter, particularly when I look at, our employee cost has gone up by 26% and other expenses ahead of our revenue growth. So, is there any one-off? And how should we look at the employee cost for the rest of the year?

Because other expenses I can understand, that could be temporary.

Manish Dawar: There are multiple things which is happening in the employee cost, Shirish. One is we continue to expand in terms of the number of stores, on an year-on-year comparison, our stores have gone up by about 25-26%, there i

s a large component

of the employee cost increase which is because of the overall store openings. And because of the lower ADS, the deleverage sets in and your ratio looks kind of slightly adverse versus where it would have been.

Secondly, between, let's say, the year-to-year numbers, we've also seen an increment cycle, not only for the supervisory and the management staff, but also

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for the team members because of the minimum wage inflation. So, that comes in as an increment. And if you remember last time, Q4 we had said that we've taken a provision on account of statutory bonus because of the Payment of Bonus Act and now we've started providing for that on a regular basis. So that is the other impact which is setting in.

So, therefore, if you have to ask me what is that one-time, there's no one-time as such, but the moment, let's say, we kind of cycle throughout, once this whole year passes and we've started providing for the statutory bonus on a monthly basis, all of those pieces will kind of cycle out. And as we continue to kind of see the improved sentiment in macro and the ADS numbers improve, we will see the ratio getting better as far as the employee cost is concerned.

Shirish Pardeshi: Wonderful. Just last question on the JV with R.K. Associates. Now this has happened between DIL and R.K. Associates. So that means more than Yum! brand, we are also looking at opening food courts with the other brands, our own brands also.

Manish Dawar: See, if you look at, Shirish, our current food courts are in Mumbai, Delhi, and in some highways, we do deal with the brands outside the Yum! Portfolio. We have taken specific approval from Yum! for dealing with these brands and therefore that will continue into a new setup as well.

Moderator: The next question is from the line of Deesha from Ankhonia Advisors.

Deesha Jain: I just had a question on Costa Coffee. I wanted to understand if you have taken any price hikes on your products considering the price of milk in the last six months?

Manish Dawar: No, last six months, Deesha, we've not taken any price increase. The milk prices have strengthened in some pockets which has impacted the margins. We've seen a very small similar phenomenon on the coffee beans also, but we've not taken a price increase as yet.

Deesha Jain: Also, just could you elaborate your pricing strategy? Does your pricing strategy of Costa differ from region to region? And also, is there any room to increase the prices of coffee considering that a millennial is willing to pay or is willing to afford today?

Manish Dawar: See, we do not have a region-based pricing, but we do have a pricing which is based on the channel. So, for example, the airports could see a premium pricing versus the normal Costa outlet. At the same time, for example, if you are present in

a premium mall, that could see a slight premium versus the normal pricing, and we are indexed to our key competitor as far as the pricing strategy is concerned and we try and maintain that.

But at the same time, we also need to balance out, because the consumer sentiment is weak for the last few quarters on account of hyperinflation. And we've seen the overall impact on the QSR industry as well. Hence, we are kind of holding ourselves back. As far as the Costa pricing is concerned, we want to address the deeper markets here. We want to enlarge the consumer base for Costa coffee. So, therefore we've not taken any price increase yet.

Moderator: The next question is a follow up from the line of Devanshu Bansal from Emkay Global.

Devanshu Bansal: Manish, sequentially there is a significant drop in head office cost for us. So, is it a usual phenomenon where Q1 sees a higher sort of head office cost and then things normalize in the rest of the quarters?

Manish Dawar: See typically in Q1, you have the impact of increments which is there, but otherwise there's nothing specific. And as

things kind of go along, it normalizes. But otherwise, there's nothing specific to call out as far as corporate office is concerned.

Devanshu Bansal: Okay. So current levels should sustain, right?

Manish Dawar: Yes. I mean, we are hoping as, let's say, the ADS comes back, the leverage will be better because it is a fixed cost. Therefore, as a ratio, it should start to increase and plus, we do have to take some cost initiatives also, that is what we are currently working on.

Moderator: The next question is from the line of Dhiraj Mistry from Antique.

Dhiraj Mistry: So, I would like to ask the question, I am aware that you have guided for 2,000 stores by the end of 2026, but the mix change like the store addition between KFC and Pizza is going to be similar or it would be different from the long term as well as from the near-term perspective?

Manish Dawar: See, we've talked about this in the past. KFC is going to see a stronger store addition in terms of the net new stores, we will see almost 120 to 130 stores getting added every year, whereas Pizza Hut we've brought down the guidance from where it was around the IPO time. We have always said that we have a dynamic

store expansion strategy, depending on what the environment is and what is happening on the brand, we continue to adjust that.

Dhiraj Mistry: Okay. Second question is regarding profitability of Pizza Hut. So, if our ADS goes back to, like, two quarters back like somewhere around INR 46,000 or INR 48,000, our profitability is likely to get back to 10% or it would remain in single digit only?

Manish Dawar: We would not like to speculate on where the ADS numbers could go, but what you're saying and the scenario that you're painting, if the ADS numbers go back to the same numbers, you can see the similar brand contribution levels getting achieved.

Dhiraj Mistry: Okay, the reason why I was asking that is that because of you highlighted that there's a downtrading which has been witnessed in Pizza Hut. Will that materially impact the profitability if the ADS goes back to the original level?

Manish Dawar: We have taken steps to kind of address that mix because when we introduced this, we saw a rapid mix in favour of the fun flavour or the lowest price category because we're in the middle of a hyperinflation scenario. We've taken conscious steps to kind of bring consumers back to the premium category. We've taken some price initiatives also. And again, let's say, INR 47,000 is not going to happen overnight. So, by the time we hit that number, we think things should be normal and we should be able to hit close to the same brand contribution levels or similar brand contribution levels.

Dhiraj Mistry: Okay. Sir, next is regarding last quarter, you highlighted presentation on Vaango also. And in this quarter, you have discontinued that. Can you highlight some reason for that?

Manish Dawar: Vaango is a small business compared to the overall DIL size. I think about less than 3% of the overall DIL. There was a strong demand from the analysts and the investors that we would like to see the Vaango numbers. It's not that we are not going to show the numbers, but what we thought maybe once every few quarters we'll be able to give you the Vaango numbers so that you are able to see how the business is progressing.

So, it's not that we've completely stopped. It could well be once every year or coinciding with the year-end that we will give the Vaango performance regularly. And if you see in terms of the store numbers, we've kind of given the Vaango store numbers also.

Dhiraj Mistry: Yes.

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Manish Dawar: Since it is a small part and that's the reason, we thought that, I mean, from analysts and the investor perspective to save their time.

Moderator: The next question is from the line of Marut Chaudhary, an individual investor.

Marut Chaudhary: So, sir, my question is about Costa Coffee. Like, we have just

started Costa

Coffee, [Femex] Costa, in all stadiums. But why did we start in November, World Cup started in October. So, why didn't we start proactively? Plus, we are still serving only in three stadiums. So, this is my first question.

Manish Dawar: We have set up a kiosk at stadiums in Mumbai and Calcutta. We have not done this before, so we wanted to experiment and see. We are opening new channels, for example, we have tested with a stadium, we are collaborating with PVR to introduce Costa there, we are already doing it at the airports. So, the whole idea is to experiment, test what is successful and what is not. What is the consumer demand. And then we will expand it accordingly and bring it into a regular strategy.

Marut Chaudhary: Okay. I got the same question. The World Cup has started. And the last 12-13 days are just starting. Okay. Quite excellent. Thank you.

Moderator: The next question is a follow up from the line of Saurabh Kundan from Goldman Sachs.

Saurabh Kundan: Yes, just a couple of questions on Pizza Hut. So, is there a very large divergence between your Pizza Hut SSSG in the states that you're present in? Are some states really very bad versus others? Or is it similar across the states?

Manish Dawar: It's similar across the states, across metros, non-metros. There are some pockets which are always an exception, but largely the trends are very similar, Saurabh.

Saurabh Kundan: Okay. And another question, if I remember correctly, in the previous quarter call, I think the management had mentioned that Pizza Hut will return to mid-teens margins in a couple of quarters. If I understood your comments today correctly, now you're saying that it might take a little bit longer for that to happen. Is it?

Manish Dawar: Yes, because we have seen continuous weakness, and it is a matter of what ADS levels can we get to. As we have managed to arrest the decline, through our initiatives on marketing, promotions, menu introductions. You will start to see the ADS improving and coming back, we will also see the margins moving in tandem.

Moderator: The next question is a follow up from the line of Ashish Kanodia from Citi.

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Ashish Kanodia: Manish, so on Pizza Hut, you know, as you recalibrate your store expansion for maybe, you know, next two year, three years given, you know, maybe macro slowdown plus competitive intensity. I mean, you know, when you maybe, you know, interact with the brand owner, maybe with Yum! Brands, you know, is there a discussion or thought process that maybe, you know, instead of kind of, you know, reducing the store expansion, you know, maybe Yum! Brands can kind of support in terms of lower royalty, etcetera?

Because, I mean, at the end of the day, it boils down to, you know, ROCEs and cash flows and, you know, opening less number of stores makes sense because demand is weak, but whenever demand kind of picks up, you know, having kind of deeper density of stores, of course, helps, right. So, had there been any discussion, or do you think this is a feasible model to work on?

Manish Dawar: We and Yum! are continuously engaged as far as any of their brands and the businesses are concerned. If you look at the introduction of value layer, premiumization of the pizzas, the new menu introductions, all of that is in collaboration with Yum!, they are equally concerned as to what is happening to the brand and the brand performance. So similarly, for example, while we've spent additional money on marketing, Yum! has also kind of pitched in with the additional marketing money from their side. So, it is not just that it's only our baby. I mean, we work in parallel, and we work together to kind of ensure that Pizza Hut comes back.

Ashish Kanodia: Got it. But, I mean, what I'm just trying to understand is, you know, for example, they kind of have, you know, some benefits in terms of accelerated store expansion, right? And at a time when sentiments a

re weak, I mean, you know, this is a time when brands normally invest to come out much stronger, right? So, one way, you know, in which Yum! can, you know, help and it's, you know, ultimately everyone's decision there, but to have lower royalty rates and, you know, kind of leave more in the pocket of maybe the franchisee partner to drive that, you know, aggression. So, both are discussing, but do you see this as a feasible model if that has to happen?

Manish Dawar: So, Ashish, we are engaged with Yum!, but so far there is no output as far as royalty discussion is concerned. But again, your point is valid. Because see what happens, let's say, when the ADS is down and the brand is the same, their income levels also come down through the royalty, because it is a percentage of the revenue and it's not a fixed royalty. We are engaged with Yum! on that. So, let's see how that goes.

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Moderator: The next question is from the line of Jaykumar Doshi from Kotak.

Jaykumar Doshi: So, in case if this question was already answered, I'll go back. Now my question is Manish, when you look at your store portfolio, let's say, in two years, you've gone up from 300 stores to 540 stores in KFC 2Q FY22 versus 2Q FY24. And two years back, brand EBITDA margin was 22.4%. Right now, it's down 300 basis points. Gross margin is almost comparable.

So, for the original 250-300 stores that you had, the portfolio of stores you had two years back, has store level profitability or EBITDA improved, it has remained at a similar level? I just want to understand, you know, the numbers that we are looking at on profitability front, is that largely the drag of new stores or is it also slightly lower profitability in other stores versus what you used to do two years back, in quote?

Manish Dawar: Sure. Jai, see there are multiple things at play when you look at either of the brand performance. So, for example, we have doubled the store count and the new stores take time to mature. They take time to reach the overall brand averages in terms of the top line and the bottom line. And that impacts the overall mix. The old stores are stable and are performing well. But at the same time, we are also seeing the external or the macro factors in terms of the inflation, which kind of impacts the overall portfolio. And we've seen the inflation is not just on the food side, it is all across, which has impacted the consumer sentiment and the consumer wallets. Therefore, this impacts the old and the new stores. Similarly, for example, if, let's say, we take new initiatives in terms of value layer, that new initiative will be kind of taken at all the stores. So overall the portfolio is doing well, it is getting stronger, and if we all believe in the QSR opportunity in this country, I think we are in a good place.

Jaykumar Doshi: So, when you think about the next two or three years now, you know, inflationary pressure at least for KFC is almost entirely East. Your gross margins are tracking at a fairly decent level. So, do you see, you know, brand EBITDA margin remain at these levels as you continue to add 100, 125 stores a year? Or will it move up directionally a little up or can it go down further?

Manish Dawar: Yes, as the new stores mature and as the macros kind of improve a little bit, we are confident the ADS will improve. And as the ADS improves, the deleverage that we are seeing currently will kind of go off and so I kind of addressed this question earlier on also that as the ADS improves, if you see in the past, we've seen KFC brand contribution coming in at 21-22% level. And as the macros improve, we think we will be able to kind of hit those numbers back again.

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Jaykumar Doshi: So SSSG recovery will translate into margin expansion?

Manish Dawar: Yes, SSSG recovery, because again remember that as the base is expanding, the new store as a percentage to the base and in terms of dilution also keep

ps coming

down. So, therefore, that is also going to be helping the brand on an overall basis.

Jaykumar Doshi: And final one, on KFC portfolio, you know, now that you are at 540 stores and you're going to be adding another 120, 130 per year. So, are you seeing any impact of cannibalization at all on some of your existing stores? Or it's still, you know, there are enough white spaces, that you see that will ensure that your existing network does not get cannibalized by the new stores?

Manish Dawar: Jay, it's a combination of both, because, for example, it really depends as to where are you opening the store. As we go deeper into the metros which are big consumption hubs, we do see some kind of cannibalization in the neighbouring stores. But overall, as a metro it is not. If you go to a new town or a smaller city,

there is no impact at all. So, it's a combination of various kind of factors. On an overall basis, we think India has a huge potential as far as KFC is concerned because of the macro in terms of the non-vegetarian population, the chicken consumption amongst the non-vegetarian population. If you're going to consider that, we are highly underpenetrated as far as the current KFC penetration is concerned, but also there is a small impact which is there depending on where you're opening the store.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to the management for closing comments.

Raj Gandhi: Thank you so much for your participation in our quarterly results presentation call. We do hope that we have been able to manage all your questions to answer satisfactorily. And should you need any further clarifications or would you like to know more about our company, please feel free to contact our Investor Relations team. Thanks again to all investors, analysts for your time to join in our growth story. Thanks.

Ravi Jaipuria: Thank you so much.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

Call: Feb 2024

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February 9, 2024

To,

National Stock Exchange of India Ltd.
Exchange Plaza, Block G, C/1, Bandra Kurla
Complex, Bandra (E), Mumbai – 400 051
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Symbol: DEVYANI BSE Limited
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Sub: Transcript of Investors & Analysts Conference Call

Dear Sir/Madam,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, transcript of the Investors & Analysts Conference Call held on February 2, 2024, post declaration of Unaudited Financial Results of the Company for the Quarter and Nine Month ended December 31, 2023, is enclosed.

The same is also being uploaded on website of the Company at www.dil-rjcorp.com.

You are requested to take the above on record.

Yours faithfully,
For Devyani International Limited

Pankaj Virmani
Company Secretary & Compliance Officer

Encl: As above

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Devyani International Limited
Q3 & 9M FY24 Earnings Conference Call
February 02, 2024

Moderator: Ladies and gentlemen, good day and welcome to Devyani International Limited Earnings Conference Call. As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Please note that this conference is being recorded. I now hand the conference over to Mr. Anoop Poojari from CDR India. Thank you and over to you, sir.

Anoop Poojari : Thank you. Good afternoon, everyone and thank you for joining us on Devyani International's Q3 & 9M FY24 Earnings Conference Call.

We have with us Mr. Ravi Jaipuria – Non-executive Chairman of the Company, Mr. Varun Jaipuria – Non-executive Director, Mr. Raj Gandhi – Non-executive Director, Mr. Virag Joshi – CEO and Whole-time Director, Mr. Manish Dawar – CFO and Whole-time Director and Mr. Rahul Shinde – CEO Yum! Brands and Whole-time Director of the Company.

We will initiate the call with opening remarks from the Chairman followed by key financial highlights from the CFO. Following this we'll have the forum open for a question-and-answer session.

Before we begin, I would like to point out that some statements made in today's call may be forward-looking in nature and a disclaimer to this effect has been included in the results presentation shared with you earlier.

I will now request Mr. Ravi Jaipuria to make his opening remarks.

Ravi Jaipuria: Good afternoon, everyone. A warm welcome to you all to our Earnings Conference Call to discuss the business performance of DIL for Q3 & 9M FY24.

At the outset, I feel very excited to share with you all that we have successfully completed the acquisition of Restaurants Development Co. Ltd. (RD), one of the franchise partners of KFC in Thailand. This has led to the addition of 283 KFC stores as of December 31st and 274 stores as of September 30th to our overall store portfolio.

We have also maintained the store expansion pace for

RD. We opened 94 net new

stores in Quarter 3 across our brand portfolio. With this, we have added 209 net new stores in the nine-month period, taking the total store count to 1,452 as of December

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31st. With the Thailand KFC acquisition our total store count now stands at 1,735.

Please note that the Thailand deal was completed in January 2024.

We are making steady progress investing in our Core Brands and expanding our reach to cover our target consumers to capitalize on the growth potential in India.

We are now present in more than 250 cities in India.

The consolidated revenue for DIL stood at Rs. 843 crore for the quarter with a growth of 6.6% on a year-to-year basis. Over the same period, our largest business, i.e., DIL India witnessed a growth of 9.2%. From April to December, i.e., cumulative nine months of the year, the consolidated revenue was Rs. 2,509 crore with a growth of 11.9% over the same period of the previous year.

Consumer sentiment remains subdued, despite Quarter 3 traditionally being a strong and festive quarter. We have also seen the impact of certain international geopolitical events on the American brands that we deal with. The Nigerian currency continues to weaken post a significant devaluation a couple of quarters back again, impacting the current results of DIL.

Overall, we believe that the weak consumer sentiment and depressed consumer spending is temporary and short lived, and we are optimistic about witnessing a recovery over the next few quarters. Amid these challenges our operating and financial performances has remained stable and we continue to invest in the business for long term growth. To successfully navigate the dynamic and evolving QSR landscape, we have implemented multiple initiatives this year including optimizing menu pricing, reducing wastage, enhancing cost controls, and improving operational efficiency.

To sum up, our store addition strategy stands as a testament to our belief in the long-term potential of our Indian QSR industry. As we actively grow our presence, we are strategically positioned to tap into this vast opportunity, ensuring sustainable growth and value creation for our stakeholders.

We are on track to inaugurate 250 to 275 new outlets in the current fiscal year. This ambitious expansion coupled with our commitment to customer satisfaction and innovation, positions us for success in the ever-changing QSR sector.

We had previously set ourselves an ambitious goal of reaching 2,000 stores by 2026. You'll be happy to note that, following the completion of the Thailand acquisition, we are confident of achieving this major milestone by the end of the calendar year 2024.

With this , I would like to conclude my address and I now hand over to Manish for the financial highlights. Thank you very much.

Manish Dawar: Thank you Mr. Jaipuria. Good evening everyone . A very warm welcome and thank you for your valuable time for attending DIL's Q3 FY24 Earnings Conference Call , our 10th call since the listing in August 2021.

In Quarter 3 FY24 we opened 94 net new stores across our brand portfolio. We now have a footprint of 1,371 stores across our four brands with a total store count of 1,452 stores across DIL. This consists of 647 stores for KFC , 570 stores for Pizza Hut and 154 stores for Costa Coffee in our portfolio as at the end of Quarter 3 FY24 . Our store distribution India continues to remain marginally in favor of non -metro destinations at 52% of the total core store count. We have added seven new cities in Quarter 3 .

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As Mr. Jaipuria alluded earlier having completed the Thailand acquisition , our total store count now stands at 1,735 stores as at December end. As a result of this acquisition , the total store count for KFC stands at 930 stores out of the total store portfolio that we have. Having announced the transaction in December 2023, we completed the Thailand acquisition as of 17th January 2024 and we will start consolidating the Thailand numbers from Quarter 4 of FY23 -24. Therefore , next quarter you will see Thailand getting

consolidated for approximately 2.5 months. We see Thailand as a great opportunity market for DIL. Apart from KFC we do see the potential to introduce new brands from our existing portfolio over a period of time. The existing Thailand business and the team provides us with a strong foundation from that perspective.

Coming back to the operating revenues for Quarter 3 FY24 stood at Rs. 843 crore representing a 6.6% year -on-year increase. This was supported by new store openings. The Indian business witnessed a growth of 9.2% over the same period of the previous financial year. The October -December quarter saw subdued sentiment within the FMCG /mass discretionary consumer sector , marked by a visible pullback in consumer spending. This period traditionally buoyed by festival spending saw some contraction in consumer enthusiasm , reflecting broader economic concerns and a cautious approach to mass discretionary spending. The impact of this cautiousness extended beyond traditional retail and included the QSR sector as well. We have also seen a strong correlation of some of the international geopolitical events on our business because of some large American brands that we partner with.

Post a strong currency devaluation in Quarter 1, the Nigerian Naira has seen further deterioration and further weakening. As you all know Nigeria is highly food dependent economy and the currency impact has resulted in a contraction in the local spending power and consumption. As a result of this we have seen an all-round impact on our Nigerian business performance as far as the revenue and the margins are concerned. The currency impact because of the restatement of dollar denominated liabilities has been captured as part of pre Ind -AS EBITDA and the same has affected DIL's consolidated results as well. As we stated earlier , we have to support Nigeria business financially given the local situation for the next couple of years until the local situation stabilizes.

The gross margin for the consolidated business was flat on a quarter -on-quarter basis and improved by almost 130 basis points over the year -on-year quarter. However , the deleverage in top line as a result of lower radius numbers across KFC and Pizza Hut has led to the impact on brand contribution margins. The brand contribution in Quarter 3 stood at 15.4% flat versus the previous quarter. Reported EBITDA which is post Ind-AS for Quarter 3 for the current financial year was Rs.146 crore with the margins at 17.4% versus Rs. 159 crore in the previous quarter. Consolidated operating EBITDA on a pre Ind-As basis was Rs. 79 crore versus Rs. 95 crore in the previous quarter. Operating EBITDA margin at 9.3% for the quarter was lower by 2.2% on a quarter -on-quarter basis. This is mainly on account of the booking of FOREX loss as a result of the further weakening of Nigerian currency and the ADS deleverage impact.

Taking the discussion to our core brands :

KFC in India added 50 new stores in quarter FY24 reaching a total store count of 590 stores as at the end of the quarter . Average daily sales for Quarter 3 FY24 was Rs. 104,000 versus Rs. 109,000 in the previous quarter. Revenues at Rs. 524 crore grew 14.1% or on a year -on-year basis. Gross margins for KFC at 69.4% improved by 40 basis points over the previous quarter. Brand contribution margins at 19% for

the current quarter was lower by 0.4% on a quarter -on-quarter basis , mainly due to

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deleverage arising out of the lower ADS. On premise consumption was 60% versus 61% in the previous quarter.

During the quarter Pizza Hut added 30 new stores. Revenue at Rs. 180 crore was lower by 2.2% on a year -on-year basis . ADS was Rs. 37,000 versus 39 ,000 in the previous quarter. Gross margins for the quarter came in at 75.8% flat versus the previous quarter. Brand contribution was Rs. 11 crore for the quarter with margins at 6.1% which was lower by 1.6% on a

quarter -on-quarter basis mainly due to A DS deleverage impact.

Costa Coffee added eight new stores during the quarter reaching a cumulative store count of 154 stores as at 31st December 2023. Quarter 3 FY24 revenue was at Rs. 40 crore with a growth of 14.6% on a quarter -on-quarter basis and 36.4% on a year-on-year basis , driven by expansion of new stores. The gross margin was 77.2% , an improvement of 0.9% versus the previous quarter. Quarter 3 FY24 brand contribution stood at 14.9%. As you all know , the new stores take some time to stabilize and reach their maturity level. Hence the rapid expansion of Costa stores has impacted the overall brand performance. We expect this to stabilize as we go along.

To conclude, we want to reiterate our commitment to our ambitious growth within the Indian QSR market. We have set a target of reaching 2000 stores by 2026 , a milestone that signifies the tremendous potential and demand for our brands. With Thai acquisition , we will be able to meet this target by end of calendar year 2024. The Thailand acquisition will result in external debt in the books of DI L. On a consolidated level the Thailand debt will also get consolidated once we start to consolidate the balance sheet as we consolidate the numbers from next quarter . The gearing ratio remains in a comfortable zone despite Thailand acquisition and consolidation. As we continue to expand , we remain committed to improving our financial performance reflecting our emphasis on prudent financial management and creating long-term value for our shareholders.

On that note I would like to request the moderator to open the forum for any questions or suggestions that you may have. Thank you very much.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Vivek Maheshwari from Jeff eries.

Vivek Maheshwari: First question is on Pizza Hut ; given where the brand is in its journey YOY or a quarter -on-quarter decline in ADS to a level that it has come to and the fact that you have added stores at an overall level unlike KFC where you have added stores and revenues are increasing despite decline in ADS. In the case of Pizza Hut that has not happened . What are your medium -term aspirations or ambitions over here with this brand?

Manish Dawar: So, Pizza Hut while we've added 30 stores in the quarter, but you would have seen that overall , our additions are much lower compared to what we have guided and what we've added in the past. So , we are cautious about what is happening on Pizza Hut. We also recognize that there's strong competition which is emerging. However , we've taken steps in terms of the visibility for Pizza Hut as a brand. We've taken steps in terms of the in-store experience as far as the consumers are concerned. And therefore , we are confident that Pizza Hut top line and the ADS numbers will come back once the overall macro sentiment improves and we will start to kind of trend in line with the overall category growth.

Vivek Maheshwari: Manish , there is also concern for your competition that the aggregators have actually in a way democratized and the pizza offerings have gone up quite a bit. In such a

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setup I would have thought that you would have better chance because of whatever product fatigue or brand fatigue , or you are a challenger brand. So , you could have also participated in that. Where are you on this issue versus the competition and the fact that the market is probably getting a bit fragmented ?

Manish Dawar: So, if you see Vivek typically for example post the COVID time , the local competition virtually got eliminated because of the various constraints that the overall business was under , whereas now we are seeing that is coming back and therefore the food aggregators have a good opportunity from that point of view. Overall , from our strategy point of v

iew as we said earlier that for example during the hyperinflation time, we introduced Fun Flavor pizza and we saw down trading happening within our portfolio. We've compensated that through the premium end side. We've also compensated by reducing the number of offerings that we've had on the fun f flavor side. And that's how that gives us the comfort that we will be able to come back on Pizza Hut.

Vivek Maheshwari: And on the KFC side Manish, likewise the ADS at let's say at 104k which is I think lowest at least in the last 12-13 quarters. Do you think that 3rd Quarter captures the worst and ADS should not go down any further or you still think that things are tough?

Manish Dawar: The overall macro environment continues to be challenging. One obviously is from the consumer spending part and then on top of that as we've discussed in our comments, we've seen some bit of impact on the American brands as well because of the overall global geopolitical situation. And we've analyzed our numbers, we've seen a very strong correlation between what is happening outside to what is happening with the brand. So, therefore, we are more in the process of consolidating and making sure that we grow from here. But we will need to see when the macro environment improves, and it'll take a couple of quarters by the time it stabilizes. Vivek Maheshwari: And last one Manish and Mr. Jaipuria, big picture on Thailand how you are thinking about, what is the aspiration over here? What will be the medium thought process in terms of growth and profitability, anything that you can talk about now that the acquisition is done?

Manish Dawar: So, Vivek from our perspective Thailand gives us a good opportunity. One obviously it is an Asian economy. It is still not a developed economy as the western world or Singapore or for example some of the Middle-east countries. So, there is a great scope for growth in Thailand. Second if you look at from the economy perspective, the way the exchange rates and the interest rate environment is, it is a lot more benign versus what we've seen in India. At the same time if we look at the local consumption from a perspective of outside home food consumption, the incidence in Thailand is sitting at almost about 8 to 9 times in a week. And this I'm talking about Thailand as an overall country versus let's say if you were to compare that to India, given our target population which is roughly about 12%-15% of the Indian population and that incidence sits at once in 35 to 40 days. So, from that point of view, economically it's in a good zone, the growth potential is still available. Poultry is a dominant consumption medium as far as the meat consumption is concerned and that is true with some of the Asian markets. KFC is a market leader in that country with close to almost +1000 stores. McDonald's, which is a distant #2 at about 25%-30% of the store count. So, we saw Thailand as a great opportunity. We also see that within that there is an opportunity to introduce our own brands in Thai portfolio. And that's the reason we are bullish, and we did the deal. On an overall basis it was a great valuation, I mean you've seen the multiples that we've acquired this business at. That is where our confidence stems from as far as the Thailand deal was concerned.

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Vivek Maheshwari: And just one small follow-up; in terms of margins, I think that business is about 15% give or take whereas India margins are about 20% at brand contribution level. So, what is the thought process on the margin bit?

Manish Dawar: Over a period of time, Vivek we are very confident we'll be able to get to the India levels. And please remember that Thailand as an economy is highly tourism dependent. If you look at the data the COVID impact is still there. They have still not fully recovered from tourism perspective as well. So, as the overall tourism

recovers, the brand numbers start to improve. The positive leverage would also come in for the brand. Therefore, in our view the margin levels should improve from where the numbers are.

Vivek Maheshwari: Just a feedback from some investors who have this worry that the Thailand foray doesn't in any way represent your concern or whatever the slowing QSR and Devyani's position in India. So, that's just one thing that some investors have expressed concerns about. I don't know if you can address it here or not but yes that's about it.

Manish Dawar: So, we are not slowing down on India and obviously India is an independent strategy. It's not that the Thailand acquisition will impact whatever plans or the growth aspirations we have for the Indian business. So, that will continue. But at the same time, given the current environment, it's a good hedging bet as well.

Moderator: The next question is from the line of Devanshu Bansal from Emkay Global.

Devanshu Bansal: Wanted to check, as in this calendar year also we are targeting aggressive store expansion. So, are formats like Pizza Hut, Costa Coffee sort of generating enough

free cash flow to sort of support this expansion that we are planning to ?

Manish Dawar: Devanshu , they are . KFC has not changed compared to our model , whereas Pizza Hut has been impacted . As far as the Indian overall potential is concerned , then we have to continuously invest because this business is a store -by-store business. We have to build brick by brick store by store. So , it is not that once the India potential emerges we'll be able to say that we can add now 3000 stores in a year together. We have to be at it at the same time as we alluded in the past that we follow a dynamic store addition strategy. So , we've tapered down Pizza Hut a little bit and increased KFC a little bit. If the current situation continues , we will adjust some bit of numbers here and there but overall, our investment is more from a long-term point of view. We still believe that as far as Indian market is concerned the long-term potential is huge and QSR is underpenetrated and therefore we need to invest.

Devanshu Bansal: And from margin perspective ; while there was a SSD decline for both formats , KFC Pizza Hut. But in KFC we have been sort of able to deliver a relatively better margin performance compared to Pizza Hut. So , wanted to check is there any kind of difference in operating models for the two brands where costs are more variable for KFC vis-à-vis Pizza Hut?

Manish Dawar: The leverage impact or the deleverage impact whatever you may call it is much stronger on Pizza Hut because if you look at the KFC ADS numbers , they are much stronger . Whereas Pizza Hut are lower numbers and therefore , a small change as far as the top line is concerned impacts the margin more dramatically. So , once we are able to cross those threshold levels , even Pizza Hut also will get into that zone. But to that extent KFC is insulated. KFC is a better business obviously and that is one of the considerations that we factored when we acquired and got th e Thai land opportunity , as it was a good KFC opportunity.

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Devanshu Bansal: Manish , can you also talk about the funding of capital required for Thailand as in where is the capital going to be raised and what is the interest rate associated with that?

Manish Dawar: The total value of the business was about Rs. 1,060 crore. Out of th is DIL is investing Rs. 340 crore roughly and th is is what we borrowed locally from the banks in India.

Tema sek represented by C AMAS is investing another about Rs. 325-330 crore. And therefore , they are participating with us at Dubai level. And then there was a local debt which was sitting in Thailand , which is replaced by a lower cost debt now as part of the deal .

Moderator: The next question is from the line of Saurabh Kundan from Goldman Sachs .

Saurabh Kundan: My question was whether if you can quantify the geopolitical impact you were talking about on KFC and on Pizza Hut?

Manish Dawar: In the middle of the macro environment that we have in terms of what is happening on the inflation side and on the consumer spending patterns , though it is difficult to quantify but we can draw correlations between the se two. We can talk about this more in detail in one -on-one sessions. But there is a strong correlation.

Saurabh Kundan: The second question is on Pizza Hut, just wanted to know is there a minimum target committed to Yum? Is that why the expansion can't be completely paused? I'm not suggesting completely pause it but just theoretically can it be completely paused?

Manish Dawar: Theoretically you can completely pause it and obviously when we work with Yum , there are targets defined. And we are working on these targets , we can see th at for the last 25 -26 years and we have never ever defaulted on th ese targets. It's the fact that we believe in business and we believe in the brand and that is the reason we are expanding.

Saurabh Kundan: Where in the reported P &L is the Nigerian currency impact recorded? It's about 2% of sales , is it?

Manish Dawar: Yes. It's a good point that you've raised. So , if you look at a few quarters back , when the devaluation had set in , we had reported this as discussed with the auditors at start of the quarter. Whereas now because it is business as usual although not official devaluation, but the currency is still weakening , we have merged this with our overall operational numbers. So , when you look at our presentation of the numbers it sits as part of the overall G &A, which is the brand and corporate G &A which is the difference between the brand contribution and the pre Ind-AS EBITDA. The reason the expenses are at an elevated level is because it has an element of number coming out of Nigerian currency.

Moderator: The next question is from the line of Percy Pa nthaki from IIFL .

Percy Panthaki: One quick accounting related question. If I basically derive your corporate or common costs by deducting the restaurant EBITDA margin from the total company's EBITDA margin , that number around Rs. 50 crore is much higher than your usual

run rate of around Rs. 30 crore. So, can you explain that?

Manish Dawar: Percy as I said, this number accounts for the Nigerian currency devaluation impact. This is an exceptional item which earlier used to be below the EBITDA.

Percy Panthaki: How many more quarters we will see this unallocated or corporate costs at this inflated level?

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Manish Dawar: I will not be able to predict as to how the currency behaves going forward.

Percy Panthaki: Assuming that the currency is remaining where it is today, then will you see, is this a permanent rebasing upwards or it will anniversarize and the cost will come down at some point of time?

Manish Dawar: Let me just give you some numbers so that you're able to understand it better. So, pre the devaluation, the Nigerian Naira to a dollar was roughly around 450-460, somewhere in that range. Post the devaluation it got pegged at about 660-670 whereas currently it is sitting at almost close to +900. So, it's a very significant devaluation which has happened. But just to give you a broad guidance in terms of what is the normalized number as far as the G & A is concerned, you can take roughly at about 5% on the current top line basis.

Percy Panthaki: And this would include whatever currency impact is there?

Manish Dawar: No, this is without the currency impact.

Percy Panthaki: Now my question was that supposing if this remains around 900, do you see this extra Rs. 20-odd crore continuing into perpetuity or does this anniversarize and come down? I just wanted to understand the accounting of this.

Manish Dawar: So, if it remain

s at a 900 level, you will not see a further impact. And therefore, as far as the currency is concerned it will revert to the original level and same as the balance sheet because we've taken the impact of 900 at all line levels and already factored that in.

Percy Panthaki: So, this will come down by which quarter, immediately in Q4 or it will take a couple of quarters for it to come down?

Manish Dawar: You're talking about the currency?

Percy Panthaki: Yes, this extra Rs. 20 crore in the corporate cost is what I'm talking about.

Manish Dawar: Let me just elaborate it better. So, next quarter if the currency remains at 900 then you will not see further impact in the books.

Percy Panthaki: So, then it will come back to the original Rs. 30-35 crore kind of a number.

Manish Dawar: Exactly. If the currency comes down to say 700 level, you will see the benefit coming in. If the currency goes to the 1000 level you will see the hit coming in.

Percy Panthaki: Secondly, I just wanted to ask on Thailand. It's a good acquisition in terms of the valuation and the good part is that it's a decent margin business already. You don't have to do any major surgery on it, but just wanted to understand from growth point of view. KFC is a very strong brand, already having very high market shares in the QSR space. From here on increasing market share even if it does is not going to be a major delta. Secondly, as you mentioned, the eating out frequency is also decently high. I don't know how much upside there is on that also and there are many stores also. In terms of increasing the number of stores, I don't know if that is a big lever. Would I be right in assuming that Thailand will not be a very high growth geography for you? I just wanted to understand on Thailand one is that the brand already has a pretty high market share. Secondly the number of KFC restaurants are also sort of decently high. And thirdly the number of eating out occasions are also much higher than what they are in India. Considering all this would I be right in assuming that this franchise will not be a fast-growing franchise for you?

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Manish Dawar: Let me explain you the dynamics of Thailand Percy. As part of the overall diligence and acquisition we had got an independent market study done in terms of what is the potential for KFC in Thailand. And that study indicated that we can actually double the store count. I'm talking about KFC as a brand and not RD as a company. So, if there are total about 1000 KFC outlets in Thailand, over the next 7 to 8 years we can actually double that count. This is what the market study indicates. Therefore, that is one potential. Second if you look at when we talk about outside home consumption which I said is almost sitting at 10 times, this is not the consumer that is coming to QSR readily. So, for example when we talk about outside home food consumption, this would include the street food, this would include the fine dining, this would also include if you were to pick up a sandwich from a 7/11 or Marks and Spencer for that matter. Over a period of time as the income levels grow the consumers will keep on graduating and will keep on up-trending to the premium

brands and to the KFC because it already is a very strong brand there. At the same time if you see the dominant contributor to the street food also in Thailand is fried chicken. As the consumers upgrade, they would come to KFC and therefore, all of that kind of gives us the confidence that from a growth perspective the opportunity is still there.

Moderator: The next question is from the line of Jaykumar Doshi from Kotak.

Jaykumar Doshi: My question is on Thailand acquisition and broader framework. So, with this acquisition the international contribution to EBITDA will be over 25% or so. I know India business EBITDA is depressed at this point of time. But do you

have a sort of

framework in mind or would you keep consider or evaluate more opportunities in the Yum! ecosystem outside of India? Is there a threshold that international may not cross 30% -35% in the medium term in terms of future investments?

Manish Dawar: Jay, as a strategy as we said earlier, we are not diluting as far as the India strategy is concerned and there's no change as far as the India growth aspirations is concerned. You would have noticed that there are multiple questions that even in a subdued macro environment we have continued to invest, this is because we believe in the long-term potential of this country. Having said that, Thailand came up, it was a great deal and we managed to structure it well. It was addition to where India sits. It has an opportunity from other brands perspective also. So, therefore, we've not laid a framework and our focus continues to be India. As of now we are not evaluating anything else.

Jaykumar Doshi: Secondly, there is a lot of noise in numbers, geopolitical sort of headwinds as well as weakness. But when you look at your January numbers SSSG or December, where the base was weak. By any chance can you give us some color if you were to adjust it for geopolitical headwinds that you probably may have? Is there a sort of further deterioration in SSSG trends even on a weak base or is it similar to what it was in August -September or is there any optical improvement in SSSG?

Manish Dawar: Jay, it is kind of too early to talk about the January numbers.

Moderator: The next question is from the line of Nihal Mahesh Jham from Nuvama.

Nihal Mahesh Jham: My first question was that if I look at KFC last quarter, we had the impact of Adhik Maas where we still delivered a decent performance. And maybe the expectation was that despite the base being favorable and the fact you don't have the impact, the performance would have improved. So, is it just in your experience the worsening of the macro situation or any other specific factors which has led to say the worsening of the SSSG performance for KFC specifically?

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Manish Dawar: I think it's a combination of macro elements Nihal. In terms of the spending power, in terms of what is happening on the lending side if you look at the overall consumer debt, it is sitting at almost all time high. There are multiple macro events which are kind of there and then as we talked about this whole geopolitical event which is there. It's a combination of various macro situations which is impacting the overall performance.

Nihal Mahesh Jham: Related question on Pizza Hut, now with fun-flavor being in the base, you did highlight that some of the initiatives that we are taking in terms of maybe increasing the visibility of the brand. What else in your understanding at least if you look at competitor data and the performance are the missing points which you can improve which can get Pizza Hut back to the trajectory, we were seeing a few quarters back?

Manish Dawar: In terms of missing points Nihal, as such there are no missing points. But as you mean the local competition also is getting very significant and with Zomato and Swiggy obviously kind of extending their reach and helping the local competition, to some extent that is also impacting the overall brand. Then of course the macro elements that we've talked about KFC they get applied to Pizza Hut also. It is not that the pizza category is isolated category. If at all I would say the traction is more on non-pizza category than the pizza category.

Nihal Mahesh Jham: Just one final question if I may that when we look at the dynamics you mentioned about why you went ahead and acquired the KFC operations in Thailand. This kind of a framework maybe even applies to some of the other southeast Asian countries and now the African because we don't have say a currency issue here also. So, i

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you apply the very framework are you then wanting to explore some of the other opportunities available or would it be that once the Thailand acquisition in a way fructify or we see the results will we go ahead and look at the next leg of international acquisitions for us?

Manish Dawar: Nihal, every country, every business and every brand is different and how they are positioned in the local market is also different. Overall, we will not be able to compare what some of the other acquisitions or some of the other players have resulted and what their experience is. We are bullish for the reasons that I've explained on the call earlier. Let's see how it pans out. As I said earlier as of now, we are not evaluating anything and our focus obviously is India and the focus is to kind of understand and learn the Thailand business, integrate it with the Indian business and make sure that we are able to leverage on the opportunities which are there in Thai market, both from margin as well as the top line and the new brands that I talked about. There is an agenda for Thailand as well, we are focused right now on that only.

Moderator: The next question is from the line of Tejash Shah from Aventus Spark.

Tejash Shah: Manish, you spoke about consumer sentiment being one of the reasons for the challenging ADS for KFC and Pizza Hut. But surprisingly and positively we are not seeing the same trend playing out in Costa. So, would you say that the competitive landscape has a higher weightage for the drag down there versus in something like Costa where perhaps it is, I'm just assuming it is relatively better.

Manish Dawar: Coffee penetration versus a pizza penetration or versus a chicken penetration is sitting at a very different level. And we are highly underpenetrated as far as Costa is concerned. At the same time for example if you look at Costa has a good presence at the airports and high footfall locations. From a travel perspective, the airports are doing well. So, therefore, to that extent Costa is kind of less impacted versus the other categories.

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Tejash Shah: But how would ADS and penetration, is it that after 200 -300-500 store benchmark as we go along the ADS potential for the incremental store actually drags down the average?

Manish Dawar: No, let me explain you, for example if you look at the presence of Costa Coffee at the airports for example. If you look at our airport performance versus a High-Street performance for Costa is very different. The High-Street performance of Costa would mirror what is happening with KFC and Pizza Hut whereas the airport performance for Costa is very different. The airport presence for KFC and Pizza Hut is much lower compared to what Costa's presence is.

Tejash Shah: And second, in this quarter have we closed down any store across different formats?

Manish Dawar: We have closed some stores for Pizza Hut. As we've kind of guided in the past that our store closure target is always under about 6% -7% of the new stores that we open, so we are well within that.

Tejash Shah: And the vintage of the stores that we have shut down, were they opened after the COVID or before COVID?

Manish Dawar: It's a combination of both.

Tejash Shah: Lastly despite the subdued consumer sentiment that you called out, our store expansion is getting accelerated. It also kind of as you said that it qualifies your belief in that turnaround is imminent. Any quantitative data that you look at to get that confidence or is it just a cycle that we are hoping that it will turn around at some stage?

Manish Dawar: I agree with you that we are bullish on the store expansion, but we have kind of tapered it down as far as Pizza Hut is concerned because we are seeing a higher impact on Pizza Hut. If you remember around the IPO time, even IPO and post that almost for whatever more than a year, we were targeting Pizza

Hut to open almost

+100 stores every year whereas now we are talking about opening 60-70 Pizza Hut stores. We have tapered it down and to that extent we have adjusted the opening numbers. On an overall basis if you look at Costa, we have upped the numbers which kind of compensates for that. On KFC we have upped the numbers a little bit. So, from a portfolio perspective what you are saying is right. But within that we are kind of adjusting the numbers to whatever is required to be done.

Moderator: The next question is from the line of Dhiraj Mistry from Antique Stock Broking.

Dhiraj Mistry: My question is again back to Thailand. You have already mentioned what kind of growth and all you would be envisaging from Thailand. It's an immense growth opportunity. My question is related to the funding of that growth whether the Thailand business is enough cash flow generating business where there no additional capital requirement would be required or whether it would be self-funded from Thailand business itself?

Manish Dawar: It will be self-funded from Thailand. Again, as I said we have to kind of get into greater details with the business. But the models that we worked out, one as far as the store expansion strategy is concerned for Thailand, they will be able to self-fund it. At the

same time whatever debt also is sitting in the books of Thailand , they will be able to repay that also from the cash flows that they are generating. It's just been a couple of weeks when we have completed the transaction. We have to do some more work. But as of now it appears that we will be able to kind of put Thailand in a self-funding zone.

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Dhiraj Mistry: And for other geography like Nigeria is facing right now headwind but in future down the line for other international business , for Nepal or Nigeria , whether that would require future funding from the India's cash flow, or it would be again if there is no enough cash flow generation from that business , we will take a pause on their expansion ?

Manish Dawar: Even Nigeria and Nepal also we've talked about in the past that they are kind of self-funding in terms of whatever expansion they are doing. Nigeria we've got into this situation because of the unforeseen and very significant currency devaluation. That's the reason we are talking about some funding. Otherwise , once this situation stabilizes even Nigeria also will be self-funding only and that is how it was in the past as well.

Dhiraj Mistry: On Pizza Hut, if I look at competitors' data their SSSG decline as well as ADS decline is much lower than what we have witnessed. So , despite fun flavor pizza we have been kind of losing market share to the market leader. What kind of strategy you are trying to play apart from fun flavor pizza to increase footfall or gain market share in that Pizza Hut segment?

Manish Dawar: Overall, Dheeraj as you mean despite the fact that pizza is the largest category in the Indian QSR space , it is still a growth category. And relative to each other what you're saying is right. But there's a strong emergence of local players and they are also kind of fueling the entire growth in the category. Our strategy is mainly around innovation and value as far as the pizza market is concerned. That is what I have alluded to earlier. The brand still remains a strong brand as far as the consumer recall is concerned. The customer experience is great from a dining perspective. Therefore , that's what gives us the confidence that we should continue to kind of expand Pizza Hut.

Dhiraj Mistry: One last question from my side. Like KFC in this quarter , we have added 50 stores. We have witnessed gross margin expansion on a quarter -on-quarter as well as on YOY basis. But the EBITDA margin has contracted a bit. Is this EBITDA margin contraction purely because of the store addition what we have done during the quarter or is there any other factor as well?

Manish Dawar: It's mainly coming out of deleverage Dhiraj because for example as you know, and you've seen the ADS and the SSSG has come down while we've managed to maintain the margins. But overall , because of these two reasons deleverage also sets in and that is what gets impacted for the fixed expenses and that's how it is.

Moderator: The next question is from the line of Majid Ahamed from Smart Sync Investment Advisory Services .

Majid Ahamed: My first question is what's your view on Nepal market? I'm seeing there is slow growth there in the market and what's your plan there?

Manish Dawar: Nepal Majid as you know is a small country and has a very limited opportunity. We operate both KFCs and Pizza Huts in the Nepal market. We have got about 25 stores across our brand portfolio and from an opportunity standpoint that market presents about 2-3 stores a year. So , it's not a huge opportunity versus India and it gets managed largely out of the eastern region from India. So , there are no big overheads that we incur. But on its own it's a great market. KFC is a very strong brand so therefore it kind of works very well for us.

Majid Ahamed: One more question that I have is what's the view on Vaango? There's no t any store addition and nothing is happening there. Any thoughts you can give on Vaango?

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Manish Dawar: So, Vaango is a good medium to long term bet and as you know , the Indian food brands are difficult to scale up because of highly regionalized and highly domesticated flavors. And therefore Vaango, we are building cautiously. So , there is a value proposition that we are creating with Vaango, and we are optimizing all of that. In the long term we believe that as the overall dynamics for QSR play out there is a strong potential for Indian brands also and that is how we are building Vaango.

Moderator: The next question is from the line of Shirish Pardeshi from Centrum Broking .

Shirish Pardeshi: I think we have been in the business for many years, and we understand the consumer psyche , how it is moving and what is. We could do lot of things around

Pizza Hut but I was a bit surprised on the KFC part of the business with the negative SSSG. So, what is it that, though the external factors are important but in terms of value layer what we have introduced but this time it has not responded. My therefore straight question is that is it that the niche consumer is not attractive finding a solution for moving to KFC? I understand Pizza Hut will have a problem but these all factors are not working, so, what more needs to be done?

Manish Dawar: Shirish, you come from consumer background, and you know that the consumer brands take number of years to kind of get built with a particular proposition. So, to your question in terms of what is happening, obviously there is a macro level environment which is impacting KFC as well and that is the reason the numbers are where they are. But to your other point from a lunch perspective, we've introduced the lunch, but it will not happen overnight. We are bullish that there is a space available and therefore we will be able to capitalize on that space over a period of time. But it'll get built, and we are very confident about it. If you were to look at our Wednesday proposition, we've been at our Wednesday proposition for a number of years now and that is today how Wednesday has become a very sizable contributor to our weekly sales. So, therefore, from a consumer perspective you have to introduce, you have to optimize, you have to be at it and that's how we are approaching KFC.

Moderator: The next question is from the line of Latika Chopra from J.P. Morgan.

Latika Chopra: For Pizza Hut, it seems the off-premise sales actually were under pressure in the quarter versus on-premise sales. Anything specific that drove this kind of trend?

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Manish Dawar: If you look at our overall off-premise has remained at the same level as a percentage to the overall brand sales. I think the off-premise has gone up by about one percentage point versus let's say the previous quarter. Therefore, there's nothing. It's overall directionally the ADS is lower, and it is getting contributed from both channels which is off-premise and on-premise.

Latika Chopra: I was comparing it probably to a year ago trend on a Y OY basis. So, that's why I was just trying to understand why the share kind of moderated by a percentage point.

Manish Dawar: Because as far as Pizza Hut portfolio is concerned, our trends if you were to look at, it's part of our presentation also. They have pretty much remained the same between off and on-premise.

Latika Chopra: The second thing was could you give us any fixed opening targets that are in mind for FY25 and the split across the core formats? I know this number could be dynamic depending on the demand situation but at this point how are you thinking about FY25 store openings?

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Manish Dawar: So, as we've said in the past, Latika we are looking at overall about close to 275 or maybe 250 to 300 stores. That's a little larger bracket for FY25 also. The broad constituent will be about 120 to 130 for KFCs, another 70-80 for Pizza Hut, 50-60 store for Costa Coffee. So, that's a broad constituent that we are looking at.

Latika Chopra: At this point we are maintaining that rollout plan and then keep reviewing it every quarter.

Manish Dawar: Yes. That's correct.

Latika Chopra: And the last bit if I may, I understand there was an impact due to some of those external factors that you alluded to for KFC and Pizza Hut. But in your assessment if you adjust for them and you look at the underlying SSSG, what impacted that more? Was it a reduction in average ticket size or was it reduction in footfalls adjusting for those external factors to the best possible assessment for KFC and Pizza Hut? Also, if you could also talk a little bit about the product mix that will be useful.

Manish Dawar: So, for the external factors that we've talked about it's largely we are seeing very clear correlation with the transactions because the transactions have dipped to that extent. There is a trend and a correlation available and that is what has resulted in the overall impact as well. So, as far as APC is concerned, obviously it is kind of trending better versus the transactions in this quarter.

Moderator: Thank you. Ladies and gentlemen, that was our last question for today. I would now like to hand the conference over to the Management for closing comments.

Raj Gandhi: Thank you, Mr. Chairman and all the investors, analysts who have been on the call. I do hope that we have been able to respond to your questions satisfactorily. Should you need any further clarifications or would like to know more about our Company please feel free to contact our investor relations team. Thank you once again for your time today to join us on this call and participate in our growth journey. Thank you very much.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

Call: May 2024

Devyani International Limited

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May 21, 2024

To,

National Stock Exchange of India Ltd.
Exchange Plaza, Block G, C/1, Bandra Kurla
Complex, Bandra (E), Mumbai – 400 051
Email: cmlist@nse.co.in
Symbol: DEVYANI BSE Limited
Phiroze Jeejeebhoy Towers ,
Dalal Street, Mumbai – 400 001
Email: corp.relations@bseindia.com
Security Code: 543330

Sub: Transcript of Investors & Analysts Conference Call

Dear Sir/Madam,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 , transcript of the Investors & Analysts Conference Call held on May 14, 2024, post declaration of Audited Financial Results of the Company for the Quarter and Financial Year ended March 31, 2024, is enclosed.

The same is also being uploaded on website of the Company at www.dil-rjcorp.com .

You are requested to take the above on record.

Yours faithfully,
For Devyani International Limited

Pankaj Virmani
Company Secretary & Compliance Officer

Encl: As above

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Devyani International Limited
Q4 & FY' 24 Earnings Conference Call
May 14 , 2024

Moderator: Ladies and gentlemen, good day and welcome to Devyani International's Earnings Conference Call . As a reminder, all participants' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes . Please note that this conference is being recorded .
I now hand the conference over to Mr. Anoop Poojari from CDR India. Thank you,

and over to you, sir.

Anoop Poojari: Thank you. Good afternoon everyone, and thank you for joining us on Devyani International's quarter 4 FY' 24 Earnings Conference Call. We have with us Mr. Ravi Jaipuria, Non -Executive Chairman of the Company ; Mr. Raj Gandhi, Non -Executive Director; Mr. Virag Joshi, CEO & Whole -time Director and Mr. Manish Dawar, CFO & Whole -time Director of the Company . We'll initiate the call with opening remarks from the Chairman, followed by key financial highlights by the CFO. Post that, we'll have the forum open for a question -and-answer session. Before we begin, I would like to point out that some statements in today's call may be forward -looking in nature and a disclaimer to this effect has been included in the results presentation shared with you earlier.

I will now request Mr. Jaipuria to make his opening remarks.

Ravi Jaipuria: Good afternoon everyone. I warmly welcome you all to our earnings conference call to discuss the business performance of DIL for the fourth quarter and the financial year 2023 -24. In a tough consumption year, we have diligently focused on our strategic expansion goals over the course of the year. We opened 256 new stores, including 47 in the fourth quarter.

As of March 31, our total store count has reached 1,782, including the 283 KFC stores we acquired in Thailand on January 18, 2024. The year was also marked by successful acquisition and seamless integration of the Thailand KFC business. The

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transaction which was completed during quarter 4, has been a significant mi

lestone

for us. This development has expanded our international footprint, and the same is in line with our long -term growth objectives of having a mix of international businesses. The business in Thailand is performing reasonably well and the results are in line with our expectations.

Alongside our global expansion, we have also been working on a strategy to enhance our domestic footprint of Food Courts business in response to India's emergence as a major destination for travel, tourism and shopping. The domestic travel market is picking up very well and we are seeing religious tourism as one of the important thrust areas. India is also gaining importance in the international market for medico tourism and the value -for-money shopping destination.

All these changes are structural in nature and here to stay. There is a common theme that runs across this phenomenon that is Food , on-the-go. With this strategy and to cater to the rising quick trend, we are making food courts as one of the important pillars of our growth aspiration across various consumption channels and touch points of travel and shopping.

Our existing bouquet of brands will help us with this strategy. We have also tested the concept of food courts in multiple locations across such touch points. Needless to add, that we are pleased with the consumer response and performance of our existing food courts.

With this objective, I'm pleased to state that DIL has entered into a strategic partnership with PVR INOX to develop and operate the business of food courts at shopping malls across the country to co -promote movies and food. This will not only help us strengthen our presence at various malls in the country, but will also give a boost to our brands and the food court business. This agreement is in addition to other existing strategic tie -ups for food courts across highways, malls, railways, apart from some of the airports and highways that we already operate.

As I said before, food courts will be one of the key focus areas for us going forward apart from our existing core brands. Consumer sentiment continues to be weak throughout the year , weak disposable income, tight liquidity position, local consumption, geopolitical situation were the major drivers for the weak consumer demand. The Nigerian currency continues to significantly depreciate during quarter 4, resulting in a significant impact on the full year results of DIL.

Coming to India, we expect things to improve , post the elections and some stability on the West Asia geopolitical situation. In our view, the weak consumer sentiment

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and depressed consumer spending is temporary and short -lived. Amid these challenges, our operating and financial performance has remained stable and we continue to invest in the business for long -term growth. To successfully navigate the dynamic and evolving QSR landscape , we have implemented multiple initiatives this year, including menu optimization, reducing wastage, enhancing cost controls and improving operational efficiency. These initiatives have helped us to

deliver the results.

To sum up, we believe in the long -term potential of the Indian QSR industry. As we actively grow our presence, we are strategically positioned to tap into this opportunity, ensuring sustainable growth and value creation for our stakeholders. With this, I would like to conclude my address and now hand over to Manish for the financial highlights. Thank you.

Manish Dawar: Thank you, Mr. Jaipuria.

Good evening everyone. A very warm welcome and thank you for your valuable time for attending DIL's quarter 4 & FY ' 24 Earnings Conference Call, our eleventh call since the listing in August 2021.

Having completed the Thailand KFC acquisition our total store count now stands a

t

1,782 stores as of the year -end. We have a footprint of 1,692 stores across our core brands out of a total store count of 1,782. This consists of 941 stores for KFC, 572 stores of Pizza Hut and 179 stores of Costa Coffee. Our store distribution in India continues to remain marginally in favor of non -metro destinations.

The operating revenue for FY ' 24 was INR 3,556 crore, a growth of almost 19% over the previous year. Indian business witnessed a growth of 12.3% over previous financial year. quarter 4 FY ' 24 revenue stood at INR 1,047 crore, representing a 38.7% Y -on-Y increase. This was supported by the Thailand KFC acquisition and new store openings. We have consolidated Thailand numbers with effect from January 18, 2024.

The gross margin for the consolidated business including Thailand was 70.3% for the full year versus 70% for the previous year an improvement of 30 basis points on a full year basis. The margins for quarter 4 were lower because of Thailand consolidation and a significant currency impact in Nigeria. As you know, structurally Thailand and Nigeria operate at a lower gross margin for KFC business versus Indian business.

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The brand contribution for the full year was at 15.5% versus 18.7% for the previous year. The deleverage in top line because of lower ADS numbers across KFC and Pizza Hut along with Nigerian currency issues has led to the impact on brand contribution margins.

The pre -Ind AS margins for the full year for the consolidated business was 10.7%. Reported EBITDA (post-Ind AS) (including Thailand) for the FY' 24 was 18.3%. During the quarter the same number was 16.6%. Consolidated operating EBITDA on a pre -Ind AS basis was INR 96 crore versus INR 79 crore in the previous quarter.

The Nigerian currency continues to weaken in quarter 4. During the financial year Nigerian Naira has got depreciated by almost 200% versus the USD. As a result of this, the Nigeria business has recorded an impact of INR 236 crore forex loss on account of USD denominated liabilities. Out of this amount, INR 90 crore has been recorded as exceptional item in the P&L for the full year and INR 147 crore has been recorded under other comprehensive income. The impact of significant depreciation in Nigerian currency has been taken as part of exceptional items in quarter 4, unlike the previous quarter.

In view of the above, DIL has also taken a full impairment of its investment of INR 116 crore in Nigerian business through its subsidiary, RV Enterprises Pte. Ltd .

There is no impact of such impairment in the consolidated financial results of the Group because the impairment has been taken in standalone books.

The PBT for FY ' 24 on a consolidated was INR 3.7 crore. The main drivers for the variance compared to the previous year has been significant currency impact out of Nigeria, deleverage impact coming out of Indian business and marginal impact because of Thailand consolidation.

With respect to RD Thailand acquisition, DIL has recorded the purchase price allocation on a provisional basis. As per the IND AS , DIL has a measurement period of up to 12 months from the date of acquisition and hence to that extent, this is subject to final adjustments.

The total debt in the books at a consolidated level is INR 910 crore as of March 31, 2024. Out of this, INR 835 crore in the bank debt consisting of INR 470 crore at international and INR 365 crore in India. The gearing position, despite this debt on a consolidated basis sits comfortably below 1 as of the year -end and debt -to-EBITDA coverage is almost 1.28x.

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Taking the discussion to our cor

e brands, KFC in India added 106 new stores in FY' 24, reaching a total count of 596 stores at the end of the year. Average Daily Sales for quarter 4 was INR 93,000 versus INR 104,000 in the previous quarter. Revenues at INR 494 crore during the quarter grew 11.3% on a Y -on-Y basis. Gross margins for KFC during the quarter was 69.9% thereby reflecting an improvement of 50 basis points over the previous quarter. Brand contribution remained healthy at 19% for the current quarter.

During the year, Pizza Hut added 61 new stores reaching a total count of 567 stores in India. Revenue for the full year was INR 709 crore versus INR 700 crore in the previous year. ADS was INR 32,000 versus INR 37,000 in the previous quarter. Gross margins for the quarter came in at 77.3% versus 75.8% in the previous quarter. Brand contribution was INR 7 Crore for the quarter with margins at 4.4% which was slightly lower on a quarter -on-quarter basis mainly due to the ADS deleverage impact.

Costa Coffee added 67 new stores during the fiscal year reaching a cumulative store count of 179 stores. Quarter 4 FY ' 24 revenue was INR 45 crore with a growth of 13.6% on quarter -on-quarter and 36.3% on a year -on-year basis driven by expansion of new stores. The gross margin was 76.7% in quarter 4. Brand contribution in quarter 4 stood at 17.9% an improvement of 3% versus the previous quarter.

To conclude, we want to reiterate our commitment to the ambitious growth plans within the Indian QSR market. As we continue to expand, we remain committed to improving our financial performance, reflecting our emphasis on prudent financial management and creating long -term value for our shareholders.

On that note, I would like to request the moderator to open the forum for any questions or suggestions that you may have. Thank you very much.

Moderator: Thank you very much sir. We will now begin the question and answer session.

The first question is from the line of Tejash Shah from Avendus Spark.

Tejash Shah: I wanted to pick your brain on how are you seeing demand scenario evolving now for both the brands in India or rather all the three brands in India and how should we think about this year both on store expansion and SSSG? How are you kind of budgeting for this year?

Manish Dawar: So Tejash, as we said the last 1 year demand has been weak and we do hope that, post the elections we should start to see some improvement. At the same time, you

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know that quarter 1 is seasonally a better quarter compared to quarter 4. And therefore, you will see some better numbers in the next quarter.

Having said that, there is no change in our overall thinking. We remain bullish on the QSR space in medium to long term and that's the reason we continue to kind of invest in our brands, in the new strategic tie -ups, in Thailand acquisition. As far as we are concerned, there could be some quarterly adjustments here and there, but we are absolutely bullish on the overall opportunity that is there in QSR especially in India, and therefore we continue to press ahead and invest.

Tejash Shah: So just elaborating on that. Elections should not be a trigger , right? In the sense, post elections is it just a hope or you have some granular data which you can't share obviously which gives you hope that demand will bounce after election?

Manish Dawar: Tejash , we'll not be able to share th at granular data, but on the ground again it's too early to comment, but we are seeing some green shoots and we hope that they are kind of live d long.

Tejash Shah: And second and last this pivot that we are making towards aggressive or more focused expansion on food courts. So just wanted to know what consumer insight, the market insight have led us to kind of make this pivot?

Ma

nish Dawar: See, if you look at the new generation consumers or if you look at the current trends, people want more choices. They want quick choices. At the same time, travel is gaining a very significant movement within the country. Shopping is gaining significant movement on an overall basis.

And therefore, through this whole strategy we want to be available at all the channels and touch points. Despite the overall slowdown the travel and tourism traffic is almost at an all -time high. India is becoming a good international destination for reasonable shopping also. We are seeing a lot of tourists coming into the country and they've started shopping in metro destinations. And you would have also noticed that with this strategy we talked about a small railway joint

venture. We've talked about a strategic tie-up for highways openings. We already have talked about PVR, as Mr. Jaipuria has alluded in his speech. We are trying to kind of make food courts as a comprehensive strategy which will span across the airports, the food courts, the highways, the malls and everywhere. So that is how we are approaching it. And within the tourism also if you see there's a lot of religious tourism which is gaining momentum. And at some point in time we've already started working on in terms of how do we get to these religious sites also with the initiatives we've taken.

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Tejash Shah: And sir how does the store economics of food court works out versus let's say our traditional store?

Manish Dawar: We've been operating food courts for a reasonably long time not at a scale that we are now anticipating, because the footfalls are high and the consumer choices are available. It's a mix of our own brands and international brands. The profitability is better than the traditional brands and the payback period also for the food courts are very attractive.

Moderator: The next question is from the line of Jay Doshi from Kotak.

Jay Doshi: A couple of bookkeeping questions to start with. What was the revenue contribution and EBITDA contribution of KFC Thailand in quarter 4?

Manish Dawar: Jay, we've disclosed the consolidated results and India results. So, therefore by subtracting the India numbers you can get to international numbers. Now within that if you look at this predominantly it has come from Thailand only. As Nigeria is sitting in a negative zone as far as the bottom line is concerned. So, it is predominantly all contributed by Thailand. And what we talked about at the time of acquisition, the business is more or less in line with that. We've seen some bit of impact of the geopolitical situation in some of the stores in South, but barring that, the business is doing very well.

Jay Doshi: So you mentioned predominantly the entire international EBITDA is KFC Thailand?

Manish Dawar: Largely.

Jay Doshi: Understood. So that would be close to INR 30 crore in that case or somewhere around INR 27 crore, INR 28 crore?

Manish Dawar: I am not putting a number.

Jay Doshi: So Manish, how do you propose we evaluate the progress of this transaction?

Normally, companies sort of share performance of inorganic acquisitions for at least a year.

Manish Dawar: Jay, we can evaluate that and come back to you. As of now, we are considering the India piece as one and the international piece as another. But we take your suggestion on board, that for at least a year we should look at Thailand being given separately. So, we will evaluate and come back to you.

Jay Doshi: It will be very helpful, thanks. Second is this partnership with PVR. Essentially, if you can give us some color in terms of what would be the contribution of PVR

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INOX to this partnership? What would be the role of both the entities, Devyani as well as PVR INOX? And what is the investment you can get from them?

Manish Dawar: We are still working on the entire business plan and will not be able to share the investment numbers as of now. But the whole thesis is that the footprint of malls is huge, and PVR is a very strong contributor. PVR is one of the favoured tenants whenever a good mall is coming anywhere and is the first ones to get approached for a cinema. The entire cinema space functions like an anchor tenant and they are informed about the mall's timeline much earlier than we are. By the time the food courts get ready and the rest of the mall gets ready, and brands are given spaces for fit-outs and other preparations, the cinema is already well aware of the schedule. This is where we saw a significant strategic advantage in partnering with PVR. Also, there is a captive footfall that PVR has in terms of people who are coming to watch movies, people who are PVR loyal fans & customers, and therefore, our objective is to combine the food courts along with PVR so that we can co-promote the movies and foods. And if you look at other countries, it's a great concept, and it's a very, very significant value creator.

Jay Doshi: Understood. So primarily, the focus to start with will be on the pipeline of malls that are currently under development, and where there would be opportunity to sign contracts, long-term contracts or operations of food courts. Devyani's role would be largely operating the food court part and PVR's role would be, given the relationship with the developers and they already would have a lot of leases pertaining to that, is that right understanding?

Manish Dawar: Yes. That is the right understanding. Plus , all the brands will come from DIL, we have the operational capability and the expertise. PVR on the other side, have a strategic advantage in terms of how they are located and their relationship with the landlords and the mall owners. So , it's a great win-win combination for both of us.

Jay Doshi: Sure. Lastly, there are a few investor questions and perhaps concerns around some of the senior management exits that happened in the March quarter. So your thoughts on this and whether we should expect stability going forward? And if there was any slippage in execution associated with this attrition that you can share.

Manish Dawar: Jay, see, we are a large company now with a huge management bandwidth and a vast talent pool available. So therefore, there is nothing to worry about. Virag was handling it earlier while Rahul was there, and Virag continues to handle. So , from that point of view, there's no big change. At the same time, Rajat has been with the Company for almost 13 -14 years, and he wanted to move to South to be closer to his family. He gave his best to the Company in any case. So we don't expect any

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disruption or significant changes because the strategy remains the same. We've all been working on that defined strategy. And therefore, if at all, things should be better.

Moderator: The next question is from the line of Abneesh Roy from Nuvama Institutional Equity.

Abneesh Roy: Yes. Further to the questions on PVR deal, one is, in existing properties, is there any kind of an opportunity available? Second is around nine months back, PVR and Costa Coffee had signed the deal. So , because that one is doing well, we are now at the next level of the relationship , is that what is happening? And if you could give some kind of an update on that deal also. Third is , in existing property, just like Costa Coffee is also there. Now more such brands of DIL, can they come there?

Ravi Jaipuria : Well our first tie-up, which was with Costa and PVR is doing extremely well. We are very happy with it, and we are expanding our plan with them. We are opening Costa Coffees with them on a weekly basis practically. And we have already opened close to 80 Costa Coffees in the PVR, and it will be expanded and adding great value to our business. It's a great advertising place, because all the customers who are coming to PVR, are the right consumers for Costa Coffee. So , I think it's a great thing for both of us, and we are definitely looking to add more products with PVR. And especially with this JV, which is for the food courts, I think it will add a lot of value for both of us.

Abneesh Roy: And in the previous question, you mentioned outside India, this co-promotion of foods and movies is far more prevalent and far more successful. Any particular country you want to highlight so that we can get more examples how this can pan out in India also?

Manish Dawar: So you can look at a country like U.K., UAE, U.S., for example, I mean, all of the cinemas and screens are surrounded by the food courts or eating joints, and they have a strategic tie-up in terms of combo deals and so on and so forth.

Abneesh Roy: Sure. And the genesis of this, is it because slowdown is being felt both by PVR and for you also? So , is this more because of this , because PVR and you both have existed for many years. So why now? Is the slowdown one part of the reason? Because you did mention the co-promotion, you did mention that both can promote each other. So , is the slowdown one of the reasons for doing this now?

Ravi Jaipuria : No, it's nothing to do with slowdown. It's just that it takes time to build relationships. And we started our relationship by having a joint venture with Costa. And then both

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of us felt happy and it was successful. And partnering with PVR is the next step we have taken.

Abneesh Roy: Understood. So , the last question on Thailand. So wanted to understand competitive intensity there versus India, in that part of the business. And second, the gross margin seem to be lower there, as you said. So , what's the reason for that? And any progress we can see in three, four years in terms of the margin gap between the two businesses?

Ravi Jaipuria: There will be some scope to improve the margin, but the volumes per store are much higher there than what it is in India. The rentals are much lower there.

Overall, that's what the margins are in that part of the country and it's a very good business. KFC is the market leader in Thailand. Against 1,000 stores of KFC, they have most probably 200 -250 stores of McDonald's.

Manish Dawar: So Abneesh, Thailand is more mass market for the brand. And therefore, that's the

reason the focus is more on the number of transactions rather than the margins . If you see the eating -out culture in Thailand is very strong and fried chicken is one of the important contributors for the street food. So that's the reason the KFC positioning is a little different in Thailand versus India.

Moderator: The next question is from the line of Devanshu Bansal from Emkay Global.

Devanshu Bansal: Congratulation on a good margin execution in the quarter. Just a small bit on the food court , is it like food courts within theatre premises? Or the common food court that is there in the malls? Just wanted a clarification on that?

Manish Dawar: So, it is the new properties that we are discussing, Devanshu. It is the common food court in the mall, not inside a theatre , whereas if you look at the Costa Coffee tie-up we have with Costa, that is inside the movie premises. The way we design and make it contiguous varies from property to property.

Devanshu Bansal: Got it. And will it be

like only our brands? I just wanted to check with competing brands be comfortable with such kind of a relationship because there are global precedence? So any views here?

Manish Dawar: See, it depends on the nature and size of the property. We would prefer to include our bouquet of brands that are already there. We have a good bouquet of brands available . If there is a space available, we can consider adding other brands too. For instance we do run some of the mall food courts in Calcutta and Noida, where we also feature other brands.

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Devanshu Bansal: Got it, Manish. And secondly, I wanted to check there has been a strong sequential improvement in gross margin across our core format. This is like all -time high gross margins in our limited reporting history that is there. So , I wanted to check what are the steps that we have taken to improve this? And is this a sustainable trend?

Manish Dawar: It is a sustainable trend, Devanshu . Since the hyperinflation we experienced , things have stabilized , they have not come down dramatically. However, with our negotiations, we are seeing good results. We've also done menu optimization, as Mr. Jaipuria mentioned in his speech, which is helping. We continuously evaluate how we look at the promotions at all three pieces . In the middle of the current consumer sentiment , we are taking all the steps to ensure that the margins are protected and that is what we are continuously kind of striving towards and delivering.

Devanshu Bansal: And a follow -up on this, so Manish, under such weak demand scenario, is this a significant savings on promotions? Or is it like more cost cutting, et c., supply chain efficiencies that we are building?

Manish Dawar: See, promotion is a small element, but there are opportunities available to tweak. Because when you're coming out of a hyperinflation, the consumer also is looking for more value -for-money products. We've introduced the value layers as we have talked about in the previous calls. But wherever the opportunity is there, we just keep refining the promotions, make it more effective and targeted. And at the same time the cost saving opportunities which are there are clubbed in.

Moderator: The next question is from the line of Percy Panthaki from IIFL Securities.

Percy Panthaki: First question is on Pizza Hut. Now that it's been many quarters into the slowdown, have we and when I say we, I mean both the franchises as well as Yum Brands put together, the 3 parties of you , done some kind of soul -searching as to what is really going wrong with the Pizza Hut format? I understand that there is an overall slowdown, I understand that these are the categories affected more. However, if you look at the difference in performance of SSSG versus Pizza Hut versus the other competitors that you have, the difference in SSSG is very stark, like 15% points, 10% points and so on. So why is it that on a competitive basis, we are losing out? I can understand the overall macro trends and the consumer being under pressure, et c. But at least on a market share basis, we should not be performing so badly. So what is the reason for that? And what are the steps we are doing to address it?

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Manish Dawar: Thanks, Percy, great question. Let me just give you a little bit of history to help us understand the current situation with Pizza Hut. So , Pizza Hut has always been a premium brand in the mind of consumers. Be it the quality, pricing, overall look and feel of the store . During the period of hyperinflation, we tried to experiment with Fun Flavour pizza , which lowered the overall pricing struct

ure . In hindsight we can call ourselves wiser , but this move impacted the brand positioning . Premium consumers who came to Pizza Hut with a particular expectation, found that the Fun Flavour pizza , despite its attractive price point, did not meet their expectations . And probably that's the reason we think it impacted the brand so much and will take some time to recover. We have taken initiatives in terms of putting more money on the premium side of pizzas, advertising and marketing to win back the consumers . We are doing product innovations and are taking all the steps to make sure that Pizza Hut kind of comes back to its original positioning. But we are still seeing that in numbers, and that's the reason we've kind of slowed down Pizza Hut expansion a little bit, and we are a little more cautious there.

Percy Panthaki: So, 2 sub -questions to this. In light of the fact that Fun Flavour is basically what you've identified as a culprit, is that something that you would want to discontinue? And second sub -question is that we have seen this happening across many brands over the last 2 -3 years, that all the brands have launched more affordable variants. Even in KFC, which has been a premium brand, you have launched meals at INR 99, and you've launched that roll at INR 119 or something like that. And we have not seen an adverse effect on that for the overall brand and the other offerings. So why is it that this kind of an adverse impact is happening only in Pizza Hut?

Manish Dawar: See, it's a different proposition, Percy. For KFC, the core consumer is all about chicken on the bone. And we've not touched the pricing or the quality of chicken at all. Now in consumers' mind, pizza is a pizza, if you can get a pizza at INR 79 or INR 99 versus a pizza at INR 200, it will be perceived as the same pizza. However , the ingredients, toppings , and cheese varies from one pizza to another, but from a consumer point of view, a pizza is still a pizza. Whereas , when we talk about KFC, wraps and rolls are considered side dishes, it's a very distinctive proposition. This is probably why we are experiencing more challenges with Pizza Hut.

Percy Panthaki: Understood. Second question was on the margins. As someone just mentioned, your gross margins are at an all -time high, and this is at a time where consumer sentiment is poor, demand is poor, we are in negative SSSG zone on both the brands. So , don't you think it would be sort of prudent to give back value to the consumers in terms of lower pricing or higher promotions, probably bring down the

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margins, which might hurt in near term, but that would lead to some kind of revival on the top line? Your thoughts on that.

Manish Dawar: Percy, it depends on how you want to get back to the consumer. If you look at KFC, we've launched entry -level pricing range or a value proposition for consumers with items like rolls and wraps . This helps us attract new consumers and build our consumer base . With Pizza Hut, we tested with Fun Flavour pizza with that objective, but it did not succeed. Therefore, we need to keep experimenting with various models , some will work, and some will not. Also, It is not just about increasing the price to achieve margins. Pricing is a very small component. It's the whole efficiency which is coming in.

Percy Panthaki: But like have you done some kind of sensitivity? Supposing you cut your pricing on an average by 2% to 3%. What kind of impact does it have on your overall sales? So what is the price elasticity of demand? Is it more than minus 1, less than minus 1? How does it affect?

Manish Dawar: See, this category is all about large big -bag announcements , so let's say, 2% to 3% will not make any difference from a con

sumer point of view.

Percy Panthaki: No. I'm saying at the portfolio level it will be 2%, 3% and for some of the other products it might be more also.

Manish Dawar: Correct. You can consolidate that from a different promotion level. As we keep on experimenting with promotions. There are promotions which are working, where we can continue to be aggressive. Whereas the promotions which are not working and are a drag, we continue to cut it down. So that's how the margin optimization happens.

Moderator: The next question is from the line of Srinath V. from Bellwether Capital.

Srinath V.: Yes. Just looking at the reported numbers of the food aggregators and whatever newspaper articles we're able to get of the unlisted aggregators , seems to be growing at a much faster pace than most of the listed QSR universe. And so I wanted to understand how is the competitive dynamics stacking up? Is there a shift in palette towards more Indian cuisines? Or how do you kind of read this data broadly? Would like to hear your thoughts.

Manish Dawar: If you look at the market that you're trying to address and the market that the food aggregators are addressing, that's a far bigger market. For example, if I were to

talk from Mumbai perspective, a vada pav guy who's putting a cart, in Dadar, he can reach the Andheri consumer and vice versa. Whereas in our case, they can

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capture a much bigger share of the unorganized market by making sure that the delivery is seamless, by making sure the logistics are working well. If you look at food services market, it is not that it is mirroring whatever is happening on the food aggregators. It's just that they continue to expand, they continue to penetrate more. And it's a combination of listed players, it's a combination of unorganized market, it's a combination of local competition and so on and so forth.

Srinath V: Got it. Because if you kind of look at the outlet growth or restaurant growth these platforms are growing north of 20%. So, is it that there is a significant new addition of say new pizza players or local chicken players? Have you seen an escalation of competitive intensity which is periodic. In a 10-year window you do tend to have a couple of years which have heightened competitive activity. Are we in one of those zones right now?

Manish Dawar: See, it is there, but at the same time please understand and I'm quoting something from what was available in public domain. If you go back a couple of years, there was this unearthing whereby at one address, there were some 160 restaurants which are being run. And so here you will take 160 restaurants as the restaurant addition all with different GST numbers and so on. If you come to the brand with listed players, it's all kind of available. You can see it, you can touch it, you can feel it.

Srinath V: Got it. My second set of questions would be on Costa Coffee. Our excellent performance both in SS SG and store addition. So, again is there a big trend change because we are seeing multiple unlisted players getting funding and at this time we are also seeing very good numbers roll out.

So is there some sort of coffee culture change or cafe change? One would be that. And second, I wanted to understand how the food menu qualitatively, how the food menu is playing out in Costa Coffee broadly? That would be great.

Manish Dawar: Sure. See coffee is an aspirational category that appeals to the youth, and therefore has a great scope. Globally, coffee is a large category. For example the Chinese market has not fully transitioned from tea to coffee, but if you look at the performance of Starbucks or some local players in China, it shows the coffee market is thriving. You cannot get the same quality of coffee sitting at your

home as

you can get from a Barista, whereas tea is something you can easily make at home. So therefore, coffee market has that unique niche and it's here to stay. Coffee is a category which is growing and has a huge potential. You would see multiple players are entering the market, including local players, which are doing

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very well. We are serious about Costa Coffee and that's the reason Mr. Jaipuria also talked about that we started experimenting with PVR for putting up coffee machines, Costa Coffee machines in their cinemas, which is doing well. As far as food part is concerned, I would say food contribution is going up. It is still not at the ideal stage, that it's still a little bit of work in progress. But if you go to any of the consumer panels and look at their studies, the common feedback is Costa Coffee is the best coffee available in the market.

Srinath V: Yes. So in the Mumbai airport, it is absolutely fantastic. Just want to slip in a last one, is the delivery of coffee being a trigger point for Costa growing as well as the whole segment growing? Is it moving from a 100% dining kind of format to a pro-delivery format, at-home consumption of outside brands? Any views?

Manish Dawar: We have consumers coming in and ordering for home delivery. But you cannot have the same experience at home. I mean, if you deliver Cappuccino at home, by the time it reaches home, it's probably 30% of the top is gone, there are those challenges. But there is this increasing traction, which is coming in, whereby consumers are asking for coffee to be delivered at home.

Moderator: The next question is from the line of Ashish Kanodia with Citigroup.

Ashish Kanodia: Hi, Manish. So, first on the Thailand business part. So, if I look at the last 4-5 quarters data, which was reported earlier, the brand contribution margin was between, 14% to 15%. So just maybe not exactly on a number, but was there any meaningful deviation from that kind of a brand contribution margin versus what you have reported this quarter? Because on the international part, the brand contribution margin now stands at 10%. So definitely, there's a bit of impact on Nigeria, but I mostly wanted to check if Thailand was still in that ballpark 14%, 15%

range?

Manish Dawar: Ashish, it is still in that range. As I said, there was a little bit of impact in South because of the geopolitical situation, but that is a handful of stores. So, there was a very slight dilution. But directionally, it is absolutely the same numbers that we talked about earlier. There's no change.

Ashish Kanodia: Sure, Manish. And secondly, in terms of store expansion. So I think, you have alluded earlier as well that there will be more calibrated store expansion. So looking at FY '25, what are the thought process in terms of expansion across the core brands in India?

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Manish Dawar: So Ashish. Overall, we are looking at a similar number, which is 275 to 300 stores. I know, and I do realize that in FY' 24 we were a little short. But overall, on an operational basis, I think we've done exceedingly well in the middle of slowdown and all. We are not changing any of our numbers. It remains same at 275 to 300. KFC remains a similar number, no change at all. Pizza Hut, as I said, we'll be a little cautious in terms of how we are opening the store given the overall brand performance. And obviously, we've taken initiatives there, so let's see how it pans out. But otherwise, no big change in the strategy.

Ashish Kanodia: Sure, Manish. That's helpful. And last bit, this entire discretionary slowdown has been sustaining for almos

t, say, 1.5 years, 2 years now and has impacted across categories. So when you look at the new real estate deal sign-ups, are you seeing more lucrative offers? And especially if you can just throw some light that, do you see that some of the other non-international brands, are they feeling more pain and they are locating to some of the good real estate. So is real estate availability and cost becoming accretive hereon?

Manish Dawar: Ashish, as I talked about earlier, if you look at India overall as a market, the real estate probably is only in top 50 to 70 locations. Beyond that, real estate is not a challenge. If you look at prime commercial areas in Delhi, Mumbai and other metro towns, the prime retail space is heavily fought for. But the moment you step out of the metros, or you go to even, suburban areas of metros and the smaller towns, real estate is not such a big challenge. There is availability, you can negotiate, the brands are respected, landlords are willing to tweak their terms and are willing to sit on the table and so on and so forth.

Moderator: The next question from the line of Gaurav Jogani from Axis Capital.

Gaurav Jogani: My question one is with regards to the slowdown that you're seeing in the overall ADS numbers. Would you allude it more this on the pricing of the value format or it is largely due to the reduction in the transaction size across performance?

Manish Dawar: Gaurav, it's a combination of both. The transactions have not fallen dramatically. It is the overall pricing coming out of the hyperinflation scenario because the consumer wallets sizes have remained the same. When this kind of hyperinflation happens, especially as we were coming out of COVID, it takes longer for consumers to reset both in terms of rebuilding their income levels, as well as the whole sentiment and emotion. At the same time, if you look at the overall credit offtake in the country, the consumer credit offtake is sitting at almost all-time high, this also puts pressure on consumers. We do feel that we are towards the bottom of it and things should start to improve.

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Gaurav Jogani: Sure. And Manish, with regards to the Pizza Hut performance, your margin performance has been much better versus the other peers that you have in the country and they alluded for higher marketing spends during the quarter. So have you not been mandated by Yum to do similar marketing spends? And how do you look at the margin trajectory for the brand going ahead?

Manish Dawar: Gaurav, as far as you know Yum very well. It cannot be that Yum can favor one franchisee and not the other one. So, because we all want to revive Pizza Hut brand between Sapphire and Yum. It was a common effort with common funds contribution from both the sides, and that is how we are trying to build the brand back. But despite the additional contribution on marketing and all the common initiatives, our performance is better in our view.

Gaurav Jogani: Yes. So I mean, actually, the question was why it is better versus them? What has led to this? And how are you looking at the margin profile for the brand ahead? Do you think that the margins are now bottomed out and should pick up from here on?

Manish Dawar: See, from a cost efficiency standpoint, Gaurav, we are almost there. The top line needs to pick up to give us the leverage to rebuild the margins at previous levels.

We've taken initiatives from both a marketing and menu perspective. So let's see how it kind of pans out. We think the margins can only improve from here.

Moderator: The next question is from the line of Robert Marshall from Cusana Capital.

Robert Marshall: Just a question about same -store sales growth. Obviously, in terms of customer segmentation, there's a distinction

between premium and mass markets, as well as behavioral factors. Have you observed that in many consumer areas, premium customer segments tend to be more robust, but conversely, you're seeing the opposite with Pizza Hut? It seems there's a specific aspect at play here. I'd be interested to hear your perspectives on the same -store sales growth you've observed, and whether it's more influenced by competition and new market additions or by consumer behavior in general.

And secondly, how are you assessing the margin return on capital for your expansions? Once again, the slowdown in Pizza Hut's expansion seems to suggest something in that regard, but it would be intriguing to understand your insights into the potential margin returns, especially in high -format ventures.

Manish Dawar: Rob, it's always good to have a premium positioning when you can appeal to more and more consumers. Getting the consumers into your fold with a premium positioning, is always the best proposition. And that is how KFC, Pizza Hut and,

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Costa Coffee brands are being positioned in the minds of the consumers. However, when you get into a hyperinflation, the consumer wallets and the disposable incomes get impacted, you start to think in terms of how can I increase the value layer.

Moreover in India, if you look at from a consumption point of view, we are probably addressing the top portion of the market of consumers. So from that point of view, a value layer is important because you are able to get more and more consumers into your fold, and that is how you'll be able to build the brands into mass brands and bigger brands. There is always this whole delicate equation that needs to be balanced between premium positioning. I'm not saying that we'll be able to appeal to 100% of the population, but given the way India is growing, we should be in a position to appeal to maybe 40 -50% of the population. And that is where the whole thin balance comes in. And this is where we come into the value layers as far as KFC or fun flavor pizzas is concerned. So we kind of keep on working on both sides to be able to maintain the positioning and get more consumers in.

Robert Marshall: In reference to the previous question about the same -store sales growth you're seeing between the different brands, how is that impacting them? What role does competition play in this scenario? Additionally, could you elaborate on the differences in capital between the various brands and what implications that holds for your expansion plan?

Manish Dawar: If you look at the same -store sales growth, the competition, and the overall market, it's more or less in the same zone. We've seen the market leader in the burger segment reporting a negative SSSG, as well as our peer competitors were in similar situation. We are in similar situation and the entire market is facing these challenges. We do expect the consumer sentiment to recover, which should bring things back to normal. Despite whatever is happening, the KFC at a unit level economics, maintains the payback period of 2 to 3 years. While it was closer to 2 years before, it is now in the 2.5 to 3 years range. It's a good and attractive ROI from that perspective, and that's how we continue to expand.

Robert Marshall: And could you just compare that against the other brands, what are you, you're seeing in terms of their payback period?

Manish Dawar: I would not have any insights on other brands in the market. But within our portfolio, Costa Coffee and Vango sits in the same ballpark numbers of 2 years. KFC it is 2 to 3 years. Pizza Hut, given the current situation is longer around 5 to 6 years.

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Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing remarks.

Raj Gandhi: Thank you. We hope we have been able to answer all your questions satisfactorily. Should you need any further clarifications or would like to know more about the Company, please feel free to contact our Investor Relations team. Thank you once again for your interest and support and taking the time out to join us on this call. Look forward to interacting with you soon. Thank you.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

Call: Aug 2024

Devyani International Limited

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August 12, 2024

To,

National Stock Exchange of India Ltd.
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Complex, Bandra (E), Mumbai – 400 051
Email: cmlist@nse.co.in
Symbol: DEVYANI BSE Limited
Phiroze Jeejeebhoy Towers ,
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Sub: Transcript of Investors & Analysts Conference Call

Dear Sir/Madam,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 , transcript of the Investors & Analysts Conference Call held on August 5, 2024, post declaration of Unaudited Financial Results of the Company for the Quarter ended June 30, 2024, is enclosed.

The same is also being uploaded on website of the Company at www.dil-rjcorp.com .

You are requested to take the above on record.

Yours faithfully,
For Devyani International Limited

Pankaj Virmani
Company Secretary & Compliance Officer

Encl: As above

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Devyani International Limited
Q1 FY25 Earnings Conference Call Transcript
August 05 , 2024

Moderator : Ladies and gentlemen, good day and welcome to Devyani International's Earnings Conference Call. As a reminder, all participants' lines will be in the listen -only mode and there will be an opportunity to ask questions after the presentation concludes . Please note that this conference is being recorded.

I now hand the conference over to Mr. Anoop Poojari from CDR India. Thank you, and over to you, sir.

Anoop Poojari : Thank you. Good afternoon everyone and thank you for joining us on Devyani International's Q 1 FY25 Earnings Conference Call.

We have with us Mr. Ravi Jaipuria – Non-Executive Chairman of the Company; Mr. Raj Gandhi – Non-Executive Director; Mr. Virag Joshi – CEO & Whole -time Director and Mr. Manish Dawar – CFO & Whole -time Director of the Company.

We will initiate the call with opening remarks by the Chairman, followed by key financial highlights from the CFO. Post that, we will open the forum for a question -and-answer session.

Before we begin, I would like to point out that some statements in today's call may be forward -looking in nature and a disclaimer to this effect has been included in the results presentation shared with you earlier.

I will now request Mr. Ravi Jaipuria to make his opening remarks .

Ravi Jaipuria: Good afternoon everyone. I warmly welcome you all to our Earnings Conference Call to discuss the Business Performance of DIL for the First Quarter of the Financial Year 2 024-25.

DIL added 54 new stores during the quarter with an aim to reach the consumers in underpenetrated markets and offer enhanced customer experience and service. With this addition, our total store count has reached 1,836 stores as of June 30, 2024. We remain committed to expand our store presence.

The consumer sentiment in the first quarter of full year 2025 has remained more or less in line with the trends observed for the consumer industry and QSR industry. This is mainly on account of the challenging macro and microeconomic factors.

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We witnessed an improved performance for DIL in Quarter 1 driven by seasonality, cost leverage , from better ADS across our business es, and a relatively lower impact of Nigerian currency devaluation. The customers remain cautious with their spending, a trend that has impacted our performance as well.

Additionally, macroeconomic factors such as international conflicts and global boycotts continue to impact the operations in certain geographies. The Nigerian currency continued its weakening trend in Quarter 1 as well. On balance, we are delighted with the positive progress in Quarter 1 and shall continue to be relentless in our plans for the coming quarters.

We introduced innovative marketing campaigns, promotional offers and deals on our range of brands, enabling us to capitalize on seasonal trends. Despite challenges, we remain focused on offering value -driven options to our customers to adapt to market dynamics and drive growth.

To further navigate competition and strengthen the connect with younger audiences, Pizza Hut India launched a series of distinctive marketing initiatives across digital platforms and diverse channels. These efforts included increased visibility for Melts through television ads and videos. The highly anticipated Thin N Crispy pizza crust also made an entry to our core business, driving a boost in sales during the holiday season . We are optimistic that the industry will rebound during the ensuing festive season. We continue to expand our store footprint and make our brands more accessible to our consumers. We are also focused on enhancing our institutional business, including food courts and our presence at high -footfall locations like airports.

To sum up, India presents a highly promising outlook for our brands and the QSR industry. The robust economic growth, rising disposable incomes, and increasing urbanization will drive demand for convenient and high -quality fast -food experiences. We remain bullish on the India story and the QSR space in the medium and long term and are confident that these favorable trends will continue to drive our expansion and success.

Additionally, our Thailand business is demonstrating good growth with new store openings and strategic focus on customer delight .

As announced earlier, we are on track to achieve a total store count of 2,000 stores within the current fiscal year, a milestone that underscores our commitment to growth and our confidence in the future potential of our markets.

With this, I would like to conclude my address and now hand over to Manish for the financial highlights. Thank you very much.

Manish Dawar: Thank you Mr. Jaipuria . Good evening everyone. A very warm welcome and thank you for your valuable time for attending DIL 's Q1 FY25 Earnings Conference Call, our twelfth call since the listing in August 2021.

DIL's total store count stands at 1,836 stores as at the end of Quarter 1 FY25 with a footprint of 1,738 stores across our core brands namely KFC, Pizza Hut, and Costa Coffee. This consists of 970 stores for KFC, 576 stores for Pizza Hut and 192 stores for

Costa Coffee.

The operating revenue for Q1 FY25 was Rs. 1,222 crore representing a growth of 44.3% versus Q1 FY24 and 16.7% versus Quarter 4 FY24. This is mainly on account of consolidation of Thailand business since the acquisition was completed in January 2024.

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The consolidated revenue of Q1 FY25 includes operating revenues of Thailand business for the full quarter.

The Indian business witnessed a growth of 11.7% quarter -on-quarter with improved ADS on both of our core brands, that is KFC and Pizza Hut. The gross margins for the consolidated business including Thailand was flat at 69.2% versus the previous quarter.

The Thailand KFC business operates at a lower gross margin versus the Indian KFC business. The margins for Q1 FY25 was lower by 1.6% versus Q1 FY24 because of full

Thailand consolidation.

The brand contribution for Q1 FY25 was 15.3% with an improvement of 1.8% versus the previous quarter. This was aided by movement in India by 130 basis points and improvement in our international business operations by almost 470 basis points. The all-round improvement is on account of better cost leverage across all our operations with improved ADS and relatively better currency situation in Nigeria.

Consolidated operating EBITDA on a pre-IndAS basis was Rs. 141 crore versus Rs. 96 crore in the previous quarter, a growth of almost 47%. The pre-IndAS margins for the quarter for the consolidated business were 11.6% versus 9.2% in the previous quarter. The improvement in brand contribution is fully reflected in the operating EBITDA margins for DIL on a consolidated basis. The consolidated reported EBITDA on a post-IndAS basis was 18.3%, an improvement of 1.7% versus Quarter 4 FY24.

The Nigerian currency continued its weakening trend in Quarter 1 FY25. The rate of currency depreciation is better versus the previous quarters. During the quarter, Nigerian Naira got depreciated by almost 10% versus the USD. As a result of this, the Nigerian business has recorded an overall loss of Rs. 22.5 crore on account of USD denominated liabilities during the quarter. Out of this, FX loss Rs. 7.6 crore has been recorded in the P&L and has been disclosed as a separate line item. The remainder currency loss has been recorded as OCI. Such foreign exchange loss on account of Nigeria currency devaluation in the consolidated financial statements shall not form part of the EBITDA calculations being a non-cash item.

The PBT for Q1 FY25 on a consolidated basis was Rs. 31 crore versus a negative Rs. 38 crore for the previous quarter. The improvement in PBT is on account of improved margins in Quarter 1 FY25 and reduction in currency devaluation back in Nigeria.

Taking the discussions to our core brands, KFC in India added 21 new stores in Quarter 1 FY25. With this, the total store count for KFC in India stands at 617 stores as at the end of Quarter 1 FY25. Average daily sales for Quarter 1, FY25 improved to Rs. 104,000 versus Rs. 93,000 in the previous quarter. Revenues at Rs. 555 crore grew 12.3% on a quarter-on-quarter basis. Gross margins for KFC during the quarter was 69.5%. Brand contribution margin was 19.5% for the current quarter, thereby reflecting an improvement of 50 basis points over the previous quarter.

During the quarter, Pizza Hut added three new stores, reaching a total count of 570 stores in India. Revenue for Quarter 1 FY25 was Rs. 182 crore versus Rs. 162 crore in the previous quarter. ADS for the brand improved to Rs. 36,000 versus Rs. 32,000 in the previous quarter. Gross margin for the quarter was 76.8%. Brand contribution for the quarter was Rs. 9 crore with margins at 5%, which grew by 60 basis points on a quarter-on-quarter basis mainly due to better leverage on account of higher ADS.

Costa Coffee added 13 new stores during the quarter, reaching a cumulative store count of 192 stores. Quarter 1 FY25 revenue was flat at Rs. 45 crore versus the previous quarter. The revenue grew by 40.5% on a year-on-year basis, mainly due to expansion of new stores. The gross margin for the quarter was 75%. Brand contribution in Quarter

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1 stood at 15%, resulting in a drop of 2.9% versus the previous quarter because of ADS deleverage impact.

Our international operations now fully include the Thailand acquisition. The total number of international stores was 363, with the addition of 10 new stores in Quarter 1 FY25.

The international revenue for the quarter was Rs. 390 crore, giving a gross margin of 63.7% and the brand contribution margin of 14.8%. The reported EBITDA was 13.1% during the quarter.

To conclude, we want to reiterate our commitment to the Indian QSR market. As we continue to expand, we remain committed

to improving our financial performance by way of prudent financial management in creating long-term value for our shareholders. On that note, I would like to request the moderator to open the forum for any questions or any suggestions that you may have. Thank you so much.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Saurabh Kundan from Goldman Sachs.

Saurabh Kundan: My first question is on Chairman's opening comments. He has mentioned that the Company is optimistic of a rebound in the industry during the festive season. I just wanted to understand those comments better. Are there any signs or any data points that you are seeing based on which you are turning optimistic?

Manish Dawar: Saurabh we have seen in the past that in any market, it is the festival season which kind of perks up the store and the overall consumer sentiment. This is the reason we are basing our view that this festival season we could see it, because we have been in this scenario for the last 5 to 6 quarters now. We hope that festival season could probably be a turned down situation for the industry.

Saurabh Kundan: Second one on KFC. If I recall correctly, you were more impacted because of I think Adhik Maas in the September quarter last year. Should we expect a sharp improvement from the current -7 and your base is -4 next quarter. Can we hope for a flattish SSSG on that base?

Manish Dawar: Saurabh, you are right. The overall macroeconomic situation or the macro environment continues to evolve, our store count is also much better versus where we were last year.

It is not the same environment which was there last year. We are facing headwinds on account of West Asia war and the boycott of brands which is going on. So, there are multiple other factors also at play, not just the Adhik Maas.

Saurabh Kundan: But at least an improvement from the current minus 7 that we are at, I would assume.

Manish Dawar: We will not be able to make any forward-looking statement.

Saurabh Kundan: One last one, if I can add, if I subtract the brand contribution of KFC India, Pizza Hut, and Costa from the total India brand contribution, I am getting a number of Rs.12 crore, which I am assuming is your non-core India businesses. This number is much higher than in the past. So, is there any one-off in the India non-core, which is bumping the profits or the contribution?

Manish Dawar: Saurabh, there are two, three things at play here. We have other small businesses also apart from the three core brands, which includes Vango, food courts and some of the non-core businesses at the airports. Also, this time we are giving India business and international business separately, and there are some elimination entries on account of

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the intercompany transactions. So, you would see that the total India and total international also would not equate to consolidated on account of elimination entries. However, if I were to evaluate India's performance and international performance separately, these are the precise numbers.

Moderator: The next question is from the line of Gaurav Jogani from Axis Capital.

Gaurav Jogani: Sir, my question again is with regards to Saurabh's earlier question only because you know, earlier when you used to subtract the Pizza Hut, the KFC and all the other numbers, and you can derive the other domestic brand contribution numbers, the run rate used to be Rs. 3 to 4 crore, 5 crore, and this time around its 12 crore. So, I am guessing the eliminations would have been existing earlier as well. So, on the other way round, can this Rs. 12-crore number be a sustainable number going ahead? That's the question.

Manish Dawar: The difference is that, if you look back a couple of quarters, Thailand wasn't included. Thailand is a large business compared to the operations

in Nepal and Nigeria, which were present in earlier quarters. Also we charge a management fee from the business operations, which gets eliminated on a consolidated basis.

Gaurav Jogani: And sir, the other question, even as you said that if we total up India, the international business, that will not actually equate to the consolidated business. So, is it the adjustment for the Forex loss that is reflecting in the international business and that is why the difference is there?

Manish Dawar: Yes, the Forex loss is treated differently when we consolidate. Some elements of Forex loss are recorded in OCI, while others appear in the P&L line item, whereas at the Nigeria level, everything is recorded in the P&L.

Gaurav Jogani: Sir, if you can help us out, what is really driving the operational performance improvement in the international business because if you go by the last quarter run rate, it was around 10%, 11% and it is a sharp jump this quarter around. So, what is really driving that?

Manish Dawar: Gaurav, if you see the ADS has improved across all our brands and operations. In KFC India, the ADS for Quarter 1, FY25 improved to Rs. 104,000 versus Rs. 93,000 in the

previous quarter. In Pizza Hut India, ADS for the brand improved to Rs. 36,000 versus Rs. 32,000 in the previous quarter. If you look at Nepal, Nigeria and Thailand, the ADS is better versus the previous quarter and therefore that gives you a better leverage from a P&L perspective. At the same time there is some element of cost saving measures and a cost leverage impact because of the better ADS numbers.

Gaurav Jogani: So, anything specifically related to Thailand here because that business was only acquired by you in the last quarter and because now you have one full quarter that we have kind of assumed it? So, any particular one offs that you have been getting in terms of benefits that will be sustainable going ahead?

Manish Dawar: No, there are no one-off benefits from Thailand.

Moderator: The next question is from the line of Percy Panthaki from IIFL.

Percy Panthaki: So, just reconfirming what you said. So, basically, the sales of India plus international minus consolidated, the difference I am getting is 77 million. So, does this mean that basically the services that the parent is providing to the Thailand subsidiary for which it is getting charged, that is roughly equal to about 77 million, which comes into the sales of India and probably goes into the cost line item of Thailand?

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Manish Dawar: Yes, it is for Thailand, Nepal and Nigeria.

Percy Panthaki: So, if I have to evaluate the India performance, I should be deducting 77 million from the pre-IndAS EBITDA or the post-IndAS EBITDA to get the true performance of India. Would that understanding be correct?

Manish Dawar: Percy it's a regular income and these are the costs that are incurred by India on account of the other subsidiaries in terms of the supply chain services and central negotiations. It is that cost which gets nullified.

Percy Panthaki: And where does that cost sit in India? It would not be sitting in any of the four major brand contributions, right? It would be outside that, right?

Manish Dawar: It will be spread across various sites.

Percy Panthaki: But would it be part of let's say a KFC brand contribution because that's a service provided for our entity outside India, no need to have it as part of the brand contribution of KFC India or Pizza Hut India, right?

Manish Dawar: There could be some small elements which could be there because we do nominate some of our store guys to go and visit there.

Percy Panthaki: Secondly, just wanted to understand on the India margins that you have reported in your presentation on a pre-IndAS basis, the India margins have declined by 70 basis points from 12.6% to 11.9%. But on post-IndAS b

asis, they have increased from 20% to 20.5%.

So, there is 120 basis points kind of differential or rather swing, which is happening. So, what is causing that?

Manish Dawar: Percy, as you know, the IndAS calculations are based on how many new stores you opened, which stores you have shut, the variable rental deals, and the fixed rental deals in place. And therefore, it operates quite differently from the pre-IndAS numbers. This is entirely a separate lease accounting standard, and the entries are recorded accordingly.

Percy Panthaki: Sure, I got that. But generally, the rough basis points change in the pre-IndAS and post-IndAS roughly speaking is similar. This time the direction only is different. So, is there any particular reason for this quarter?

Manish Dawar: The reason is that our store openings have been relatively lower in the current quarter.

Percy Panthaki: I will probably take this offline.

Manish Dawar: We have talked about 7% to 8% difference in the pre-IndAS and post-IndAS numbers. So, it's pretty much close to that.

Moderator: The next question is from the line of Shirish Pardeshi from Centrum Broking.

Shirish Pardeshi: I have one question on KFC India. I think that in the last two quarters we have been seeing that the ADS and the same store sales growth is also under pressure. Obviously, it's a function. If the SSSGs are higher, you will see the ADS will improve. And obviously, the overall business will improve. So, I just wanted to understand the product interventions and whatever we are doing, is it enough giving us the confidence that the recovery will happen if the festive season come back with a strong momentum?

Manish Dawar: Shirish, see, product innovation is always a continuous process, but at the same time if you look at the ADS numbers and the SSSG numbers, we have been able to deliver the

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margins very well. And it's a combination of how do we optimize on the marketing spends, what promotions we run, what we offer from a perspective of value layer menu, all these result into the margin numbers. So, there are multiple equations at play, which is what we need to balance, and that's how we make sure that even though the SSSG is negative, we are able to deliver the margin. And once we see the ADS and the SSSG

coming back, the margins will improve ahead of that.

Shirish Pardeshi: Manish, I got that. The reason why I am asking, when you look at the Pizza Hut, which is most affected and Pizza Hut has seen a higher decline of SSSG, but we have been able to maintain the revenue. So, what is it that the change consumer is seeing between KFC and Pizza Hut? That's what my bigger question is.

Manish Dawar: Shirish, on Pizza Hut, we are spending some extra because we have seen a continuous decline in this brand over the last 12 to 18 months. And we have taken a conscious call to increase our marketing spend on Pizza Hut and as well as the product innovation. But again, because of that, you will see that the brand contribution margin for Pizza Hut are still low. So we are going back to basics and building the brand again.

Shirish Pardeshi: So, therefore, my larger question on Pizza Hut is that in the medium term, we have taken a pause on more number of stores opening. So, as a management priority, what is the important thing? Is it SSSG, ADS, or profit ability is important?

Manish Dawar: See, Pizza is the largest QSR category, there is no reason why we should not play a Pizza Hut brand, or we should not be present in the Pizza category. Pizza Hut is a national number two brand and has a very high consumer recall and confidence. Therefore, it is important that we should bring back the brand.

Shirish Pardeshi: My last question on Thailand. Since you have done the acquisition, and you gave us the logic why we have taken Thailand under our stride, just wanted to be more

curious, what

are the changes we have made, what are the things which has not yet happened, and whether you think, because somewhere, when we did the acquisition, you said there is a gross margin opportunity and there is a margin improvement which can happen. So, in that journey, if you can give some qualitative comments.

Manish Dawar: Thailand is a recent acquisition which we got at a great valuation, the team there is very stable and the business is doing well. So, there is no need to think of the model which is there on a huge basis. We will be able to improve the margins and it will happen over a period of time. Structurally, the gross margins in Thailand for KFC brand are lower because the brand positioning is more mass premium versus premium as compared to India. Thailand addresses a far bigger consumer space, and therefore, the number of transactions are higher than the number of transactions in India. From the overall brand hierarchy point of view KFC is very well positioned. But again, there are margin opportunities at brand contribution or at the EBITDA level, which we will gradually capitalize on as we go along.

Shirish Pardeshi: Just one suggestion. Like you have started giving much more information on Vaango, can you start giving such details for Thailand business at least for next two to three quarters?

Manish Dawar: We will evaluate that, Shirish.

Moderator: The next question is from the line of Latika Chopra from JP Morgan.

Latika Chopra: My first question was on KFC India. Could you give us some flavor of how the month-on-month trends behave during the quarter? It seems the April month would have been

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a little tougher because of the shift in Navaratri, but any color on how May and June progressively looked to you?

Manish Dawar: Latika, there are seasonal months in between the quarter. Whenever there's a summer holiday season or whenever some sporting event is happening, those months kind of pick up. The same thing has played even in the last quarter between April, May, and June, there are no different trends.

Latika Chopra: So, it doesn't give much color on whether sequentially you have sensed any change in consumer behavior?

Manish Dawar: Not yet.

Latika Chopra: The second question was, when you analyze, or if in case you have that data on market share of KFC on third-party aggregator platform revenues, have you seen any discernible change?

Manish Dawar: Latika, if we were to look at our ADS numbers, the revenue, whatever the percentage contribution from the aggregators have remained similar. We don't formally measure the market share on the aggregator platforms. I think we have an opportunity to improve on the dine-in for KFC and Pizza Hut, and we are working on that piece as well.

Latika Chopra: The third question was, would it be possible for you to give us some color on what was the same store sales growth for Thailand in the quarter?

Manish Dawar: We have not disclosed the Thailand numbers and we will evaluate that later, but just to give you a comfort for Thailand, the same store sales growth is positive. And at the same time, the geopolitical impact that we are seeing in India, is similar for our stores in Thailand and South. And, if I were to negate that, the overall SSSG is healthier. So, even after including the South stores, the Thailand SSSG is positive.

Latika Chopra: And since you brought up, you talked about the geopolitical issues, I remember in the previous quarter, we were kind of talking about some stabilization from this impact, but is there any change in that expectation given the recent development?

Manish Dawar: There is again big news flow which has started to come in last couple of days. Obviously, as these things happen, there is this whole WhatsApp campaign, which again tends to build up.

Latika Chopra: And last I

y, any incremental update on the Food Court partnership?

Manish Dawar: We have incorporated the company which is between us and PVR. And you will see some business to start coming in from the last quarter of the current calendar year, which means October, November, December.

Moderator: The next question is from the line of Nihal Mahesh Jham from Ambit.

Nihal Mahesh Jham: Three questions. Manish, I was asking in case of Pizza Hut, is it the launch of Melts along with the marketing campaign around that the immediate driver of the revival that you are trying, or there are other aspects also in the background that are happening to get the brand back to its early performance?

Manish Dawar: Nihal, we have launched Melts and the Thin N Crispy which is a new dough category. We are supporting it well with our new marketing campaign, and that is helping us.

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Nihal Mahesh Jham: Maybe the SS SG numbers that you have reported still point to the overall weakness, but anything over the last few months that is pointing to the brand showing improvement or say these specific product launches helping you out?

Manish Dawar: Sequentially the SSSG numbers are better. It's too early to kind of call out, but we are moving in the right direction. Pizza Hut has started moving in a positive direction. So, let's hope it continues.

Nihal Mahesh Jham: And until then, is there a thought on the number of stores you plan to open or that remains depending on how the performance goes?

Manish Dawar: Nihal, as we have mentioned earlier on Pizza Hut, we are approaching a little cautiously, in the current quarter the new store openings are relatively lesser versus what we used to do in the past. The whole objective is to make sure the brand comes back. We remain bullish on the pizza category as well as the brand.

Nihal Mahesh Jham: The second question was on KFC Thailand. During the acquisition, you mentioned that it's a three-player market in terms of you plus others. If I look at India and say experiences globally, there are a lot of places where there are two franchises that operate. Is it a possibility in the future where you are interested that you could acquire one of the franchises? Would that be a possibility just to think of from our side?

Manish Dawar: Nihal, there are multiple types of markets and YUM has all kinds of models. There are markets which are operated by single franchise partner, there are markets with dozens of franchise partners, and there are markets where one franchise partner is operating multiple countries. Therefore, that does not give us any trend that what could happen in Thailand.

Nihal Mahesh Jham: Manish, just last bit on the PVR tie-up, I think PVR alluded to some kind of outlook in terms of the number of food courts you all are planning. Any sense from your side as to what will be the ballpark opening of the food courts you are trying for this year and next?

Manish Dawar: Nihal, it will be a similar number, because it's a joint business plan.

Nihal Mahesh Jham: As in like the clarification from your side because it was not very certain, that number was penciled out. It's obviously been three months and there is no clarity on it.

Manish Dawar: Yes, you will start to see some of the food courts opening in Quarter 4 of the current calendar year. We want to experiment with the food courts and see how the JV is progressing. We want to test it before we go with the big bang expansion.

Moderator: The next question is from the line of Devanshu Bansal from Emkay Global.

Devanshu Bansal: Congratulation on a good margin performance. Manish, if we look at channel performance, KFC's off-premise channel has grown faster at about 19 odd percent while Pizza Hut has seen about 4% to 5% decline. What is the reason according to you for this different consumer behavior across

s Pizza Hut and KFC?

Manish Dawar: If you look at KFC, our off-premises consumption was 41% in the current quarter, which has remained the same over the last three to four quarters. The off-premises consumption percentage has remained the same, however there is an improvement on account of higher ADS. The uptake you are seeing is coming from a higher ADS.

Similarly, from a contribution perspective in terms of off-premise and on-premise, even Pizza Hut has remained the same around 55%-56%, with an improvement in the overall ADS.

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Devanshu Bansal: So, you are saying last time around in Q1, off-premise was 37% for KFC which has moved to 41%. But over last three quarters, it is about 40 %-41%. So, maybe lower base was there, right? Is that what you mean?

Manish Dawar: Correct. And even Pizza Hut if you look at, in last four quarters it's been pretty much in the same zone 55 %-56%.

Devanshu Bansal: And second is on Costa Coffee. SSSG has sort of moderated this time around in Q1 versus high single digit in past few quarters. Anything to call out here or is this some one-off because of which the performance has been impacted?

Manish Dawar: So, we are expanding on Costa and because of the aggressive store expansion we are seeing some impact. Also in the current quarter there were some one-off's disruption in our food supplies, we are not seeing these numbers coming back.

Devanshu Bansal: Any call on the store openings for Costa or they are expected to continue?

Manish Dawar: They are expected to continue. But again, Costa has a much more moderate target compared to KFC or Pizza Hut.

Devanshu Bansal: Third, book-keeping question. If I look at your overhead costs, they have largely remained stable sequentially this year versus a significant pickup last year. So, have we deferred our annual increments, etc?

Manish Dawar: No, we have not deferred our annual increments, it was on time. We have been on time with our variable pays as well. So, that is not an issue. But we have initiated some cost saving measures and therefore we are trying to control the cost in the environment we are in.

Moderator: The next question is from the line of Dhiraj Mistry from Antique Stock Broking.

Dhiraj Mistry: So, first question is on Pizza Hut. I am looking at sequential number where your ADS has improved from 32,000 to 36,000. But we have not witnessed that kind of margin improvement at the store level EBITDA despite no material store addition during the quarter also. Can you explain that sir?

Manish Dawar: Dhiraj, we have started investing back in marketing and are trying to get the brand back. We have invested in the innovation and the marketing campaign. These are the reasons, we can see better ADS numbers and not on the brand contribution side. As we go along, and once we have managed to re-establish the brand, the marketing cost will taper down and from there you will start to see the brand contribution improving.

Dhiraj Mistry: And sir, if I go back in the history, let's say, two years, three years before where your average daily sales was somewhere around 38,000 and at that time you were making store level EBITDA margin of almost mid-teens type of numbers and currently, we are at mid-single digit. So, can we expect that once the ADS crosses 40,000 or 42,000 that double-digit EBITDA margin can be made in this Pizza Hut franchisee?

Manish Dawar: Yes, at that level of ADS, we will be able to easily get into the double-digit margin.

Dhiraj Mistry: And sir, another question on KFC. During this quarter, there was Navaratri festival which was there in April and also geopolitical tension which impacted KFC sales. Excluding number can you give us what kind of SSSG decline we would have witnessed during the quarter?

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Manish Dawar: Dhiraj, if

this is a one-time event in a year, we would be happy to give you those numbers.

In India, festival seasons, for example Navaratri, comes twice in a year. We are moving into Sawan or the month of Shravan, where people turn vegetarian, and it is not a festival season. So, there are multiple such occasions which pass around the full year, and it is difficult to measure by those blocks.

Dhiraj Mistry: So, what I meant to ask is, like, if Navaratri was in April and then May and June was relatively much smoother month, the SSSG growth or decline during those two months versus April month would be materially different or not?

Manish Dawar: It is not materially different, but it is different. Sawan time in North and in South behaves differently. Similarly whenever Navaratri's are there and at the time of Kolkata Durga Puja, the sales actually go up. So, there are multiple variables which are there.

Dhiraj Mistry: And sir, can you give your guidance on KFC store addition for the year? Pizza Hut, yes, we have maintained our conscious stance on store addition, but what are the expectations for KFC during the year?

Manish Dawar: We are looking at 100 plus store count for KFC, for the full year.

Dhiraj Mistry: And for Costa Coffee?

Manish Dawar: Costa Coffee will be about 50-60 stores.

Moderator: The next question is from the line of Marut Chaudhary, an individual investor.

Marut Chaudhary: Sir as you have informed two quarters ago that if the Nigerian Naira goes below or above 900 it will impact us positively or negatively. Last quarter we got impacted as it went up and this time also we got impacted as it went up 10%. So, at what level of the Nigerian

Naira going up or down will result in gain or loss for us?

Manish Dawar: Marut if currency depreciates continuously then we will keep on losing. And if the currency improves, then that stops. In the previous quarter Nigerian currency devalued by almost 32% versus dollar, whereas in this quarter, it is around 10% compared to last quarter, this quarter is a little better from a currency point of view. But, if the currency depreciates then there will be a loss.

Marut Chaudhary: Can you give us a number that if it goes above 1600 we will be in loss and if it goes below 1500 we will not see that much of a devaluation?

Manish Dawar: We will not be in loss below 1500 because we have already recognized up to that level, if it falls further we will make a loss and above that level we will not be in loss.

Marut Chaudhary: What is that level sir, is it 1500?

Manish Dawar: We cannot disclose that number.

Marut Chaudhary: Sir Q3 seems to be a good quarter for QSRs, is there any such seasonality in Thailand as well?

Manish Dawar: Yes, it is there in Thailand as well. Christmas and New Year season in Q3 is a good quarter for KFC in multiple parts of the world, and Thailand also sees the uptick of that.

Similarly, in the summer season Thailand has a festival called 'Songkran' when it also does well.

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Marut Chaudhary: We are seeing an engagement in our JV with PVR so sir if you can tell us that we have had a JV with R. K. Associates what is happening on that side? How many stores have we opened and what you can see going forward?

Manish Dawar: We have not opened any stores under the JV because there are some complications with respect to Railways bidding. Some stores which have opened are considered in the standalone financials in Devyani International. Although the business is coming in Devyani, the numbers in the JV will be seen once the basic things get sorted out.

Moderator: The last question is from the line of Tejash Shah from Avendus Spark.

Tejash Shah: Just one question from my side. I was just looking for a reconciliation in two statements that you made on Pizza Hut margins. We said that despite higher ADS, the margins were under

pressure because there was heightened marketing activity. And I think at some point you also said that brand was slightly under-invested or perhaps we wanted to add on the branding franchise. So, should we see this heightened activity as a normal spend so that brand doesn't suffer again in future and then we don't have to go through this volatility on brand franchise from the consumer perspective?

Manish Dawar: Tejash, post-COVID there have been multiple exceptional situations. There was a strong inflation which led us to reduce the intensity on promotions and other activities. We had issues with our fun flavor pizza, there were multiple such issues which impacted the brand. We have corrected most of that now and are introducing new innovations to the market to build the brand back. We believe that this will not be a constant requirement. It's a matter about stabilizing the brand and with that we will see the margins coming back again.

Tejash Shah: Can you elaborate on the nature of this spend? Is it like we actually increase ad spend or we support innovation with slightly lesser margin discounts? What exactly it entails?

Manish Dawar: It's predominantly the ad spends across mass and digital media and the heightened one around the stores in terms of outdoor media. We have kind of tweaked promotions a little bit so that the consumers can get a good value when they walk into the store. And therefore, you would have seen that there is a small impact on the gross margin as well.

Tejash Shah: And the last one on this, does the larger proportion of this heightened spend go into food aggregator platform or is it equal between, among the two platforms?

Manish Dawar: It's mainly on mass media.

Moderator: Ladies and gentlemen, I would now like to turn the conference over to the management for closing comments.

Raj Gandhi: Thank you. I hope we have been able to answer all your questions satisfactorily. Should you need any further clarifications or would like to know more about the Company, please feel free to contact our Investor Relations team. Thank you once again for your interest and support and taking the time out to join us on this call. Look forward to interacting with you soon.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

Call: Nov 2024

Devyani International Limited

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November 19, 2024

To,

National Stock Exchange of India Ltd.
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Complex, Bandra (E), Mumbai – 400 051
Email: cmlist@nse.co.in
Symbol: DEVYANI BSE Limited
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Security Code: 543330

Sub: Transcript of Investors & Analysts Conference Call

Dear Sir/Madam,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 , transcript of the Investors & Analysts Conference Call held on November 11, 2024, post declaration of Unaudited Financial Results of the Company for the Quarter and Half Year ended September 30, 2024, is enclosed.

The same is also being uploaded on website of the Company at [www.dil -rjcorp.com](http://www.dil-rjcorp.com) .

You are requested to take the above on record.

Yours faithfully,
For Devyani International Limited

Pankaj Virmani
Company Secretary & Compliance Officer

Encl: As above

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Devyani International Limited
Q2 & H1 FY25 Earnings Conference Call Transcript
November 11, 2024

Moderator: Ladies and gentlemen good day and welcome to Devyani International's Earnings Conference Call. As a reminder, all participants' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes . Please note that this conference is being recorded.

I now hand the conference over to Mr. Anoop Pujari from CDR India. Thank you, and over to you, sir.

Anoop Pujari : Good afternoon everyone and thank you for joining us on Devya ni International's Q2 and H1 FY25 Earnings Conference Call .

We have with us Mr. Ravi Jaipuria – Non-Executive Chairman of the Company , Mr. Raj Gandhi – Non-Executive Director , Mr. Viral Joshi – CEO & Whole -time Director and Mr. Manish Dawar – CFO & Whole-time Director of the Company.

We will initiate the call with opening remarks from the Chairman followed by key financial highlights from the CFO . Post that , we will have the forum open for a question -and-answer session.

Before we begin, I would like to point out that some statements made in today's call , may be forward looking in nature and a disclaimer to this effect has been included in the results presentation shared with you earlier.

I would now request Mr. Ravi Jaipuria to make his opening remarks.

Ravi Jaipuria: Good afternoon everyone. I warmly welcome you all to our Earnings Conference Call to discuss the Business Performance of DIL 's Quarter 2 and H1 FY25.

We are thrilled to announce the expansion of DIL's brand portfolio with the addition of three new lifestyle QSR brands. We proudly welcome 'tealive' a renowned Malaysian tea and beverage brand , 'New York Fries (NYF) ' , a Canadian quick service snacking brand celebrated for its French -fries, hot dogs and poutine and 'SANOOK KITCHEN ' a popular Singapore based brand specializing in Thai and Asian cuisine to the DIL family. With our exclusive rights for these brands in India , DIL is consolidating its strategy of "FOOD ON THE GO " and "HOUSE OF BRANDS ". The expansion will further strengthen our market presence and hence will offer our customers a wider variety of food & beverage brands.

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Coming to the current quarter , we remain consistent with our store expansion strategy. In the first half of the year , we added 139 new stores , bringing the total store count to 1,921 as of September 30 , 2024. We added 85 net new stores in Quarter 2, thereby further strengthening our brand presence. We are investing in new stores across our brands and expanding our reach to connect with our target consumers.

DIL's consolidated revenue for the quarter was Rs. 1,222 crore , reflecting a 49% year-on-year growth. For the first half of the year , consolidated revenues stood at Rs. 2,444 crore , making a 47% growth over H1 of last year. Q2 is typically a softer period for QSR industry in India because of Shravan / Sawan month during which a significant portion of the Indian population temporarily switches to vegetarian food consumption. Q2 also reflects continuing cautious consumer spending amidst high inflation in the Country.

Macroeconomic factors such as international conflicts and the declining Naira in Nigeria continue to have an impact on the Company's operations. We believe these factors are temporary in nature and therefore we continue with our growth strategy of store expansion and menu innovation. Our core brands have continued to innovate , both by refreshing existing menu items and re-introducing popular favorites as limited period offers (LPOs). In preparation for the festive season , KFC launched new variations of value meal rolls , featuring a range of national and international flavors , including Korean , Thai and Indian. Pizza Hut brought back the Momo Mia pizza in a new and improved version . To meet evolving customer preference , Costa introduced seasonal and regional menu adaptations , also featuring international flavors that will resonate with consumer trends. Vaango, our homegrown brand , is also on a growth trajectory with 90 stores as of September 30 , 2024. We are delighted to introduce Vaango's new lineup of traditional snacks including banana chips , murukku and Madras mixture , alongside our filter coffee decoction , all designed to engage and resonate with our target audience.

I am glad to share that DIL has achieved remarkable recognition at the Indian Restaurants Award 2024. Our brands KFC and Vaango have been recognized for their exponential growth , with KFC winning QSR Chain of the Year and our very own homegrown brand Vaango has been honored as Food Court Restaurant of the Year. This is because of the hard work and commitment of our incredible teams.

With the addition of new brands , DIL is well positioned to become India's leading QSR operator , ready to offer an extensive and diverse range of food and beverage options throughout the Country . This strategic positioning enables DIL to meet the evolving taste and preferences of consumers , solidifying DIL 's position in the competitive fast -food market.

With this , I would like to conclude my address and now I hand over to Manish for the

financial highlights. Thank you very much.

Manish Dawar: Thank you Mr. Jaipuria. Good afternoon everyone.

A very warm welcome and thank you for your valuable time for attending DIL's Q2 and H1FY25 Earnings Conference Call, our thirteenth such call since the listing. As at the end of Q2 FY25 DIL's total store count stands at 1,921 stores. Our core stores footprint has now exceeded 1,800 stores. These consist of 999 stores for KFC, 599 stores for Pizza Hut and 207 stores for Costa Coffee. The operating revenue for Q2 FY25 was Rs. 1,222 crore, representing a growth of 49% versus Q2 of FY24. The current year numbers are inclusive of the Thailand business which was acquired in January of 2024.

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The Indian business witnessed a growth of 7.3% year-on-year mainly due to store expansion. Revenue was flat versus the previous quarter as Q2 generally is a soft quarter, owing to the number

of 'vegetarian only' festival days. The gross margin for the consolidated business was 69.3%, an improvement of 10 basis points versus the previous quarter. Gross margins were lower by 1.5% versus Q2 FY24 because of the consolidation of Thailand business which as you all know operates at a lower gross margin versus the Indian KFC business. The brand contribution for Q2 FY25 at 13.6% was lower by 1.7% versus the previous quarter. Drop in brand contribution is mainly on account of lower ADS and hence the deleverage impact, impact of the new store openings and higher brand marketing support in the Indian operations. Consolidated operating EBITDA on a pre-Ind-AS basis was Rs. 114 crore versus Rs. 141 crore in the previous quarter. The pre-Ind-AS margins for the quarter on the consolidated basis was 9.4% versus 11.6% in the previous quarter. The sales deleverage impact resulted in lower EBITDA margins. The consolidated reported EBITDA on a post-Ind-AS basis was 16.3% versus 18.3% in Quarter 1, as a result of flowing the numbers from operating EBITDA line.

The Nigerian currency continued its weakening trend in Quarter 2. During the quarter, Nigerian Naira got depreciated by approximately 9% versus USD and hence impacted the results accordingly. The PBT for Q2 FY25 on a consolidated basis was minus Rs. 4 crore versus Rs. 31 crore for the previous quarter. The reduction in PBT is on account of lower margins in Quarter 2 and further currency devaluation impact on Nigeria.

Taking the discussion to our core brands; KFC in India added 28 new stores in Quarter 2 FY25. With this the total store count for KFC in India stands at 645 stores as at the end of Quarter 2 FY25. Average daily sales for Quarter 2 FY25 at Rs. 96,000 versus Rs. 1,04,000 in the previous quarter. Revenues at Rs. 543 crore declined 2% on a quarter-on-quarter basis. Gross margin for KFC during the quarter was 69%. Brand contribution margin was 16.6% for the current quarter, thereby reflecting the impact of lower ADS over the previous quarter.

During the quarter Pizza Hut added 23 new stores, reaching a total count of 593 stores in India. Revenue for Quarter 2 FY25 was Rs. 185 crore versus Rs. 182 crore in the previous quarter. A DS for the brand was Rs. 35,000 versus Rs. 36,000 in the previous quarter. Gross margin for the quarter was 76.7%. Brand contribution for the quarter was Rs. 6 crore with a margin at 3.1% because of the additional marketing investments on Pizza Hut.

Costa Coffee added 15 new stores during the quarter, reaching a cumulative store count of 207 stores. Q2 FY25 revenue was Rs. 49 crore which grew by 7.69% over the previous quarter and 41.6% on a YoY basis, mainly due to the expansion of new stores and positive SSSG. The gross margin for the quarter was flat at 75% versus the last quarter and the brand contribution in Quarter 2 stood at 14.5%.

Total number of international stores was 364 with the addition of one new Thailand KFC store in Quarter 2. The international revenue for the quarter was Rs. 394 crore, giving a gross margin of 65.1%, an improvement of 1.4% over the previous quarter. Brand contribution margin was 16% versus 14.8% in Quarter 1 FY25. The reported EBITDA was 13.4% during the quarter.

As the Chairman briefly alluded to, we are happy to announce that DIL has signed the exclusive master franchise agreements for the three brands. All the three brands are going to be addressing modern food and beverage categories and have the bandwidth to operate well in small formats. 'Tealive' is South east Asia's largest lifestyle tea brand with over 900 outlets worldwide. 'New York Fries (NYF)' was established in '84 and operates in more than 156 locations, predominantly out of

Canada. 'SANOOK KITCHEN' launched in 2002 is an evolving modern Thai and Asian cuisine chain originating from Singapore.
On that note I would

like to request the moderator to open the forum for any questions or suggestions that you may have. Thank you very much.

Moderator: Thank you. We will start with the question-and-answer session.

Our first question is from the line of Aditya Soman from CLSA.

Aditya Soman: Two questions, firstly, in terms of KFC, can you break down what actually impacted SSSG in the quarter? So, how much of it was because of sort of the geopolitical issues that we faced earlier? How much of it is just the quarter where there's been a weakening of consumer sentiment. And secondly on the new brands, I just want to understand what level of investments would this entail over the next couple of years, any sort of early sense on this?

Manish Dawar: We will first talk about the new brands and then we will answer you on KFC. We have signed the Master Franchise Agreements and as you know that all the brands and their strategies are normally sensitive in nature and are not willing to share too much detail in terms of the localization of menu, stores. As part of our India business plan, we have to work on the entry brand strategy for new brands. As we said in our comments, our focus is going to be on small formats of these brands and therefore it will be very capital efficient in nature along with very attractive paybacks, as this was our prime consideration at the time of evaluating the new brands, and signing the agreements. At the same time we have signed the agreements and given the commitments, the first year is primarily going to be more of an experimentation phase. The capex involved will be very small and once we have experimented and seen good results, we'll expand the portfolio. But having said that once we finalize the business plans along with the brand owners, we will come back to you guys and share all the details.

Aditya Soman: Maybe just a follow up on that. Just in terms of the small format, it will still be a consumer facing format, right? It's not dark kitchen or that is still to be decided?

Manish Dawar: Yes, it will be a consumer facing format. It will not be a dark kitchen model. Because all of these are retail prime consumer facing brands with very good brand equity in the respective locations that they operate.

Ravi Jaipuria: They are all small format and low capex.

Manish Dawar: Aditya coming to your second question on KFC, in terms of SSSG as you'd have seen the numbers, overall, it is continuing at (-7%) versus what it was the previous quarter. But let's say if we were to dissect the numbers by states or by cities and all obviously it's a mixed bag. The happy part is that some of our important markets have given us much better SSSG numbers. Whereas the states that continue to get impacted with the overall geopolitical situation that is more or less the same, in some states we have seen a heightened impact also. But I think we are seeing some green shots in terms of our larger markets. So, let's see how it pans out over the next couple of quarters. But right now, it is more of the same as we are seeing.

Aditya Soman: And maybe just one small follow up here. So, in terms of the impact of new stores, are we seeing that or in other words as some companies classify, would there be a difference between SSSG and like -for-like-growth, if you were to remove the impact of split stores?

Manish Dawar: We are reporting the SSSG numbers and not talking about like for like. It's absolutely on the same basis and consistent with whatever we have communicated in the past.

Moderator: The next question is from the line of Jaykumar Doshi from Kotak.

Jaykumar Doshi: Just a small follow up on these three new brands. As a part of your master franchise development agreement, is there any commitment in terms of how many stores you have to open in a certain period, let's say 1 year, 3 years, 5 years? And

in general,

how are their contracts versus the contract that you may sign with Yum! brands and essentially the larger US brands?

Manish Dawar: Jay your one question is with respect to the store opening commitments. Obviously, any DA entails a store opening commitment which is there for these brands as well. But as you know these are confidential documents. We have been very conservative, and the brands have been very receptive to the way we are approaching the entire business. Our commitment levels are very low, however after we have done the

testing phase and experimented with the brands, we would want to go aggressive with these brands. Furthermore, the way we anticipate that once we have done the business plan, we could easily be looking at much more than what we have committed in the DA. So, therefore, there is no challenge at all. To your other question, in terms of how the agreements are different versus the agreements that we have signed traditionally with Yum! brands, these are much more attractive agreement terms because we had our learnings over so many years and therefore the royalty rates are more attractive in terms of marketing. We are going to be controlling and spending the marketing. These are much more favorable versus whatever agreements we have signed in the past.

Jaykumar Doshi: One more, if I may on this topic. These brands are relatively niche versus the other brands that you have in the portfolio. So, is there a conscious strategy to acquire rights for some very niche cuisines or brands, partially because you are now foraying into food courts as well or we are reading too much into this?

Manish Dawar: Jay, very clearly, if you look at the Western QSR space today and if you were to go back in terms of whatever we are doing, we are present in most of the large categories of Western QSR. Pizza which is the largest category, fried chicken, burgers and so on and so forth. Because of the competing businesses restrictions, we are not able to explain these within the same set. However, if you look at what is happening outside the Country, we have evaluated beyond the traditional categories. We have evaluated which categories are performing extremely well, which one is high growth categories, what is happening with these categories in other parts of the world and, how they have grown over the last few years. We think that going forward these could be the next set of potential categories and therefore the brands that we have signed absolutely address the young categories as we have said. So, that gives us the room to one maneuver in terms of how we approach the brand. Second, as we said, these are much more attractive and favorable terms. And thirdly these categories could well be the growth categories for the future.

Jaykumar Doshi: And one question I have on store additions for KFC and Pizza Hut, you're generally planning for store addition typically tends to be on a calendar year basis with Yum. So, can you give us some color on how we should think about calendar year 2025 or is it a bit early to sort of discuss that?

Manish Dawar: So, for the current year which is 2024 as we have communicated in the past, at KFC we are looking at about 100-110 stores and we are sticking to the same number for 2024 and for next year as well. Pizza Hut, we have talked about 60-70 stores in the past. Therefore, on a roundabout basis, it will be close to those numbers.

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Jaykumar Doshi: So, there won't be any moderation in Pizza Hut next year or you're just right now sticking to this year's numbers?

Manish Dawar: We are evaluating, so we want to make sure that at least we meet our commitments for this year and how the brand shapes up in the next one or two quarters and then take a final call. Because in this quarter, we have put in additional marketing investment, also behind Pizza

Hut we have launched new items, we brought back

Momo Mia Pizza. The festival season is on, so we want to see the results and then take a final call in terms of the plans for next year. We will communicate and come back to you on that.

Moderator: The next question is from the line of Gaurav Jogani from JM Financial.

Gaurav Jogani: My question is with regards to KFC, and particularly the brand contribution margin. I mean the drag in the brand contribution margin this time around is much higher despite the SSSG decline or the ADS decline being similar to one of the previous quarters. So, anything specific here that the margin declined and how should we think about the margins ahead?

Manish Dawar: Gaurav as you know, Quarter 2 is typically a slow quarter. If you look at the Quarter 2 for KFC, the SSSG numbers are very similar to the previous quarter, however the ADS numbers are lower. In the previous quarter the ADS was Rs. 104,000 whereas in current quarter the ADS is lower, leading to a deleverage impact as expense ratios tend to rise up, even though absolute numbers are similar or are a little lower. Having said that, this is partly a brand-deleverage issue because of the ADS. Additionally, the delivery in the current quarter was slightly higher. Thirdly, we were doing some experiments with marketing initiatives and pricing promotions to see the sensitivity of this category to price change in certain markets. So, it's too early to comment about it, but if we do not see a significant transaction benefit, we will withdraw that and the margins will come back. We have just started doing those experiments in

the current quarter.

Gaurav Jogani: Just one follow up on this the KFC bit only, that you have highlighted that there have been some community related issues which has been impacting the performance for KFC, so ex of these states where the impact is higher, would it be fair to assume that now we have come back to a positive SSSG in KFC in those other states?

Manish Dawar: Gaurav, see as far as the vegetarian days are concerned we have seen during post COVID days there used to be pockets in different regions. Whereas now, whenever some festival is there we have seen a broader impact. Earlier around Ganpati Puja, it used to be West whereas now we have seen the impact of Ganpati Puja coming in North also. Similarly, earlier the Sawan impact used to be predominantly in South, and now it has shifted to other regions also. The SSSG predominantly is impacted by the vegetarian days and the geopolitical situation, which continues. With the overall realignment of global politics things should improve, and with the new regimes in the US and all, we hope the situation will thaw and should get better.

Gaurav Jogani: Second and last question is with regards to the Thailand business, if you can throw some light here, how the performance has been during the quarter and we have also seen some margin improvement on a QoQ basis in the international business, so what has led to this?

Manish Dawar: As we have communicated in the past the Thailand business got impacted because of the geopolitical situation. We are seeing a little better performance which has helped us from a SSSG perspective in South of Thailand. At the same time in Nigeria, the currency impact is lower versus the previous quarters and therefore the numbers are better. As you see we have seen much more volatile currency in the earlier

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quarters, although the currency has depreciated in the current quarter also by 9% but it is better. It's a combination of basically both Thailand and Nigeria that you're seeing better international business numbers.

Moderator: The next question is from the line of Devanshu Bansal from Emkay Global.

Devanshu Bansal: Congratulations on the three new brands. What is the typical drop in KFC ADS during

the vegetarian consumption days versus the normal days?

Manish Dawar: It is more or less in line. This year the vegetarian days have been any different, but the number of vegetarian days has been different in different regions, higher in some cases, lower in some cases. That is where the impact is. So, it's because of the number of days rather than the absolute drop from that perspective.

Devanshu Bansal: Still any ballpark numbers typical drop in ADS, so just to sort of help us project the future quarters.

Manish Dawar: During vegetarian days, depending on whether it is a weekend, depending on whether it is a weekday, obviously the numbers change but the impact will not be more than 10%.

Devanshu Bansal: Secondly Manish, wanted to check on this news flow around drop in urban consumption across FMCG companies. So, wanted to check if in your case there is a material difference in performance of metros versus non metros, if you could highlight that?

Manish Dawar: The overall consumption is slow as seen in the FMCG and QSR numbers. We are addressing probably about top 15% to 16% of the population which is largely metro and Tier I and II and with no presence in rural areas. So, despite some indicators that rural consumption is coming back, its contribution remains relatively very small for us as we are not present in the rural areas. Therefore, the overall consumption needs to pick up and which we think will happen. If you go back a few years all of the economy was getting driven by consumption, the investments were constrained. Whereas in the last few years the investments have picked up and therefore we are hoping that cycles should get corrected, and the investment should result into consumption. Obviously, job creation remains a big opportunity. Overall if you were to look at our view from a medium-term perspective, we are absolutely bullish on the food consumption outside home. And that's how we are looking at the overall portfolio and our overall strategy.

Devanshu Bansal: Manish, there is about Rs. 940 crore of gross debt right across India and Thailand. Obviously, this is because of that acquisition that we have done. So, what is your thought process on reducing this debt going ahead?

Manish Dawar: Given our debt position, we are in a comfortable space because if you look at in terms of the debt equity ratio or the gearing ratio, it's at a good comfort space. Plus, whatever we have communicated in terms of our overall gearing also we are well within that. So, it is not a cause of worry as of now. But if required we will look at our

options depending on how the new brands shape up.

Moderator: The next question is from the line of Percy Panthaki from IIFL Securities.

Percy Panthaki: A couple of questions from my side. So, firstly, is on the KFC -SSSG, on the call Sapphire had said that for Q3 SSSG of (-4) to (-5) would be a fair way to sort of think about the numbers for Q3. Of course, they caveated it saying it depends on how demand pans out etc. But at that point of time, the best estimate that they could give

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is about a (-5) kind of a number. Would you largely agree with this direction of thought for KFC as a brand?

Manish Dawar: Percy you'll have to go back to Sapphire for whatever they are committing. But as you know in the past also, we never give any future guidance and therefore we will not be able to answer. But let's see how the quarter pans out. Obviously, we will come back to you.

Percy Panthaki: And how has been the experience in the quarter so far?

Manish Dawar: So, it's more of the same thing.

Percy Panthaki: Secondly, I wanted to ask on the three franchisees that you have taken, these brands are almost completely unknown in India. So, is it that much of an advantage taking a franchisee of someone rather than launching some brands of your own? Because

the largest benefit of taking a franchise is that the brand is known and that helps you get customers and sales without having to build up the brand in a big way. Smaller things like research on menu and things like that. I am sure that is something that you yourselves can also manage.

Manish Dawar: Percy, you have to evaluate what it is that you have to pay for the brand versus developing your own brand, because that comes with the continuous innovation engine and pipeline that you get. That comes with the identification of all the sources of whatever you have read. So, just to give you an example although bubble tea is a niche market in the country but if you go back and look at the quality of bubble tea that you get in India versus what you get outside, it's very different because they have been through that journey because that category started many years back in the other countries. We also want to ride on this whole development phase apart from whatever you are saying, where people have learned, people have evolved, people have developed, and they have put that into their processes in terms of a better quality product and that is how the brands are built. I mean it's not going to be a significant cost. As I mentioned to Jay earlier that the newer agreements are at a far more attractive terms than what we have in our existing portfolio. It's well worth taking a brand and growing that in the country rather than your own brand.

Percy Panthaki: And are you at liberty to tell us whether the marketing and ad spend will be sort of handled by us or that is an extra amount you will pay to these brands and then they will do it like Yum! does it in India.

Manish Dawar: It will be handled by us Percy. All of the three brands that we signed. So, what we are supposed to pay to the brand owners is basically the royalty and rest we manage on our own.

Percy Panthaki: And largely this SANOOK KITCHEN, is that like a proper QSR brand because like Asian Food what we have seen here there have been some attempts to sort of make it like a QSR kind of a format but with limited success. Would you say this is more comparable to a Mainland China kind of a brand in India or it is a proper QSR brand?

Manish Dawar: Let us explain you where SANOOK KITCHEN stands and why did we find this brand to be an attractive brand. So, if you're comparing to Mainland China, this format is going to be a much smaller format. The fundamental story behind SANOOK KITCHEN is, they have reduced the serving time versus any of the fine dining or casual dining outlets. They operate virtually like the QSR formats and they put that in a very small format of casual dining restaurant. The consumers are able to experience and get a good quality product and authentic flavors which they have maintained in the entire process. So, a combination of small formats, fast serve time, and attractive pricing is basically where the brand comes from. And therefore, we

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thought that we can have this format run in a very efficient manner on the food courts.

We can also have small casual dining outlets wherever required and without having to tweak with the menu, processes and so on and so forth.

Moderator: The next question is from the line of Shirish Pardeshi from Centrum Broking.

Shirish Pardeshi: I have three questions, starting from the international business. I think we have three

businesses , Nigeria , Nepal and Thailand. All the three businesses over the last two to three quarters have seen a volatility. I agree that Nigeria currency is a challenge. But then I was more curious that Thailand would have started showing because we had a lot of hopes to improve that . So, tell us something , how these businesses we should look at for next three to five quarters , is the demand situation similar to India of these businesses, are we trying to turn around something? If there

is a turnaround

strategy maybe you can spell it out.

Manish Dawar: Shirish if you remember our communication around Thailand acquisition, we had said there's a great management team out there , which has been stable since the time this business was set up. And we had communicated very clearly that we would like to continue with the same team. We also said that they are doing a good job, and we would not like to tweak that because we are happy with the way the business has performed and grown. Having said that we also mentioned that we do see some bit of margin opportunity there and therefore there is a room for improvement in that margin in terms of where Thailand operates. And we also mentioned that typically the positioning of KFC there is more mass than a premium brand because chicken is a large market , fried chicken constitutes a great part of the street food and so on and so forth. So, if you look at all those analogies , we are not changing and as you said we are not disappointed with any of those things . We are happy with the team ; we are happy with what they are doing. As we had said that there have been some margin opportunities. We have started to work on that. Obviously, what we did not anticipate when we acquired was this whole geopolitical situation which came back later and that has impacted the Thailand business also, typically in South of Thailand and obviously that is something we have to live with and live by and make that it goes back. Also Thailand is not in a similar situation like Indonesia or Malaysia. It's in a far better situation. So, therefore, in hindsight, that decision was probably a good decision. We are on course ; we do believe that we'll be able to improve the margins over a period . But again, as you also know the South Asian economies and culture , you cannot be aggressive on day one and you have to go with the flow and gradually change things. So, we are working on the same strategy.

Shirish Pardeshi: Just one follow up here , Manish . Can you split out the business or break Rs. 394 crore because last quarter also we did about Rs. 390 and this quarter also we did Rs. 394 crore. So, maybe Country wise if you can split out , what is the revenue momentum because I am sure if you adjust the Nigeria currency , every business would have declined.

Manish Dawar: From a SSSG perspective , the SSSG continues to be a challenge across . Obviously , Nepal for us which is a small business is SSS G positive but as far as Nigeria is concerned , it is negative . As far as Thailand is concerned it is almost at a breakeven level with slight negative bias. Thailand April -May-June which was the previous quarter was a strong quarter where SSS G was positive. In the quarter gone by there was a promotion that we had run which did not work . But otherwise to your earlier comment that , is it in line with what is happening in India or what is happening across the world , it is very similar. So, Thailand or Nigeria it is no exception to whatever is happening in QSR across the world or in India specifically. The impacts could be higher or lower , some bit here and there but directionally it's similar.

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Shirish Pardeshi: My second question on the margin front ; we are now at around 16%-16.5% how we should look at in the second half of this year because SSSG is going to be challenged for India business, and I would expect that the situation is not going to change drastically. Maybe some positive momentum would have happened in the last 30 -40 days. But then how we should look at this number for the full year for India business specifically? Maybe , if you can give some indication on company gross margin , EBITDA margin , restaurant margin something like that.

Manish Dawar: Shirish we don't give guidance for future. Whatever we have lost in the current quarter we will be able to recover that back. But at the

same time if we go back to

the traditional margins , the consumption trends and the consumption patterns have to undergo a change and that is something which we do not have so much control and again , we are an important constituent of the QSR industry now. So, therefore, let's see how the industry behaves.

Shirish Pardeshi: See the reason I am asking because we have seen a similar momentum opening store expansion in KFC and Pizza Hut. So, I think what I was trying to understand ,

have we changed , tweaked the format because if I look at the regional breakup , I think we are now focusing more on T2 -T3 markets ? So, is it the nature of the business that will help, and is the 'why' more important, given that the input raw materials don't seem inflationary at this time?

Manish Dawar: Agree with you. But again, for example a deleverage impact or the ADS number or in the given scenario , whatever we are trying to do as we said on Pizza Hut side, we supported the brand with additional marketing , on KFC side we are experimenting with some pricing options , some promotion options and so on and so forth. Now obviously , these are not immediate , they will not give you immediate results because of the frequency of consumption in the Country . But all of these are more from not only short term but from a medium -term perspective also , let's see how it pans out. In terms of the improvement areas , in terms of what can be done better , there's always an opportunity. So, we are further evaluating the formats. As you know we have cut the formats in the past and it's not that we are sitting at the same level. We continue to evaluate given what the delivery situation is and what the right format is. We are continuously in discussions with Yum. So, these are all continuous things.

Shirish Pardeshi: My last question on Costa Coffee , a year before we had about 146 stores and now, we have 207 stores, but the ADS is cut and the S SSGs look positive. So, I was just more curious , this 27 number looks because of operating deleverage but if I need to ask this 146 store s which were existing last year , would the ADS be similar level or would be higher at 31 or would it be lower than 31?

Manish Dawar: See the ADS numbers are a little higher because obviously the airports for us are doing very well. Typically, we have seen the new city stores that we have opened , take some time to take off and therefore there the ADS numbers are low. But otherwise, captive locations , for example the small formats, are doing extremely well for us.

Moderator: The next question is from the line of Latika Chopra from JP Morgan.

Latika Chopra: My first question was on KFC. If you look at the S SSG trends and if you could share some qualitative flavor , when you compare it to the previous quarters , if you have to break it up in terms of transaction growth and average ticket size growth , how have these two elements behaved? Because you talked about giving more promotions , if you could give some qualitative color on , are you seeing any improvement in transaction growth and are you seeing any underlying degradation in transaction size growth? Just to understand how this S SSG is panning out and also if you could add or elaborate a bit more on a comment that you made earlier around green shoots in

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some of your larger markets. Is that comment related to Q2 or are you talking about how you exited the quarter? That's the first question.

Manish Dawar: Latika , the comment that we made was with respect to Q2 which is the quarter gone by because obviously we mean the business does not operate uniformly across all cities and across all states. The fact that for example the overall number remains at (- 7%), there will be pluses and minuses. We have seen a positive impact in some of our larger markets, which is a good situation to be in. We have seen that in some state

s where the geopolitical impact was there , it's got worse. With the new global political scenario emerging let's see how things pans out and how things react. These are yet to be seen. So, therefore , on an overall basis it's more of the same , but within pockets obviously , it is behaving differently . Regarding your other question about the transactions versus the APC, we have made special efforts to upsell and cross sell and we are maintaining the APC. There has been some decline on the transaction side, but we are trying to compensate it through the APC level. Because wherever this whole geopolitical situation is there that is mainly impacting the transactions rather than the value per se .

Latika Chopra: Just a follow up on this. This issue of external issues started in Q3 of last year. So, would it be right to assume that in a way some of this negative impact gets lapped out starting the December quarter?

Manish Dawar: Let's hope so because obviously at the local area in terms of the messaging , in terms of the campaigns that are still on. We are hoping that it should because in these situations , it is difficult to predict the consumer behaviors and the consumer trends.

Latika Chopra: The second question I had was , you had made an announcement of appointment of Mr. Shivashish Pandey as CEO of Yum! Brands from October 28. I think he has a pretty extensive experience in the QSR industry. Any initial color thoughts on any success measures or change in business strategy , any high-level thoughts at his end or it's still very early ?

Manish Dawar: It's very early and in fact Shivashish had worked with us in the past for a very brief period and then he had some family compulsions for which he had to go back and settle which he's managed to put behind and therefore he's very pleased and happy to join back, we are very happy to take him back. But having said that it's too early days and obviously there will not be a big change in strategy because there are multiple other stakeholders as far as we are a franchise partner, we are not the brand owners. So, there is a limited room to maneuver as far as the overall strategy is concerned. But we do hope that with this focus and Shivashish coming in, obviously the execution rigor and the operation rigor should improve and should give us positive results.

Moderator: The next question is from the line of Nihal Mahesh Jham from Ambit Capital.

Nihal Mahesh Jham: One question. Over the last 12 months we have seen the large acquisition of KFC Thailand business in December and now we have had these three sign-ups. Just wanted to understand internally what is the kind of template or thought process in terms of maybe incremental opportunities that they're going to evaluate, there is going to be large international geographies or is it going to be these niche brands which can potentially then become much larger?

Manish Dawar: Nihal as we have mentioned in the past, our greatest opportunity and potential remains India, and we are absolutely unwavering on that. Having said that Thailand came as a good opportunity, and we have discussed the reasons for acquisition in the past. It was more of an opportunity-led acquisition rather than a strategy-led acquisition. Our strategy continues to be India. We continue to be bullish on India

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and we continue to expand the business in India. So, therefore, that is where the niche categories come in. Because we think these are the categories for the future, for example if you go back say whatever when we started the business 25-26 years back, the categories which are big today were very small categories. So, be it the pizza category or chicken category. We think that these could be the emerging categories for the future. And that's the reason we have taken a bet to experiment with these. And once we have experimented, we will try

and grow these categories.

Nihal Mahesh Jham: Just final follow up. So, currently I think the India portfolio has around seven brands, if I count Vaango also, it's not as if there is a limit in terms of the number of brands you want to operate. Tomorrow if an attractive opportunity comes by in the domestic market, we will want to take that ahead, right?

Manish Dawar: As long as it is not just about the brand. It also depends on what category it is operating in, what the future of that category is and how it has performed outside the Country. Because as you know we are getting one on a global space with all the internet penetration and so on and so forth. So, therefore, that gives us a good proxy that if a category is doing well outside the Country, it should pick-up in India also. And having said that, as we have just said a few moments back that the current categories that we operate in pretty much cover the QSR space. So, therefore, you have to look at the new categories.

Moderator: The next question is from the line of Ashish Kanodia from Citi.

Ashish Kanodia: Manish the first question is around the consumer behavior. So, you mentioned conducting experiments and initiatives around pricing, discounting, and branding. I just wanted to check, based on your experience, what are you seeing? Is it that more discounting leads to more customer interactions, or are you seeing demand spread across the pricing pyramid? Specifically, are you noticing more demand at the top end, with a slowdown at the lower end? Also, as a related question, is there a difference in consumer behavior between dine-in and delivery? If you could elaborate on that as well, it would be helpful.

Manish Dawar: Ashish, we are doing these experiments in typically small towns because obviously you cannot do big experiments in your large markets. So, these are not experiments which are being done in the metro or the large cities. We are trying to do some experiments in smaller cities which may or may not be ready for a brand like KFC whether let's say if we take some initiative on pricing, where the consumers start to behave differently. It's too early to comment on that, because if it works well, we can have a differentiated strategy for the larger cities and smaller cities because as India is not one Country. There are multiple regions and geographies and as people say there are multiple countries in this one Country. So, we must have some localized strategies running in local way of looking at things. And unless and until we experiment with these things we will never learn, and we'll never have it as a strategy.

Ashish Kanodia: And Pizza Hut you called out, there are some extra marketing spend which is also

kind of impacting the brand contribution margin. So, is it significant enough to call out and maybe not looking at numbers but do you see this trend kind of continuing for the next say two-three quarters just to make sure that the brand gets stronger?

Manish Dawar: We have to see the results, because in our scheme of things when we spend the money on marketing or any initiatives, we continuously track and monitor what are the results we are getting. And then we accordingly continue to tweak our strategy in terms of how to spend and where to spend the money. So, we are monitoring this almost on a daily and a weekly basis. Let's see how it pans out and then we'll take a call whether we need to extend this or discontinue it. It's too early to call that out and give a definite answer.

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Ashish Kanodia: Just a last point on the three new brand tie-ups. While I understand there will be a lot of strategy discussed later, from a pricing perspective, what are the thoughts? For example, price is something available in India, but some of the products are new as well. So, from a pricing perspective, what is the thought process? Will it be

positioned

slightly premium, or will it be similar to what you have in KFC or Pizza Hut?

Compared to Western QSRs, what kind of price positioning are you planning for this?

Manish Dawar: Ashish our positioning is mass premium, if you have to look at where Pizza Hut and KFC is positioned, this will be more mass, but it will not go down to the absolute local brands pricing because there needs to be some bit of premiumization available. So, the combination of smaller format, lower capex, better positioning and differentiated and new categories, is what gives us the confidence to be able to sign the brands.

Moderator: Ladies and gentlemen, we would take that as a last question for today. I now hand the conference over to the management for closing comments.

Manish Dawar: Thank you very much. We hope we have been able to answer all your questions.

Should you need any further clarifications or in case you'd like to know more please feel free to contact our investor relations team. Thank you so much once again for your interest and support and taking the time out to join us on this call.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

Call: Feb 2025

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February 18, 2025

To,

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Sub: Transcript of Investors & Analysts Conference Call

Dear Sir/Madam,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 , transcript of the Investors & Analysts Conference Call held on February 11 , 202 5, post declaration of Una udited Financial Results of the Company for the Quarter and Nine months ended December 31 , 202 4, is enclosed.

The same is also being uploaded on website of the Company at www.dil -rjcorp.com .

You are requested to take the above on record.

Yours faithfully,
For Devyani International Limited

Pankaj Virmani
Company Secretary & Compliance Officer

Encl: As above

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Devyani International Limited
Q3 & 9M FY25 Earnings Conference Call transcript
February 11, 2025

Moderator: Ladies and gentlemen , good day and welcome to the Devyani International's Earnings Conference Call. As a reminder, all participant lines will be in the listen -

only mode and there will be an opportunity for you to ask questions after the presentation concludes. Please note that this conference is being recorded. I now hand the conference over to Mr. Anoop Poojari from CDR India. Thank you, and over to you, sir.

Anoop Poojari: Thank you. Good afternoon everyone and thank you for joining us on Devyani International's Q3 & 9M FY25 Earnings Conference Call.

We have with us Mr. Ravi Jaipuria – Non-Executive Chairman of the Company, Mr. Raj Gandhi – Non-Executive Director, Mr. Virag Joshi – CEO and Whole-Time Director and Mr. Manish Dawar – CFO and Whole-Time Director of the Company.

We will initiate the call with opening remarks from the Chairman followed by key financial highlights from the CFO. Post that, we will have the forum open for a question-and-answer session.

Before we begin, I would like to point out that some statements made in today's call, may be forward looking in nature and a disclaimer to this effect has been included in the results presentation shared with you earlier.

I would now request Mr. Ravi Jaipuria to make his opening remarks.

Ravi Jaipuria: Good afternoon everyone. I warmly welcome you to our earnings conference call to discuss the business performance of DIL for Q3 & 9M FY25.

We are optimistic that the recently presented Union Budget 2025, particularly the new personal tax regime, will bring much needed cheer for the middle class in the country. In our view, the Budget should enhance purchasing power leading to improved consumer spending. This is great news for the consumption sector including the QSR industry, as it could drive stronger consumer sentiment leading to further expansion of the industry.

I am delighted to say that DIL has successfully met its store expansion guidance, crossing an impressive milestone of 2,000 stores in the recent quarter across all brands and geographies ahead of the original target. This achievement further

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enhances our market presence and reinforces our strategic position in the QSR industry. It also offers our customers greater access to our brand.

Reflecting on Quarter 3, our store expansion strategy has been a key driver of the Company's growth. We remain committed to this approach, ensuring a balance between expansion and store-level performance. In Quarter 3, we added 111 net new stores, bringing our total store count to 2,032 as of December 31st, 2024. Our core brands KFC, Pizza Hut and Costa added 107 stores in Quarter 3, thereby further strengthening our brand performance.

DIL's consolidated revenue for the quarter stood at Rs. 1,294 crore, reflecting a 53.5% year-on-year growth. We have also seen slightly better margin performance because of better SSSG and certain fresh cost optimization measures.

I am glad to share that our brands continue to demonstrate consistency and excellence. In recognition of this, KFC was awarded the "Most Admired Retailer of the Year for market expansion" at the Pepsi Images Food Service Awards 2024. While the overall consumer sentiment remained a little subdued, during the festive season our QSR in general and DIL witnessed some green shoots of recovery in the metro and large cities. For the budget conscious consumers, Value Menu Items such as KFC Roll Variants and Snackers were major attractions during the festive season. KFC Epic Savers and Pizza Hut discounts offered help in driving volumes. With both brands experiencing recovery in demand by clocking highest-ever sales of big festival days.

Our Food Court business is gaining momentum with new locations being added during the quarter. As we expand our footprint, we remain focused on tapping into strategic opportunities. A key development during the quarter was the opening of the first food court in Kota, established under the JV arrangement with PVR INOX.

Our international teams also contributed to the overall growth of the Company. In Thailand we successfully added 9 net new stores totaling to 305 stores in Quarter 3. To conclude, I am glad that despite the relatively quiet festival season, DIL has remained focused on store expansion, while continuing to explore new and innovative ways to connect with consumers. As a leading player in the Indian QSR space, we are uniquely positioned to capitalize on the sector's recovery with market conditions expected to turn positive.

In the coming quarters, we are confident that our efforts, which have doubled our store count to 2,000 in just over 2.5 years, will yield strong results and further strengthen our position in the industry.

With this, I would like to conclude my address and now hand over to Manish for the financial highlights. Thank you.

Manish Dawar: Thank you , Mr. Jaipuria . Good evening everyone. A very warm welcome and thank you for your valuable time for attending DIL 's Q3 & 9M FY25 Earnings Conference Call, our fourteenth such call since our listing in August 2021.

DIL has achieved a significant milestone of 2 ,000 stores in Q3 FY25 ahead of the guidance given in the past. The total store count at the end of the quarter stands at 2,032 stores. Our core store footprint has now exceeded 1 ,900 stores comprising of 1,052 KFC stores, 651 Pizza Hut stores, and 209 Costa Coffee stores.

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The operating revenue for Q3 FY25 was Rs . 1,294 crore , representing a growth of 54% v ersus Q3 FY24. The current year numbers include the Thailand business which was acquired in January 2024.

The Indian business witnessed a growth of 9.6% year-on-year mainly due to store expansion. Revenue was Rs . 873 crore with growth of 4.4% versus the previous quarter.

The gross margin for the consolidated business was 68.7%, a drop of 60 basis points versus the previous q

uarter. The impact on gross margins was primarily due to food inflation that we have seen in core brands , driven by rising oil, chicken, cheese and coffee bean pricing.

The brand contribution for Q3 FY25 stood at 14.3%, higher by 70 basis points versus the previous quarter. Improvement in brand contribution was mainly on account of sales leverage and fresh measures on cost optimization in the Indian and Nigerian operations.

Consolidated operating EBITDA on a pre -IndAS basis was Rs . 131 crore vs Rs . 114 crore in the previous quarter. The pre-IndAS margins for the quarter for the consolidated business were 10.1% , an improvement of 70 basis points versus the previous quarter. The Consolidated reported EBITDA on a post -IndAS basis was 16.9% v ersus 16.3% in Q2 FY25.

The Nigerian currency is showing signs of stabilization and broke its continuous weakening trend in Quarter 3 .

The PBT for Q3 FY25 on a consolidated basis was Rs . 9 crore versus a loss of Rs. 4 crore for the previous quarter. The improvement in PBT is primarily on account of better EBITDA.

Moving the discussion to our core brands, KFC in India added 44 new stores in Q3 FY25 . With this, the total store count for KFC in India stands at 689 stores at the end of Q3 FY25. Average daily sales for Q3 FY25 was flat at 96,000 versus the previous quarter. Revenue at Rs . 570 crore , increased by 4.8% on a quarter -on-quarter basis. The gross margin for KFC during the quarter was 68.6%. The brand contribution margin at 17.2% for the current quarter saw an improvement of 60 basis points because of better sales leverage and cost optimization measures.

During the quarter, Pizza Hut added 51 new stores, reaching a total count of 644 stores in India. Revenue for Q3 FY25 was Rs . 190 crore versus Rs. 185 crore in the previous quarter. ADS for the brand was 35 ,000. The g ross margin for the quarter was 76.2% , and brand contribution for the quarter was Rs. 4 crore with the margin at 2.1% .

Costa Coffee added two new stores during the quarter , reaching a cumulative store count of 209 stores. Q3 FY25 revenue was Rs . 52 crore, which grew by 5.4% over the previous quarter and 30.2% on a year -on-year basis , mainly due to the expansion of new stores.

The gross margin for the quarter was 75.5% , an improvement of 50 basis points over the previous quarter. Brand contribution in Q3 saw an improvement and stood at 16.9%.

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We opened our first food court under the strategic tie -up with PVR INOX at Kota . DIL has an economic interest of 51% in the new Company . Please note that this entity shall be consolidated in accordance with Accounting Standards 28.

Total number of international stores was 374 with the addition of 9 new KFC stores in Thailand and 1 Pizza Hut store in Nepal in Quarter 3 . The international revenue for the quarter was Rs . 430 crore with growth of 9% v ersus Q2 FY25.

The g ross margin was 64.1%, a drop of 100 basis points versus the previous quarter because of Thailand currency impact on closing inventory valuation. Brand contribution margin at 16.6% saw an improvement of 60 basis points versus Q2

FY25. The reported EBITDA was 14.9% during the quarter versus 13.4% in Q2 FY25.

To conclude, we have been executing our expansion strategy in a very calibrated manner while ensuring healthy paybacks in our core brands. A key driver of this has been our focus on small format stores over the past few years which are highly capital efficient and offer stronger payback potential. While SSSG performance has impacted returns in the short term due to subdued external environment, such trends are also typical during phases of accelerated expansion. Nevertheless, we remain confident that our strategy will drive sustained growth and profitability in the medium to long term.

On that note, I

would also like to request the moderator to open the forum for any questions or suggestions that you may have. Thank you very much.

Moderator: Thank you very much, we will now begin the question-and-answer session. The first question is from the line of Gaurav Jogani from JM Financial.

Gaurav Jogani: My first question is with regard to the store expansion that we have seen in Pizza Hut. You know, it's been a really strong expansion that we have seen here. And I think the same is the case with the other business segment also, wherein the network expansion has been strong. So, if you can highlight your guidance on the expansion in both of these formats going ahead.

Manish Dawar: Gaurav, if you look at on a 9-month basis, we have added 93 KFC stores and 77 Pizza Hut stores, while we continue to add Costa and Vaango as well. In Quarter 3 store expansion of Pizza Hut was high because we were delaying the store openings given the brand performance. But there were some DA commitments that we had, and therefore we have made sure that we fulfill our commitments. Going forward, as we have spoken in the past, we will be moderating Pizza Hut expansion, and you will see even further lower numbers versus what we have done so far. So, we continue to remain bullish on KFC. On the other hand, we have added new brands. We are monitoring Pizza Hut performance very closely. And therefore, depending on the brand performance, we will take a final call on the numbers.

Gaurav Jogani: And sir, on the other brands, the higher expansion is also due to the JV store expansion that you mentioned, the food court. Is that also a reason why the expansion is higher than the other brands?

Manish Dawar: We have upped the game on our food court penetration as we have been speaking about food court expansions in the last two quarters, but the JV has opened only one food court in Kota, and that is not part of the consolidated numbers because we are not consolidating this JV fully given the auditor's opinion. So, if we were to take the JV that we have opened in Kota, it would have further added 4 new stores, one each in KFC, Pizza Hut, Costa and Vaango.

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Gaurav Jogani: Okay. And sir, my last question is with regards to the margin performance, as the margin recovery is a tad better in the KFC business. However, we have seen our Pizza Hut margins even declining sequentially, despite the ADS remaining flat Q&Q. So, anything on why the margins in Pizza Hut are weaker, also can you give a sense on how the margin trajectory for KFC can trend up in the future.

Manish Dawar: Gaurav, on the margin expansion, we agree with you that Pizza Hut has seen little lower margins, but we will see margin improvement coming from next quarter because we are optimizing the marketing cost in Pizza Hut versus what we have done in the last 6 to 9 months. At the same time, we have taken some fresh cost optimization measures also in Pizza Hut as well as KFC, which will start to yield the results from January onwards. So, we are confident that as far as KFC is concerned, we will be able to come back to the margin levels that we have indicated in the past. The expansion on Pizza Hut will be dependent on the overall brand performance.

Moderator: The next question is from the line of Adithya P. S. S. from JP Morgan.

Adithya P. S. S.: My first question is on the KFC performance. So, if I look at your ADS and margin numbers and compare that with your sister franchise, there seems to be some divergence. I just wanted to understand is this because of any region split or are you seeing any material difference in demand trend between different tiers of cities which could be driving this?

Manish Dawar: As you know, our sister franchise partner is predominantly present in the large metros because if you look at

the country, they have a higher share of metro cities.

And we have seen a better recovery in metros versus smaller ones. You would know

that they have Mumbai , Delhi and Chennai, which are strong markets for KFC where we have also seen similar trends , however we have not seen any big divergence. We have primarily seen the KFC numbers getting impacted in Kerala, Assam and West Bengal, which are very highly concentrated because of geopolitical situation. However there also we have seen an improvement and a turnaround happening. We have seen the green shoots because of the geopolitical situation also turning around . And therefore , that gives us confidence that next quarter should be a better quarter from that perspective.

Adithya P. S. S. : That's very clear. My second question is on the transaction growth of K FC. So , is it right to assume that the same -store transaction decline would be lower than the SSSG ?

Manish Dawar: See, the APC which is the value piece is holding very well. If at all we have seen a small uptick in all our brands , as far as the APC is concerned the decline which is currently there is primarily on account of transactions. And that's where this whole initiative on the low -cost meals and the value meals and the new promotions that Mr. Jaipuria talked about will help drive the footfalls and will help improve the situation on the transaction.

Adithya P. S. S. : Okay. If I can squeeze one last question, can you also give a little bit more color on Vaango because you have been clocking double digits same store sales growth over the last couple of quarters although ADS has declined a bit sequentially in this quarter ? Can you explain what kind of trends you are seeing here and give more color on the format?

Manish Dawar: Vaango is doing well on SSSG because of the older locations, because that is how the SSSG gets calculated , the formula is one -year-old stores . During the period ended 9 months we have added 31 new stores in Vaango. The new stores typically start the journey at a lower rate and then they mature over a period of time . This is what is driving the overall ADS numbers down.

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Moderator: The next question is from the line of Percy Panthaki from IIFL Securities.

Percy Panthaki: How do you look at margins going ahead, especially for KFC? I mean, we are in negative territory right now, but supposing we go into a minor positive territory, a low single -digit kind of SSSG strategy for the next few quarters. In that kind of scenario, do we see KFC margins at around 17.5% to 18% or can it be better than that?

Manish Dawar: Percy, as we mentioned in the last call, we are targeting KFC to get to 19 to 20% margin at about 100,000 ADS , and we are tracking on that . It will take us a few quarters to be able to get there , but on an overall basis , we are confident that the kind of measures we have taken and once they start to kick in , we will be able to see the full results at about 100,000 KFC ADS with 19 to 20% brand contribution margins.

Percy Panthaki: Understood. And these measures are more in terms of improving the ADS or are there any measures in terms of cost efficiencies also? And if you could just a little bit elaborate on them.

Manish Dawar: Both sides . It's ADS as well as the cost side. So , on the cost side, we have re -looked at how we deploy the labor, how do we consume the electricity. We have taken a relook at everything on a de novo basis , and we have taken some measures as a result of that.

Percy Panthaki: Understood. Also, on international as a whole, what is the kind of growth that you are targeting for that piece, both in terms of revenue growth as well as in terms of the number of stores for FY26?

Manish Dawar: As far as the store growth is concerned , Thailand represents the largest opportunity .

We plan to add about 20 to 25 store s, which is 8 to 9% of the stores that we have. And then on top , we are targeting a SSSG of about 3 to 4% which should give us about 11 to 12% revenue growth. Nepal is a small opportunity as we have discussed in the past. Nigeria seems to be kind of stabilizing as far as the currency is concerned. Our objective is to stabilize the operations, bring the profit levels back because there have been huge losses due to the currency devaluation. So , in Nigeria, we are evaluating the expansion, but there will be very small numbers in Nigeria if that were to happen.

Percy Panthaki: Right . And is there any visibility on Nigeria breakeven by when we can hope for that , and what are the losses on Nigeria on an annualized basis currently?

Manish Dawar: In this quarter we have seen currency stabilizing in Nigeria . The brand contribution has come back very strongly as far as Nigerian business is concerned. Our brand contribution sits at 20% plus.

Percy Panthaki: Okay . No, I am just trying to understand for my modeling purposes for FY26 full year

versus a full year of FY25. Supposing if the losses go away, then how much of a swing in rupees crore could I be factoring in for the FY26 numbers? I just wanted to understand that part.

Manish Dawar: We can work that number out for you , Percy , and then we can discuss it offline basis. But again, we would like to see one more quarter of the currency getting stabilized and then talk about those numbers.

Percy Panthaki: And when you say brand contribution is 20%, would I be right in assuming that generally corporate overheads for a QSR format is about 5% to 7% and therefore your EBITDA margin also would be at least a low teens kind of a number for this quarter in Nigeria?

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Manish Dawar: Yes, because Nigeria is a small business, so therefore the corporate G &A is a little higher, but otherwise directionally you are absolutely in sync.

Moderator: The next question is from the line of Jignanshu Gor from Bernstein.

Jignanshu Gor: Congratulations on improving performance trajectory. I wanted to double down on one question on Pizza Hut. You said that any further growth in terms of store network or investments in marketing will be dependent on performance. So , can you guide us what performance markers you are looking for to get convinced of a turnaround?

Manish Dawar: These are ADS and SSSG numbers. On SSSG , we have seen improvement happening in the current quarter. What used to be a double -digit negative a couple of quarters back, we are almost at a breakeven level. The industry has also seen a strong comeback on pizza.

Jignanshu Gor: Okay . Is there any specific ADS number that you have in your mind or a brand contribution margin number?

Manish Dawar: We will not be able to give you guidance on that.

Jignanshu Gor: Sure. No worries. If I can just follow up on one more , it is regarding Vaango. I think we had a relative store expansion last quarter, which has slowed down this quarter. But if you do a broad backward math, it seems the 40 stores that we have sort of added in the last 12 months are operating at far lesser capacity than the remaining 54. So , is it something about the structure and nature of the format which is giving you pause in expansion? Or do you still remain very bullish about it? So , just wanted to get a handle on that.

Manish Dawar: Sure . Jignanshu , when you are comparing the base numbers to the new additions, it is important to note that the base consists of very strong operations , including operations at the airport . Vaango performs extremely well at airport , and that is what pushes up the base , whereas all of the new additions are typically in the food courts and high streets, which operate at a lower level. If we were to compare

, like -to-like

basis, the difference is only about the maturity profile of a store.

Jignanshu Gor: Okay . And hence , is the S SSG, let's say , 9.6% this quarter, is it different for , let's say, airport stores versus non -airport stores? Is that something you would feel comfortable right now ?

Manish Dawar: It will be similar.

Jignanshu Gor: It will be similar. Okay . And lastly, in ADS terms, then you would expect it to sort of stabilize at a lower level than it was earlier, as the mix of stores moves towards more high-street.

Manish Dawar: Correct.

Moderator: The next question is from the line of Devanshu Bansal from Emkay Global .

Devanshu Bansal: Congratulations on reaching the store milestone. Manish, last quarter we talked about experimenting with some marketing and pricing promotions in select markets, right? So , how has been the response to such initiatives and what is the margin impact of this in the current quarter ?

Manish Dawar: Devanshu, it's been a mixed bag. We have seen a good response on the KFC side to these promotions. We have not seen such a good response on the Pizza Hut side.

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So, therefore, it's been a mixed bag. But on an overall basis, we think things are moving in the positive direction , and therefore we are going to be recalibrating the marketing spends from January onwards.

Devanshu Bansal: Understood. Sir , just a follow -up on this. So , Q3, it's seasonally a stronger quarter, but the ADS is flat sequentially. And we have taken these initiatives where we are indicating that the response has been good. So , wanted to check the reasons for a lower pickup on a sequential basis in KFC. So, just your thoughts on that.

Manish Dawar: As we said in response to the earlier question, one is this whole location thing and then we have also seen a very strong store addition in Quarter 3 . When you have this kind of store addition , it impacts the ADS performance because any new stores would start at a lower level.

Devanshu Bansal: Understood. Last question, sir , you indicated Kerala, Assam, West Bengal are not doing well for us. So, can you either talk about the performance on the regions outside of the impacted states? Or if you could suggest otherwise the salience of the impacted states and what is the kind of improvement that we are seeing in these states ?

Manish Dawar: Devanshu , we have seen a better improvement as far as SSSG performance is concerned for the states outside of these three states. These three states also have improved , however these states have bottomed out and are not in line with the rest of the states. We should see a better kind of picture in these states with the geopolitical situation stabilizing .

Devanshu Bansal: Qualitatively can you sort of indicate as in what is the difference of SS SG in these regions and outside of these regions? Just to get a sense as in how things may turn up when sort of these states also recovers .

Manish Dawar: We will not be able to give you the exact numbers, if you look at the range of states that we operate in , on the highest side probably the SSSG improvement sits at 10 - 15% plus. These are low weight stores , which may not be adding so much weight . The range is wide and it's not just a narrow range that we can tell you and you'll be able to apply in the model.

Moderator: The next question is from the line of Tejash Shah from Avendus Spark.

Tejash Shah: My question refers to your comment that the commitment was also one of the triggers. I am sure it was not the sole intention to expand or go aggressive on Pizza Hut store expansion this quarter. So , given the subdued demand environment which you called out and the Chairman also called out in his opening remarks, I just wanted to understand how much flexibility do we enjoy on the expansion commitment ? Was

there an option to delay it considering that demand is still not in great shape?

Manish Dawar: If you look at our openings on Pizza Hut this year are lower versus the previous year. And therefore, there is flexibility available. But again, at the same time, we are very cautious that we should not be defaulting on our agreements , and the DA works from January to December period. So , therefore , we will be recalibrating Pizza Hut as we go along.

Tejash Shah: Manish, given the team's experience with power cycles, we have seen first time in the listed phase , so, just wanted to understand, does aggressive expansion typically pursue during downturns? Does it benefit us in full recovery cycle? Or do you want to wait for demand turnaround before acceleration on store expansion? Just wanted

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to understand from past experience what has been more remunerative among these two strategies.

Manish Dawar: Tejash , see, it is a chicken and egg story, if you were to look at our experience, the way we expanded during COVID time when nobody else expanded and post -COVID we have seen great results because of that . This business is not about putting up a large factory where you create a capacity and then you can utilize for , it's a brick - and-mortar business . We have to create store by store and therefore if we miss on the real estate opportunity , it's gone forever . If we are not able to create that whole bandwidth , we will miss the opportunity. If we were to say that there's a downturn of three years and we will be able to open 400 stores together in the fourth year, it's physically not possible. So, it's a very different nature of business , and that's the reason we are kind of at it because eventually , if we all believe in the India story and we all believe that India will grow, the economy will grow , and the consumer sentiment will improve and the consumption will come back , then with the new budget and whatever steps the government has taken and will be taking, we should stand to kind of gain the most. And we have already experienced this during COVID time.

Tejash Shah: Right , yes . And the last one, if I may, in the history of the Company , both for Pizza Hut and KFC, what has been the most prolonged downtime cycle that we have seen? Is this the current one, the most difficult one? Or there is a history of such cycles in the past also?

Manish Dawar: In the past we have never had this kind of scale, so, it is a combination of a slowdown in the consumer demand and consumer sentiment , and at the same time , we have also been doing aggressive expansion , so it is a combination of these two. Now

expansion is a very conscious strategy that we have undertaken , and we are confident about expansion because all of the expansion is happening on smaller formats where the payback periods are strong. Therefore , as we see the consumer sentiment coming back, it should greatly benefit us. But at this scale , obviously we have not experienced things in the past because it was a smaller operation in the past.

Moderator: The next question is from Maruth Chaudhary , who is an individual investor.

Maruth Chaudhary: My first question is regarding the depreciation of the rupee this quarter —what would be the impact of that ?

Manish Dawar: So, Maruth, we don't have a lot of imports except for, we only get a little bit impacted by, key equipments on the capex side. But as far as operations are concerned, the impact will eventually come in depreciation . But otherwise, on the raw material side, packing material side, our import structure is very small. So, therefore, there is not that much impact of that. Obviously because of the currency, international operations also get consolidated , impact comes on that, but that's only a translation effect rather than a transaction effect

t.

Maruth Chaudhary: Okay. And next is regarding the discussions around Health Tech and Ultra - Processed Foods —can we introduce a healthier brand in our portfolio, similar to what others are doing ?

Manish Dawar: Vaango is a healthier brand in our portfolio. South Indian brand is supposed to be the healthiest food in the country and we already have that in our portfolio. Within KFC also, while our dominant range is fried chicken , we have grilled chicken available as a healthier option . Similarly on the pizza, we have a good balance. Even the newer brands, Sanook Kitchen , which we have signed , is a healthier brand

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versus the other brands that we deal in. So , we are conscious of what you are saying , and that is part of the strategy.

Maruth Chaudhary: Okay , just one more question, if I may ask. Instead of cost optimization, should gross margin expansion happen through the introduction of new products? For example, Yum China's gross margin expanded when they introduced KFC K Coffee, and similarly, Burger King expanded their margin with BK Café. Can we see the same in KFC India? Can we introduce something similar to KFC K Coffee, as Yum China did?

Manish Dawar: So, Maruth, we have introduced, and we have experimented with KFC Coffee in some of the outlets. Now, this is a different strategy versus what McDonald's is doing by way of McCafe or what Burger King is doing by way of BK Café because they operate large stores , and whereas our strategy is to bring the formats down to focus on the core , to make it more efficient on the paybacks and the margins , that is how we are operating. The trend in the QSR industry has been more and more home consumption , and that you would have seen with all the brands over a period of time . Home consumption is going up for the entire industry , even post COVID . It's going up for all the brands , and therefore in that scenario , we are highly focused on the format of the store rather than large formats.

Moderator: The next question is from the line of Latika Chopra from JP Morgan.

Latika Chopra: I wanted to check with you on your thoughts around this quicker 10 -minute delivery platform, which was announced by the leading food aggregators. How do you view this? Is this something which is feasible for formats that you run? Do you see this as an opportunity or a threat from a snacking perspective?

Manish Dawar: See, what they are talking about , Latika , is all around the snacking platform . And those snacks are typically ready -to-eat snacks , which have always existed . In any Indian household any quick eating snacks are always part of pantry , as far as fresh food is concerned, there is a cooking time and there is a delivery time, although we are also in discussions with one or two players in terms of how we can participate and experiment. Just to give you as to how the dynamics work, take the example of Pizza Hut, the pizza is prepared after you get the order and the preparation time itself is about 7 to 8 minutes. Depending on the pizza, it could be 9 minutes also. And then you have the delivery time. Whereas if you look at a brand like KFC, KFC operates on a ready -to-eat basis and therefore KFC can easily participate in that journey. So, we are in discussions, we will be experimenting with this. There could be some menu items which can always participate in that whole 10 -year journey, but let's see how it shapes up.

Latika Chopra: Understood. The second bit was just trying to check if there has been any change in agreements or any kind of inflation you have seen with any of the aggregators.

Manish Dawar: No, not yet. So the discussions are on, because there has been a pressure from the aggregators, but so far we have managed to hold .

Latika Chopra: All right . And the last bit I just wanted to check was o

n , you know , the three QSR

brands that you are planning to bring and launch in India. The timelines remain from April this year onwards.

Manish Dawar: Yes, we are on track from Quarter 1 of the next financial year.

Moderator: The next question is from the line of Aliasgar Shakir from Motilal Oswa I Mutual Fund.

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Aliasgar Shakir: Just a question on the outlook . As Tejas h was mentioning , we've been in a prolonged period of a weak environment, with nearly 8 to 10 quarters of a challenging outlook .

Now that you are hinting that there is some recovery , could you give a little more pointed clarity in terms of how is the situation on the ground ? After two years of a negative base, are we expecting flat SSSG, or do you believe things could improve from here? Are we looking at positive SSSG in the next couple of quarters? Also, what kind of margin expectations do you have? Will it take time to return to the 19 - 20% margin you mentioned, or if we achieve 5 -10% SSSG, should we be able to reach that margin level sooner ?

Manish Dawar: Sure. So, you are seeing the numbers of the QSR industry, and we have seen that kind of turnaround happening with almost all the brands. We have seen that in our numbers as well and that gives us confidence that maybe things are turning around. As we have said that we have seen in Quarter 3 , which is a festival quarter and we have seen bigger throughputs happening on those festival days, which again is an indicator that the consumers are opening up their wallets. So, SSSG turning around is one of the paramount factors to be able to make sure that we kind of come back to our original margins. Irrespective of that, we kind of took the steps in the previous quarter. We have seen the impact of or the results of those steps coming in the current quarter. We are confident that , as I said to Percy's question , that with about 100,000 KFC ADS we should come back to our original margins of 19 -20%.

Aliasgar Shakir: And in the current quarter , are we seeing signs because I am just asking from the point of view that , you know , there is two years of negative base, so on this base are we seeing signs of S SSG bottling out in the current quarter?

Manish Dawar: It's been a mixed bag because as we operate in multiple states and there are multiple kinds of factors impacting various states. But now with the budget coming in, with the geopolitical situation stabilizing, I think we are hopeful that things should kind of turn around.

Moderator: As there are no further questions, I would now like to hand the conference back to the management team for any closing comments.

Raj Gandhi : Thank you very much. We hope we have been able to answer all your questions satisfactorily. Should you need any further clarifications or would like to know more about the Company , please feel free to contact our Investor Relations team. Thank you once again for your interest and support and for taking the time out to join us on this call. Thank you very much.

Manish Dawar: Thank you very much.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

Call: May 2025

Devyani International Limited

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May 30, 2025

To,

National Stock Exchange of India Ltd.
Exchange Plaza, Block G, C/1, Bandra Kurla
Complex, Bandra (E), Mumbai – 400 051
Email: cmlist@nse.co.in
Symbol: DEVYANI BSE Limited
Phiroze Jeejeebhoy Towers ,
Dalal Street, Mumbai – 400 001
Email: corp.relations@bseindia.com
Security Code: 543330

Sub: Transcript of Investors & Analysts Conference Call

Dear Sir/ Madam,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 , transcript of the Investors & Analysts Conference Call held on May 23, 202 5, post declaration of Audited Financial Results of the Company for the Quarter and Financial Year ended March 31, 202 5, is enclosed.

The same is also being uploaded on website of the Company at [www.dil -rjcorp.com](http://www.dil-rjcorp.com) .

You are requested to take the above on record.

Yours faithfully,
For Devyani International Limited

Pankaj Virmani
Company Secretary & Compliance Officer

Encl: As above

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Devyani International Limited
Q4 & FY25 Earnings Conference Call Transcript
May 23 , 2025

Moderator: Ladies and gentlemen, good day and welcome to Devyani International's Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes . Please note that this conference is being recorded.

I now hand the conference over to Mr. Anoop Poojari from CDR India. Thank you , and over to you , sir.

Anoop Poojari: Thank you. Good afternoon everyone and thank you for joining us on Devyani International 's Q4 & FY25 Earnings Conference Call.

We have with us Mr. Ravi Jaipuria – Non-Executive Chairman of the Company, Mr. Raj Gandhi – Non-Executive Director, Mr. Virag Joshi – CEO and Whole -Time Director and Mr. Manish Dawar – CFO and Whole -Time Director of the Company. We will initiate the call with opening remarks from the Chairman followed by key financial highlights by the CFO. Thereafter , we will have the forum open for a question -and-answer session.

Before we begin, I would like to point out that some statements made in today's call, may be forward -looking in nature, and a disclaimer to this effect has been included in the results presentation shared with you earlier.

I would now request Mr. Ravi Jaipuria to make his opening remarks.

Ravi Jaipuria: Good afternoon everyone and thank you for joining us today. I am pleased to welcome you to Devyani International's Post Results Earnings Conference Call to discuss our performance for the 4th Quarter and Financial Year 2025.

The previous financial year was a challenging one. Marked by several headwinds, including a slowdown in GDP growth, input inflation, weak urban consumption and shifting geopolitical dynamics. However, the Union Budget 2025 aims to counter some of these pressures by attempting to boost consumption through tax relief measures targeted at individuals.

Despite these headwinds, we are pleased to report that DIL continues to demonstrate strong momentum in its growth journey — both organically and through strategic acquisitions. During 2025, DIL reported consolidated revenue of Rs . 4,951 crore, registering a robust 39.2% year -on-year growth. This performance was primarily driven by the strategic acquisi

tion of KFC stores in Thailand and supported

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by ongoing store expansion in India. The Company's EBITDA margin stood at 17% , while absolute EBITDA increased by 29.1% over FY24.

Most recently, we announced the acquisition of Sky Gate Hospitality (owners of Biryani By Kilo & other brands) , marking our entry into another high -potential food category. This will further strengthen our overall brand portfolio and deepen our well laid out strategy.

During the year, we also tied up with three international brands i.e., New York Fries, Tealive, and Sanook Kitchen. We are proud to share that we have recently opened the first New York Fries store in Mumbai. This marks the beginning of our expansion with the new brands, and you will see more coming in the current year.

Our store expansion strategy has been instrumental in driving growth and reinforcing our market leadership. By following a balanced approach of scaling the footprint while maintaining rigorous store -level performance standards , we successfully added 257 new stores during FY20 25, elevating our total presence to 2,039 stores as of March 31, 2025. We have achieved our store rollout targets across all brands, reflecting disciplined execution and strong execution capabilities.

Our core brands KFC, Pizza Hut and Costa remained at the forefront of this expansion , collectively contributing 204 net new stores , thereby further strengthening the presence of our brands. The store growth not only extends our reach to the new consumers , but it also serves existing ones better , enhances the operational synergies and brand equity across markets.

On the marketing front, our brand campaign 'Taste the Epic' was recognized as an innovative and impactful campaign at the ACEF Global Customer Engagement Awards.

Over the past five years, DIL has outperformed the organized QSR market in terms of both revenue growth and new store openings. While the revenues for the listed QSR industry grew at a CAGR of 29.6%, DIL achieved a significantly higher CAGR of 44.5%. The industry store count expanded at a CAGR of 22.5% . Against that, DIL recorded robust store growth of 31% CAGR .

To conclude, despite a subdued demand environment, DIL has remained focused on expansion while actively exploring new and innovative ways to engage with consumers. As one of the leading players in the Indian QSR sector, we are well positioned to capitalize on anticipated recovery in the industry . With market conditions expected to improve, driven by Union Budget initiatives focused on agricultural and rural prosperity, along with increased consumption supported by tax relief measures , we remain optimistic about the growth opportunities ahead.

Overall, we remain confident in our strategy, execution capabilities and ability to deliver constant growth. Our focus will remain on scaling profitability, strengthening both our core, and emerging brands and creating long-term value for our stakeholders.

With this, I would like to conclude my address and now hand over to Manish for the financial highlights. Thank you very much.

Manish Dawar: Thank you, Mr. Jaipuria. Good evening, everyone. A very warm welcome and thank you for your valuable time for attending DIL's Q4 FY25 Earnings Conference Call, our 15th such call since our listing in August 2021.

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DIL has continued with its store expansion plans. The store count as of 31st March 2025 was 2,039 stores, with our core store footprint at 1,917 stores comprising of 1,060 KFC stores, 637 Pizza Hut stores and 220 Costa Coffee stores.

The consolidated operating revenue for FY25 including Thailand was Rs. 4,951 crore with a robust growth of 39.2% versus FY24. The Indian business witnessed a revenue growth of 7.5%. Quarter 4 FY25 consolidated revenue stood at Rs. 1,213 crore versus Rs. 1,047 crore in Q4 FY24, growth of 15.8%. Indian business revenue for Quarter 4 FY25 was Rs. 801 crore, reflecting a growth

of 6.6% versus Quarter 4 FY24.

The gross margin of the consolidated business for FY25 was 68.9% versus 70.3% in FY24. The gross margin for Quarter 4 FY25 was 68.5% versus 68.7% in Quarter 3 FY25. A slight drop in margin was contributed mainly by cooking oil, coffee bean prices and higher deal composition. The brand contribution for FY25 was at 14.2% versus 15.5% in FY24. This is mainly on account of sales deleverage and the amendment in GST law on rentals.

Consolidated operating EBITDA including Thailand on a pre-IndAS basis for FY25 was Rs. 494 crore versus Rs. 381 crore in FY24. Pre-IndAS margins for FY25 was 10% versus 10.7% in FY24. FY25 consolidated reported EBITDA margins on a post-IndAS basis was 17%, Rs. 842 crore versus 18.3% in FY24. The PBT for FY25 on a consolidated basis was Rs. 12.8 crore versus Rs. 3.7 crore in the FY24 with a growth of 248%.

Moving the discussion to our core brands, KFC in India added 100 new stores in FY25. With this, the total store count for KFC in India stands at 696 stores as of 31st March 2025. Average daily sales for FY25 was Rs. 94,000 versus Rs. 105,000 in FY24. Revenue of FY25 at Rs. 2,179 crore increased by 6.6% versus FY24. Gross margin for KFC for FY25 was 68.9% versus 68.3% in Quarter 4 FY25. The brand contribution margin for FY25 was at 17.4% and 16.2% for Quarter 4, respectively. FY25, witnessed a decrease of 100 basis points vs Quarter 3 FY25, mainly because of sales deleverage.

During the quarter, Pizza Hut India closed 14 stores. Overall, on a full year basis, Pizza Hut added 63 net new stores in FY25 versus 61 in FY24. The Pizza Hut India store count was 630 as of 31st March 2025. Revenue for FY25 was Rs. 732 crore versus Rs. 709 crore in FY24. And for Quarter 4 FY25, revenue was Rs. 175 crore versus Rs. 162 crore in Quarter 4 FY24. The ADS for the brand was Rs. 34,000 in FY25 versus Rs. 37,000 in FY24. Gross margin for FY25 was 76.3% versus 75.9% in FY24. And brand contribution margin for FY25 was Rs. 20 crore with a margin at 2.7%.

Costa Coffee added 11 new stores during the quarter and 41 stores during the entire financial year of 2025, reaching a cumulative store count of 220 stores as of 31st March 2025. FY25 revenue at Rs. 199 crore was Rs. 152 crore in FY24, with a 30.8% growth and Quarter 4 FY25 revenue was Rs. 52 crore with a 16.1% growth versus Quarter 4 FY24. The gross margin for FY25 was 75.4% versus 76.8% in FY24. This impact is primarily because of inflation in coffee beans as well as other input materials for Costa Coffee. Brand contribution for FY25 was 16.1% versus 17% in FY24 and for Quarter 4 FY25 it was 17.6% versus 16.9% in the previous quarter. Moving to our international business, our total number of international store was 375 as of 31st March 2025. The international business revenue for the quarter was Rs. 419 crore. The gross margin for FY25 was 64.2%, an improvement of 3% versus FY24. And the brand contribution margin for FY25 was at 15.9%, an improvement of 2.3% versus FY24. This is primarily on account of Thailand consolidation.

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Most recently, we announced the acquisition of Sky Gate, owners of Biryani By Kilo, Goila Butter Chicken and The Bhojan, marking our entry into high-profile Indian high-

potential food category. We have acquired the business at an equity valuation of Rs . 519 crore . The stake of 80.72% will be settled by way of preferential allotment of DIL shares in accordance with the SEBI Regulations. DIL shareholders have voted in favor of the transaction, and we are planning to close the same in the next couple of weeks.

We will also be infusing up to Rs . 90 crore cash by way of additional capital in the business. The business is currently loss-making, and we are hoping to turn it around in the next one year.

To conclude , we continue to maintain a disciplined approach to growth

, supported

by strong execution and diversified brand portfolio that includes high potential domestic and international formats. Our expansion strategy remains focused on driving profitability through operational efficiency and the continued rollout of small format stores which are both capital efficient and scalable . As we look ahead, we believe the anticipated improvement in market conditions positions us well to build on the momentum of FY25.

On that note, I would like to request the moderator to open the forum for any questions or suggestions that you may have. Thank you very much.

Moderator: Thank you. We will now begin the question -and-answer session. Our first question comes from the line of Vivek Maheshwari from Jefferies .

Vivek Maheshwari : A few questions , first on KFC, Manish, this 83k ADS number looks very low. Let's say, if you go back to 2nd Quarter 2021, this is the lowest number that I have seen, at least in the last 18 quarters. What is the key reason for this number to be so low?

Manish Dawar: Vivek, we have seen primarily one or two markets where KFC got impacted, which has pushed the SSSG down and , there by the ADS numbers. We have seen the impact of bird flu, which was in Andhra Pradesh and Telangana this year , which lasted for about 72 to 75 days. This has primarily pushed down the table on SSSG as well as the ADS. However, now we are seeing the sales beginning to recover in Andhra Pradesh and Telangana. The other thing that we have seen is in Kerala and West Bengal, where the impact of the geopolitical situation continues. We hope that as things stabilize, we will see the SSSG coming back in Kerala and West Bengal also. As you know, these four are very important states for us , as we start to see improvement coming back in these states, things will start to improve. At the same time, Karnataka, which is the largest state for us, has seen very stable numbers. SSSG in Karnataka as a state and Bangalore as a city is positive , and the ADS momentum is maintained. Therefore, in our view, once these four states start to come back and we are already seeing positive signals. We expect improvement in both ADS and SSSG.

Vivek Maheshwari : So, does that mean , Manish, 4th quarter marks the trough and things should sequentially get better, or you can be at this level for some time and then the improvement may still be away ? The other way of putting this also is that the SSSG number of -6 is also on a base of -7 which was on a base of +2. So , it's not that the base has been very high, right? So, how do you think about the improvement? You get better from here or you stay here for some more time ?

Manish Dawar: You are right , Vivek . We should see better numbers sequentially. And as we said, overall we are seeing the recovery , and that's the reason we called out these four states separately because most of the other states are performing well , for example,

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UP is a good state for us. There are other states also which have seen a positive SSSG.

Vivek Maheshwari : And one last bit on this point, Manish, and again, apologies if I don't understand your business that well . But let's say if I go back to Fiscal Year 2022, Fiscal Year 2023, you were broadly ballpark 120 ,000 in terms of ADS. That number, let's say, in the last three quarters has been reasonably below Rs. 100,000. Do you think there is something which has changed in the business, or you think as and when urban consumption picks up , you can still go back to those, let's say 120 k or thereabouts kind of number, which are looking quite far , but do you think that issue will, you know, those numbers are achievable in the next few years?

Manish Dawar: Vivek, when we had an ADS of almost 125 ,000-127,000, there were about 300 KFC stores, which are now sitting at close to 700 stores , which is more than double. And all of this ha

ppened in the middle of the consumption slowdown. With this kind of store growth, there is some bit of cannibalization that impacts the ADS numbers. Therefore, the way we are looking at the business in terms of what used to be

120,000, the new normal should be about 100,000 -105,000. However, we are confident that we can deliver the same margins at this new ADS. We have aligned our business accordingly, so from a profitability perspective, we should still be able to deliver the same margins.

Vivek Maheshwari : So, what I meant, Manish, was that was a cyclical high at that point of time. I understand the stores have grown, but India as a growth market, as you know, you have been also highlighting over time. And we have seen cycles in this business particularly. My simple question is this 120,000 number is not an abnormal number. So, as, and when the cycle picks up, I am not thinking about average, but as and when cycle picks up, those are still possibilities, or you think that there was something specific we were coming out of COVID and so on and so forth. That's why that starting point was incorrect from that perspective.

Manish Dawar: We are resizing the business over a period of time, and we have also reformatted and reduced the store sizes while maintaining the payback periods. So, what used to be an ADS of 120,000-125,000 is now 100,000, 105,000. And as we said, we are confident that we can deliver the same margins at this new ADS.

Vivek Maheshwari : Crystal clear, Manish. The second question is just a big picture or let's say, whatever your philosophical thoughts are. But as I see the kind of acquisitions that you have done, whether it's overseas or India in terms of brands, it is as an outsider, I get a feeling that the portfolio is getting a bit complicated. You have too much on your plate right now. There is KFC, which is the star, and then there are a lot of actors around it. How do you ensure that the management bandwidth stays on course and there is no accident in the journey, therefore?

Manish Dawar: Vivek, the way we are structured, every brand gets a completely independent focus as far as the brand team is concerned. There is a separate CEO, marketing team, and operations team for each brand. Only the support functions that work as a common foundation for the entire business are shared across brands. If you were to look at our newer brands like Sanook Kitchen and Tealive, we have hired a new CEO. For our Thailand business, the team that existed prior to our acquisition has continued and there has been no change in the team, and they are doing a great job. So, we are not kind of tinkering too much as far as the brand teams are concerned and that's how we are scaling up. Obviously, the newer brands need more bandwidth initially, but over a period of time, our objective is to create multiple legs for the business so that we are not just dependent on one or two brands. And if you look at our recent acquisition in terms of Biryani, that's the largest online ordered and consumed item as far as the Indian cuisine is concerned, and it is a large category.

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We acquired a company which is one of the market leaders in this space. And even in this acquisition, the founders and the promoters who originally founded the brand will continue to run and manage the brand. We will only look to harmonize the support functions to be able to draw synergies, but we have no intention to change the fundamental brand management from that perspective.

Vivek Maheshwari : And just one last follow-up, if I may, Manish, on this point. You know, for longest time, Devyani had, let's say, Yum! portfolio and Costa alongside a couple of your own brands. And we have now seen a pickup in pace in terms of what you have done both outside India and in India. It just gives a feeling that, are you a bit concerned about

out KFC or a deceleration in the growth of that business, which is why you are actually going after quite a few opportunities? I mean, it's just the pace has surprised. So, if you can just elaborate a bit more on that part, why do so many things instead of just focusing on a couple of big things?

Manish Dawar: As far as KFC is concerned, it remains our star brand. We are as bullish on KFC as we ever were. There is no change in terms of the way we look at the brand, the way we are bullish and the way we are expanding the brand. With Pizza Hut we have slowed down a little bit and we have communicated that earlier as well. Now our focus is on creating a leg which kind of becomes another, Pizza Hut for the business. As you know, the new brands that we have signed up, they all are unique brands which are currently not so prevalent in the market. We are trying to create those categories and we are quite bullish on the potential of these new brands. Take Biryani for example, it is the largest Indian food category. So, we are creating different legs for the business and at the same time we are grabbing different opportunities as and when it comes. Having said that, we are absolutely in sync and cognizant to whatever you are saying, we have to focus and pay attention to all these new brands and the existing businesses that we have. And that is exactly what we are doing.

Vivek Maheshwari : Got it , Manish. Thank you for your detailed response. Wishing you and your team all the very best.

Moderator: The next question is from the line of Gaurav Jogani from JM Financial.

Gaurav Jogani: Manish, my first question is with regards to the corporate overheads and specifically the overheads in the international business. That seemed to have jumped quite high.

If you can provide any details why so and how is the outcome there?

Manish Dawar: As far as international business is concerned, we have made a reclassification related to management fee charged to Thailand . This was done to harmonize the accounting treatment between India and Thailand. Otherwise, the corporate overheads are absolutely in control and there has been no change. If at all, if you look at the current quarter, they are down by a few BPS versus those in the previous quarter. On a full-year basis it is more or less the same versus what it was last year .

So, what you are seeing is only a reclassification between the corporate overheads .

Gaurav Jogani: Manish, if you look at the absolute terms, last quarter the corporate overheads were around Rs. 54.4 crore and this quarter it's around Rs. 59 crore . So, in bps terms also

Q-o-Q and Y-o-Y both it has increased actually.

Manish Dawar : So, there is a reclassification between the brand contribution and the corporate overheads. Otherwise , if we were to negate that , it would have stayed on course.

That's what we said.

Gaurav Jogani: And Manish, the other question is with regards to the margins again. I mean , you partly alluded that KFC margins despite a lower ADS , you might be able to do the

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same number that you were doing earlier. So, how should we think of the margin in the next two years given that the recovery has been gradual versus what your expectation was?

Manish Dawar: So, if you look at the current margins, we are sitting at about 16.2% . As Vivek mentioned , the worst ever ADS in the brand history is 83,000. As said earlier, once we can hit 100,000-105,000 ADS, we will be able to get back to ~20% margins . The way we have reshaped our business , we are confident that these numbers are doable once the top line recovers . Despite a decline from 127 ,000 to 83 ,000 ADS, the brand has not turned loss making. We are still delivering 16 % to 17 % brand contribution margin. Therefore, that kind of gives you the proof that we have already resized the business and recreated that from an over

all P&L perspective.

Moderator: The next question is from the line of Jignanshu Gor with Bernstein.

Jignanshu Gor: Manish, one question on Pizza Hut. So , what do we think is our plan for reviving that brand? Because I think it seems to have stabilized at these ADS levels and they are not levels at which we can generate returns for us. So, what are our plans for that? And I think there was some conversation in your sister concern 's investor call also regarding this. So, would love to hear your perspective , please .

Manish Dawar: So, Jignanshu, on Pizza Hut, as we have communicated in the past, we have slowed down the growth exactly because of the same concerns. We are in discussions with Yum! in terms of how we can turn around the brand because most of the levers in terms of innovation, price point, promotions, and so on and so forth are controlled by Yum!. So, we are currently in discussions with Yum ! in terms of how we take this brand forward. Overall, if you were to look at between us and our second franchise partner, it remains a strong brand, it's almost Rs. 1,200-1,300 crore brand and Number 2 brand in the country after the market leader. We are hopeful that the brand can be turned around. We have to make few tweaks as far as innovation, value offerings, communication is concerned. We should be able to come back to you by next quarter in terms of what is our exact plan on Pizza Hut.

Jignanshu Gor: And the second question was on Thailand. So, any specific details we can share about what is the shape of the business there and what is your outlook for going forward there in terms of either growth or profitability?

Manish Dawar: See, Thailand business is very stable. We have improved the margins from the time we have taken over the business. We have managed to maintain SSSGs as well as the ADS numbers at a healthy level compared to the rest of the business. So , therefore, it's going at a right clip. We are also evaluating introducing new brands in Thailand , for example, Tealive , as you know, we communicated that we have signed up this brand for India and Thailand , you will see new Tealive stores opening both in India and Thailand in the current quarter . Our idea is to leverage the existing Thailand infrastructure with the new brands from our portfolio, with the new brands that we are signing and therefore build it further from there. We are bullish on the Thailand business as well as the overall market.

Jignanshu Gor: A small follow -up on Thailand itself. So , are we profitable PAT level this year?

Manish Dawar: No, at PAT level we are not. However at a brand contribution and EBITDA level, we are positive. Thailand has more aggressive depreciation policy than India and we have not tried to realign that to the Indian business because of tax reasons. This is the reason the PAT is negative, otherwise on a cash basis it is self-sufficient.

Jignanshu Gor: And lastly, Tealive is part of Thailand business then or will it be like a new subsidiary?

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Manish Dawar: It will be part of the main business and the legal entity. It will not be a new subsidiary.

Moderator: The next question is from the line of Saurabh Kundan from Goldman Sachs.

Saurabh Kundan: Most questions were already answered. Just one that you might have already had your development agreement discussions with Yum! on an annual basis. If you could just let us know, format-wise, what would be your targets this year and a few years ahead as well?

Manish Dawar: So, Saurabh, we do not have annual development target discussions with Yum! We enter into an agreement which spans over a period of five to six years. In case of any exceptional situation, we obviously go back to Yum! and mutually align in terms of what is doable in the current circumstances. As far as KFC is concerned, there is no change. We have talked about adding about 1

10 to 120 stores this year and we

are on course of that. There is no deviation. As far as Pizza Hut is concerned, we are having an overall discussion, in terms of how we take the brand forward, and that includes the development discussions also. We will be able to come back to you by next quarter in terms of what is our exact plan on Pizza Hut, but for KFC it stays absolutely on course.

Moderator: The next question is from the line of Devanshu Bansal from Emkay Global.

Devanshu Bansal: Manish, there has been a gross margin decline across formats. Checking if you can segregate this into impact due to value offerings and the second that you mentioned that there is some input inflation as well. And an allied question is, are you planning to take some price increase to beat this inflation?

Manish Dawar: Sure. So, Devanshu if you look at KFC, we have seen an input price increase in palm oil, a small bit in chicken and the flour. We do not want to take a price increase given the current overall consumption slowdown so we will try and absorb to the extent we can. We are hopeful that things will improve from where we are and believe the input prices will probably come back. We can already see that, from the oil prices that are stabilizing in the current quarter, therefore it is not a big worry. As far as Pizza Hut is concerned, there is no big input price increase with stable gross margins. In case of Costa, we have seen a very strong input increase as far as the raw coffee bean pricing is concerned, we have taken and balanced it out from a pricing, as well as from a deals and promotions perspective. We are trying to introduce some value layers in our brands, we have seen that happening very strongly with the competitive brands as well. We are planning to become a little more aggressive on the value layers. And we will see that happening from the current quarter.

Devanshu Bansal: And these value layers, at least from an annual perspective, can have some impact on the gross margin or that is manageable?

Manish Dawar: Not so much, because as of now, it's only test mode. We will try to implement and introduce that to the market. Typically, it takes almost one or two years by the time it becomes a sizable composition of the menu mix. But again, what is important is you need to have these value layers and price offerings so that you can get the footfalls in the stores. And once the consumer comes into the store, then obviously it's not such a big issue.

Devanshu Bansal: Last question, sir, Biryani By Kilo, currently the brand is having some operational loss. So, what are the medium-term expectations on the scale that this can achieve and the margin improvement that can happen in this format? You mentioned some infusion of Rs. 90 crore in this brand. What is the period from which the growth can sustain with this infusion that you are making?

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Manish Dawar: So, with Sky Gate portfolio there is a huge opportunity. As we took over the brands, there is opportunity in all lines, we can improve the GMs from where they are, we can improve the brand contribution and so on and so forth. On an organic basis, we will be able to turn around the brand in one year's time. At the same time, in terms of the expansion growth, there are three brands, which is Biryani By Kilo, Goila Butter Chicken and The Bhojan. These brands can easily fit into all of our Food Court locations, whether highways, malls or airports. There is a good synergy that we can drive because, as you know, even today we deal with third-party brands. We have already started this exercise, wherever on a per square feet basis we have some

inefficiency coming in, we will replace the third -party brands with our own brands , coming out of the Sky Gate portfolio. At the same time, they have a network of cloud kitchens and we are also evaluating whether in t

heir cloud kitchen we can put some of our other brands depending on the location and size of the cloud kitchen. So , both ways the synergies can work. It can become a very strong leg in the business over a period of time. And that's the reason we are bullish on this entire portfolio , we see it as a great opportunity.

Devanshu Bansal: And for the period, this Rs. 90 crore infusion , is this the only infusion that we plan or this is going to be a continuous process where some money will be required to be infused in this brand for some time?

Manish Dawar: See, it is too early to comment on that because we hop e that with this, the overall brand will turn profitable one for sure. And second, we have to understand, the first two phases of brand expansion , from a store perspective it will be very efficient because we will just house the brands within our own foo d courts and airports. So therefore, it will not be a huge capex . But from an operations perspective, Rs. 90 crore should be enough. But let's see what our growth aspiration is , because we are drawing up long -term plans to be able to figure out. At the same time, please remember that as the overall portfolio exists today , we have to do a buyout of one or two subsidiaries and that is where some of the cash out of Rs. 90 crore will go away. Because Goila Butter Chicken is not fully owned by Sky Gate . So, we have to complete that ac quisition , that is part of the terms. At the same time, Mumbai franchise partner ownership has to be consolidated. So , some money will go towards consolidation of that and the founders have already signed the term sheets on that.

Devanshu Bansal: Understood, Manish.

Moderator: The next question is from the line of Percy Panthaki with IIFL Securities .

Percy Panthaki: My question is on the KFC. You earlier mentioned that you are basically making it such that at Rs.105k sort of ADS you would still make close to about 20% ROM. So, just wanted to understand apart from the store size change, what other measures are being put in place for this to happen? And for the store size change, is it just a change for the stores which are open in the last year or so, or even the older stores you are somehow resizing downwards?

Manish Dawar: Percy, we have done that analysis , to answer your last question first. Over a period of time we have opened new KFC stores , and therefore there has been some cannibalization in the existing stores. We are also planning to carve out the space for our newer brands, which are very small kiosk type of formats . These brands will be independent, but we will be able to carve out some space for them . Regarding your earlier question in terms of where these margins are going to be coming from, one is obviously the format that we discussed earlier , and the other one is in case the ADS is a little down, we would have synergies and opportunities from a labor and overheads perspective. That is what we have looked at for bringing efficienc ies in the business. Also, we are negotiating some terms with the landlords, which again is

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a continuous process in the business , we are hopeful that we will be able to control the rentals to some extent also.

Percy Panthaki: And i s there any change in terms with the brand owner in terms of ad spends, royalties, etc.?

Manish Dawar: There is no change, and it remains the same . Our commitment on royalty as well as the brand spends is on a percentage to the top line. So , there is no change on that. And we do exactly as per the agreements that we have committed to.

Percy Panthaki: Got it. Just wanted to understand in terms of Sky Gate , the business has an EBITDA loss. So, do you have a plan in terms of how many more quarters it will take for it to be a EBITDA breakeven?

Manish Dawar: Percy, we will be able to turn around the business in one year's time. And there fore,

we are confident that this should happen.

Percy Panthaki: And just one last question. In a conference call with one of your sister franchisees, they said that there was a little bit of a sort of difference of opinion in terms of the ad spends on Pizza Hut. So , would like to know your take on that.

Manish Dawar: See, there is no difference of opinion, because we both have different geographies. We both have a focus in terms of the formats because they are operating little larger stores which are more dine-in focused , whereas our portfolio is small format which is more delivery focused. So , as such , there is no difference of opinion. All we are trying to do is basically do whatever is required locally to ensure that the business

kind of gets back on track.

Moderator: The next question is from the line of Sanjeev Raj from Anand Rathi Institutional Equities.

Sanjeev Raj: Just want to understand a little bit better on our recent entry into the Biryani business. So, we know that we are a differentiated brand in QSR through strong execution and positioning. But if you look at the Biryani business, it's highly fragmented. Around 70% to 80% of the business is unorganized players. So, it's very competitive, and it's a low entry barrier, and it's tough to scale. So, what's the thought process behind this move and how we are planning to bring differentiation in terms of value in such a competitive space? And also you mentioned that currently the business is loss making. How you are planning for a turnaround strategy here?

Manish Dawar: Biryani, as you know, is a large category and highly fragmented. However, as the food services sector continues to grow in the country and overall consumption increases, we've seen significant consolidation in Western brands, and we expect the same to happen in the Indian food category as well. So, the brand is very well positioned, it's a premium brand with a very strong repeat rate from the consumer's point of view. And the consumers indeed love this brand.

Sanjeev Raj: So, if you look at the QSR space, it's been changing from state-to-state or region-to-region. If you look at every 200 kilometers, the taste seems to change, right? So in that regard, how are we developing the taste and planning to manage the overall strategy?

Manish Dawar: If you look at the Biryani market overall, the largest category is Hyderabadi Biryani followed by Lucknow Biryani and then Calcutta Biryani. So, if you were to look at between these three, that will be almost like 60% to 70% of the market. From that point of view, it varies from state to state, but it is not as fragmented as we used to

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think in the past. And we have gone into the details of how much is what category and which state and so on and so forth. And that is how we took a call. Coming to your question in terms of the turnaround, as we said earlier, we have the opportunity on material sourcing. There is a good opportunity there in terms of the way we buy, and obviously we will start to buy and source for Biryani by kilo as well. There is a sourcing opportunity, there is an opportunity on the labor, the way the labor gets deployed, there is an opportunity on the rentals because currently the space or the premises that they operate from has potential available. We can house some of our brands there or we can actually cut the space wherever it is not required. There could be a lot of synergies which will be coming in because of Sky Gate becoming part of a bigger portfolio, including all the support functions and so on and so forth. That is how our plan is to turn around the business.

Sanjeev Raj: Second question is that, are we trying to position ourselves as a full-range QSR player with a wide variety of food offerings? Because we are already present in star categories such as KFC with chicken & burgers, Pizza Hut with pizza

, Costa Coffee

with coffee, Vaango with south Indian veg meals and now biryani. Is that the idea is to build a broader portfolio to serve different customer preference?

Manish Dawar: We already are present in all the categories. As you know, in the Indian market, QSR, big categories are basically chicken, pizza, burgers, coffee and we are present in all of these categories. We have now got into the Indian category, which we were missing earlier apart from Vaango, because that was only focused on South Indian. And at the same time, we have taken some new brands, which are typically indulgent brands on the go, rather than a planned occasion, it's more, whatever, temptation buying or temptation consumption. We are trying to position ourselves to cover various spaces available, not only from a brand perspective, but also from a channel perspective. And that's the reason we talked about our Food Court strategy in the past and all this portfolio will help us with our Food Court strategy as well.

Sanjeev Raj: So, finally, on KFC, we have reported almost 6.57%, roughly negative 7% SSG. And last two years, we have been reached the bottom. So, can we say this is the bottom? And you have mentioned that two markets have been affected by birds flu. Apart from this, this negative SSG is coming largely from Tier 1 or Tier 2 city?

Manish Dawar: Yes, it's largely coming from the markets as we said. One is Andhra Pradesh, Telangana, Kerala, and West Bengal. And the rest of the markets have already turned round. We are absolutely hopeful that these four markets will also turn round in the next few months.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Raj Gandhi: Thank you very much. We hope we have been able to answer all your questions

satisfactorily. Should you need any further clarifications or would like to know more about the Company, please feel free to contact our Investor Relations team. Thank you once again for your interest and support and for taking the time out to join us on this call. Thank you very much once again .

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

Call: Aug 2025

Devyani International Limited

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August 21, 2025

To,

National Stock Exchange of India Ltd.
Exchange Plaza, Block G, C/1, Bandra Kurla
Complex, Bandra (E), Mumbai – 400 051
Email: cmlist@nse.co.in
Symbol: DEVYANI BSE Limited
Phiroze Jeejeebhoy Towers ,
Dalal Street, Mumbai – 400 001
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Security Code: 543330

Sub: Transcript of Investors & Analysts Conference Call

Dear Sir/ Madam,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 , transcript of the Investors & Analysts Conference Call held on August 13, 2025, post declaration of Unaudited Financial Results of the Company for the quarter ended June 30, 2025, is enclosed.

The same is also being uploaded on website of the Company at www.dil-rjcorp.com .

You are requested to take the above on record.

Yours faithfully,
For Devyani International Limited

Pankaj Virmani
Chief Sustainability Officer & Company Secretary

Encl: As above

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Devyani International Limited
Q1 FY26 Earnings Conference Call Transcript
August 13, 2025

Moderator: Ladies and gentlemen, good day and welcome to the Devyani International 's

Earnings Conference Call. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anoop Poojari from CDR India. Thank you , and over to you , sir.

Anoop Poojari: Thank you. Good afternoon everyone and thank you for joining us for Devyani International's Q1 FY26 Earnings Conference Call.

We have with us Mr. Ravi Jaipuria – Non-Executive Chairman of the Company , Mr. Raj Gandhi – Non-Executive Director , Mr. Virag Joshi – CEO and Whole -time Director and Mr. Manish Dawar – CFO and Whole -time Director of the Company . We will initiate the call with opening remarks from the Chairman, followed by key financial highlights from the CFO. Thereafter, we will have the forum open for a Q&A session.

Before we begin, I would like to point out that some statements made in today's call may be forward -looking in nature, and a disclaimer to this effect has been included in the results presentation shared with you earlier.

I would now request Mr. Ravi Jaipuria to make his opening remarks.

Ravi Jaipuria: Good afternoon everyone and thank you for joining us today. I am pleased to welcome you all to Devyani International's post results earnings conference call to discuss our performance for the first quarter of the financial year 2025-26.

India's QSR industry is on a structural growth trajectory, underpinned by rising urbanization, growing income levels, increasing digital adoption, increase in female work participation rate and a growing appetite for convenience especially among younger consumers . While near -term macro factors have led to a phase of soft consumer demand , we see a better outlook for the industry in coming times. We are learning from the evolving consumer trends, and we need to reset our business to have a differentiated and compelling proposition for our consumers , whether they are online or offline. We strongly believe that our industry will remain a prime beneficiary of evolving consumer behavior. It's important that job creatio

n continues

in the economy with rising per capita income, which will lead to higher consumption.

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Considering the significant market potential, we continue to execute on our long -term growth agenda. I am pleased to announce that we have concluded the acquisition of Sky Gate Hospitality, which runs 'Biryani by Kilo ' and 'Goila Butter Chicken ' brands and increased our stake to 86.13% subsequently. This gives us access to market -leading brands to expand our presence in the Biryani and the Indian cuisine segment – one of the largest food categories in the country . Sky Gate Hospitality has 105 outlets at present, and we are confident that these brands will be one of the key contributors to our expansion plans going forward.

Across the portfolio, we are expanding our footprint in a focused manner. To this end, we have added new stores in KFC, Pizza Hut and other brands in our geographies. We are also in the process of launching our three new international brands i.e. New York Fries, Tealive and Sanook Kitchen in the next quarter.

Cognizant of the current demand scenario, we continue to support the brands through investments in marketing, promotions and attractive offers. At KFC, we launched the 'Epic Savers Offer', providing a '9 for INR 299 ' combo . This offer has been enthusiastically received by the consumers. We are already seeing significant contribution from this combo , despite it being a dine -in only offer.

Pizza Hut saw the launch of 'Juicylicious ' range of pizzas with 3 unique flavors of marinated toppings and Indian sauces. We have seen a good response and adoption for the product . To provide more value to our customers , we also piloted 'Unlimited Pizza Fridays ' at select stores. Results are encouraging as the participating stores showed healthy growth in transactions and ADS.

Our financial performance has been healthy . On a consolidated basis , Quarter 1 revenues reached INR 1,357 crore , a 11.1 % year -on-year growth. This growth was driven by healthy growth from KFC, Costa, and the Food Court business in India, and supported by 11.2% year -on-year growth in the international business. Reported EBITDA came in at INR 205 crore with EBITDA margin at 15.1%. The slight dip in margins was due to deleverage from lower ADS year -on-year and investments in marketing and promotion in the quarter.

As one of the leading QSR players, we are well positioned to benefit from the rebound in consumer spending. Our multi -cuisine, multi -format strategy caters to a broad spectrum of consumer tastes, occasions and price points , while diversifying away from any category or geography specific risks. It also enhances our ability to

capture opportunities across varied markets and evolving consumer trends. With the strength of our brands and our execution capabilities, we are confident of our ability to deliver consistent growth. Our focus will remain on scaling profitability , strengthening both our core & emerging brands and creating long -term value for all our stakeholders .

With this, I would like to conclude my address and now I hand over to Manish for the financial highlights.

Manish Dawar: Thank you Mr. Jaipuria. Good evening everyone. A very warm welcome and thank you for your valuable time for attending DIL's Q1 FY26 Earnings Conference Call, our 16th such call since our listing in August 2021.

We ended June 2025 with a total store count of 2,145 stores, comprising of 1,067 KFC stores, 627 Pizza Hut stores and 221 Costa Coffee stores.

As you all know, we have signed up new brands and completed the acquisition of Sky Gate Hospitality recently. In view of this, please note that we have made an update to how we report our India operation metrics. From this quarter, we are

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presenting our data across 3 key operating segments which is Yum! Brands consisting of KFC and Pizza Hut; other franchise brands such as Costa Coffee, New York Fries, Tealive and Sanook Kitchen; and our own brands, including

Vaango and

recently acquired Sky Gate Hospitality portfolio. This will give better clarity and alignment with how we manage and how we look at our business internally as well. We are also consolidating Sky Gate Hospitality financials from the current quarter . The transaction was consummated on 10th of June. Hence, the results have been consolidated from 11th of June, and the impact of 20 days is present in the consolidated numbers of DIL.

On to the financial metrics , consolidated operating revenues for Q1 FY26, including Thailand, was INR 1,357 crore , up 11.1% Y-o-Y. Consolidated Q1 FY26 gross profit came in at INR 925 crore , up 9.5% Y -o-Y, with margins at 68.2%. Brand contribution margin was at 13.1% versus 15.3% last year. This dip is mainly on account of decline in margins in the Indian operations.

Consolidated operating EBITDA on a pre -INDAS basis was INR 110 crore with margins at 8.1% versus 8.9% in the previous quarter. Lower brand contribution margin led to the decline. Reported EBITDA was INR 205 crore with margin at 15.1%.

Indian operations grew 11% Y -o-Y to reach INR 932 crore in revenues. Gross margin came in at 69.6%, a decline of 2.3% versus previous year. This has been primarily on account of investments to support transaction growth in our brands. There was also a small impact from the increase in raw material prices of cheese, flour, and edible oil .

A change in GST applicability on rent has also led to an increase in rental costs. As a reminder, our industry does not get input credit on GST. Further , high saliency of off-premise sales across the 2 key brands, i.e. KFC and Pizza Hut, led to higher aggregator and delivery expenses. These costs have increased on a structural basis across the industry, and the impact will continue for the year. We took initiatives to mitigate this increase by way of tight control on utility costs and other operational expenses . However, they could not fully offset the impact.

On to the brands. KFC in India added 8 net new stores in Q1 FY26. With this, the total store count for KFC in India stands at 704 stores as of 30th June and we are on track to open approximately 100 -110 net new stores. Average daily sales at INR 98 K for KFC was higher sequentially but lower on a Y -o-Y basis. We have seen good progress with KFC SSSG after multiple quarters , with SSSG stabilizing at negative 0.7%. Revenues came in at INR 613 crore , up 10.5% Y-o-Y. Gross margin was lower at 67.1%, primarily due to investments in growing transactions and increase in edible oil prices. The brand contribution margin came in at 15.5% for Q1 FY26 due to lower gross profit margin, higher delivery and aggregator costs and deleverage on lower ADS.

With the aim of improving the performance of the brand, we continued rationalizing our footprint at Pizza Hut. Due to closures of non -performing stores, we ended Q1 FY26 with 618 Pizza Hut stores in India, a net decline of 12 from the previous quarter. In the current financial year, we are planning to slow down our organic expansion of Pizza Hut stores openings. Pizza Hut India revenues for the quarter was INR 187 crore , up 3% Y -o-Y. The ADS recovered slightly to INR 33,000 on a sequential basis. SSSG came in at negative 4.2% , and efforts are underway to stem the decline. Gross margin at 74.8% was lower due to inflation in flour and edible oil prices, coupled with

investments made to support the brand. The brand had a slight negative brand contribution in the current quarter.

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Franchised brands, which include Costa Coffee and the newer brands in India had a stable quarter. We opened the maiden New York Fries store at Mumbai International Airport. We are enthused by the performance and will continue to grow New York Fries and other brands. The division's revenues came in at INR 52 crore with stable gross margin at 75.2% and brand contribution of INR 6.7 crore.

Brand contribution

for the division includes the start-up costs associated with the new brands.

Our own brands, which include Vaango, Biryani by Kilo and Goila Butter Chicken brands reached INR 35 crore in revenues with steady gross margin at 70.1%. Please note that acquisition of Sky Gate Hospitality was effective from 11th June. Hence, only 20 days of financials of Sky Gate Hospitality are included. Brand contribution margin from own brands declined to 6.7% owing to this consolidation and dilution from Sky Gate portfolio of brands. We are working towards achieving positive brand contribution and turnaround of Sky Gate over the next 12 months.

Our international business continues to grow steadily. Revenues reached INR 433 crore in Q1 FY26 with gross margins at 65.6%. Brand contribution improved to INR 72 crore, representing 16.7% margins on the back of better gross margin performance in the Thailand business.

In conclusion, we are navigating a phase of soft consumer demand with a disciplined and measured approach. Our marketing strategy strikes a balance between broad-based brand campaigns and targeted tactical interventions. Driving profitable and sustainable brand growth remains our unwavering North Star.

On that note, I would like to request the moderator to open the forum for any questions or suggestions that you may have. Thank you very much.

Moderator: Thank you sir. We will now begin the Q&A session. First question is from the line of Aditya Soman from CLSA.

Aditya Soman: So, 2 questions from me. Firstly, on KFC, we have seen sort of flattish like-for-like growth on a base that was already quite negative. So from here on, to see an improvement in trajectory at KFC, what in your view are sort of the 2 or 3 key things that need to happen to start seeing a meaningful improvement? And within this sort of flattish SSSG, is there any meaningful trend difference that we saw maybe in the first half of the quarter versus the second half or in the more recent period in July? And my second question is on these new brands that we are adding, whether it's Biryani by Kilo or New York Fries. Over what period does the management intend to make these significant from an overall company perspective?

Manish Dawar: Thanks, Aditya. Let me first talk about KFC SSSG. I agree that KFC has seen negative SSSG for a few quarters. In fact, to be precise, almost 8 to 9 quarters. Despite that, we have managed to stem the decline in KFC SSSG and we are virtually flat this time. This quarter there was a seasonal shift. Given that impact, we would have been probably virtually flat or a small positive on KFC SSSG. Having said that, we have seen good growth momentum in the online category because we took initiatives specifically on online channels. And therefore, the SSSG on online, which is Zomato and Swiggy is positive. We are trying to address the dine-in piece, which we are hoping that we will be able to do that over the next 1 or 2 quarters. And therefore, with that, you will see the numbers kind of improving, because what we saw on online from a SSSG perspective is very heartening.

Coming to the new brands, Biryani by Kilo or New York Fries, etc. Right now, as far as the new brands that we have signed up, we want to test those brands, see how the consumer responds and then scale them up. We have opened the first New York

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Fries store at Mumbai Airport. We will be shortly opening some of the Tealive stores and maybe Sanook Kitchen as well. We will start with a couple of stores to see how the consumer responds. So, therefore, these will take some time to scale up and become an overall meaningful contributor within the DIL portfolio.

As far as Sky Gate portfolio is concerned, which is Biryani by Kilo and Goila Butter Chicken, it's almost about 105 stores. So, the objective there is to first set the model

right. As you all know, it's a loss-making portfolio at present. So, our first priority is to turn around the brand. We are hoping that in the next 12 months we will have a positive brand contribution and brand EBITDA. And post that, we will start to ramp

up the brand in our own channels and elsewhere . Simultaneous ly, we ha ve also started experimenting the new formats and the new distribution channels for Biryani by Kilo, i.e. at the airports and food courts, again, to test how the consumer response is from a dine -in perspective. We are also starting to work on some bit of r ecipe optimization from the kitchen preparation time and so on and so forth. So, there's lot of groundwork which has already started to happen , along with the turnaround priority. And once this is all achieved, that is where we will talk about a significan t ramp -up in the new portfolio. Hope that answers your questions.

Aditya Soman: Yes. Thanks so much, Manish. Very clear. Maybe just on Biryani by Kilo, just as a follow -up, the current model is largely delivery -only, is it?

Manish Dawar: See, they do have some dine -in stores, but even from those dine -in stores, predominantly it's delivery. So, if I were to look at the overall portfolio, 90% plus is delivery, whether you talk abo ut the dine -in stores or the cloud stores.

Moderator: Next question is from the line of Gaurav Jogani from JM Financial.

Gaurav Jogani: Sir, my first question is with regards to the gross margin impact that we are seeing because of the promotional spends . How long do you expect these to sustain? And additionally, given that they will also help to drive the transaction growth, so at an EBITDA level, when do you expect this to start contributing positively?

Manish Dawar: So, Gaurav, we ran multiple campaigns online to see how the consumer is reacting , I mean, online, one is able to kind of measure such things much more closely and much faster compared to the offline channel. And that's the reason you see a significant impact in the gross mar gin as well as the brand contribution. Having done that for a couple of months, our plan is to continue with the same model for another 1 or 2 months, get our learnings , and then start to optimize in terms of what is working, what is not working. And there fore, within the next quarter, basically Q 3, we will start to see the gross margin improving as well as the same flowing into the brand contribution margin. Right now, we are in the process of testing multiple things and then the objective is to basically fine-tune after that.

Gaurav Jogani: Sure , Manish . And I am assuming that this will be across both the brands, KFC and Pizza Hut?

Manish Dawar: The nature and the extent , and therefore, the impact is different. But as an initiative, it is for both brands.

Gaurav Jogani: Sure. And Manish, the next question is with regards to this drag from the Sky Gate Hospitality brands on the own brands portfolio . If you can quantify how much of that has contributed negatively towards the margin s in this quarter for the own brands?

Manish Dawar: Maybe I can quantify it on a one -time basis, but we will not be able to do it on a continuous basis , because we are going to be presenting the divisional results as

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own brands . Otherwise, given the multiple brands we have, it will become very, very complicated for everyone. So, the negative brand contribution for the first 20 days that we have consolid ated is about INR 1.2 crore from the portfolio. Therefore, if you were to look at the own brands portfolio, excluding the Biryani by Kilo portfolio, then the numbers are virtually flat.

Gaurav Jogani: Okay. And Manish, sir, last question is with regards to the impact that you called out from the GST bit of the rental , and some impact of that increase in the aggregator expenses. If you can elaborate that a bit?

Manish Dawar: If you remember, I

ast year, October, there was this GST ruling change, whe reby earlier, for example, there was this whole exemption, which was available for rentals lower than a threshold level, which government kind of brought in as a reverse charge mechanism. And therefore, as far as the corporates are concerned, they are supp osed to pay GST on 100% of the rents, wherein earlier, given the lower income levels of the landlords, you would save some bit of GST. So, that impact has carried out. So, since in QSR, as you know, the GST is not allowed to be set off. Therefore, in our c ase, it kind of hits the bottom line. So, that's the impact that I talked about.

Gaurav Jogani: Okay. And you said something about the aggregator bi t as well, the aggregator cost also increasing?

Manish Dawar: If you see in the current quarter, KFC online sales are higher than earlier quarters. And with online sales becoming higher , because we have these multiple initiative on the online channel , obviously, your aggregator cost also goes up because the aggregator proportion is going up in the overall sales.

Moderator: Next question is from the line of Sujit Jain from Bajaj Allianz Life Insurance .

Sujit Jain: This is to Mr. Jaipuria, and these are not quarter -related questions. A few points. Our categories are urb an-centric, so that brings cyclicity. When urban is in a slowdown, we also slow down. We don't have an answer to the entire industry except Jubilant to

20-minute delivery, which has worked for them. For us to even think about something like that, maybe we need to get our store economics right before we start thinking of adding an additional expenditure line. The third thing is that if I look at 9 to 10 quarters, the SSSG has been negative to flat, whereas the like-to-like for some one like Jubilant has been positive. So, there is at least one player that has done better in the industry. And the 4th thing is some of the categories that you have entered, there's a regional variation such as in biryani. And for example, when I tasted at Vaango, because of the batter that will change locally from place to place, there's a limited standardization you can do. So, how do you address that?

Manish Dawar: Okay. Let me address a few questions, Sujit for you, and then Mr. Jaipuria would also come in. So, you talked about Biryani in terms of the regional piece. You are right, there are multiple types of biryanis available in the country. If I remember my number right, there are almost 300 types of biryanis which are available. But if you were to sub-segment the entire market, and you were to analyze in terms of what works in the overall category, Hyderabad biryani is the biggest piece, followed by Lucknowi biryani and then Kolkata biryani. Therefore, if you were to look at almost 70% of the market, these would be top 4 to 5 types. Now if you look at the BBK portfolio, we have Hyderabad, Lucknow and Kolkata, which is already present, and that is working well for us. Hyderabad biryani works on a PAN India basis. Lucknow biryani works virtually on an all India basis. Kolkata biryani is predominantly in the East. So, they have already fine-tuned the portfolio on the basis of these 3 biryanis. Maybe, if we need to add 1 or 2 more, we can do that. But otherwise, we are largely covering what is important from an overall market perspective.

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Coming to your point on the brands being urban-centric, if you look at the overall QSR market, Jubilant is there in 400-plus cities. We are also in about 280-290 cities. If you look at the penetration of the food aggregators, they are currently in more than 800 cities. So, therefore, we are straddling much beyond what are historically understood as urban centers. The growth opportunity lies in the Tier-2 segment, because the awareness and the aspiration is there; but the income levels need to go up further. We have started

to have a presence beyond the urban centers. That's how we managed to cover almost about close to 280 to 290 cities. Again, it is not just about opening a store, you need to have the portfolio, you need to have the right product mix, right price points, what works in a smaller town from a promotion point of view, etc. So, all of that also needs to be worked out. We have already optimized a few things and we are working on the rest. So, therefore, we are geared up beyond the urban India. Obviously, we are far far away from rural as of now. But let's say, urban itself is still a very very big opportunity.

Your another question was about delivery. Am I right?

Sujit Jain: Yes, the 20-minute delivery.

Manish Dawar: Yes. So, we have experimented, as I said, on the delivery platform, and that's given us good results from a SSSG perspective, both for KFC and Pizza Hut. But obviously, you are right that Jubilant is doing a far better job versus what we are doing, because their model fits very well with the overall delivery portfolio, because it's a delivery-first brand. And we have kind of over a period of time, moved from a dine-in-centric brand to a delivery brand. We are also moving in that direction. We are internally strategizing in terms of how we do our kind of capture that market quickly and maybe we will be able to come back to you in the next few quarters on how we are able to better cater to the current consumer preferences. At the same time, on the dine-in basis, we have to work on our menu options and what we offer to the consumers on a unique basis versus what is there in delivery. So, that is again something that we are already working on.

Sujit Jain: Sure. And how to improve the store economics so that you can accommodate more branding expenditure and including more expenditure on this delivery initiatives?

Manish Dawar: See, we need to continue to optimize the formats for the dine-in channel. And as you know, over the last few years, we have reduced the store format sizes. So, KFC format used to be 3,000 square feet. We are down to about 1,400 to kind of catch up with the delivery trends and the lower dine-in. Similarly, for Pizza Hut also, we have moved away from a dine-in-first brand to a delivery-focused format. And this needs to be continuously optimized. At the same time, we also need to be cognizant of the fact that there is a category of consumers who prefer a good dine-in experience, so which kind of have started to work on a very segmented basis. So, therefore, more than the format optimization, we also need to combine formats along with the channels that will give us good results and that also is a plan that we are currently

working on.

Sujit Jain: Just wanted to hear Mr. Jaipuria, how he wants to take this company at the pole position.

Ravi Jaipuria : I think it's better that Manish answers this since he is on the ground level with this , and that's why I have kept quiet.

Moderator: Next question is from the line of Niharika Karnani from CapGrow Capital.

Niharika Karnani: Couple of questions. First question is more towards the QSR sector. So, do you think QSR sector has kind of bottomed out? Or is it also facing threats from the likes of,

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say, cloud kitchen or consumers ordering more from the likes of Swiggy, Zomato? Is this more of a structural change? Or is it related to QSR slowdown?

And second is, when do we see SSSG getting ramped up? Like is it a matter of a couple of more quarters? Or will the turnaround take some more time?

Manish Dawar: Hi, Niharika. See, to your first question in terms of what is happening with the QSR sector and where is it headed , in our view, there is nothing wrong with the QSR sector. We believe that this is one of the highest opportunity industries. Now when you talk about, let's say, just the listed QSR space, obviously, it is different. When talking about

QSR as an industry, it will include aggregators, local competition, that all the new players who are coming in , etc. There are also multiple start -ups which have experimented with traditional foods that they have tried to convert into QSR format . Coming to the listed players, we have expanded very, very aggressively over the last 4 to 5 years. If you look at, let's say, Devyani numbers, what they were around the time we listed to where we are now, we are multi -fold in terms of the top line. Similarly, the competition has also grown. Now that densification has come at the cost of SSSG. But if the overall industry has to grow, we have to make sure that we are densified . Take U.S. as a market. In the U.S., QSR industry is bigger than the FMCG industry , because of the food habits, because of the multiple choices available, because of the densification and so on and so forth. So, therefore, in our view, there's a significant opportunity in the QSR space. The densification is required. Once consumption starts to pick up, we will see the SSSGs also coming back. It is impacted by how aggressively we open and add new stores. And I have said in my comments that you will see a very limited Pizza Hut organic expansion. And therefore, we are hopeful that with slightly reduced pace of store addition , we should see positive SSSGs. On KFC, if you look at the current quarter's performance, virtually we have contained the decline , which was there for the last many quarters , because we have played out some online strategies. So, therefore, we are working on these things and you will start to see positive SSSGs over the next few quarters. Niharika Karnani: Okay. Got it. Just one follow -up here. So, what are your views on cloud kitchen? Will it be a threat? Or is it just complementary to listed players?

Manish Dawar: See, it is complementary because today, if you look at the consumer convenience, they prefer to consume food at home , given urbanization, traffic jams , etc. We have to ensure that we become a very meaningful player as far as the cloud kitchen or, let's say, online food strategy is concerned , because it's important that we are able to satisfy the consumer demand. And as Sujit mentioned, for example, Domino's has kind of worked very beautifully on this whole 20 -minutes delivery time and they are seeing good results. We are also working on a similar strategy , because if 50% of the orders are getting delivered at home, then obviously, you need to make sure that you have a proper location strategy, you have to have a cloud strategy so that you are able to serve the consumer demand through the aggregators. So, all of those pieces are work -in-progress and we are already working on those.

Moderator: Next question is from the line of Jignanshu Gor from Bernstein.

Jignanshu Gor: Manish, just one question. I think a lot of it has been discussed already. On KFC and Pizza Hut, I hear the argument and the logic behind the marketing investments or the promotional investments to bring transaction growth. So, 2 parts to this question.

(a) For the current quarter in the Y -o-Y or sequential improvement in SSSG that we have seen, would you be able to share what kind of transaction growth have you seen in both these brands? (b) Do you have a particular ADS number in mind at which you will sort of start to taper these specific investments in growing transactions, if at all?

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Manish Dawar: Okay. So, obviously, we don't disclose the transaction numbers, but we have seen almost 10% plus improvement on the transactions overall with the initiative that we have taken. If you look at only the online strategy, which is where this whole initiative

was focused on, we have seen much higher transaction growth. So, therefore, this was one, as I said, to test. Second is to kind of spur consumer momentum a little bit. And within this, now we will select

it in terms of what to do and how aggressively to do that.

On the ADS side, our normalized KFC target is about INR 100,000 of ADS on a consistent basis for the full year. And that is what we want to kind of aim at on an immediate basis. And once that is there, obviously, we will start to rationalize. So, they both kind of work together from that point of view.

Jignanshu Gor: Okay. Great. Just a clarification. These promotions or campaigns were done across all stores/ cities? Or was it selected clusters for KFC and Pizza Hut?

Manish Dawar: Jignanshu, there was a differentiated strategy for online and offline. Where we have seen a huge momentum is the online strategy. Obviously, those promotions and schemes were not run in the dine-in channel. Dine -in had different sets of promotions. So, that's how it has been. But obviously, as you know, the entire servicing is from the stores only.

Jignanshu Gor: Correct. But it was across geographies, right? It wasn't like focused only on metros or on Tier-2 and so on?

Manish Dawar: No, across geographies, you are right.

Moderator: Next question is from the line of Saurabh Kundan from Goldman Sachs.

Saurabh Kundan : My question is also regarding these promotions. Just wanted to understand them a little better, Manish. What is the nature of these spends that you are doing, especially on online? Is it something paid to aggregators for better visibility? Or are these some menu level strategic pricing or combos that you have done , based on insights that are leading to better revenue growth?

Manish Dawar: Saurabh, there are multiple ways to handle the entire online piece. One is banner advertising , which in any case, we have been doing in the past . We have continued with it and it comes out of the overall advertising spends . It predominantly goes into the aggregators apart from the other targeted digital media. In terms of the last spend, that has been mainly consumer -focused , in the shape of participating in some flash sales. It could also be a new combination. It could be a little bit of a different structure and therefore, a higher discount and so on and so forth. So, there have been multiple combinations which we have tried.

Saurabh Kundan : Right. So, some of those spends are for visibility.

Manish Dawar: Spends on visibility have been more or less in line with whatever we have done in the past. Largely, it has been targeted directly at consumers .

Saurabh Kundan : Okay. All right. My second -to-last question is , at this stage, could you provide some color on the initiatives you mentioned? Specifically, which ones are proving effective, which you intend to scale back, and which you plan to continue ?

Manish Dawar: See, obviously, I will not be able to share each promotion 's detail. But obviously, we have seen what the result has been. So, as I said , I cannot give you entire rundown of all the promotions.

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Saurabh Kundan : Understood, sir, I just meant, is it something like value that's working? Or is it, I don't know, some combos, any pattern to the initiatives that are working?

Manish Dawar: See, the value always works for the Indian consumer, right . That's normal, you pick up any category, any industry, you give value to the consumer, there will be queues. So, therefore that's working.

Moderator: Next question is from the line of Percy Panthaki from IIFL Securities.

Percy Panthaki : Hi Manish, I was just looking at the dine -in numbers for KFC. So, you have given the total sales and you have given the dine -in percentage, so you can calculate that. And I see that the dine -in sales in rupee crore terms has declined 14% Y -o-Y. This is in spite of whatever store additions we have. So, on a per store basis, it's probably declined in the high teens . So, just wanted to understand this, like while we are seeing a growth in the online format, is it just a customer shifting the channel

from

online to offline? And if so, it's really not very good, right? Because we have had negative SS SG for the last 2, 3 years, which means that the capacity utilization in the store is anyways low. And if we get higher capacity utilization in store, the flow - through from gross margin to EBITDA is going to be huge. So, we should focus on that rather than diverting the customer away from the dine -in towards delivery by launching these schemes and all that.

Manish Dawar: So, Percy, what you are saying is right , because if you see Q1 FY25, the ADS was INR 104,000. And now it is INR 98,000 with a much higher share of delivery. As I

said, we have taken some specific initiatives for online. And obviously, when we focused more on online, there are some consumers who shifted, because they were able to get the value proposition sitting at home. If you see the last few quarters, we have been kind of protecting our margins, not participating, whereas the competing businesses have been doing that and the margins were eroding. So, therefore, we also wanted to kind of test. We have seen better transaction growth. We have seen better SSSGs and so on and so forth. As Mr. Jaipuria also said in his address and I also mentioned, we need to have a very, very differentiated strategy now for online and for dine-in, which is what we are working on, so that we are able to differentiate the consumers. But with our learnings, obviously, we will now be balancing out in terms of what is happening in the online and dine-in to ensure minimal cannibalization.

Percy Panthaki : So, this Epic Savers, 9 pieces for INR 299, which is for dine-in, was that run only towards the end of the quarter or was it running for the entire quarter?

Manish Dawar: It was somewhere in the middle of the quarter, and it was only a dine-in. This offer was not available on online basis.

Percy Panthaki : Yes, which is why my question that if it is available only for dine-in and despite that, the dine-in salience has fallen and the absolute sales per store has fallen. So, does it mean that this offer is not really having the kind of impact that we hoped for? Or is it that just it was for a very small part of the quarter, and therefore, the impact is not visible?

Manish Dawar: See, whenever we experiment with new offers, we set some kind of targets for ourselves on the target menu mix. From that perspective, Epic has kind of exceeded that menu mix target. But at the same time, some of the offers which were available online were much more compelling than this value proposition from a consumer point of view. And therefore, we have seen the online momentum much more than offline. So, that's the reason I said that once we now try and balance out things, you will see a better one coming in.

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Percy Panthaki : Understood. So, for bringing the dine-in growth back, do you think just continuing the Epic Saver is going to be enough or some more intervention will be required?

Manish Dawar: So, this will obviously continue. Obviously, we are also planning on some more promotions which are dine-in focused. We are also looking at some more value offers there. So, therefore, that's the overall strategy that I talked about.

Percy Panthaki : Understood. Just one more question from me, again, possibly on KFC only. So, we have seen almost 2 to 3 years of bad top line and demand scenario. Now generally, there is one school of thought which says that when we are having this kind of a backdrop, then the recovery can be equally sort of steep. So, rather than just go into a low-single or mid-single digit, we can have 1 year, 1.5 years of double-digit kind of SSSG, just because we have had a poor performance in the past. So, do you think that the averaging just works out on its own? Or there is something very specific, which would be needed for the double-digit growth to happen or just a normal

consumer recovery will help that double-digit SSSG to happen?

Manish Dawar: See, we have seen this consumer behavior in multiple cycles in the past, right. Whenever it's weak and then suddenly it kind of spikes up, we have seen that in other industries also. Now overall, it's a play of whether the consumption is strong or not. If the consumption is strong, it comes back even more strongly. And given this phenomenon also probably is bottoming out, it could be some good times. So, we can discuss this more on an offline basis. But we are as hopeful as you are.

Moderator: Thank you. Ladies and gentlemen, we will take this as the last question and would now like to hand the conference over to the management for the closing comments.

Raj Gandhi : Thank you very much. We hope we have been able to answer all your questions satisfactorily. Should you need any further clarifications or would like to know more about our Company, please feel free to contact our Investor Relations team. Thank you once again for your interest and support and for taking the time out to join us on this call. Thank you very much.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

Call: Nov 2025

Devyani International Limited

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November 13, 2025

To,

National Stock Exchange of India Ltd.
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Complex, Bandra (E), Mumbai – 400 051
Email: cmlist@nse.co.in
Symbol: DEVYANI BSE Limited
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Sub: Transcript of Investors & Analysts Conference Call

Dear Sir/ Madam,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, transcript of the Investors & Analysts Conference Call held on November 6, 2025, post declaration of Unaudited Financial Results of the Company for the Quarter and Half Year ended September 30, 2025, is enclosed.

The same is also being uploaded on website of the Company at www.dil-rjcorp.com.

You are requested to take the above on record.

Yours faithfully,
For Devyani International Limited

Pankaj Virmani
Chief Sustainability Officer & Company Secretary

Encl .: As above

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Devyani International Limited
Q2 & H1 FY26 Earnings Conference Call Transcript
November 6, 2025

Moderator: Ladies and gentlemen, good day and welcome to the Devyani International's Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity to ask questions after the presentation concludes. Please note that this conference is being recorded. I now hand the conference over to Mr. Anoop Poojari from CDR India. Thank you, and over to you, sir.

Anoop Poojari: Thank you. Good afternoon everyone and thank you for joining us on Devyani International's Q2 & H1 FY26 Earnings Conference Call.
We have with us Mr. Ravi Jaipuria - Non-Executive Chairman of the Company ,

Mr. Raj Gandhi - Non-Executive Director , Mr. Virag Joshi - CEO and Whole -Time Director and Mr. Manish Dawar - CFO and Whole -Time Director of the Company. We will initiate the call with opening remarks from the Chairman, followed by key financial highlights from the CFO. Thereafter, we will have the forum open for a question -and-answer session.

Before we begin, I would like to point out that some statements made in today's call may be forward -looking in nature and a disclaimer to this effect has been included in the results presentation shared with you earlier.

I would now request Mr. Ravi Jaipuria to make his opening remarks.

Ravi Jaipuria: Good afternoon everyone, and thank you for joining us today. I am pleased to welcome you all to Devyani International's post results earnings conference call to discuss our performance for the second quarter of the fiscal year 2025-26.

The second quarter of the current fiscal year, saw perhaps the most important policy development for consumer and retail industry. The GST Council meeting formalized the transition towards GST 2.0, a historic move to simplify and harmonize the GST framework to a 2 -tier structure. While it's still early to assess the results of this transition, the initial signs are encouraging, and all of us have seen a significant upside in certain consumption categories like automobiles and durables. The impact

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of the change has been very minimal on the QSR category and our business.

We have already passed on the benefits of reduced input costs to consumers.

Overall , GST 2.0 is a welcome move to broaden the consumption story in India.

We continue to expand our store network with 30 additional KFC and another 3 additional Pizza Hut stores . We also test launched Tealive by way of opening six new outlets during the quarter. The initial customer feedback is positive, and we plan to expand the brand after the test launch phase.

Our recent acquisitions, Biryani By Kilo and Goila Butter Chicken continue to do well, and we have seen a strong momentum in the business post Dussehra.

The integration of Sky Gate with DIL remains on track. As shared earlier, our goal is to achieve brand contribution break even by March 2026 , and we are pleased to report steady progress towards this milestone. We remain confident of meeting this target.

Being a festive quarter, our promotions targeted both the topical events, Pujo and Onam specials , as well as the core offerings . KFC saw pan -India launch of the "Chana Chatpata Burger" attractively priced at INR 69 and comprising of protein rich vegetarian patty. We have also started rolling out a new grilled chicken offering and new limited time offering (LTOs) in the beverage and desserts category.

We launched "Ultimate Cheese crust " and "flip the cheese " in Pizza Hut across all channels. Customer response has been enthusiastic and has encouraged us to expand the offering to combos and meal offers as well.

We saw both Shraavana and Navaratri fall in the same quarter, impacting out -of-home consumption . Further, unseasonal rains, especially in eastern part of the country during the crucial second half of September impacted our sales.

Despite external factors, our consolidated revenues grew to INR 1,377 crore , a 13% year -on-year growth.

While the industry has navigated a challenging environment over the past few years, we have continued to strengthen our fundamentals and adapt to evolving consumer preference. The resilience of our brands, disciplined execution and ongoing operational improvements have enabled us to grow despite these headwinds. India's consumption story continues to present significant opportunities for organized players like us. With a strong foundation and a diversified portfolio, we are well positioned to capture these opportunities and deliver sustainable , profitable growth in the years ahead.

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With this, I would like to conclude my address and now I hand over to Manish for the financial highlights. Thank you very much.

Manish Dawar: Thank you Mr. Jaipuria. Good evening everyone. A very warm welcome and thank you for your valuable time for attending DIL's Q2 & H1 FY26 Earnings Conference Call. Our 17th such call since our listing in August 2021.

We ended September 2025 with a total store count of 2,184 stores, comprising 1,100 KFC stores and 630 Pizza Hut stores globally . As mentioned by the Chairman earlier, we also opened 6 outlets of Tealive during the quarter by way of test launch.

The consolidated operating revenue for Q2 FY26, including Sky Gate, was INR 1,377

crore , up 12.6% Year-on-Year. Consolidated Q2 FY26 gross profit came in at INR 933 crore , up 10.1% Year-on-Year, with margins at 67.8%. Brand contribution margin was at 11.7% versus 13.6% last year. Excluding Sky Gate, brand contribution would have been higher at 12.4%. The organic dip is on account of decline in margins in the Indian operations, slightly offset by steady performance in international business.

Consolidated operating EBITDA on a pre -IND AS basis was INR 93 crore with margins at 6.8% versus 8.1% in the previous quarter. This quarter saw the full impact of consolidation of Sky Gate, which adversely impacted the margins. As guided earlier, we are on track to achieve

the breakeven at brand contribution level for Sky

Gate by the end of the current financial year. Excluding the Sky Gate impact, operating EBITDA would have been higher at 7.6%. Start-up costs related to new franchise brands like T ealive , New York Fries and Sanook Kitchen have also impacted the margin to some extent. Reported EBITDA was INR 194 crore , with margins standing at 14.1%.

The Indian operations, including Sky Gate, grew 12.1% Year-on-Year to reach INR 937 crore in revenues. Gross margin came in at 69.7%, a decline of 1.9% versus the previous year, primarily on account of consolidation of Sky Gate and due to investments to support transactions growth in the online business. Ex-Sky Gate impact, gross margins of Indian operations slightly improved on a sequential basis. Lower gross margin, increased aggregator and delivery expenses due to higher saliency of off-premise sales in KFC led to overall lower brand contribution in India. Moving the discussion to our brands. KFC in India added 30 net new stores in Q2 FY26. With this, the total store count for KFC in India stands at 734 stores as of 30th September, and we are on track to open approximately 100 to 110 new stores of KFC this year. Average daily sales for Q2 FY26 at INR 89,000 reflects seasonal

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variance. Revenues came in at INR 572 crore , up 5.3% Year-on-Year. Gross margin was at 68.1%. The brand contribution margin came in at 14.1% for Q2 FY26 due to lower gross profit margin, higher delivery and aggregator costs and deleverage on account of lower ADS.

We opened 3 net new stores in Pizza Hut in Q2 FY26, ending with 621 stores in India. Pizza Hut India revenue for the quarter was INR 186 crore . ADS at 33,000 remained flat on a sequential basis with SSSG at minus 4%. Gross margin was also stable quarter-on-quarter at 74.8%. Prudent cost control helped us in achieving near breakeven at the brand contribution level .

Franchise Brands, which includes Costa Coffee, and the newer brands in India posted revenues of INR 51 crore , with gross margins at 73.6% and brand contribution of INR 5.4 crore . Brand contribution for the division includes the start-up costs associated with the new brands.

Own brands, which includes Vaango, Biryani By Kilo and Goila Butter Chicken recorded INR 86 crore in revenues, including Sky Gate portfolio, with gross margins at 62.6%.

Brand contribution margin came in at 0.6% again, primarily on account of consolidation of Sky Gate . The dilution in gross margin and brand contribution, as I said, is primarily owing to Sky Gate portfolio, and as mentioned earlier, we are on track to achieve breakeven numbers by end of current financial year.

Our international business continues to demonstrate resilience and strong performance. Revenues reached at INR 450 crore in Q2 FY26, up 14% Year-on-Year, with gross margins at 64%, brand contribution of INR 75 crore , representing 16.7% margins. It's higher on a Year-on-Year basis, led by strong performance in Thailand.

Mr. Jaipuria spoke about the introduction of GST 2.0. While it is still early days, we are hopeful that the savings generated through GST reduction should boost consumption. Our initial estimates suggest that we may get some modest benefits due to lower GST on slightly lower input cost. We have already passed on this benefit to the consumers through reduction in the prices of key SKUs of our brands. I would also like to reiterate that output GST for us continues to remain at the same level, and we are not allowed to take input tax credit on our products.

We remain focused and disciplined in our pursuit of sustainable and profitable growth , leveraging our strong brands, expanding the portfolio and operational excellence to deliver consistent performance going forward.

On that note, I would like to request the moderator to open the forum for any quest

ions or suggestions that you may have. Than k you very much.

Moderator: Thank you. We will now begin with the question -and-answer session. Our first question comes from the line of Devanshu Bansal from Emkay Global.

Devanshu Bansal: Sir, you seemed to have optimized the promotions for KFC as the gross margin drop has been relatively much lower in Q2 versus what we saw in Q1. So , wanted to check adjusted for this shift of Navaratri in Q2, were the underlying SSSG trends for KFC comparable to what we saw in Q1? So that was the first question.

Manish Dawar: Devanshu, you want to complete your questions or should I answer?

Devanshu Bansal: Yes, please answer sir. So basic question is that promotion seems to have reduced because gross margin dip is relatively lower. So, I wanted to check whether the underlying SSSG trends in Q2 adjusted for the Navaratri share, were they broadly similar to what we saw in Q1, despite a reduction in promotion. So that was the first question.

Manish Dawar: Sure. So, on a quarter -on-quarter basis, we've seen slight improve me nt in the gross margin of KFC versus, let's say, when you compare it to a year -on-year basis. And the reason , we supported the brand from a brand contribution point of view because as you know, in the current quarter, we had this peculiar situation whereby Dussehra and the Navaratri came in the same quarter, which was unlike the previous year. And therefore, we saw a kind of prolonged d ip in the SSSG. But to your other question, in terms of net of the impact on the brand because of these two events, it was pretty much positive. However, the other thing that you would like to note that Calcutta or East is a big r egion for us. And during Pujo, there were very strong rains in East, which impacted the overall offtake. So that was the other reason which kind of impacted the overall KFC numbers.

Devanshu Bansal: Fair enough, Manish. Secondly, just a bookke eping thing. So basic calculation suggest that Biryani By Kilo is at about INR 52 crore quarterly run rate and about INR 3 - 3.5 crore of brand level loss. So, adjusting for that, the other businesses has seen a very strong growth, right? So , if my calculation is right, that INR 52 crore has moved to INR 67 crore . So, I wanted to understand again which all portfolios are seeing a very strong traction there?

Mani sh Dawar: See, overall, the brands are doing fine, as you said, because we've given the numbers in some places without the Sky Gate portfolio as well . We've consolidated

Sky Gate fully during the quarter. And Sky Gate , as I mentioned earlier, was sitting at a double -digit brand contribution losses . We've started working on the same. We are hopeful that by end of this financial year, at a brand contribution level, Sky Gate , we will achieve the breakeven numbers. And after that, we are going to be working on improving the margins to kind of come back to our average portfolio margins, which might take a little time. But we are very confident that we'll be able to achieve the breakeven brand contribution numbers by M arch of 2026. At the same time, we've also tested Biryani By Kilo brand at our Bombay airport and Pune airport locations. The brand has seen good traction, and therefore, we are actually planning to expand the brand into our food court locations to test the model in the food court so that we are able to kind of work out the long -term strategy post our tests in various channels.

Devanshu Bansal: Yes. So, adjusted for BBK, firstly wanted to say , if the calculation was right, INR 52 crore run rate and INR 3 crore to INR 4 crore of brand level loss?

Manish Dawar: Yes, your calculation is right, broadly.

Devanshu Bansal: So, if we address this, then what is leading that 30%, 35% kind of growth.

So, I wanted to understand that.

Manish Dawar: Are you talking about only the own brands portfolio?

Dev

anshu Bansal: Yes, yes. Only the own brand s portfolio.

Manish Dawar: No, for only the own brand portfolio , your inference is not correct. Because own brand has Vaango and Biryani By Kilo. An d Vaango is pretty steady, there's no exceptional

movement in Vaango . The dip in Brand Contribution is on account of Biryani By Kilo. So maybe we can connect on an offline basis to go through the numbers that you are working on and then we can address your query.

Moderator: Our next question comes from the line of Gaurav Jogani from JM Financial.

Gaurav Jogani: So, my question is in regards to the Yum Brands global commentary on Pizza Hut franchise. So , would you have any comments on that they are planning to rationalize? And if they do, what kind of an impact can it have on us?

Manish Dawar: Gaurav, there are two ways to look at this. One is, let me first talk about where we stand versus the Yum announcement. So as far as we are concerned, all of our agreements are well protected. And in case of any such event, there's no difference that is going to impact us as far as the India business or any of the other businesses where we have Pizza Hut. So we are fully protected on the development agreements and the store level agreements that we've talked about in the past. So therefore, that

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is not an issue. We feel, again, let's say, for example, if you were to look at the media reports and all, this actually might bring focus on the Pizza Hut brand, and therefore, it could well be positive for us. So that's how we are reading and we are optimistic about this whole change that Yum has announced, but let's see . It's too early to say because right now, they've announced only their intention. So, we've also read and we also know only to whatever extent you guys know.

Gaurav Jogani: Okay. Sure. Sir, just one clarification regarding KFC. Is the inference right that the promotional intensity has been lower on a Quarter -on-Quarter basis and hence, the gross margin expansion, what we have seen?

Manish Dawar: See, the promotional intensity actually was higher compared to what we've seen because seasonally, one, it was a low quarter. Second, we had Shraavan and Navaratri falling in the same quarter. And hence, we actually supported the brand to that extra extent. So therefore, we've not reduced the promotional intensity. If at all, I mean, we are trying to kind of maintain the transactions because typically, in a quarter like this, it has a double whammy impact, and therefore, we never reduce the promotional intensity.

Gaurav Jogani: Sure. So sir, what really led this Quarter -on-Quarter expansion in gross margin then?

Manish Dawar: See, because there have been some changes in the input costs and all, but that is small. At the same time, we also looked at some efficiency in operations, some tweak in the consumptions and so on and so forth.

Gaurav Jogani: So, the gross margins that we have done, can believe that this is sustainable because even in the quarter where you continue to maintain promotions, etc., and still you are able to clock these gross margins. So , should one assume that this should be sustainable and maybe improve going ahead?

Manish Dawar: So Gaurav, on a material cost basis and the efficiency basis, obviously, it is sustainable. But again, depending on the promotional intensity, depending on how much we are pushing on online versus off line. To that extent, the gross margins can vary.

Gaurav Jogani: Sure. And sir, just lastly on KFC only. I mean this quarter, we have seen a very strong expansion on the storefront. So, any guidance that you can give on store expansion both on the KFC and the Pizza Hut and that would be the last question from me.

Manish Dawar: Gaurav, we've talked about in the past at KFC, we are planning to open about 100 to 110 outlets , and we remain firm on our guidance. We will open those number of

outlets. And you will see, I mean, we've demonstrated in the current quarter, we've

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opened about 30 KFC outlets. So, we will be able to meet those numbers. As far as Pizza Hut is concerned, as I have mentioned on the call earlier, we optimized our commentary on the net new units. As I said, we are kind of in negotiations with Yum on various other things. So that is still on. And therefore, on Pizza Hut also, we are talking about muted net new units.

Moderator: Our next question comes from the line of Jignanshu Gor from Bernstein.

Jignanshu Gor: I just had one question on KFC. First, a lot of the new promos that you are seeing or the menu items that you are seeing, this seem to be special initiatives for driving walk-ins because for example, Chana Burger, only a combination of two is available online, not individual , right? Masala rice, I can't find even in Hyderabad, etc. Our

dine-in has reduced considerably, right, Year-on-Year. So how are you seeing your efforts in driving demand? Like what is your primary focus? Is it either demand? Is it dine-in demand? Or how are you optimizing for that?

Manish Dawar: Jignanshu, see, if you look at, let's say, the overall consumer trends, they are kind of moving in favour of home delivery, right. And there's a very strong traction behind delivery. And hence, we are putting in some extra efforts to make sure that our dine-in also continues to be relevant. And as you know, dine-in channel is more profitable for us. And we are taking efforts so that we are able to attract consumers into the stores and continue to make dine-in a robust business.

Jignanshu Gor: But have you seen a trend there that your existing customers are preferring delivery and only new customers are predominantly dine-in. So, are you swimming against the tide in a way by trying to do that? So just want to get a sense of whether you see this shift towards delivery stabilizing at some point?

Manish Dawar: See, you are able to see the shift across all the companies, right. Whether you look at e-commerce, quick commerce, QSR, I mean, that shift is there everywhere. At the same time, for example, in our portfolio, we need to have the stores to be able to service the consumers. It's not a situation like Amazon or a Flipkart or quick commerce that you can get into dark warehouses and start to service the consumer from there. And hence, we need to make the efforts to be able to maintain salience in the dine-in channel. Also, if you look at the large malls, if you look at the prime retail locations, walk-in is still strong. So therefore, just because the consumption trend is moving towards home delivery does not mean that we should not focus on dine-in.

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Moderator: Our next question comes from the line of Avi Mehta from Macquarie Capital.

Avi Mehta: I wanted to just get your updated thoughts on the expectations that you would look to stabilize discounting in second half, any change in that thought? And if yes and if no, how do you see margin performance as we move into the second half across the formats? That's my first question.

Manish Dawar: See, as I said, during the previous quarter, we had Shraavana and Navaratri falling in same month, which kind of impacts the non-vegetarian sales and we made extra efforts to support the business with the promotions and all. Obviously, going forward, we will try and optimize that a little bit because obviously one, quarter 3 is a big quarter and then December is an exceptional period. Therefore, let's see how it kind of shapes up moving towards December and then we'll take that call. But the idea is to kind of balance out the online promotions versus what we are offering in the offline channel to have a good balance in terms of the dine-in contribution as well as the margins.

Avi Mehta: Got it. Just wanted to check if there's any quantum of the impact

act from the change in

festive season timing and your sense on how the demand environment is behaving so as to get a perspective of how do we look at future quarters?

Manish Dawar: Avi, demand environment, in our view, continues to be weak. And therefore, we've seen that whenever, let's say, we do some promotions or increase promotional intensity, it kind of picks up very well. And the moment you kind of withdraw that, it falls back, which kind of signifies that the overall consumption side continues to be weak. The consumers are becoming very value conscious because we've seen the lower value items pick up very fast. So therefore, we are working on innovation in that segment as well. You would have seen the promotions around the whole Epic Savers campaign where we are promoting the value layer. Similarly, the Chana Burger launch is also catering to the same sentiment. So, we are making those efforts trying to balance the margins with transaction growth, and that's how it is kind of panning out.

Avi Mehta: So maybe if I could clarify just the question was that we saw minus 4% SSSG in KFC, but obviously, some amount of impact is there from rains, from the timing of the festive period. So, your best guess if we had to adjust for that would be what kind of same-store sales growth for KFC in the last quarter?

Manish Dawar: See, if I were to adjust for, Shraavana and Navaratri, and Pooja, which got washed out because of the rains. Now all of these things are very very difficult to pinpoint in terms of what is the exact impact. But let's say, if I were to take out that period, then it's kind of a much better number versus what we've reported.

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Avi Mehta: So where I'm going with this is the underlying trends are more flattish or still moderating. That's what I was trying to kind of appreciate more.

Manish Dawar: Still moderately negative.

Moderator: Our next question comes from the line of Dhananjay Bagrodia from Alchemy.

Dhananjay Bagrodia: Just wanted to ask you, sir, how we have looked at our market share data across the segment? I know it's a little hard to quantify, but how would you read it?

Manish Dawar: See, there is no formal mechanism, Dhananjay, in this sector to report or kind of measure the market data. So, we don't have Nielsen's of the world covering QSR category. And then there are multiple categories within the QSR in terms of chicken, in terms of the pizza and the coffee and the burger and so on and so forth. So therefore, I mean, while we estimate our numbers on the basis of some inputs from the online channel, some inputs on the basis of our own market intelligence from our field teams and all, but I would not like to quote these numbers because they are not based on any public source.

Dhananjay Bagrodia: Okay. So sir, I'll tell you why I'm asking this. See, we understand there's a consumer slowdown, but in that, there are obviously in some spaces, we've seen like even alcohol beverages, some companies are doing better than the other one. And this, unfortunately, we only have QSR who have the same segments. So we're just trying to understand, could it be that these pizza and chicken are facing issues, but let's say, healthy options are doing better. Is there anything like that which we could quantify?

Manish Dawar: See, there's no measure available. That's what I said, nobody is measuring this market on a formal basis. And there are a lot of these local brands which are also there. So it's kind of hard to estimate as we discuss.

Dhananjay Bagrodia: Okay. And maybe this is missed, but how are we seeing signs of demand picking up? And how do we see in terms of us gaining market share from whatever we are doing to gain market share going ahead?

Manish Dawar: See in this category, for example, let's say, this is a category where you need to have a physical location to be able to get the consumers

either online or on offline basis.

So, this is not a distribution model that you can push into distribution and you can generate the demand. And hence, your physical presence of the store or the kitchen to be able to service the consumer also is very important. And hence, the number of stores, the penetration of those stores, the location of those stores also matter a lot. So therefore, you'll not be able to apply the traditional FMCG principles to this one.

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Moderator: Our next question comes from the line of Saurabh Kundan from Goldman Sachs.

Saurabh Kundan: Just one question on the Thailand business, it seems to be growing at a decent pace.

Any guidance you could give us on store additions there for the rest of the year and generally next year, etc.? And overall, for the international businesses, the margins that we see in the first half, should those sustain going forward?

Manish Dawar: Saurabh, on Thailand, we have talked about opening ~ 20 - 21 stores during this year, as far as KFC is concerned. So, we stay with the same numbers. There's no change. And as far as the future is concerned, we will be kind of optimizing these numbers a little bit because there is a negative SSSG that we've seen in Thailand also, while we continue to maintain the profitability. But there are these early signs because Thailand, as you know, is sitting at close to almost 1,150 KFC stores for a small country like Thailand, and hence, we are doing the entire market study to understand and we are working with Yum to see what is the potential of the market and to ensure that we continue to maintain the growth through the store openings as well as SSSG.

Saurabh Kundan: Okay. Just one very quick question on the Sky Gate brand. You will break even by the end of this financial year. I wanted to ask on the product side or the process because I recall Biryani By Kilo used to take a lot of time to prepare, etc. Have you made changes to that or you haven't touched that part of the business?

Manish Dawar: So Saurabh, as far as the regular channel is concerned, we've not touched that part at all because it's a very strong brand and therefore, we've not tinkered with anything.

However, when we launched the brand in the airports, which is Bombay and Pune Airport, obviously, the consumer is not going to wait at the airport with those kind of

kitchen preparation times. And therefore, we've optimized the entire preparation process to be able to give the faster delivery to consumer and we will be applying the same process as far as our food courts is also concerned. But in the regular channels, we are not touching the product at all, as of now. And even, for example, all the tests that we've done, all the blind studies that we've done for the airport and food court perspective, obviously, the mode of packaging and mode of delivery to the consumer is different. But otherwise, in terms of ingredients, it's the same. Process is different, and therefore, we kind of are able to achieve faster delivery times without compromising on the product quality or the taste or the flavours.

Moderator: Our next question comes from the line of Ashish Kanodia from Citi.

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Ashish Kanodia: The first question is just on the demand side, like, I understand Q2 had multiple moving pieces, but if you look at October and just first few days of November, at least on ground, are you seeing any improvement in the demand trend? Or is it still muted in the last, say, 35, 40 days?

Manish Dawar: Ashish, obviously, because, as you know, I mean, quarter 3 is a big quarter typically, and that comes and that plays out in the month of December. So, October is no different. But we've seen some difference post Dussehra. Let's see whether it sustains the momentum or not. But overall, let's say, if you were to ask me what is the one-word conclusion, it remains muted.

Ash

Ashish Kanodia: Sure. The second part was on the Thailand business. I think while the SSSG is negative, we are seeing margin improvement there. So, from a free cash flow point of view, how should we think about the Thailand business? Because I think from next year, maybe you will start optimizing the store expansion as well. So, the capex intensity also goes down. So, when do you see Thailand generating free cash flow?

Manish Dawar: See, on an operational basis, obviously, it will be there, but we do have some debt sitting in the balance sheet. And therefore, we need to repay that debt, which is sitting in the Thailand balance sheet. At the same time, we've also tested Tealive in Thailand, and we've opened about three stores. As I said, we are doing the test launch. Let's see how the results are. And therefore, if the results are good and we expand the Tealive network there, then that will kind of consume some bit of cash.

Ashish Kanodia: Sure, Manish. And last one is, like when you look at in India across the franchisee brands and your own brands, like broadly, what kind of a store expansion you are looking in current financial year and maybe next financial year? And broadly, if you can also help us with what kind of a capex we should assume just for the franchisee and your own brands? Because the challenge is some of them will be airport stores, some of them could be delivery stores. So if you can give us some sense on that?

Manish Dawar: Overall, between franchise brands and owned brands put together, we are looking at about adding 100-odd stores, which includes, let's say, as I said, there could be some on a test phase basis, Biryani By Kilo, we'll be expanding into the retail channel. Vaango, we continue to expand. And the capex on those 100 stores will be small. It will be at best, whatever, INR 50-odd crore, not more than that.

Ashish Kanodia: So, Manish, on the 100 stores, is it the current financial year when you plan to add net new additions?

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Manish Dawar: Yes, 100 net, correct.

Moderator: Thank you. Ladies and gentlemen, we will take that as the last question for today. I now hand the conference over to the management for closing comments.

Raj Gandhi: Thank you very much. We hope we have been able to answer all your questions satisfactorily. Should you need any further clarifications or would like to know more about the Company, please feel free to contact our Investor Relations team. Thank you once again for your interest and support and for taking the time out to join us on this call. Thank you.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

Call: Jan 2026

January 13, 2026

To,

National Stock Exchange of India Ltd.
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Email: cmlist@nse.co.in
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Security Code: 543330

Sub: Transcript of Investors & Analysts Conference Call

Dear Sir/ Madam,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, transcript of the Investors & Analysts Conference Call held on January 6, 2026, w.r.t. announcement of merger through a Scheme of Arrangement involving Sapphire Foods India Limited ('Transferor Company'), Devyani International Limited ('Transferee Company') and their respective shareholders is enclosed.

The same is also being uploaded on website of the Company at www.dil-rjcorp.com.

You are requested to take the above on record.

Yours faithfully,
For Devyani International Limited

Pankaj Virmani
Chief Sustainability Officer & Company Secretary

Encl.: As above

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Devyani International Limited and Sapphire
Foods India Limited
Joint Merger Announcement Conference Call
January 06, 2026

Moderator: Ladies and gentlemen, good day, and welcome to the Devyani International Limited and Sapphire Foods Joint Merger Announcement Conference Call. As a reminder, all participant lines will remain in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Please note that this conference is being recorded. I will now hand the conference over to Mr. Anoop Poojari from CDR India for opening remarks. Thank you, and over to you, Anoop.

Anoop Poojari: Thank you. Good afternoon, everyone, and thank you for joining us on today's call to discuss the merger between Devyani International and Sapphire Foods that was announced on 1st January 2026.

We have with us today Mr. Ravi Jaipuria, Non-Executive Chairman of Devyani International; Mr. Raj Gandhi, Non-Executive Director; Mr. Virag Joshi, CEO and Whole-Time Director; and Mr. Manish Dawar, CFO and Whole-Time Director of Devyani International. From Samara Capital, we have Mr. Sumeet Narang, Managing Director and Co-CIO and Mr. Vikram Agarwal, Managing Director and CFO. From Sapphire Foods, we have Mr. Sanjay Purohit, Whole-Time Director and Group CEO; and Mr. Vijay Jain, Executive Director and CFO of the Company.

We will begin the call with opening remarks from Mr. Ravi Jaipuria, Non-Executive Chairman of Devyani International, following which we will have the forum open for a question-and-answer session.

Before we begin, I would like to highlight that certain statements made in today's call may be forward-looking in nature and a disclaimer in this regard has been included in the merger announcement presentation shared with you earlier. Kindly also note that both companies are currently in their silent period. So please refrain from asking questions regarding the quarterly business performance. We request that the questions be limited to the proposed transaction.

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I would now like to hand over the call to Mr. Ravi Jaipuria.

Ravi Jaipuria: Good afternoon everyone, and I wish you all and your families a very happy 2026. I am delighted to announce that last week, on the 1st of January 2026, the Board of Directors of DIL and SFIL in their respective meetings have approved the merger between Devyani International Limited and Sapphire Foods India Limited. It is a momentous occasion with significant long-term benefits for your Company.

The proposed merger is about far more than combining 2 businesses - it is about creating one of the largest F&B platforms in India, that is positioned to seize the vast, long-term opportunity in India's F&B economy. The merged entity will have more than 3,000 stores globally and a turnover of approximately INR 8,000 crore on an annualised basis, a portfolio of marquee brands, including KFC, Pizza Hut, Costa Coffee, Vaango, Biryani By Kilo, etc. and a pan-India distribution reach covering multiple formats. India's food and beverage market is large, getting formalised and expanding rapidly with independent estimates placing the broader food services market at more than \$100 billion and the QSR segment alone at more than \$25 billion and growing.

By this time, the merger gets consummated, the merged entity is likely to cross \$1 billion USD in annual revenues. The merger marks a defining landmark in the evolution of the companies. The merged entity will sit at the intersection of scale, brand strength and market access. We are creating a unified franchise partner for global brands that can deploy capital, talent and technology across a national footprint with unparalleled speed and consistency. The structural characteristics of the Indian market - rising disposable incomes, increasing urbanization, changing food preferences and accelerating retail and delivery infrastructure, mean that national rollouts and standardized execution translate directly into durable competitive advantage. The QSR segment is amongst the fastest-growing segments within the broader F&B ecosystem. A single, well-capitalized franchisee with national rights is much better positioned to capture this growth potential.

In short, this merger creates a platform that is better placed competitively; deeper national penetration for marquee brands, stronger bargaining power with partners and landlords, and the ability to allocate capital where returns are the highest. Our ambition is straightforward - to build the preferred long-term home for global QSR brands in India and to convert India's structural demand tailwinds into sustained, disciplined growth for our shareholders, team members and partners.

I would like to thank Yum! Brands, Samara Capital and the combined teams of DIL and SFIL whose work has brought us to this point. We now begin our next journey to realize the full promise of this combined enterprise - one that has the potential to redefine the

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competitive map of India's food and beverage sector.

Thank you.

Manish Dawar: Thank you, we can now open the lines for Q&A.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question-and-answer session.

We take the first question from the line of Devanshu Bansal from Emkay Global.

Devanshu Bansal: Congratulations to all the parties involved on this announced merger. Sir, Devyani has always been a great executor in terms of operations. But now the company also has to manage other verticals like technology, supply chain, marketing as well as execute product innovations as well. So how are you as an organization planning to ramp up capabilities in these verticals? So that was my first question.

Manish Dawar: So, Devanshu, you are right. Traditionally, we have been operators, and executors. As part of the deal, we are going to be taking over some functions for the brands, and therefore, let me explain that to you better. For Pizza Hu

t, we will be taking over

marketing and innovation, and we will be taking over technology and supply chain function as well. Whereas for KFC, as of now, it is going to be only technology and SCM. Marketing and innovation will continue to be run by Yum! the way it was being run in the past. We do recognize that we have to build these capabilities because in the past, we never used to handle these functions. And hence, while let us say the

merger discussions were on, we have started to build those capabilities. Internally, we have already had discussions in terms of how the organization structure should look like for these functions, how the leadership for these functions should look like. So all that planning is already in place. You will also be pleased to know that we have already gone and hired some positions, and some of them are in pipeline. So rather than waiting for the merger approval, we have already started working on these areas, recognizing what we have and what we do not have. And therefore, this is well on its way. You will also be happy to know that we have also already shortlisted a technology partner who will help us and create the new technology assets in terms of web and app. There are some internal approvals that we need to obtain, but we have already shortlisted a large global technology vendor to partner us in this transformation journey, as well as help us give a different customer experience already. So we will announce this in due course. So considering all of our preparedness, as far as these functions are concerned, we will be ready by June, with our capabilities and capacities well before the merger gets approved. So therefore, we have already taken steps in that direction. Devanshu Bansal: Manish, you did indicate some similar leadership hiring. So are you sort of trying to indicate that from a CEO perspective also, you will be looking for fresh candidates here who can sort of manage the overall new set of capabilities that will be coming into

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picture for the merged entity?

Manish Dawar: So let me just clarify, Devanshu, what I said, and then Mr. Jaipuria will pitch on in terms of the leadership. What I said was that as far as these functions are concerned, which is in terms of marketing the technology. So those are the functional leaders that we need to kind of fill the gap, and that is the process we have already started. A few of them, we have already closed the negotiations and the offers, few are in the pipeline. So that is the point that I made.

Ravi Jaipuria: So I think as far as the leaders are concerned, I think we are still about a year away from the merger. And there is a lot of work to be done on both sides. So I think we need to sit together and see who are the best, in both the teams and then pick and choose between the two teams and find the best people to take it forward.

Devanshu Bansal: Very clear, sir. And obviously, the company has indicated a certain level of synergies of about INR2.1 billion to INR2.25 billion. So wanted to clarify all these synergies are over and above the new investments that you will be making in the business, right? Or maybe to ask it in a different manner. So currently, the merged entity will be operating at 7% to 8% pre-IND-AS margins in, say, FY26. And the leader currently operates at about 13-odd percent. So I wanted to check how much of a bridge we can, sort of, narrow versus the leader and based on the net synergies that will be there in the business.

Manish Dawar: So Devanshu, the synergies that we have indicated are net of costs and will come and sit on top of where we are currently. So we are not going to be commenting on where the leader is and what our plan is. Obviously, we will come back to you in due course. Let's kind of progress, and then we'll come back.

Moderator: We take the next question from the line of Jignanshu Gor from Bernstein.

Jignanshu Gor: Congratulations to both

the teams for successfully crossing this threshold. I had a couple of points I wanted to check. One is the overall transaction mentions a combination of share swap for most of the shareholders. And a specific sort of paid-up capital, which will be bought by a group company. Is there any more color that can be shared on the terms? Are they similar for share swap versus the onetime purchase of the group company? How will that transaction sort of work together? Is there some more color that can be shared here?

Manish Dawar: So Jignanshu, as far as Devyani is concerned, it will all be share swapped because, obviously, there is no cash out as far as Devyani as a legal entity is concerned. And therefore, that share swap we have already indicated in terms of 177 shares of Devyani in lieu of 100 shares of Sapphire and that is predominantly because of the face value

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difference. On the promoter-to-promoter deal, I would request Sumeet from Samara Capital, if he can throw some light.

Sumeet Narang: Thank you, Manish. As it was disclosed in the DRHP, as per Yum! requirement, Sapphire Foods India Limited has a promoter entity in Mauritius, Sapphire Foods Mauritius Limited, which is supposed to maintain at least 25% stake. And without Yum!'s prior approval, that stake cannot be sold to anyone. So it is a restricted stock in

that sense. Now as the merger that will be conceptualized in discussions with Yum!, the surviving combined entity needs to have one promoter which is RJ Corp as a promoter and controlling shareholder of the merged business and that promoter entity of Sapphire Foods, which has 25% stake has, bilaterally promoter to promoter at Mauritius level, decided that part of that 25% stake will be transacted bilaterally, so that RJ Corp can maintain a significant shareholding in the combined entity in line with discussion with Yum!, and that number will be 18.5% out of the remaining 25% and the remaining portion will be share swapped in the combined entity. This 18.5% also will be closed bilaterally somewhere between 3 and 15 months between the two parties on a mutually agreeable basis, which allows RJ Corp to maintain a significant shareholding, which also satisfies lot of Yum! criteria in terms of the threshold of shareholding of a promoter they want to maintain. And the combined entity will then have a complete public shareholding other than the RJ Corp as a promoter.

Jignanshu Gor: Understood. So if I were to rephrase for my understanding, it will be disclosed in due course when it is finalized. Is that the right approach? Is that the right conclusion?

Sumeet Narang: Yes. So there will be filings and what is being disclosed today, is that 18.5% will be sold bilaterally, somewhere to be closed between 3 and 15 months on a bilateral basis and the remaining will be share swapped into the combined entity, which is DIL, with RJ Corp as a promoter and Sapphire Foods Mauritius will cease to be a promoter, which has all been approved by Yum! And the reason I think RJ Corp, the affiliated entity had to purchase, so that the promoter shareholding in the combined entity of RJ Corp Group is strong enough from Yum!'s satisfaction perspective.

Jignanshu Gor: Makes sense. Okay. Just a second quick question then and this is specific to Pizza Hut, right? There have been a lot of discussions over the last few quarterly calls on the approach for reviving Pizza Hut as a brand. And I have the pleasure of having both the management on the call from Devyani and Sapphire. So is there a common understanding or view which we can share today? Or is it something that we are still working towards, and we will release later? So just interested to understand the future for Pizza Hut.

Manish Dawar: So Jignanshu, let me just explain you first what the regulatory landscape is. So both of us, as you know, are publicly listed companies. And we cannot engage with each other

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in ter

ms of what the future strategies and what the future objectives are and how will that be fructified and so on and so forth, given the antitrust and the Competition Commission rules. Once we have CCI approval, we will engage in deep conversations in terms of what the future and unified strategy for Pizza Hut will be. And therefore, at the right time, we will come back, and we can talk about the Pizza Hut strategy going forward on the basis of merged entity.

But Yum! also recognizes India to be one of the priority markets within the Yum! global portfolio. And the way we have negotiated the deal in terms of certain incentives and waivers, and whatever is our thought process because obviously, we have not engaged with Sapphire on this one, I can tell you that in the first year, we will be able to kind of get to a positive brand contribution margin on Pizza Hut. Our endeavor will be to be at a low double digit given what we have as part of the deal and negotiation with Yum! and as part of our revival strategy. So all of that is already kind of baked in into when I say that we will be able to achieve low double digits. Let me give you some color broadly from whatever we have kind of negotiated with Yum! which will kind of give you confidence in terms of why we are saying so. So one, if you look at both the companies over the last 3 years, we expanded Pizza Hut Franchise quite rapidly, and that led to negative SSSG, which led to lower margin structures. We have already negotiated with Yum! that our priority is to turn around the business, our priority is to put Pizza Hut back to its old glorious day where it used to be market leader. And hence, we will not be under stress to open net new units from where we are today. What we have negotiated is a small number that can be easily achieved. We will have the full flexibility to shut the stores and turn around the stores and put new stores in place, very clearly, what we agreed with Yum! that the net new units, which is the net count as we close the merger will not be negative. But within that, we will have the flexibility to turn around the brand to turn around the stores, in a much faster way so that we are able to achieve the results faster. At the same time, since we are a unified team and therefore, the decision-making and qualitative engagement will be far superior to what it used to be earlier. And hence, we feel confident that along with these elements and the fact that we are going to be taking over marketing and innovation and the fact that we have already started or taking steps on the technology side, that gives us the confidence that

over a period of time, Pizza Hut brand contribution margin should come closer to KFC. But to begin with, we will be able to kind of demonstrate that we are able to get to the low double-digit brand contribution.

Moderator: We take the next question from the line of Manoj Menon from ICICI Securities.

Manoj Menon: I had a couple of questions actually. The first one, in fact, was on the previous participant because I was actually looking to get some clarity on, let us say, your portfolio reshape opportunity, particularly on the Pizza Hut. Manish, just to reconfirm -

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we are saying that Pizza Hut, let us say, needs to be restructured, bringing the profitability to a certain level. And then there could be a phase for faster growth in that brand, right? Is that the right, let us say, conclusion?

Manish Dawar: See, very clearly, we need to restructure the brand, and we also need to drive the top line from a SSSG perspective because, obviously, with the SSSG turning negative for the last few quarters, the deleverage has set in, which has kind of eroded the profitability. And hence, both will have to be kind of sorted out together. On the restructuring side, obviously, we do not have the complete visibility on how the Sapphire individual store level portfolio looks like. We will engage int

o that once we

have a set of regulatory approvals, we also need to engage together in terms of how we should drive the top line and the growth, and that is where the expertise from both sides will come out in terms of marketing initiatives, in terms of innovation that is required to be done. And hence, that is the reason I said initially that we will be able to come back to you guys in due course of time. So it is basically restructuring and SSSG drive. Those are the 2 important pieces to the turnaround.

Manoj Menon: Just one quick follow-up and I all fall back in the queue. So thanks for the disclosure on the cost synergies, which is very impressive. But I have a question on any potential revenue synergies which you see. So that is point number one. The second let us say, how do we think about the cost synergies? Is that more fuel for, let us say investing behind a lot of the new brands, including the recent acquisition of BBK etc. How do we think about the, let us say, the utilization of the cost synergy? Second one or the first one is on your thoughts on revenue synergies on the brands.

Manish Dawar: Sure. So as you know, Manoj, that this is a unit level retail business, right. I mean, I do not want to kind of get into individual companies, but we have seen at times, for example, let us say there is a brand store, which is there, and there is a next-door food court store where the same brand is present. We also need to think too in terms of the channels because today there is a very, very clear division available between a customer who consumes QSR at home versus a customer who consumes QSR by way of dine-in and they are looking for that experience. It could be a weekend experience, it could be evening experience, it could be in the malls, whatever channels we are talking about, and you guys are aware of that. So therefore, we need to have a distinct and very, very clearly articulated strategy for all of these channels, for all of these things and therefore, let us say, once we become unified, these things will help a lot. And hence, very clearly, when I say SSSG, that is a revenue opportunity, which kind of comes about whereby, let us say, the two companies are able to kind of jointly strategize, jointly communicate have a common strategy in terms of negotiations, in terms of execution and so on and so forth.

Moderator: We take the next question from the line of Saurabh Kundan from Goldman Sachs.

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Saurabh Kundan: Most of the questions are already answered, thanks for that. Just one quick one on KFC. The release does not like specifically mentioned that there will be an acceleration in the combined entity. But is it fair to assume that we could expect an acceleration in KFC because you've spoken of signing new DAs as well. Would it be fair to assume that being the stronger format we could see an acceleration there on store basis?

Manish Dawar: See Saurabh our objective is to kind of accelerate the business, both on KFC as well as Pizza Hut as we come along as we get unified. And with that objective is where the merger is taking place. So because India presents a large opportunity, the kind of conditions which are there in the market, it needs a unified strategy, it needs a unified thinking. A unified approach is far better compared to a 3-way approach. On KFC, the objective will be to kind of accelerate, but it will be a calibrated expansion. So just to give you an idea in terms of where we stand, whatever our DAs are, which is what we have indicated will be kind of executed in due course. On KFC, whatever are the individual commitments between us as Devyani and Sapphire, the common DA will be

very close to those numbers. So therefore it will not be a huge one. But again, we have already indicated, and we have kind of always demonstrated in the past, that it is a market demand that needs to get created, which drives this overexpansion. DA is just one element

of it. So, for example, if the market kind of grows better than what we expect if you are able to kind of strategize better. And if you have to go beyond the DAs also, we will be quite happy to do that. So the market has to support. Capital is not an issue. What is important for us, as we have indicated in the past is the return on capital. Saurabh Kundan: Okay. Fair enough. Thank you. My second and last question is that you will be investing in tech app for Pizza Hut, for KFC as well, can we assume that there will be a focus now on our own fleet? Is that a fair assumption to make and in general would you want to change – you are changing the few things about Pizza Hut. Are you going to do that for KFC? Do you have the liberty to do that now?

Manish Dawar: So Saurabh, as I mentioned, on KFC also the technology and SCM will get transferred and get transitioned to the merged entity as we go along. However, what is important and which I think Devanshu had raised initially that we need to build the capability and demonstrate that we are able to handle that with Yum. So hence, our entire technology road map is going to be a common one for DIL, including KFC and including our own brand. Obviously, the top layer, which is the consumer UI UX, the consumer interface, the brand representation, the brand colors menu that will be individual for the brand, but the basic tech stack will be a common tech stack across DIL and across all of its brands. So hence, again here we will drive the benefits coming out of a unified tech strategy. And I did indicate that we have already shortlisted a large global technology partner with us. And we will be kind of looking at that internally, approving. We need to take Yum also on board so that they also get the confidence that we have taken the

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right decision, but technology for the entire company will be common and for KFC also will get transitioned to us.

Saurabh Kundan: Understood. Just a follow-up, sir. In very simple terms, there are things like faster delivery in 20 minutes, etc. It is a lot of time compared to what the market leader does. Is the effort towards that?

Manish Dawar: Absolutely. So if you look at, Saurabh, I mean, in the QSR world today, it is all about speed and innovation. And therefore that is what gives the best results. And speed means the faster turnaround at the stores, the faster delivery to the consumers and, along with innovation and that will be the big focus area for the merged entity.

Moderator: We take the next question from the line of Avi Mehta from Macquarie.

Avi Mehta: Just had a few clarificatory questions. First, if you could just explain the process through which the pricing for this 18.5% promoter stake will be determined and whether there is an exit fee in case the approvals do not fall in place, that is an unlike event, but I still wanted to kind of clarify that. And last clarification, just whether the marketing and innovation functions for KFC is this more a temporary arrangement and will they also eventually move? Is that also part of this agreement? Just any clarification or were there any thoughts on that? That is it?

Manish Dawar: So, Avi. let me answer the easier one first. So marketing and innovation for KFC will continue with Yum and there is nothing as part of the current agreement. On the other piece that you mentioned, I think I will request Sumeet to kind of come in for that.

Sumeet Narang: Yes. So I think on the 18.5% promoter to promoter stake sale, it will conclude between 3 to 15 months on a mutually agreeable basis. It could be pre-approval of NCLT post basis bilateral arrangements. And I think the pricing, there has been a floor price set between the two parties of INR 280 which is driven by both the fairness valuation, which was around that level and the 90-day average as well. And then I think exact closing is bilateral between the two promoter entities, which could be anytim

e between 3 to 15

months from now from the date of signing and approval of the transaction.

Avi Mehta: And what is the exit fee bit, Sumeet? Is there any? In case the approvals do not pan out for any reason?

Sumeet Narang: I think there is nothing attached, there is no exit fee in that sense.

Avi Mehta: Got it. Manish, just one last bit, if I may ask you on the costs synergies versus what is being paid to Yum, the contrast. Just wanted to understand how you look at it. So we are looking at a payout of INR320 crore odd to Yum for this merger. And the synergies, which will eventually occur to us is only about INR210 crore to INR220 crore. If you

could help us explain, how should we look at this? Is this correct to contrast and say that a lot of the synergy are going away or is the INR320 already part of that factoring in? So your thoughts on that would be helpful?

Manish Dawar: So Avi, INR320 crore, the fee that we are going to be paying to Yum, that is a onetime payment, whereas synergies will accrue year after year for the entire whatever lifespan of the business. So therefore, it is not a right comparison, and therefore, from your perspective, maybe you can say the entire merger cost is a consideration of the share swap plus whatever, INR320 crore of fee. And this will also get capitalized.

Moderator: We take the next question from the line of Percy Panthaki from IIFL Securities.

Percy Panthaki: My question is on KFC. Last several quarters, the SSSG for the brand has been quite weak and the numbers have been similar within a small band for Devyani and Sapphire SSSG for KFC, given that you are not taking over any new functions like marketing, innovation, tech, etc., for KFC. How will this merger help you accelerate the SSSG for the KFC brand?

Manish Dawar: Percy, see, as I mentioned for KFC also, we are going to be taking over technology and SCM in due course of time. And today, let us say, if you look at KFC for both the businesses, close to 45% of the business gets home consumed or home delivered. And there technology has a huge role to play. And hence, we are trying to sort that piece out by having a unified strategy on technology for all of our brands. So we feel it is going to definitely help us in terms of driving the top line. At the same time, we have been engaged in this deal for a while now, it does kind of defocus a little bit from the core proposition with having this done already, we will kind of get back on the SSSG numbers also on the fundamentals of the business. So therefore, we feel very, very confident that we will be able to kind of recover more and deliver more versus where we are today. And again, we think that the current headwinds are temporary in nature are cyclical with whatever is happening in the economy and therefore, we should be able to come out of that very shortly.

Percy Panthaki: Got it. Secondly, on the synergies of INR210 crore to INR225 crore, which you have mentioned, which you said is a net number because you are going to spend more also as you are taking over some functions from Yum! So this is the number after that additional expense which will come in. Would you be able to give some idea on the quantum of these additional expenses? So what I am trying to see is what is the gross versus the net synergies? And also some breakup of this, like how much is going to come from a royalty reduction, how much from corporate overhead, how much from logistics, etc.? Any kind of flavor, if not the exact number?

Manish Dawar: Fine. So we will not be able to give you the exact numbers but let me tell you how it

kind of works. If you look at the G&A between the two companies, obviously, that is an opportunity area, and we have made some assumptions. Obviously, when we are integrating the two companies, there will be some costs. At the same time, as you indicated that not only that we are supposed to take over

some people from Yum! in

terms of the functions that we are going to be taking over, we also need to build leadership capabilities in those functional areas. I have already indicated that we are close to finalizing a global technology vendor who will help us in this transformation journey. So that will also cost money. So all of these are costs, all of this is in the pipeline. We have just concluded our agreement stages, we have just announced. We will have to get into the details. We have not kind of crystallized every last penny because we have not engaged at that level. So in due course we will come back and give you all the answers. We feel confident that we will be able to deliver these synergies by way of G&A, by way of additional Yum! incentives, by way of additional negotiations on the procurement costs and so on and so forth. And again, I think we also heard some feedback from the market that people are not very clear in terms of when these synergies will be realized. So we are expecting in the first year post-merger approval, we will be able to realize a substantial part of the synergy. Our estimate is that number will be close to 60%. And in the second year, we will be able to realize the balance amount of synergies. So within 2 years post-merger, we will be able to realize 100% of the synergies that we have already indicated.

Percy Panthaki: And would the gross synergies in the ballpark be about 1.5x the net synergies? Or I mean, is that more or less in the ballpark?

Manish Dawar: It will be lower than that, but not 1.5x. Remember that the two businesses are very, very similar to each other. If you look at the asset footprint, if you look at our systems, processes, everything it is very, very complementary to each other. So I think from an

integration point of view, this is probably, I would say, one of the best mergers in the history that it is such a complementary set of assets and complementary set of people as well as the processes as well as the IT systems and all that the gross cost is not going to be huge.

Percy Panthaki: No, I was just asking because some of the Yum! functions you will be bearing the cost now. So from that point of view, I was asking.

Manish Dawar: Yes, yes. So we have netted that off already.

Moderator: We take the next question from the line of Gaurav Jogani from JM Financial.

Gaurav Jogani: My question is with regards to the incentives, specifically with regards to the Pizza Hut. Are these incentives for a limited period of time and post which, once things are in order, proper in shape, will these incentives kind of go away?

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Manish Dawar: So, Gaurav, we have incentives for a period of 10 years. And I think in your model beyond 10 years, the NPV, I guess, will be zero. So therefore, I mean, these are long-term. These are here because as I said, Yum! is equally serious as we are in terms of turning around the Pizza Hut business. And they have really kind of helped us and supported us in putting the entire thing together, so that we are able to kind of make sure that Pizza Hut comes back to its old glorious days, and it starts to do extremely well. Similarly, on KFC also the fact that we are going to be taking over supply chain and technology shows a very positive kind of momentum from Yum! side. So these are all here for the long-term.

Gaurav Jogani: Sure. And, just a follow-up on the Pizza Hut bit, Yum! has globally taken a strategic call to review the Pizza Hut as a business. So would that, in anyways, have any effect on the Pizza Hut business going forward?

Manish Dawar: Gaurav, in our understanding, because we are not privy to whatever their negotiations or contracts or stated positions are. But typically, let us say, in these situations, the current agreements and the current negotiations are protected. And therefore, hopefully, there should not be any impact on us, but we are not privy to what their negotiati

ons are.

Moderator: We take the last question from the line of Athar Syed from Smartsync Services.

Athar Syed: Just wanted to know, going forward, what would be our strategy after 1 or 2 years later, let us assume, like, where do we focus mainly in online or offline? Like recently, I read some QSR companies and many other companies are getting good growth in online and facing some headwinds in offline stores. So can you please throw some light on this?

Manish Dawar: So, Athar, as I said before, we will not be able say anything because we are not allowed to engage very closely at this stage of the merger announcement. And hence, we will not be able to present to you right now in terms of what our strategy post-merger will be. Once we have some fundamental approvals in place, that is where we will engage. We will discuss the merged company synergies, and we can come back to you in terms of what the synergies are, what the future strategy is, what the plans are, how are we going to be handling every brand. So, that will happen in due course of time. As you know that the entire merger approval process is going to take about 12 months' time, so it could be anywhere from 9 months to 15 months. And I think that is the time that we will utilize for defining the structure, the organization, the strategies and all of those things.

Athar Syed: And, sir, can you please throw some light on the part that company has a higher level of debt compared to Sapphire Foods, and our debt-to-equity ratio is also higher. It

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would be helpful to understand the reasons behind this difference?

Manish Dawar: So, as you know, let us say, whatever the market cap is, that takes into account the debt which sits on both the balance sheets. And if at all, let us say, when we merge, the balance sheet will become even stronger versus where we are today. And even from a Devyani standalone perspective, the debt is a small number. So it is not a high amount of gearing that there is any concern. So therefore, that to us is not a big concern area in any case.

Moderator: Thank you. Ladies and gentlemen, with that, we conclude the question-and-answer session. I now hand the conference over to the management for their closing comments.

Manish Dawar: Thank you very much.

Raj Gandhi: Thank you, everyone, for participating in our Investors' Call. I am sure the management

was able to address the finer points of the merger and clarify any doubts you may have had. If you still have any questions, you are most welcome to contact the Investor Relations department of the company. Once again, thank you very much.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

Call: Feb 2026

February 11, 2026

To,

National Stock Exchange of India Ltd.
Exchange Plaza, Block G, C/1, Bandra Kurla
Complex, Bandra (E), Mumbai – 400 051
Email: cmlist@nse.co.in
Symbol: DEVYANI BSE Limited
Phiroze Jeejeebhoy Towers ,
Dalal Street, Mumbai – 400 001
Email: corp.relations@bseindia.com
Security Code: 543330

Sub: Transcript of Investors & Analysts Conference Call

Dear Sir/ Madam,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, transcript of the Investors & Analysts Conference Call held on February 4, 2026, post declaration of Unaudited Financial Results of the Company for the Quarter and Nine months ended December 31, 2025, is enclosed.

The same is also being uploaded on website of the Company at www.dil-rjcorp.com .

You are requested to take the above on record.

Yours faithfully,
For Devyani International Limited

Pankaj Virmani
Chief Sustainability Officer & Company Secretary

Encl.: As above

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Devyani International Limited
Q3 & 9M FY26 Earnings Conference Call
February 04, 2026

Moderator: Ladies and gentlemen, good day and welcome to the Devyani International 's Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Please note that this conference is being recorded. I now hand the conference over to Mr. Anoop Poojari from CDR India. Thank you, and over to you, sir.

Anoop Poojari: Thank you. Good afternoon everyone, and thank you for joining us on Devyani International's Q3 and 9M FY26 Earnings Conference Call .

We have with us Mr. Ravi Jaipuria, Non -Executive Chairman of the company; Mr. Raj Gandhi, Non -Executive Director; Mr. Virag Joshi, CEO and Whole -time Director; and Mr. Manish Dawar, CFO and Whole -time Director of the company.

We will initiate the call with opening remarks from the Chairman, followed by key financial highlights from the CFO. Thereafter, we will have the forum open for a question -and-answer session.

Before we begin, I would like to point out that some statements made in today's call may be forward -looking in nature and a disclaimer to this effect has been included in the results presentation shared with you earlier.

I would now request Mr. Ravi Jaipuria to make his opening remarks.

Ravi Jaipuria: Good afternoon everyone, and thank you for joining us today. It is my pleasure to welcome you all to Devyani International's post -results earnings conference

call to discuss our performance for the third quarter 2025-26.

We continue to invest in and steadily expand our core business. In India, new store openings accelerated during the quarter with 54 net new KFC outlets and

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18 net additions to Pizza Hut. With this, we have not added any net new Pizza Hut stores on a cumulative basis during the calendar year 2025. Within our brands portfolio, we have also added 17 new stores to Biryani by Kilo and Vaango. The international business added 20 new stores during the quarter between Thailand and Nepal. At the end of Q3' 2026, the total store count for DIL stood at 2,279 stores.

We are happy to state that we have achieved break-even brand EBITDA results for Biryani by Kilo much ahead of our target as guided earlier.

In parallel, we are also bringing innovative new products to our customers. We recently introduced the 'Dunked Range' in KFC - fried chicken coated in a bold and fiery barbecue sauce. The product launch has been accompanied by a promotional campaign focusing on the indulgence and craving, featuring a well-known comedian and actor, which has been well received.

We also have launched the 'Crafted Flatzz' range of pizzas featuring a hand-stretched crust option with seven new flavourful toppings to choose from. It is a great example of a global product launch that is being customized for regional preferences. We have seen encouraging initial response from our patrons.

Our business continues to grow in a sustained manner. India operations grew 12.1% year-on-year, while consolidated revenues reached INR1,441 crore, growing 11.3% year-on-year. Our international business continues to gather strength from operations and profitability perspective and the same is reflected in the steady improvement in the results.

Earlier this year, we announced the proposed merger with Sapphire Foods, a transformative step that will create one of the largest diversified F&B platforms in India. The combined entity will have more than 3,000 stores globally and a turnover approaching USD 1 billion. We are very excited regarding this new chapter in your company's growth phase.

We have also started the process of turnaround of the Pizza Hut business by shutting down loss-making stores. Our idea is to bring a sharper focus to this exercise, and with this as an objective, we are not planning to add any net new units to our Pizza Hut portfolio. We will open the new stores only to compensate for the closure of loss-making stores. This will also help us to utilize the existing assets and equipment in our new stores and bring down the capex for the new openings as well.

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We have seen positive SS SG across all our brands in the month of January except Pizza Hut where the losses are being contained. We are expecting that if this momentum continues through the quarter, this will lay a strong foundation for future growth.

On the macro front, we are beginning to see some early signs of consumption coming back in a few sectors in the broader economy, thanks to the government support and fiscal measures. We have used the last few quarters to build a leaner and more resilient organization. With the proposed merger underway, we are confident that we will emerge as a stronger and more agile business well-placed to accelerate growth by capitalizing on opportunities that are available.

DIL is at a critical inflection point in this growth journey as we prepare to scale into a larger, more diversified, and more complex organization. The board believes that this next phase requires a bold strategic vision backed by strong execution capabilities. Given the background, I would like to briefly touch upon the important leadership decisions taken at the board meeting today.

Virag has expressed his desire to superannuate from the Company. The board has accepted his request effective March 31, 2026, and has requested him to continue as a Non-Executive Director and provide his valuable insights on strategic matters as and when required. I would also like to acknowledge Virag's invaluable contribution to DIL's journey over the last more than two

decades. We thank him for his leadership and wish him all the best with all his

future endeavours.

Manish Dawar shall get elevated as President and CEO for DIL with effect from April 1, 2026. Manish joined us almost five years back as CFO for the company and has played a very significant and pivotal role in shaping the company's growth trajectory, including the successful public listing. He has also led key strategic initiatives, including the acquisition of Thailand business, the acquisition and turnaround of Sky Gate Hospitality brands – Biryani by Kilo and Goila Butter Chicken, and more recently the proposed merger with Sapphire Foods. He has over three decades of leadership experience across very reputed and well-known global and Indian enterprises, with leadership roles at Vodafone India, Vedanta, Reckitt Benckiser and Reebok, having started his career at Hindustan Unilever. He has wide experience across multiple industry domains and various geographies in the world. The board and I feel that he is well-placed to take over the role of the expanded DIL as President and CEO. I would also like to wish him and his team the very

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best to take DIL to even greater heights as we make progress with the merger. I am also pleased to inform you that Mr. Anupam Kumar, currently EVP Finance, will take over the role of CFO. Anupam has over two decades of experience before joining RJ Corp with Vedanta, Walker Chandio & Co LLP. This will add depth and continuity to the company's financial leadership and will make DIL ready for the post-merger scenario.

With this, I would like to conclude my address and now I hand over to Manish for the financial highlights. Thank you very much.

Manish Dawar: Thank you, Mr. Jaipuria. Good evening everyone. A very warm welcome and thank you for your valuable time for attending DIL's Q3 FY26 earnings conference call, our 18th such call since our listing in August 21.

At the outset, I would like to thank the Chairman and the Board for repositing the trust and confidence in me to lead DIL at such an exciting and transformative juncture. With DIL's deep operational capabilities, strong brands, expanding scale, and growing digital and technology backbone, we are uniquely positioned to build a future-ready QSR platform that delivers sustained and long-term value for our stakeholders. We will be announcing the broader leadership team for DIL in due course as we progress with the merger. Coming back to the results. As of December 31, 2025, our total network stood at 2,279 stores comprising of 1,174 KFC stores and 648 Pizza Hut stores. We also launched our first Sanook Kitchen outlet in Gurgaon. Sanook Kitchen brand is for Thai and Asian food lovers.

The consolidated operating revenue for Q3 FY26 was INR 1,441 crore, up 11.3% Y-on-Y. Consolidated Q3 FY26 gross profit came in at INR 993 crore, up 11.7% Y-on-Y with margins at 68.9%, reflecting an improvement of 20 basis points Y-on-Y (excluding Sky Gate, the improvement is 70 basis points Y-on-Y) and 110 basis points versus Q2 FY26.

Consolidated brand contribution was higher at INR 200 crore versus INR 185 crore last year, led by our India and international operations. The brand contribution margin improved to 13.9% versus 11.7% in the previous quarter. I am happy to report that Sky Gate brands posted a breakeven brand EBITDA. This is ahead of our initial expectation and guidance given earlier.

Consolidated operating EBITDA on a pre-Ind AS basis was INR 124 crore with margins at 8.6% versus 6.8% in the previous quarter. Reported EBITDA was INR 227 crore with margins at 15.7%.

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Indian operations grew 12.1% Y-on-Y to reach INR 978 crore in revenues.

Gross margin came in at 71%, flattish on a Y-on-Y basis. Excluding Sky Gate, the GM improvement stands at 60 basis points versus the previous year.

K

FC in India added 54 net new stores in Q3 FY26 taking the total store count for KFC in India to 788 stores as of 31st December 2025. Average daily sales for Q3 FY26 was stable sequentially at INR 90,000. Revenues at INR 603 crore were up 5.9% Y-on-Y. Gross margin at 69.8% showed 1.2% improvement compared to the same quarter last year. The improvement in gross margin was offset on account of deleverage impact because of lower ADS and higher delivery revenues. Brand contribution margin was INR 101 crore with margins at 16.8%, 40 basis points lower versus the previous year.

We opened 18 net new Pizza Hut stores in Q3 FY26 ending with 639 stores in

India. Pizza Hut India revenue for the quarter was INR 178 crore with ADS at INR 31,000. Gross margin was at 76%, an improvement of 1.2% from the preceding quarter. Despite deleverage on lower sales, we managed to effectively control costs and delivered positive brand contribution of INR 1.4 crore and margins at 0.8% for the quarter, improvement of 1% from the previous quarter. We have also started to shut the loss-making stores. We have taken steps to turnaround the Pizza Hut business. We will start to shut down the loss-making stores in the Pizza Hut portfolio, and our plan is not to add any net new units in the brand for 2026. However, we will ensure that the overall store count remains broadly in line with December 2025 numbers. Franchise brands which include Costa Coffee and the newer brands in India posted revenues of INR 56 crore with Y-on-Y stable gross margins at 75.7% and brand contribution of INR 8.8 crore with margins at 15.7%, an improvement of 5.2% versus the preceding quarter.

Our own brands portfolio which includes Vaango, Biryani by Kilo, and Goila Butter Chicken recorded a healthy growth with INR 94 crore in revenues and gross margins at 64.2%. Brand contribution margin came in at 9% reflecting the turnaround in the profitability of Sky Gate portfolio. We achieved break-even brand EBITDA for Sky Gate in the month of December 2025. The Sky Gate portfolio continues to perform in line with our expectations with the growth momentum carrying through Q3. With margins improving and the integration nearly complete, we have started to scale up the brand in a measured manner. This quarter, we added 13 net new stores under the Sky Gate portfolio in DIL's existing food court locations.

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Happy to report that Vaango has crossed a count of 100 stores in this quarter. The revenues for the quarter came in at INR 20 crore and the brand continues to maintain its healthy gross margins and the brand contribution.

Our international business continues to demonstrate resilience and strong performance. Revenues reached INR 473 crore in Q3 FY26, up 10.1% Y-on-Y with improved gross margins at 64.9%. Brand contribution of INR 81 crore, representing 17.1% margins is higher on Y-on-Y basis.

Let me also take this opportunity to briefly update you on the merger process. We have already submitted our applications for exchange approvals and will also be shortly filing the application for CCI approval. At this point, we do not anticipate any material deviation in the merger timeline that we have outlined earlier. While we continue to execute towards building a geographically diverse multi-dimensional F&B platform, Yum! Brands, i.e., KFC and Pizza Hut, and India business will continue to anchor our business.

The proposed merger will further help us build a strong growth foundation in India and the estimated annual merger synergies of approximately INR 210 crore to INR 225 crore will allow us a greater headroom to invest in India and grow the business.

In our view, QSR remains one of the most promising segments in the consumption category and we believe we have the brands and the management capability to build a market-leading business.

On that note, I would like to request the moderator to open the forum for any

questions or suggestions that you may have. Thank you very much.

Moderator: Thank you very much. We will now begin the question-and-answer session.

Our first question comes from the line of Devanshu Bansal from Emkay Global.

Devanshu Bansal: Congratulations on a good operational performance. At the onset, Virag, kudos to your long career at Devyani and execution discipline with healthy operational savings that the company has seen despite a prolonged macro weakness. And Manish, congratulations and all the best for your new role as CEO of the merged entity. Just Manish, starting off, still there is some time for the CEO hat, but you have been in the system for quite some time. Checking if you would like to share some initial thoughts on your key focus areas for ramping up the next phase of the growth journey for Devyani?

Manish Dawar: So I think, Devanshu, obviously it is too early to kind of comment on this piece. And as you said, I have been in the system long enough and therefore we all

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know and this is not hidden, our biggest priority will be to turnaround the SSSG and ADS numbers. And this can only happen with multiple measures and an

enabling environment so that we are able to take these actions forward. So we will come back to you in due course of time in terms of what the new leadership team will be, what will be our strategy, and so on and so forth. But otherwise, the operational priority remains very, very important. We have to be ready with the leadership team before we get into a merger consummation scenario. We need to have a strong technology focus because we all recognize that Devyani is lagging behind on technology versus some of the other peer group. So these are the top priorities that I would say, but we will come back to you as and when things evolve.

Devanshu Bansal: Fair enough, Manish. Looking forward to the updated strategy. The second question, the commentary mentions that most formats have seen positive SSSG in January 2026. I wanted to understand the key initiatives which have led to this improvement just to better gauge the sustainability of this SSSG turnaround?

Manish Dawar: We experimented, Devanshu with some ideas on the promotions, on the deals. We have changed a little bit of our strategy in terms of how we deal with the online business and offline business. So that has really kind of helped us with the January SSSG numbers. As Mr. Jaipuria said that Pizza Hut continues to need some work, but again this is just one month in a quarter. We have just started doing experiments, we are seeing the results. As I said, in terms of what the sustainable strategy will be, we will come back to you in due course of time.

Devanshu Bansal: Sure. Just a small follow-up here. So how do we see your improved gross margin profile whether we have invested back some of the savings at the gross level to revive this SSSG or the January 2026 trends are mostly with the 70% SSSG that we have reported in KFC?

Manish Dawar: Devanshu, broadly we will be able to maintain the gross margins profile. I mean, it could be vary by some basis points, but largely the gross margin profile will be maintained.

Moderator: Our next question comes from the line of Jaykumar Doshi from Kotak.

Jaykumar Doshi: I have got two questions. First one is on this EBITDA growth or absolute EBITDA pre-IndAS of INR 124 crore. Do you think that even in a weak environment, similar EBITDA margin or absolute EBITDA adjusted for seasonality, you should be comfortable maintaining and should we expect improvement over the course of coming quarters from this level?

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Manish Dawar: Jay, as I have said in the past, it was the negative SSSG which was kind of pulling us down. And as you know, in the previous quarter we started consolidating Biryani by Kilo, and Biryani by Kilo was a loss-making portfolio

and that is where the previous quarter numbers got impacted. So we have managed to turnaround Biryani by Kilo to a break-even level and therefore that has helped us. Our Nepal, Nigeria operations have done well. Thailand is stable. If you look at the SSSG in the KFC business in India, they are better than what we have seen in the past and therefore we are hopeful that we should be able to maintain the EBITDA numbers.

Jaykumar Doshi: Sure. Second question is on KFC. For a brand with such strong brand equity, 10-odd quarters of SSSG decline, can you give us some indication of what could be the impact of cannibalization on SSSG of KFC? And is there any thought internally to perhaps slow down store addition for KFC for a year or so and try and improve SSSG and profitability of that business?

Manish Dawar: Jay, if you look at our store opening pace and I am talking here about KFC as a brand and not only DIL. If you look at the last five years, we have gone to almost three to four times of what the base store count used to be. And obviously, if you are opening stores at that pace, there will be some amount of cannibalization which will seep in. I think what is required to be done on KFC is a very differentiated strategy from an online and offline perspective, a very differentiated strategy from how we treat the brand innovation, again from an online and offline perspective. And we have started discussing that internally, we have started taking some steps and that is what Mr. Jaipuria alluded that we have seen positive SSSG in January month of 2026. So the idea is that we need to have the right steps and a strategic direction in terms of how the food sector has evolved after the entry of online players like Zomato and Swiggy and that is what the focus area is going to be. Because if you look at, for example, the nearest competitor in QSR is sitting at more than twice the store count that we have in KFC. And therefore those results are fine and that is the

inspiration for us to ensure that we continue to grow KFC. However, we have to sort things out in terms of the strategy piece and we will come back to you on those details.

Jaykumar Doshi: Understood. Final question is, you had a certain incentives linked to store openings per year. Now in the new agreement that you may have signed with Yum!, do you still have a similar level of commitment in terms of store additions for KFC or has it been relaxed in context of the weakness that Indian market is seeing?

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Manish Dawar: See, Jay, right now, for example, let us say during the merger discussions, it was more of what are the merger conditions and how will the merger take place and Yum!'s approval and so on and so forth. Both the companies had independently signed the development agreements. They will continue and obviously we will inherit whatever was signed by Sapphire. Having said that, obviously we will present the complete KFC strategy to the parent organization, which is Yum! Brands and we will have that discussion in terms of what is right for the brand because for Yum! also India remains a top priority as far as growth is concerned. And Pizza Hut as you know, we have already mentioned that we have scaled back and even for 2025 there were zero NNUs, 2026 again there are going to be zero NNUs. So therefore Pizza Hut, we have recognized that and the focus is turnaround, whereas KFC is seen as a growth brand, but nonetheless we take your point and that is something which is kind of a pending discussion from our side with Yum!.

Jaykumar Doshi: Thank you so much and Manish, wish you the very best for your new role.

Manish Dawar: Thank you so much, Jay.

Moderator: Our next question comes from the line of Tejash Shah from Aventus Spark Institutional Equities.

Tejash Shah: Manish, congrats on the promotion and best wishes for the new role. Manish, so Devanshu tried asking this,

but I am also pushing my luck here. So you have had a front-row seat to the prolonged struggle that we have seen in last many quarters and then you have multiple unfinished projects on the table today. So what would you prioritize - fixing or ramping up KFC first or fixing Pizza Hut as a model first? And then you have a lot of long tail of other projects as well. So just wanted to understand without too much detail there?

Manish Dawar: So Tejash, I think I have discussed this whole scenario multiple times with you guys. See, traditionally we were operating like a multi-environment business. So there was Yum!, there was Sapphire and there was us. So any decision-making used to happen as a three-way approach by way of consensus, whereas competition had that advantage of being very nimble-footed, faster decision-making, investing in technology. In our case, it was a fractured environment from a multiple perspective. And I think the biggest strategic move that we have taken is to consolidate the two companies and as we have discussed in the previous call that we will take over technology operations from Yum!, we will take over supply chain management from Yum!. Now all of these things will come back and help us. And therefore, once we overlay that with the operations piece, I think it is a great win-win combination for us. And that

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is the reason it was very important that we kind of sort out the larger structural issue, which is where we were hugely hampered and impacted by, and that is what something that we have managed to do, not yet in practice because we are undergoing the regulatory approvals which will take some time. And this is the time we will utilize for strategy building and in terms of what is it that we need to do on brass tacks while let us say the merger process is currently on in terms of approvals.

Tejash Shah: Perfect. And second, on this January commentary that we have put out, apart from the SSSG, what are the other operational indicators which are actually helping us to or guiding us to say that this could be a sustainable and not a false start that we have seen multiple times in last 2, 3 years?

Manish Dawar: See, as I mentioned earlier, I am just saying factually that January has been positive, let us see, it is just 1 month. I do not want you guys to draw any conclusions basis that. We need to look at how the whole quarter goes. We need to experiment with the initiatives we have taken in other geographies. So

it is early. I agree with you, but we just wanted to indicate the factual situation.

Tejash Shah: Thanks and all the best for the coming quarters.

Manish Dawar: Sure. Thank you so much.

Moderator: Our next question comes from the line of Saaksha Mantoo from Old Bridge Capital.

Saaksha Mantoo : Just one on Pizza Hut. So you indicated that we have started to sort of shut down the loss-making stores and that is being compensated by the new addition. Just wanted to get a sense on, you know, basis your initial read-through, how far do we have to go in terms of shutting these stores down? Like how many stores, if you can just give us an indication on how many such stores are there? And what would be your initial read-through on what is not working for us in these stores? Was it cannibalization or competition or something else? That is the only question I have.

Manish Dawar: See, we will have to handle Pizza Hut from multiple fronts. So one important element is shutting the loss-making stores. The other important element is having technology for the brand, which is where we have been missing. We need to make sure that the marketing is much more effective. We need to make sure that the innovation pipeline is stronger. And as I said that I mean all of these initiatives will transition from Yum! to us. Now that is going to take about a year. In the meantime, we have started taking this initiative

on cleaning up

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the loss-making stores. It will take a couple of years to finally sort it out, but we have absolutely started this exercise. And now until we have the CCI approval, obviously between us and Sapphire we are not in a position to talk to each other at this stage. But once we have the CCI approval, we will sit jointly and draw out a merged company strategy plan for Pizza Hut because that is where we need to kind of work together very intensively by the time the entire process gets finished. So we will come back to you on that piece once we have more details.

Moderator: Our next question comes from the line of Percy Panthaki from IIFL Capital

Percy Panthaki : Just one very basic question I wanted to ask you, and this is ignoring any merger synergies that you might get a year or two later. But, like, for FY27, what is the minimum SSSG that you need to deliver so that you can have a pre-Ind AS EBITDA margin expansion on a Y-on-Y basis?

Manish Dawar: See, we will not be able to give you the guidance on FY27, Percy. But if you look at, let us say, the way we performed, and let me just give you the recent quarter example by just kind of stating the factual numbers. So if you look at KFC business, the ADS in the current quarter was INR 90,000, previous quarter was INR 89,000, virtually flat. If you look at the SSSG, it was negative and despite all of that, if you look at the brand contribution, we have managed to improve the brand contribution by more than 200 basis points, and this is what I have mentioned.

Percy Panthaki : What has really gone into that? How has that 200 basis points been driven?

Manish Dawar: See, this is what I said. I mean, we have experimented with multiple things in terms of online, offline, how to kind of segregate the deals, how to do the mix. And so, therefore, those experiments are in progress, but we are seeing the results. So the point is that, and which is what I have mentioned in the past, that we do have levers to optimize the EBITDA. I am not saying that SSSG is not important. It is a very, very important KPI and we are absolutely not running away from that. But we do have other levers which is what I have mentioned in the past. So for example, if you remember in our meeting, I had said that the brand contribution margins that KFC used to deliver at INR 125,000 ADS, in the current scenario we are very confident that we will be able to deliver those kind of brand contribution margins at about INR 105,000 to INR 110,000 kind of ADS numbers. So therefore, I mean we have made progress on various initiatives, and it is getting reflected in the numbers.

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Percy Panthaki : Understood. But is there any more juice in the lemon here? What I am trying to figure out is whatever cost-saving initiatives you have done till now, that is already there in your margins for this quarter. Now if I have to look ahead and I am not asking for a guidance on FY27, I am just looking for an algorithm as to how to model your business? Let us say, if there is a zero SSSG, is there

any way you can still improve margins beyond what you have already done or now the margin improvement is going to be more a function of the operating leverage which would typically in these cases come only when the SSSG goes beyond a 3% to 4% kind of a level?

Manish Dawar: Percy, I mean of course there is still juice there in the lemon. Because, as I have said, the businesses are ever evolving. We learn from what is happening in the environment, we learn from what is happening in the competition, we learn from what we have done in the past. So therefore, it is an evolving situation. I would not call ever that there is nothing more that we can do. That is how we look at the business and that is how the group has always been. So therefore, I mean we always look at the initiatives and now with merger happening, obviously w

e will have the synergies also coming in. We will have the technology piece kind of coming in our hands, which will give us the leverage in terms of pricing, how to structure the pricing, in terms of speed of moving with the innovation and various other initiatives. So I would say there are initiatives available, but at the same time remember that it is a very complex business. It is a very decentralized retail environment and that is where we continuously seek as to what the opportunities are sitting in which part of the business and we continue to optimize.

Moderator: Our next question comes from the line of Avi Mehta from Macquarie.

Avi Mehta: Manish, Congratulations on the elevation. I wanted to just check with you on two things. One, I wanted to understand if this positive same-store sales growth that we saw in January 2026, is this something that was specifically seen only in our formats or if you could comment whether you have seen it across other peers, and whether you have seen any change in the discounting intensity in the space, in the last few months? And the second question that I had was a bookkeeping one. My understanding is there has been an increase in India overheads. If you could confirm if that understanding is correct and what led to it? Those are the two things.

Manish Dawar: So Avi, to answer your first question first, obviously I will not be able to comment on the peer group because we do not have the visibility on the peer group, but January 2026 numbers that we have seen, we are only talking about our scenario. Second, coming to the India overheads, as I have said in the

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past, please take 5% as normally the corporate G&A in terms of the broad guidance as far as our company is concerned. But this particular quarter, as you know, there has been an implementation of the labour code and that kind of impacts the overall numbers. And there are some numbers which have got impacted above EBITDA, there are some below in terms of what the accounting standards are, but otherwise the G&A remains more or less as guided earlier and there is no significant deviation or variation on that.

Avi Mehta: So sorry, Manish, just to confirm this number, what is the amount that I should kind of remove to get a more stable state run rate in the India overheads?

Manish Dawar: So that is what I said. For let us say for 2026-27, you can take a 5% G&A.

Moderator: Our next question comes from the line of Gaurav Jogani from JM Financial.

Gaurav Jogani: First of all, I would like to congratulate Manish on his elevation for the post of CEO. My question to Manish is regarding the international piece of the business where the growth has been, I would say, a bit muted despite Nigeria and Nepal doing better. So is there some impact of the growth in the Thailand piece of the business because Q3 typically is a good season business for them?

Manish Dawar: So Thailand, if you remember, Gaurav, the April-May-June quarter is one of the best quarters. Nepal, Nigeria, while we have seen great growth, but as a constituent of the overall business, it is small. And we have seen some negative SSSG in our Thailand business as well. And Thailand again in January 2026 has done better versus what we saw in the previous quarter. But if you look at let us say from a gross margin perspective on the international side, the margins have improved by 90 basis points. If you look at the brand contribution, the brand the overall business has improved by 40 basis points versus previous quarter and almost 50 basis points versus the year ago. So I think we are on the right track as far as the international business is also concerned.

Gaurav Jogani: And Manish, just on the corporate overheads bit. You know, the corporate overheads for the international business also seem to have increased. So is

there some currency -related impact that is there

because of which it seems a bit higher?

Manish Dawar: I can check specifically on the currency -related piece, Gaurav, but otherwise underlying, we know that the corporate overheads for international have remained in line.

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Gaurav Jogani: Q-o-Q, it is in line, I would say that. But Y-on-Y, it seems bit higher ?

Manish Dawar: Sure. Let me let me just check that out and come back to you.

Moderator: Our next question comes from the line of Amit Sachdeva from UBS.

Amit Sachdeva: Congratulations Manish on your new role. My just one question on the January 2026 improvement that we have seen and obviously you alluded to the several initiatives, or at least the experiments you have done, maybe I assume that pricing and how you kind of create the marketing mix for that. Could you give us a little bit of detail that what three, four things are you really excited about that are working very well? Is it a pivot to value or the larger pack or what sort of online and offline strategies are actually working which you have to repeat, if you could give us some more detail about that, I will really appreciate? And what you think that are going to sustain and help you in the rest of the quarter as well?

Manish Dawar: Amit, as you know, all of these are business -confidential details and we will not be able to share that in the public forum. So but obviously, as I said, there is enough and more opportunity available both in the online and offline piece that we can continue to optimize our offerings, we can continue to how we focus and play with the deals, with the discount mixes, and so on and so forth. So I mean obviously we will not be able to lay out the marketing promotion and how we kind of approached it.

Amit Sachdeva: Sure. But I just wanted to understand that it is largely driven by how you promote or is it like some SKUs are working better, which I am not really asking for any comparative sensitivity, just as a structural theme that which is working very well and which you feel is, you know?

Manish Dawar: I have got your point , so we have experimented with some deals and the offerings in certain markets which have given us good results. And we are wanting to kind of experiment that on a little bit better scale in other geographies as well , and we have experimented in another geography that has given the results again. So therefore, I mean that is the broad piece. It is how you approach the mix between the online -offline, where you focus, where you put your money more . So that is the kind of approach that we have taken.

Moderator: Our next question comes from the line of Ashish Kanodia from Citi.

Ashish Kanodia: Manish, just on the demand part, while I understand you have taken some of the strategic initiatives, but if I also look at 3Q numbers, there is an improvement in KFC, there is an improvement in Costa Coffee as well

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sequentially. And if I just look at how the food aggregators have reported, there was some uptick in growth in 3Q as well. So apart from the strategic initiative where you are seeing positive SS SG coming through, if you look at 3Q, October, November, December, have you also seen some bit of a tailwind coming through the quarter? Like sequentially has December been slightly better than November, adjusting for the seasonality?

Manish Dawar: So Ashish, as Mr. Jaipuria mentioned in his address, he did mention that we are seeing some green shoots in the overall consumption environment. And obviously, when let us say that is happening and plus we are kind of double - dipping basis whatever we are doing, things start to happen. So we have already talked about that , and kind of matches with the commentary that you are also hearing because we are seeing it is too early. We would not like you guys to kind of make some definitive conclusions basis that, but there are some green shoots which are kind of appearing.

Ashish Kanodia: Sure, Manish, that is helpful. And just on the store expansion side, if I hear you correctly, in Pizza Hut you will not add any stores on a net basis in FY26. But on FY27, just looking at Devyani part of the business, how should we think about store expansion for both KFC and Pizza Hut?

Manish Dawar: So Ashish, when I talked about 2026, I actually meant the calendar year 2026,

which is large part of the financial year 2026-27. So therefore until about December 2026, we will have a neutralized NNU structure. From January to March of 2027 is something that we are discussing and we will come back to you guys. But again, the store additions will be minimal, it will not be as in the past, will be a very, very small amount if required.

Ashish Kanodia: Sure. And then for KFC?

Manish Dawar: KFC, as I said, our DA continues. We have inherited the Sapphire DA also. So if you remember, we have said in the past that as far as DIL is concerned, we plan to add about 110 to 120 stores every year for KFC. That stays.

Ashish Kanodia: Sure, Manish. Thank you and congratulations on the new role.

Manish Dawar: Thank s, Ashish .

Moderator: Thank you. Ladies and gentlemen, we will take that as our last question.

I would now like to hand the conference over to the management for closing comments. Over to you, sir.

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Raj Gandhi : Thank you very much. We hope we have been able to answer all your questions satisfactorily. Should you need any further clarification or would like to know more about the company, please feel free to contact our investor relations team. Thank you once again for your interest and support and for taking the time out to join us on this call. Thank you very much.

Manish Dawar: Thank you very much.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy.

Call: May 2026

May 21, 2026

To,

Sub: Transcript of Investors & Analysts Conference Call

Dear Sir/ Madam,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, transcript of the Investors & Analysts Conference Call held on May 15, 2026, post declaration of Audited Financial Results of the Company for the Quarter and Financial Year ended March 31, 2026, is enclosed.

The same is also being uploaded on website of the Company at www.dil-rjcorp.com.

You are requested to take the above on record.

Yours faithfully,
For Devyani International Limited

Pankaj Virmani
Chief Sustainability Officer & Company Secretary

Encl. : As above
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Devyani International Limited
Q4 & FY26 Earnings Conference Call
May 15, 2026

Moderator: Ladies and gentlemen, good day, and welcome to the Devyani International's Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Please note that this conference is being recorded. I now hand the conference over to Mr. Anoop Poojari from CDR India. Thank you, and over to you, sir.

Anoop Poojari : Thank you. Good afternoon everyone, and thank you for joining us for Devyani International's Q4 and FY26 Earnings Conference Call.

We have with us Mr. Ravi Jaipuria, Non-Executive Chairman of the company; Mr. Raj Gandhi, Non-Executive Director; Mr. Manish Dawar, President and CEO; and Mr. Anupam Kumar, CFO of the company.

We will initiate the call with opening remarks from the Chair man followed by key business and financial highlights from the CEO. Thereafter, we will have the forum open for a question-and-answer session.

Before we begin, I would like to point out that some statements made in today's call may be forward-looking in nature and a disclaimer to this effect has been included in the results presentation shared with you earlier.

I will now request Mr. Ravi Jaipuria to make his opening remarks.

Ravi Jaipuria : Good afternoon everyone, and thank you for joining us today. It is my pleasure to welcome you all to Devyani International's post results earnings conference call to discuss our performance for the fourth quarter and FY2025-26.

This year has been a defining one for Devyani International, a year in which we

navigated a challenging operational environment while taking transformational steps that position the company strongly for the future.

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Our proposed merger with Sapphire Foods is a strategic combination of two scaled up and complementary platforms, united by a shared vision for long-term growth. Upon completion, the merged entity will emerge as one of the largest QSR platforms globally and as one of the largest partners for Yum!, with a diversified portfolio of leading brands, expanded geography reach and enhanced operational capabilities. The merger is expected to unlock meaningful synergies, strengthen execution and create a more agile and efficient organization, capable of accelerating growth across markets. I am pleased to share that the process is progressing as per plan, and we remain on track to complete the merger by the end of the current fiscal year.

We have also taken steps to transform our management team under the leadership of Manish, our new CEO. I am happy with the progress made and feel very confident that we will be able to largely have the new team in place by next quarter. Our focus is to bring in experienced and forward-looking professionals with deep operational and strategic expertise.

As we prepare for the next phase of growth and integration, these capabilities will be critical in driving transformation across the organization. Technology, automation and data-led decision-making will remain central and critical to this journey. This will also play a key role in enhancing efficiency, scalability and customer experience. The new management team is being formed keeping in sync with our aspiration for DIL to become one of the largest and most admired global QSR companies.

Demand sentiment during the quarter remained broadly stable, helped by favourable policy stimulus and GST rate rationalization. Volume leading growth in adjacent consumption categories like FMCG, further points to stable to improving demand trends. Thanks to a stable demand environment and tailored and sustained customer engagement, KFC delivered its strongest performance in the last 14 quarters, posting 4.9% positive SSSG and nearly 15% year-on-year growth during the quarter.

It continues to anchor our growth momentum and network expansion. Our owned and franchise brands also maintained positive SSSG trends. Overall, our footprint growth was calibrated, and we ended the year with a global network of 2,256 stores.

Throughout the year, we remained disciplined in our execution with a clear focus on protecting unit economics, driving operational excellence and maintaining financial prudence. At the same time, our marketing efforts remained sharply focused on enhancing value perception and improving accessibility for consumers across key brands.

Encouragingly, we continue to witness improvement in the consumption trends as far as our brands are concerned. Our value-led initiatives and accessibility focused campaigns at KFC are resonating well with our customers, resulting in improved

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average daily sales trends and sequential recovery in SSSG performance. While external and seasonal factors remain fluid, we are optimistic about demand conditions and believe the business is well positioned for stronger performance during the year. Our strategic priorities remain unchanged, disciplined expansion, stronger profitability and deeper consumer relevance through innovation and digital engagement. Our view on India opportunity remains unchanged and the proposed merger further enhances our ability to execute these priorities on scale and reinforces our confidence in the long-term opportunity ahead.

This has been a year of resilience, execution and strategic progress. With the merger progressing well, leadership capabilities, strengthening and demand trends showing signs of recovery, we believe we are entering into our next phase of growth from a position of strength.

With this, I would like to conclude my address and now hand over to Manish for the business update. Thank you.

Manish Dawar: Thank you, Mr. Jaipuria. Good evening everyone. A very warm welcome, and thank you for your valuable time for attending our Q4 FY26 earnings conference call.

Our performance in Q4 provides a good foundation as we plan and build DIL 2.0, a journey of transformation led by the new leadership team and enabled by digital technology, automation and AI.

DIL has always been a brand and employee-centric organization, and our vision is to leverage these assets to form a common and scaled up ONE DIL view and to create a frictionless organization in the interactions of employees, brands and technology. The

combination of deep institutional knowledge within the organization and the fresh perspective being brought by the new leadership team is helping shape a clear and ambitious road map for the future, one aimed at strengthening DIL's position amongst leading food services players globally.

While we will share more details on DIL 2.0 strategy and transformation road map over the course of the year, let me briefly outline its core pillars. It is all about reimagining how we work, expanding the reach of our brands, making the organization more efficient and focus on digital transformation.

We also see significant opportunities in driving greater collaboration across brands, enabling the sharing of capabilities, common infrastructure, strategic thinking at middle management level, consumer insights and best practices across the portfolio.

Together, these initiatives will help us build a leaner, more agile and significantly more productive growth-oriented organization.

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With technology and digital capabilities, customer recruitment and increasing in-store traffic will remain one of the core strategic priorities, serving as important growth enabler. We have now achieved more than 80% digital kiosk penetration across our KFC store network, enhancing customer experience, convenience and engagement across physical formats. In parallel, we are making strong progress on DIL Commerce, our unified technology platform designed to strengthen operational execution, deepen customer engagement and create a scalable digital backbone for future growth.

On to the business updates. We ended FY26 on a good note. KFC delivered a positive SSSG of 4.9% for the quarter, the strongest performance in the last 14 quarters, reaffirming both the resilience of the brand and the long-term opportunity in the market. This momentum translated into nearly 15% year-on-year growth for KFC, with Q4 revenues of INR 586 crore. Brand contribution grew nearly 20% year-on-year to reach INR 99 crore with brand contribution margins improving to 17.0% for the quarter. We ended the year with 783 KFC stores across India. KFC continues to execute effectively on the dual priorities of innovation and delivering disruptive value along with higher footfalls in the stores.

At Pizza Hut, our focus remains on portfolio consolidation and operational discipline. While SSSG was at minus 3.7%, the SSSG performance improved on a sequential basis, with ADS remaining stable at ~INR30,000 per store per day. Brand contribution for the quarter was slightly negative, primarily due to operating leverage arising from lower same-store sales. We ended the year with 639 stores with no net additions during the quarter.

Our own brands portfolio comprising of Vaango and Biryani By Kilo continued to deliver healthy performance with both brands reporting mid-single-digit positive SSSG. With Biryani By Kilo now achieving positive brand contribution, we have initiated measured expansion in the offline channels by way of test launch of smaller Express formats. Within our Franchise Brands portfolio, which includes Costa Coffee, revenue growth remained steady at nearly 3% year-on-year. Elevated coffee and cocoa prices, however, impacted input costs and led to a 1.2% year-on-year decline in gross margins.

The portfolio delivered a healthy brand contribution margin of 16.1%.

As you all know, there was a very significant gas crisis in the country because of the Middle East war. I feel very happy to report that our teams managed the same very effectively, and we could come out of it with minimal impact on the business. The gas crisis continues to be an issue in some parts of the country, and we are still not fully out of it. We are monitoring the situation very closely and continue to effectively manage the situation.

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Our international business continues to deliver strong and consistent growth. Nepal, while still is a relatively small contributor, recorded an impressive 46% year-on-year increase in sales, while Thailand grew revenues by 19%. As a result, the international business grew 20% year-on-year and crossed INR 500 crore in quarterly revenues for the first time. Improved gross margins and operating leverage drove brand contribution margins to 17.7%, with brand contribution reaching INR 89 crore.

On a consolidated basis, we delivered 18.5% year-on-year growth in revenues for the quarter, reaching INR 1,437 crore. For the full year, we crossed INR 5,500 crore revenue milestone, reaching INR 5,611 crore. Both gross margin at 68.8% and brand contribution at 14.1% improved on a year-on-year basis. Operating EBITDA came in at INR 123 crore, representing 8.6% of sales and grew 13.8% year-on-year.

Over the past year, our priority has been to consolidate the portfolio and strengthen the

foundation for the next phase of growth. We ended FY26 with a system store count of 2,256 stores, representing a net addition of 217 stores over the last 12 months. We expect to add approximately 200 to 225 net new stores in FY27 as DIL. KFC is expected to contribute 100 to 110 stores of these additions with the balance being driven by Costa Coffee, Biryani By Kilo and international businesses. Having tested Tea Live in India and Thailand, we have decided to discontinue the brand, and the same will happen in the next quarter.

Before I conclude, I would also like to briefly update you on the proposed merger with Sapphire Foods. The process remains on track. We have completed filings with the stock exchanges, and we are expecting to receive the necessary approval shortly, following which we will proceed with the CCI application. We continue to expect completion of the merger by end of the current financial year.

With this, I would request the moderator to open the forum for any questions or suggestions that you may have. Thank you very much.

Moderator: Thank you very much. Ladies and gentlemen, we will now begin the question and answer session. The first question is from the line of Devanshu Bansal from Emkay Global.

Devanshu Bansal: Congratulations on a strong pickup in KFC. Manish, we have made multiple leadership announcements in the recent times. Maybe if you could highlight how these leadership changes across some of the key roles can help us in growth augmentation in the subsequent quarters would be helpful?

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Manish Dawar: Thanks, Devanshu. So, when we drew the blueprint in terms of where we want to go as a company, we analysed and the skill sets that were missing. So that was one piece.

And the other piece was this whole impending merger with Sapphire Foods, because if you put the two companies together, we are going to be almost a USD1 billion top line by the time we complete the merger. And hence, the exercise was to kind of evaluate what are the skill gaps, where is that we need to go and how is that we need to reach there. As part of the entire exercise, what we thought that we lacked was one strong technology leader and we have hired Neeraj Tiwari, who is going to be the CTO for the company going forward. We have already made this announcement as you know. We also identified that with our own brands coming in and

with some of the other

franchise brands where we are going to take the lead on marketing - and at the same time, as we have announced in the past that Pizza Hut marketing will come to us as part of the merger, we wanted to enhance our marketing overall portfolio and hence, we have hired Sandeep Anand. So, Sandeep has joined us as Chief Marketing Officer and he will also be looking after Pizza Hut operations. Sandeep's background is a combination of QSR and technology. And therefore, all of the relevant experience will help us as we move forward in our journey. We have also made a couple of other announcements like Robinder, who is going to be leading our portfolio on the Costa side and some of the smaller brands that we have like New York Fries and Sanook Kitchen. We have also made an announcement for the COO today. I do not know whether you have seen that or not. So therefore, this gentleman also will be joining us in the next couple of weeks. He comes with a very strong background from FMCG and technology with companies like Unilever and Amazon. So with that, we are becoming a future forward organization and also transforming ourselves from people practices point of view, we want to bring in lot more automation and technology-led operations transformation so that we are able to ride the next wave. So that has been the broad hypothesis in terms of the people changes that we are looking at.

Devanshu Bansal: Okay. So, if we have to summarize this, one is from a marketing perspective, right?

And the other one is from maybe our own delivery capabilities as well as from a customer acquisition perspective. And thirdly, from a COO perspective, obviously, that will be from an on-ground sort of growth focus. Is that the right way to look at it, Manish?

Manish Dawar: Yes, absolutely. Because if you remember, we announced in the last call that we have kind of tied up with one of the leading IT companies as a technology partner. And therefore, we will be developing our own apps. We will be developing our entire technology stack. And therefore, we wanted to build that capability in-house as well because we will have to manage the technology as we go along within the company.

Devanshu Bansal: Secondly, Manish, the broader commentary that we have come across QSR players post Q4, the dine-in footfalls have definitely improved after a fairly long period of time.

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So I wanted to check if you could share your thought process on the sustainability of

this trend, right? So what all company -specific initiatives have we taken and what is the confidence on sustainability of these trends?

Manish Dawar: See, Devanshu, as I mentioned in the past we need to give a reason to the consumer to come into the store, right. And for example, if you are able to give the same offering to a consumer inside the home with zero incentives to come to the store, nobody will walk into the store. And therefore, that meant that you have to kind of reimagine the business from the point of view of what is your pricing in the two channels, what is the innovation and so on and so forth. So, we have done some experiments to treat the two channels as two different businesses, which is what again I have alluded in the past. And therefore, that is showing some results. It is just the start of the journey. We have to cover a lot of gaps from there, but we are encouraged with what we have done and the response that we have seen from the consumers. So, therefore, it kind of reiterates our belief that, if you give a reason to the consumer to come into the store, they will come into the store. And that is how we are kind of now approaching the entire business.

Devanshu Bansal: So, at least for now, we can assume this trend will continue, right? Obviously, geopolitical tensions and other uncertainties remain, but so far, things look good, right?

Manish Dawar: See macro levels, Devanshu, non

e of us can control, right. And we have seen a number of macro issues over the last 3, 4 years. So, it started from COVID and since the time of COVID, there has been some event or the other which is regularly kind of coming along. So, I think the way we look at it, I mean, we have to accept this as a reality. And therefore, we continue to chug along in terms of whatever we need to do, whatever is under our control, do that to the best of your capability and carry the business along. Because remember that any of such geopolitical situations, they put more pressure on the small -scale players, which kind of helps us consolidate further.

Moderator: The next question is from the line of Gaurav Jogani from JM Financial.

Gaurav Jogani: My question is with regards to the store openings. Basically, we have seen that there have been store closures across formats. So, is this a deliberate strategy wherein as a part of this exercise of reorganization, we are kind of chucking out the loss -making or the nonprofitable stores and then start on a cleaner slate for the next year? And if so, is there any change in the guidance for the store expansion?

Manish Dawar: So, Gaurav, on the guidance, first, as I said in my address that we are planning to open about 200 to 225 new stores during the year, of which KFC will account for about 100 to 110, 120 kinds of store levels. At the same time, we have communicated in the past that for 2026, I am talking about calendar year 2026 here, we are not planning to add

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any net new stores for Pizza Hut - the idea is to consolidate and realign the portfolio for Pizza Hut. So, therefore, the remainder addition up to 200 - 225 will come from Costa, Vaango, Biryani By Kilo and so on and so forth. Having said that, I know that you have seen negative numbers in Q4, which is primarily because we are resetting our strategy from a BD perspective in terms of better -quality stores and a better pipeline. That is the reason this quarter has negative store count. And the focus, as you said, is to kind of shut the loss-making stores, which are there in the portfolio and open better -quality stores. While let us say, our new strategy is kind of build the pipeline as per our new guidelines and what we have discussed internally, that is the reason the store count is looking negative. But again, as I said, for the entire year, you will be able to see 110 to 120 new KFC stores and with the overall store count of about 200 to 225 stores.

Gaurav Jogani: Manish, thanks for this. Just a follow up, you've also been highlighting that you'll be undertaking a lot more tech -driven initiatives. So, would you be tinkering with the store size or making any changes to the capex per store? Do you see any changes on this front?

Manish Dawar: Not so much, Gaurav. As I said during the call where we announced the merger, we will be able to manage all the tech -related changes within our existing budgets, including whatever charges we pay to the Yum!. So therefore, that is how we have tailored ourselves in terms of the new investments also. And plus, given the current optionalities on AI and all of that, we will be able to use our current infrastructure better with the help of some overlaying AI technology, and that is what we are focusing on.

Gaurav Jogani: Sure. And just one last question from my end, Manish, regarding the KFC revival that you have seen. So, we have also seen the macroeconomic situation also kind of improving, plus we have also taken initiatives in terms of the interventions we have done. So, for the SSSG that you have reported, how much you would accord to the overall macro changes and how much would be your own initiative? And how sustainable is this going ahead?

Manish Dawar: See it is difficult to quantify factor by factor, as I have said in the past. But again, we feel confident that we will be able to sustain the initiatives

that you have seen. If at all ,
in the quarter, almost 45 days have gone by, we have seen that we are able to maintain the current SSSG trends in line with the previous quarter. So therefore, that is encouraging. We are monitoring it. Obviously, it will take another couple of quarters by the time we are firmly able to say that the worst is behind us. And we are not too sure about the macroeconomic situation either . But as per the current trajectory , we think we will be able to maintain the SSSG trends that you have seen.

Moderator The next question is from the line of Percy Panthaki from IIFL Securities.

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Percy Panthaki: Just wanted to understand the gross margin expansion on KFC, it is a pretty big number. What has really driven that?

Manish Dawar: See, Percy, there are many things that would go into the gross margin line. So, one is , whatever raw materials and packing materials that we buy, at the same time, how we handle the promotions and discounting structure and the multiple deals that we offer, what are the timings of the deals. So, it is a combination of all of that. The raw material and packing material environment have been favourable . And at the same time, we tweaked the deals in favour of the dine -in customers more where we were lacking initially, and that has helped us to kind of improve the gross margins a little bit and drive the customers in the stores to deliver the SSSG.

Percy Panthaki: So, for the in -store , part of the business, you have reduced your promotions. Is that what you are saying?

Manish Dawar: No, I have reduced the promotions for the online format . It is the other way round.

Percy Panthaki: Okay. Understood. Also, I just wanted to understand, in light of the fact that promotions have actually been reduced, what is really driving this SSSG? We have seen this across both Sapphire and yourselves . So, is it simply that after two to three years of negative SSSG, only the loyal customers are left, and they are now driving normal growth while whoever had to leave has already left? Or could you highlight two or three very specific actions that , in your opinion, have driven the SSSG for KFC?

Manish Dawar: So, Percy, as I mentioned to Devanshu, that end of the day, you need to give a reason to the consumers to come into the stores. And that is what we have increased the intensity which is where we were not kind of as active. Our entire focus used to be on the online format . And we have shifted the focus now more to dine -in and more to the dine-in customers. And therefore, we are tailoring the offers and the price points and the promotions to make sure that the dine -in customers are attracted, and that is what has predominantly helped us.

Percy Panthaki: But at the same time, the reduction in the offline promotions, has n't that had a negative effect on that part of the business?

Manish Dawar: No, I am not saying that we have reduced the offline. I said we have reduced the online promotions.

Percy Panthaki: Yes, yes. Online, the online promotion reduction .

Manish Dawar: So, the offline gains are much more than the online losses.

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Percy Panthaki: I see, I see. Understood. Also, have you taken any menu price increases in KFC either in the past quarter or very recently?

Manish Dawar: There was a very small correction. So, on a portfolio basis, I would say it was maybe less than 0.5 percentage point. It was only to tweak some bits of mismatches, which were here and there. That is a continuous process.

Percy Panthaki: And given the inflationary macro scenario that we are seeing, do you foresee any price increases in the near future?

Manish Dawar: If you can help me foresee the inflation in the near future, I will be able to tell you that.

Moderator: The next question is from the line of Jignanshu Gor from Bernstein.

Jignanshu Gor: Congratulations on the revival in KFC

. I wanted to double -click on KFC and had a very quick question on Pizza Hut. I will pose both questions together, so you can answer them. On KFC, would you help us understand this SSSG that you have seen, what part of it is higher average order value (AOV) , and higher incremental transactions? Which is a bigger share and what gives you the confidence of sustaining that irrespective of what happens in macro? And I think on Pizza Hut, the last time you mentioned that we will have a more detailed answer to what is the approach going to be to revive the brand. So, when should we expect to see that?

Manish Dawar: Sure. Thanks, Jignanshu. So, let me answer your question on the KFC first. I think it is basically going down to the online and offline. So, if you see our past trends when we were losing SSSGs, we were losing more on dine-in versus the online channels. While, let us say, the SSSG was negative, in the same quarter, we had seen that the online channel was positive and the offline channel was negative. And that negativity was overlapping the positivity on the online channel. And that is what we have tried to reverse in the last quarter by focusing more on the offline channel and so let us say, online SSSG has come down, but the offline has taken over more. And, again, it is basically, as I said, you need to give right reasons for the consumers to come into the stores, because it cannot happen that, let us say, for example, if a consumer is ordering at home and at times, they are able to get cheaper pricing sitting at home rather than coming into the store, where the expense is higher and at the same time, where the customer gets the convenience. So that is what we have started to monitor much more closely and we have taken steps that for any customer, the best deals will always be at the store level, and that is basically where you experience the brand at its best, not only from a freshness point of view, but also from a customer experience point of view. And we have seen that the customers have responded very positively to that and that is helping us. To your other sub-question in terms of the tickets versus the AOV, it is a combination of both. We have seen the tickets also grow, because what we have seen

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over a period of time that, there were a lot of new consumers who were coming in, but there were a lot of lapses also, which were happening. So, the new consumers were coming in, the old ones were lapsing out. So, we have tried to address through multiple ways in terms of how do we get back the consumers who have lapsed out, while we continue to recruit the new consumers. So, therefore, that strategy we have seen and has played out well in the current quarter. We need to ensure that we are able to run with it for the next few quarters to be able to call out that our strategy is working. So, the start has been good. Let us see how it shapes up. On Pizza Hut, to your other question, as I said, we have hired a new gentleman by the name of Sandeep. He is going to be focusing on Pizza Hut. He is basically a marketeer all through his career with a strong FMCG background, QSR background and technology background. So basically, we are going back to basics as far as Pizza Hut is concerned, in terms of identifying the gaps in the portfolio from a product standpoint, identifying the pricing layers that are missing in our portfolio, and reassessing quality on a de novo basis for Pizza Hut pizzas. And not just from one angle, because with pizza, you typically have to evaluate the dough, cheese and toppings. So, we are trying to revisit all of those things. Internally, we have seen some good work, which is happening. And I think it will take maybe a couple of months by the time we actually launched that in the market. We are seeing how the technology is working. We are actually starting to retrain all of our store staff both from a product quality perspective, as well as the CX training. So,

Pizza Hut is back to basics, so maybe during the course of the year, as I said in my comments, that we will come back to you with the complete strategy in terms of how we are trying to approach various brands. Maybe we can fix an Analyst Day in the next couple of quarters, and we can take you guys through in detail on what our plans are and what is that we are trying to do brand by brand once the entire new management team or the leadership team is in place.

Moderator: The next question is from the line of Naman Maheshwari from Shanghvi Family office.

Naman Maheshwari: Just one quick clarification. So, we mentioned about 225 new store additions. That is taking into account the merger scenario, or is it on standalone basis at DIL level?

Manish Dawar: It is on a standalone basis, but considering all our brands. So, therefore, that would include KFC, Costa, Vaango, Biryani By Kilo, all the brands put together.

Naman Maheshwari: Okay, and second clarification. In Mumbai, I think you started with this new KFCs stores around the metros. Do you think that channel as a whole is giving us a very good visibility and showing encouraging trends?

Manish Dawar: See, Mumbai territory is with Sapphire, not with us. And, therefore, your specific question on Mumbai will have to be addressed by Sapphire. But in general, I have mentioned, I think probably a few quarters back, that we see a big momentum on the

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travel side, and that is the reason we were focusing on multiple brands. That was the reason we were focusing on opening food courts at the highways and the malls and the food courts and so on and so forth. So that is part of that overall strategy. We are bullish on the travel segment. But Mumbai question, you need to check with Sapphire.

Moderator: The next question is a follow up from the line of Devanshu Bansal from Emkay Global.

Devanshu Bansal: Just a couple of book-keeping questions. This gas cost, is this a small 1.5% - 2% of sales, or is it a sizable part of your portfolio, if you could just specify this?

Manish Dawar: So, I will not be able to give you the exact number, Devanshu, but it is a small cost.

And at the same time, as a result of gas crisis, we have started evaluating electrical equipment across our portfolio. For example, in Biryani By Kilo, we have managed to switch our equipment to electrical. At the same time, we are also exploring, if the equipment can work on both gas as well as electricity. So there are multiple initiatives, which we have taken, so that in future, we are able to mitigate the impact better.

Devanshu Bansal: Sure, and secondly, Biryani By Kilo, while we do not get the individual brand-wise profitability numbers, this India portion, excluding KFC and Pizza Hut, has done well from a profitability perspective, right? So, is there anything you could highlight from a next-year perspective on how we should think about this particular brand?

Manish Dawar: So, Biryani By Kilo, as I said, we have managed to turn the brand around. As you know, it was a loss-making brand. There is further potential because right now, we have basically brought the negative to positive, and we have to grow from a profitability perspective. At the same time, we started experimenting with the brand on an offline basis. So, we have opened a few express outlets in our food courts to see how the brand performs. Wherever we have opened, the stores have been profitable. So, therefore, we are very bullish on Biryani By Kilo, and it can do wonders once we are able to stabilize the performance.

Devanshu Bansal: Understood. One last from balance sheet perspective, Manish. There is some increase in debt, as well as some increase in intangible assets as well. So, anything to look into it? Or how should we read these two numbers in FY26?

Manish Dawar: So, it is predominantly

Biryani By Kilo consolidation Devanshu, because the consideration that we paid, obviously, will go and sit predominantly on the intangible side. So, if you want the details, we can connect offline, and we'll be able to share them with you then. But it is predominantly Biryani By Kilo that is reflected in the goodwill, along with the brands.

Devanshu Bansal: Okay. And anything why the debt has increased, Manish, for FY26 end?

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Manish Dawar: So that was only temporary, we raised some debt because there was some equity infusion required in Thailand. It has got already squared off by the second week of April.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to management for closing comments.

Raj Gandhi: Thank you very much. We hope, we have been able to answer all your questions satisfactorily. Should you need any further clarifications, or would like to know more about the company, please feel free to contact our Investor Relations team. Thank you once again for your interest and support, and for taking the time out to join us on this call. Thank you very much, once again.

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